



OECD Capital Market Series

OECD Capital Market Review of the Philippines 2024



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Foreword

This report provides an in-depth analysis of the Philippine capital market and presents policy recommendations to support its development within five areas. It builds on extensive analysis using OECD databases and a unique dataset provided by the Securities and Exchange Commission of the Philippines for this project. The policy recommendations have been developed by the OECD in discussion with a wide range of market stakeholders, including government authorities, industry organisations, market infrastructure providers, investors, legal and financial advisors and securities exchanges.

The report follows a request by the Securities and Exchange Commission of the Philippines. The project is part of a Japanese government-financed programme to support the development of Asian capital markets.



This review is part of the OECD Capital Market Series, which informs policy discussions on how capital markets can serve their important role of channelling financial resources from households to productive investments in the real economy.

The report is structured as follows: Chapter 1 presents an assessment of five different capital market areas and policy recommendations for each; Chapter 2 provides an overview of the Philippine economy and various aspects of its corporate sector; Chapter 3 describes the use of market-based financing, both through public equity and corporate bond markets, including issuance trends, sectoral compositions and market infrastructure.

A detailed description of data sources, the methodology for data collection and analysis are provided in the Annex. For qualitative inputs, the OECD Secretariat gratefully acknowledges the contribution of the organisations and individuals who offered their time for consultations in the preparation of this report.

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Acronyms and abbreviations

ACGA	Asian Corporate Governance Association
ADB	Asian Development Bank
ASEAN	Association of South East Asian Nations
AUM	assets under management
BAP	Bankers Association of the Philippines
BIR	Bureau of Internal Revenue of the Philippines
BPO	business process outsourcing
BSP	Central Bank of the Philippines (<i>Bangko Sentral ng Pilipinas</i>)
CEO	chief executive officer
CFO	chief financial officer
CGT	capital gains tax
CIT	corporate income tax
CMDC	Capital Markets Development Council
CMIC	Capital Markets Integrity Corporation
CSD	central securities depository
DLTs	distributed ledger technologies
DTI	Department of Trade and Industry
EBITDA	earnings before interest, taxes, depreciation and amortisation
EC	European Commission
ECB	European Central Bank
ELTIFs	European Long-Term Investment Funds
ESMA	European Securities and Markets Authority
FSCC	Financial Stability Coordination Council
FCDU	foreign currency deposit unit
FDI	foreign direct investment
FTT	financial transaction tax
GCF	gross capital formation
GFCF	gross fixed capital formation
GEMS	Grant for Equity Market Singapore
GDP	gross domestic product
GSIS	Government Service Insurance System
ICMA	International Capital Market Association
IDX	Indonesia Stock Exchange
IFC	International Finance Corporation
ILOSTAT	International Labour Organization Statistics
IMF	International Monetary Fund

IPO	initial public offering
IOSCO	International Organization of Securities Commissions
IRAS	Inland Revenue Authority of Singapore
LEAP	Listing Engagement and Assistance Program
LSEG	London Stock Exchange Group
M&A	mergers and acquisitions
MAS	Monetary Authority of Singapore
MC	memorandum circular
MFI	monetary financial institution
MMF	money market fund
MSME	micro-, small- and medium-sized enterprise
MTF	multilateral trading facility
MTFF	medium-term fiscal framework
NEDA	National Economic and Development Authority
NPLs	non-performing loans
OECD	Organisation for Economic Co-operation and Development
OJK	Financial Services Authority of Indonesia
OTC	over the counter
PAYG	pay-as-you-go
PE	private equity
PCD	Philippine Central Depository
PCNC	PCD Nominee Corporation
PDEx	Philippine Dealing & Exchange Corporation
PDS	Philippine Dealing System
PDTC	Philippine Depository & Trust Corporation
PERA	Personal Equity and Retirement Account
PIFA	Philippine Investment Funds Association
PSA	Philippine Statistics Authority
PSE	Philippine Stock Exchange
PwC	PricewaterhouseCoopers
QDS	Qualifying Debt Securities
R&D	research and development
REIT	real estate investment trust
ROA	return on assets
ROE	return on equity
SCCP	Securities Clearing Corporation of the Philippines
SEC	Securities and Exchange Commission
SGX	Singapore Exchange
SGX RegCo	Singapore Exchange Regulation
SME	small and medium-sized enterprise
SPO	secondary public offering (follow-on offering)
SRC	Securities Regulation Code
SRO	self-regulatory organisation
SSC	State Securities Commission of Vietnam
SSS	Social Security System
TFEX	Thailand Futures Exchange
TOAP	Trust Officers Association of the Philippines

TSE	Tokyo Stock Exchange
UITF	unit investment trust fund
USAID	United States Agency for International Development
VC	venture capital
WFE	World Federation of Exchanges
WHT	withholding tax
WISP	Workers' Investment and Saving Programme

Executive summary

Since the 2008 global financial crisis, the Philippines has experienced strong GDP growth of over 6%, except for a sharp downturn in 2020. A solid recovery in tourism and key service sectors following the downturn has helped the economy rebound and set it on track to resume its growth path. Economic growth over the last decade has increasingly been boosted by capital investments, despite under-developed public capital markets. The size of market-based financing remains subdued, as reflected in low activity in the equity and corporate bond markets. Overall, bank and market-based financing to the non-financial corporate sector is low compared to more developed ASEAN peers, preventing many businesses from accessing external financing.

To deliver on the 6.5-8% GDP growth targets for 2024-28 of the Philippine Development Plan (PDP), the country needs to close the large infrastructure investment gap and raise the capital per worker to the level of peer countries. To achieve this, the Philippines requires a well-functioning capital market to mobilise and allocate resources efficiently in the economy. Moreover, reforms to boost pensions and savings can also work as a conduit for more inclusive growth as set out in the PDP.

Through empirical analysis and extensive consultations with stakeholders, this report identifies key impediments to capital market development in the Philippines and provides policy recommendations to address them. These recommendations are designed to strengthen the market framework and ultimately foster greater dynamism and sustainable growth in the broader economy. Chapter 1 focuses on five areas for which the key findings and recommendations are highlighted below. Chapter 2 summarises economic developments in the Philippines and describes the corporate sector, and Chapter 3 provides an overview of the use of market-based financing.

Key findings and recommendations

Improving corporate governance. Although the Securities and Exchange Commission (SEC) and the Philippine Stock Exchange (PSE) have taken important steps to improve corporate governance, it remains a key issue to improve investor confidence in the domestic capital market. The dominance of conglomerates containing within-group banks creates both financial risks and corporate governance challenges. Although the Philippine corporate governance code provides key provisions, enforcement is weak. Moreover, the SEC has a wide mandate, limiting resources available for supervision and enforcement.

Recommendations: The regulators should be provided with the resources and a clearer mandate to enforce corporate governance rules and guidelines, with a special focus on board and audit committee independence, related party transactions and cross-shareholdings. The authorities could consider updating the Philippine Code of Corporate Governance in line with the G20/OECD Principles of Corporate Governance revised in 2023. The authorities could also consider fully separating the stock exchange's regulatory and commercial functions, and the focus of the SEC could be streamlined towards supervision. Finally, the authorities could consider strengthening the role of the public-private Capital Markets Development Council (CMDC).

Facilitating access to public equity markets and increasing their attractiveness. Since 2000, both the number of newly listed firms and the capital raised via initial public offerings have been the lowest among ASEAN peer countries. The listing process is long and suffers from organisational challenges, with requirements being less flexible than in peers. Meanwhile, there is a substantial number of unlisted large companies that both reach listing criteria and outperform listed ones. Regarding smaller firms, the SME Board only has 10 companies and the private equity market is nascent. Listing fees are relatively high and

the fee structure is more complex than in peer countries. While tax reforms are being proposed, an IPO tax and stamp duty tax affect the appeal of IPOs.

Recommendations: The authorities could consider easing listing requirements to encourage the listing of companies with growth potential. To increase the focus on shareholder returns, the authorities could also consider establishing minimum payout ratios and incentives for companies to deliver higher value to shareholders. A single listing submission process and a three-month commitment for IPO approval could streamline the process. To encourage listings, efforts could be made to reduce fees, simplify their structure and lower the stamp duty tax. Introducing a special programme to support the listing of large unlisted companies and large SOEs could increase the attractiveness of the local stock market. To improve access to financing for smaller companies, requirements for the SME Board should be more flexible and proportional.

Increasing liquidity in the secondary public equity market. The Philippine stock market has markedly lower liquidity than peer countries. This is partly the result of the low free-float levels that adversely affect index inclusion and investor interest. Trading costs, especially on the sell side, are high by regional standards. Limited access to research and market makers also hamper liquidity. Derivatives are provided by banks OTC, although the PSE aims to develop a public market. The recently approved short selling and securities borrowing and lending programme is another step in the right direction but has yet to come into widespread use.

Recommendations: Efforts could be made to promote liquidity and the inclusion of Philippine companies in major indices, for example by incentivising higher free-float levels through easier and less costly follow-on offerings, and by allowing companies to deduct a notional interest on new equity issuance. Support for independent company research could be implemented, as could incentives for being a market maker. Regulators should ensure the regulatory framework is in place for the development of a derivatives market and support market participants to overcome barriers for using securities lending and borrowing. The authorities could also consider reducing the stock transaction tax on the sale of listed shares.

Facilitating market-based long-term financing via corporate bonds. The Philippine corporate bond market remains small - at the end of 2023 outstanding bonds amounted to only 11% of GDP. Corporate bond registration is burdensome, since the process has been copied from that of equities, and the issuance process is long. Costs are seen as high relative to bank financing. The transparency and quality of local credit rating agencies has been questioned by market participants. Liquidity issues persist, with bid-ask spreads for corporate bonds the highest among peers at over 40 basis points.

Recommendations: The authorities should consider designing a registration process tailored to bond issuance and streamline the listing process. Moreover, serial issuers should be able to file and register without immediate issuance to allow them to time the market. The regulators could also consider designing a framework for bond issuance targeted at SMEs. They could implement stricter transparency rules for local credit rating agencies, provide alternative credit risk assessment options and encourage international rating agencies to participate in the domestic market. To expand the market and direct more investment towards infrastructure needs, the government could also promote the use of PPP bonds.

Deepening the investor base. Institutional investors remain small, with assets in pension funds, insurance corporations and investment funds representing only 18.6% of GDP. The regulation of investment funds is fragmented, and a lengthy process for setting up mutual funds and fixed liquidity requirements may have hampered their growth. A limited free-float in the domestic stock market, a lack of investment options and unfavourable tax policies might explain the limited interest from foreign institutional investors and uptake in global indices. Low income levels limit household financial assets holdings. While stock market participation is increasing, financial literacy and consumer protection remain key focus areas for the authorities.

Recommendations: The investment floors of the public pension funds could be relaxed, as could restrictions on investments in equities and corporate bonds. Meanwhile, trading audits of pension funds could be reevaluated. Authorities could also consider further promoting Personal Equity and Retirement Accounts, while removing outstanding frictions and broadening the administrator base. Regarding investment funds, the authorities should approve the laws to reconcile regulations and harmonise taxes. The SEC might also consider a single-step registration process for mutual funds. Introducing a wider range of products and ETFs could boost international investor interest. To boost household participation, the government should seek to facilitate access to low cost and easy-onboarding digital platforms that allow small minimum investments. Finally, efforts should continue to increase financial literacy and awareness of the consumer protection system in place.

1 Assessment and recommendations

This chapter provides an assessment of five areas of the Philippine capital market: corporate governance, access to the public equity market, stock market liquidity, market-based long-term financing via corporate bonds and the investor base. Each assessment is complemented by recommendations aimed at improving the functioning of capital markets. The analysis draws on an extensive range of data, complemented by consultations with stakeholders and market participants.

1.1. Capital markets for sustainable and inclusive growth

Well-functioning capital markets are important enablers of economic growth. They can provide an important lever by channelling capital to where it is needed most, thus helping to unlock growth. By enabling corporations to access financing, capital markets allow companies to scale operations, create employment opportunities and invest in new technologies to raise productivity – the only sustainable way to consistently increase living standards over time. Capital markets achieve this by channelling household savings into investment in productive sectors of the economy. This not only supports economic growth but also financial democratisation by allowing households to share in corporate value creation.

Equity markets provide companies and innovators with the type of long-term and risk-willing capital needed for launching new business ventures and developing new technologies. Market-based financing enables funds to be raised and directed to projects that lack collateral but might lead to major productivity gains, increased competitiveness and overall growth. This provides a valuable complement to bank financing which usually requires collateral and relies on long-term relationships.

Moreover, the immense need for investment in climate-resilient infrastructure and financing for the climate transition – especially in at-risk countries such as the Philippines presents an opportunity to leverage private capital markets. Globally, debt and equity markets have funnelled a significant part of the investments in renewable energy technologies such as solar, wind and battery storage. While the Philippines is not a large greenhouse gas emitter by global standards, increasing the share of renewables in the energy mix could improve energy security and reduce import dependence. Moreover, important sectors such as water and transportation are highly vulnerable to climate-induced shocks, and require climate-resilient upgrading to withstand extreme weather (NEDA, 2023^[1]).

In addition to being an engine of growth, capital markets can also help democratise the returns stemming from the corporate sector. In countries with low levels of public participation in capital markets, much of corporate wealth creation is captured by a small group of owners. Potential high growth in such an environment can be regressive, leading to increased inequality and failure to deliver the broad-based improvements in living standards associated with economic development. Citizen participation in capital markets will not in itself ensure this is overcome, but it can provide a lever for people to save and build financial security and wealth over time, and give them a sense of ownership in their country's development.

Importantly, many pension schemes rely on returns from capital markets to grow, allowing individuals to secure income for retirement and maintain their quality of life. In OECD countries, over 400 million people (about 30% of the total population) are indirectly invested in capital markets through pension assets backing their future retirement income. Asset-backed pension systems are central to addressing demographic shifts and ensuring that citizens can maintain living standards, while also helping to relieve fiscally constrained states of the burden of managing pension commitments. In addition, capital markets indirectly facilitate household access to credit by enabling financial institutions to raise funds at competitive rates. This availability of credit helps households borrow for major investments, such as homes and education.

Another core feature of well-functioning capital markets is the reinforcing interlinkages of value creation, competitiveness and transparency. Capital markets reward companies that compete effectively and penalise those that fail to adapt, by reflecting these results in the value of outstanding securities. Corporate executives are thus driven to make strategic decisions that are value maximising. Investors in open capital markets are incentivised to allocate their capital to firms with the best potential for creating value. They also restrict executives' ability to direct resources for their own benefit or that of certain stakeholders. Malfeasance will face scrutiny, lead to lower valuation and potentially takeovers. Opening books and answering external demand for transparency limit the opportunity for transactions or relationships with related parties that are not conducted on market-based terms, as well as initiatives or investments not

aligned with the overall interest of shareholders. On a macro level, such scrutiny can also put a spotlight on inefficient market structures in certain sectors.

For investors to exercise such a disciplinary role, they need to be incentivised by the potential for returns. These in turn rely on strong corporate governance. The Philippine stock market is dominated by mature firms in sectors that are traditionally reliable dividend generators. However, payout ratios are low by international standards and only a handful of companies in the main index pay out meaningful dividends. Following the example of other economies in the region, the Philippines could benefit from creating a more attractive, dynamic and investor-friendly capital market.

In any case, the impact of capital markets on economic growth and their ability to generate returns is reliant on the broader economic structure and dynamism – areas beyond the direct purview of this report. Besides the level of investable savings, a sufficient amount of attractive companies seeking financing, and the market infrastructure that connects the two, the industry composition and prevalence of high growth sectors open to investment are important determinants of the dynamism of the capital market. Equally important is the reliability of the judicial system, financial sector regulation and market integrity.

Reflecting the central role of capital markets in enabling growth, driving financing towards climate transition investments and democratising wealth creation, this first chapter provides an assessment of five key areas of capital market policy and formulates policy recommendations aiming to: strengthen corporate governance; facilitate access to the public equity market and increasing its attractiveness; increase stock market liquidity; facilitate long-term corporate bond financing; and deepen the investor base. In the long term, these recommendations aim to enhance the role of the Philippine capital market in the country's economic growth and inclusive development for all Filipinos. These policy areas and recommendations are inter-connected and reinforce each other. They represent a targeted approach, with other policy areas outside the focus of this report playing a crucial role in determining the effectiveness of reforms to drive meaningful changes. To facilitate a discussion of key focus areas a selection of 10 priority recommendations is presented below.

Infographic 1.1. Top 10 recommendations

	1	Providing regulators with more resources and a clearer mandate to enforce the Code of Corporate Governance and update it in line with the G20/OECD Principles of Corporate Governance.
	2	Strengthening board independence requirements and enforcement.
	3	Strengthening regulatory measures to supervise related-party transactions.
	4	Increasing attractiveness of the stock market by incentivising the distribution of a higher share of profits.
	5	Applying proportional requirements for the SME Board of the PSE to make equity financing more accessible to SMEs, and implementing a simplified prospectus or offer document for issuances below a certain size for companies seeking to list on the SME Board.
	6	Promoting the inclusion of Philippine companies in major investable indices to enhance the visibility and attractiveness of the market to foreign investors, e.g. by incentivising listed companies to increase free float levels by making follow on offerings.
	7	Conducting a review of the listing and registration process to ensure it is tailored to bond issuance, competitive in terms of speed of issuance and that shelf-registration is a reliable venue for serial issuers.
	8	Promoting the Personal Equity and Retirement Account (PERA) more intensively, removing outstanding frictions in onboarding and administration, broadening the types of administrators and potentially increasing incentives.
	9	Ensuring investors have access to easy onboarding and streamlined digital platforms at low cost with low minimum investments.
	10	Increasing efforts to boost financial literacy, including by involving market participants and co-operating to deliver common messages and campaigns aimed at targeted groups, and joining the PISA financial literacy assessments.

1.2. Improving corporate governance

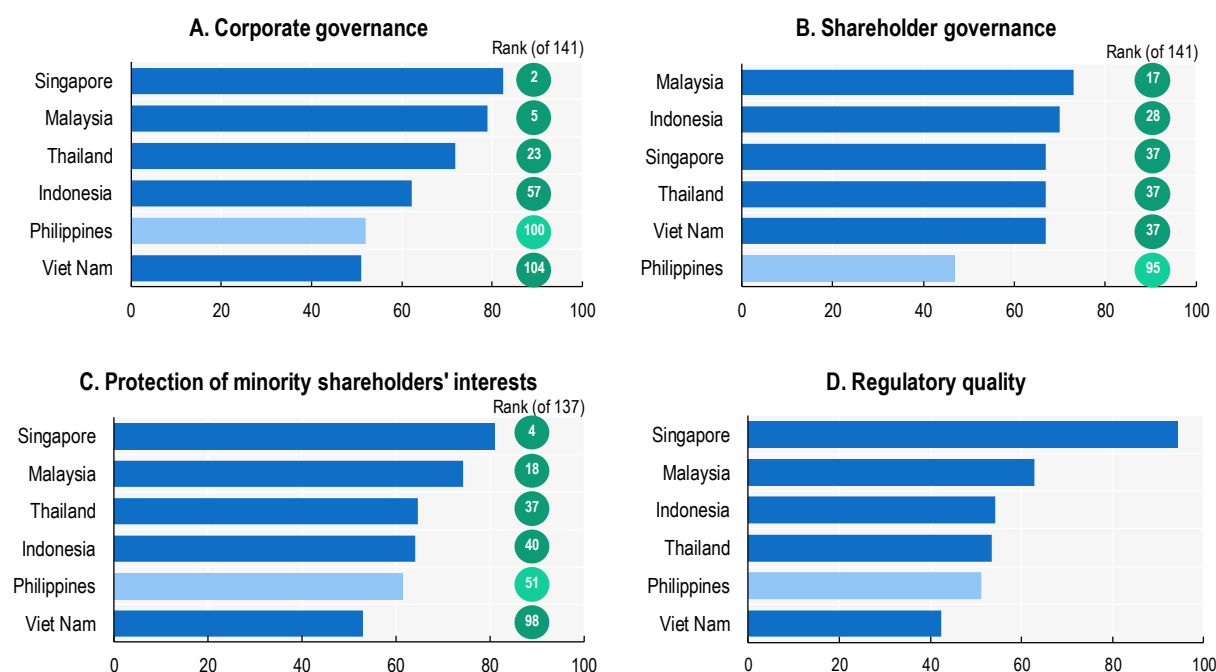
A well-functioning corporate governance framework can promote innovation, productivity and entrepreneurship by improving companies' access to financing, particularly from capital markets. Moreover, such a framework protects investors, in particular retail investors and households with invested savings, while also supporting the sustainability and resilience of corporations.

The Philippines has made significant efforts to improve corporate governance standards. However, there is still room for improvements. Compared with its ASEAN peers, the Philippines ranks lowest in shareholder

governance (95 out of 141 globally) (Figure 1.1, Panel B), which assesses the role and rights of shareholders in key corporate decisions and the safeguards in place to protect them from excessive board control and entrenchment. In addition, the Philippines ranks second to last in overall corporate governance (100 out of 141 globally) (Panel A) and performs poorly in protection of minority shareholders' interests (51 out of 141 globally) (Panel C). Importantly, in recent years, the SEC has issued several Memorandum Circulars (MCs) aimed at enhancing the protection of minority investors and promoting good corporate governance.¹ Collectively, these circulars have strengthened shareholder rights.

The biennial survey conducted by the Asian Corporate Governance Association (ACGA) ranks the Philippines second to last among 11 Asian jurisdictions, highlighting several areas for improvement (ACGA, 2023^[2]). For instance, many listed companies lack a dedicated committee to review significant related party transactions, and there is often no disclosure of whether such transactions are conducted on fair and commercial terms. Another critical issue is the enforcement of director independence, with many Philippine listed companies failing to meet the recommended one-third threshold for the number of independent directors. These governance weaknesses highlight the need for more robust reforms to bring the country in line with international best practices.

Figure 1.1. Governance indicators for Philippines and peer countries (100 = highest quality)



Note: In Panel A, the index assesses the broad scope of corporate governance issues including the strength of auditing and accounting standards, regulations on conflicts of interest and shareholder governance. Panel B focuses on shareholder governance, assessing specific issues related to shareholder rights including 1) shareholders' roles and rights in major corporate decisions; 2) governance safeguards that protect shareholders from excessive board control and entrenchment; and 3) corporate transparency concerning ownership stakes, compensation, audits and financial projections. In Panel B, Singapore, Thailand and Viet Nam share the same value, thus ranking equally. Values and rankings for Panels A, B and D are for 2019. Those in Panel C are for 2017. Panels B and C have been rescaled to a range of 100 from initial values between 1 to 7. Panel D has been rescaled to a range of 100 from initial values between -2.5 and 2.5. Panels A, B and C data is retrieved from the WEF Global Competitiveness Index 4.0. Panel D data is retrieved from World Bank Worldwide Governance indicators. Source: World Bank (2023^[3]), WEF (2019^[4]) Global Competitiveness Index 4.0, <https://prosperitydata360.worldbank.org/en/dataset/WEF+GCI> Kaufmann and Kray (2023^[5]), Worldwide Governance indicators, www.govindicators.org.

1.2.1. Board independence

A comparison between the Philippines and ASEAN peers on corporate governance issues for listed companies reveals significant differences, particularly in the application of board independence requirements. In the Philippines, the mandatory requirement for board independence is set at a minimum of 20%, lower than most other ASEAN countries that require one-third of directors to be independent. The Philippine Code of Corporate Governance (under a "comply or explain" framework) recommends that one-third of the board should be independent.

Table 1.1. Key corporate governance requirements for boards of listed companies

Countries	Board independence	Audit committee	Nomination committee	Remuneration committee
Philippines	[20%] (1/3)	Mandatory	Mandatory	Recommended
Indonesia	[30%]	Mandatory	Mandatory	Mandatory
Malaysia	[1/3 or 2]	Mandatory	Mandatory	Recommended
Singapore	[1/3] (Majority)	Mandatory	Mandatory	Mandatory
Thailand	[1/3 or 3]	Mandatory	Recommended	Recommended
Viet Nam	[1 if board size is 1-5 members; 2 if board size is 6-8; 3 if board size is 9-11]	Mandatory	Recommended	Recommended

Note: [] indicates a requirement by the listing rule or regulation; () indicates a recommendation by codes or principles. For Viet Nam, the requirements refer to the Hanoi Stock Exchange.

Source: PSE (2024^[6]), Main Board - IPO Listing Requirements, <https://www.pse.com.ph/ipo-listing-requirements/#listing1>; IDX, (2024^[7]), Stocks, <https://www.idx.co.id/en/products/stocks/>; SGX (2024^[8]), Mainboard, <https://www.sgx.com/securities/mainboard>; Bursa Malaysia, (2024^[9]), Listing Criteria, https://www.bursamalaysia.com/listing/get_listed/listing_criteria; SET, (2022^[10]), Common Shares Listing Admission, https://media.set.or.th/set/Documents/2022/Jul/Common_Shares_Listing_Admission.pdf; SSC (2020^[41]) Decree No. 155/2020/ND-CP, <https://lawnet.vn/en/vb/Decree-155-2020-ND-CP-elaboration-of-some-Articles-of-the-Law-on-Securities-76571.html>.

A well-functioning corporate governance framework requires independent directors, who typically play a crucial role in providing objective oversight and ensuring that the interests of shareholders, particularly minority shareholders, are protected. In the Philippines, despite the requirement for listed companies to have a minimum number of independent directors, enforcement remains weak. Companies typically have concentrated ownership in the hands of controlling shareholders (see Section 3.1 for more details) who generally exercise significant influence over the appointment, remuneration and removal of independent directors. This dynamic often compromises the independence of these directors (Gurrea-Martínez, 2020^[11]).

One concern is the long tenure of many independent directors in the Philippines. According to International Finance Corporation (IFC) guidelines, an independent director should not serve on the board for more than 10 years to maintain objectivity (IFC, 2023^[12]). Longer tenures can undermine independence as directors may become too familiar with the company and its management, potentially becoming "new insiders". This compromises their ability to provide the unbiased oversight necessary to effectively monitor management. A significant proportion of directors in the Philippines have served for more than 9 years, as shown in Figure 1.2.

In 2017, Memorandum Circular No. 4, was issued to address the term limits of independent directors, stipulating that an independent director may serve for a maximum of nine years. If a company wishes to retain an independent director beyond this limit, the board of directors must provide justification and obtain shareholder approval at the annual general meeting. In consultations for this report, the SEC reported a decline in the number of independent directors serving beyond the nine-year limit. However, stronger enforcement will be needed to ensure full compliance.

Figure 1.2. Tenure of independent directors in listed companies



Source: OECD-ORBIS Corporate Finance dataset.

In the Philippines, most independent directors only serve in one listed company (83%), but 7% serve in three or more listed companies. Cases also exist where independent directors serve in more than five listed companies at the same time. The time and energy that independent directors devote to a company is an important factor affecting their performance. Independent directors holding more than three positions simultaneously will find it difficult to ensure that they have sufficient time and energy to perform their duties in each listed company (Wushe, Shenje and Ndlovu, 2017^[13]). The People's Republic of China (hereafter "China") regulates that independent directors can serve in a maximum of three listed companies to ensure that they have sufficient time to dedicate to each firm.

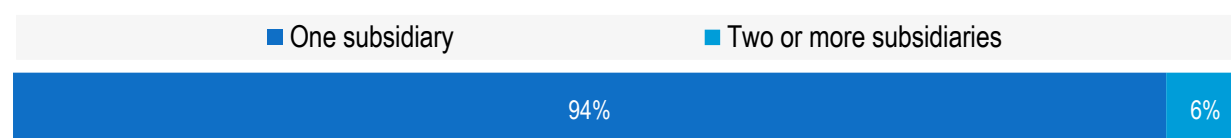
Figure 1.3. Number of listed companies served by independent directors



Source: OECD-ORBIS Corporate Finance dataset.

A significant number of directors sit on the board of several companies within the same group, which can undermine their ability to exercise independent judgement due to potential conflicts of interest. Their objectivity and decisions may also be influenced by group-level priorities rather than the best interests of each individual subsidiary. Six per cent of independent directors sit on the boards of more than two subsidiaries within the same group. While this is low, it raises concerns about their ability to remain impartial and fully committed to the governance of each company. Addressing these potential conflicts of interest is essential to maintaining the integrity of independent board oversight. Limiting the number of boards a director may serve within the same group, or enforcing stricter policies on board membership, could help ensure that directors maintain the independence and objectivity necessary to discharge their governance responsibilities effectively.

Figure 1.4. Number of subsidiaries within the same group served by independent directors



Source: OECD-ORBIS Corporate Finance dataset.

1.2.2. Company groups

Conglomerates play a dominant role in the Philippine economy and contribute significantly to GDP. The revenue of the top 15 conglomerates represented 20% of GDP in 2018 and, as this is only the direct contribution to GDP, their full contribution may be undercounted (Torio et al., 2021^[14]). These large, family-owned companies have traditionally expanded into a wide range of industries, enabling them to exert considerable influence across multiple sectors. Many of their subsidiaries are publicly traded, reflecting their strong presence in the stock market. This is evident in the ownership structure of Philippine listed companies, where domestic firms hold the largest share with 43% of total listed equity (see Section 3.1 for more details). This highlights the prominent role that local conglomerates continue to play in shaping the country's economic landscape.

Company groups generally face significant governance challenges that require a robust corporate governance framework. Key concerns include insufficient transparency of the group structure and beneficial owners, and the potential abuse of related party transactions (RPTs). The complexity of groups may also lead to inadequate disclosure, making it difficult for investors to understand the full scope and ultimate ownership of the company. Additionally, as the company management is often controlled by the parent company or major shareholders within the groups, the protection of minority shareholders risks being compromised (Cayanan, 2019^[15]). In addition, overlapping activities can create conflicts of interest when allocating business opportunities within the group (Medina, de la Cruz and Tang, 2022^[16]; OECD, 2020^[17]).

Expropriation through RPTs is a common problem for minority shareholders, particularly within conglomerates. In such structures, controlling shareholders often have incentives to transfer resources from public companies through RPTs, leaving small shareholders to bear the cost. To address these concerns, the Philippine Code of Corporate Governance (the Code hereafter) contains several key recommendations aligned with the G20/OECD Principles of Corporate Governance on RPTs and board oversight. The Code emphasises the responsibility of the board with respect to RPTs by ensuring there is a group-wide policy and system governing RPTs. Furthermore, the Code also recommends that in the absence of a related party transaction committee, the audit committee should evaluate all RPTs to ensure that these are not undertaken on "more favorable economic terms" (SEC, 2019^[18]).

However, further efforts may be needed to strengthen the monitoring of RPTs. For instance, in the Philippines, shareholder approval is not required for material RPTs, which weakens minority shareholders' ability to protect their interests. Shareholder voting can serve as a powerful tool to mitigate these risks by empowering smaller shareholders and curbing the influence of controlling shareholders. In contrast, other ASEAN jurisdictions, such as Indonesia, Malaysia, Singapore, Thailand and Viet Nam, mandate shareholder approval for material RPTs that exceed a certain percentage of company assets. In Singapore, for example, prior shareholder approval is required for RPTs exceeding 5% of the group's latest net tangible assets.

In the Philippines, for material RPTs, the board is required to appoint an external independent party to evaluate the fairness of the terms of the material RPTs. Moreover, the material RPTs must be approved by at least two-thirds of the board of directors, with a majority of independent directors voting in favour. However, concerns about the true independence of these directors raise questions about whether this safeguard is sufficient to protect minority shareholders from the influence of controlling shareholders. Consequently, additional measures are needed to ensure more robust protection against RPT-related risks. An effective approach to protecting minority shareholders is to require audit committees to review significant related party transactions (RPTs). In Singapore, for example, the audit committee is required to declare whether a transaction with an interested party is "on normal commercial terms and not prejudicial to the interests of the company or its minority shareholders" (Monetary Authority of Singapore, 2019^[19]). Similarly, in Malaysia, the audit committee is tasked with reviewing and reporting to the board on any RPTs or potential conflict of interest situations within the company or its group (Bursa Malaysia, 2023^[20]). These

policies play a crucial role in preventing controlling shareholders from exploiting their power for personal gain, thereby protecting the interests of minority shareholders.

The prevalence of group structures has also contributed to cross-shareholdings in listed companies. Of all Philippine listed companies, 51 have another listed company as their largest shareholder and 60 have another domestic listed company owning more than 10%. This widespread practise of cross-shareholding can have several drawbacks. Cross-held shares are typically rarely traded on the stock exchange, which limits the number of shares available for trading and reduces overall market liquidity (Section 1.4). Moreover, cross-shareholding can entrench management, making it difficult to replace underperforming managers. Since managers are less threatened by takeovers - an important mechanism for disciplining and motivating managers - they may have reduced incentives to perform efficiently and effectively (Levy M, 2017^[21]). Moreover, companies might prioritise transactions that benefit the cross-held companies rather than those that are economically optimal.

To address this phenomenon, in 2021, the SEC issued for public comments a draft memorandum on cross-shareholding structure for publicly listed companies. It stipulates that a subsidiary would not be allowed to hold more than 10% of the total shares in its parent company, excluding shares with no voting rights. Moreover, once this memorandum becomes effective, shares in excess of this limit will be subject to a process of conversion within 12 months by the parent company (SEC, 2021^[22]). Questions on the draft memorandum were raised in light of Section 176 of the Revised Corporation Code, which grants full authority to the Congress of the Philippines to set maximum limits for stock ownership, upon recommendation of the National Economic and Development Authority. Therefore, this draft memorandum has not moved forward.

Another important characteristic of conglomerates in the Philippines is the presence of banks in the conglomerate, closely linking non-financial companies to the financial system (IMF, 2022^[23]). As shown in Table 1.2, 7 out of the 10 largest banks in the Philippines are part of a conglomerate, with total assets of USD 368 billion (equivalent to 84% of GDP) at the end of 2023. These banks held 60% of the banking sector's assets (IMF, 2022^[24]).

Table 1.2. Ten largest banks in the Philippines in 2023

Rank	Bank name	Conglomerate or core company within group	Total bank assets (USD billion)
1	BDO Unibank Inc.	SM Investments Corporation	77.1
2	Land Bank of the Philippines	-	58.9
3	Metropolitan Bank & Trust Company	GT Capital Holdings	55.0
4	Bank of the Philippine Islands	Ayala Corp.	51.3
5	China Bank	SM Investments Corporation	27.7
6	Rizal Commercial Banking Corporation	Pan Malayan Management and Investment Corp.	23.2
7	Philippine National Bank	LT Group, Inc.	21.8
8	Security Bank Corp.	-	18.0
9	Union Bank of the Philippines	Aboitiz Equity Ventures, Inc.	17.8
10	Development Bank of the Philippines	-	17.7

Note: Data on conglomerate information is collected from each bank's website. The ranking is based on total assets of banks.

Source: BSP (2024^[25]), Ranking as to Total Assets, <https://www.bsp.gov.ph/Statistics/Financial%20Statements/Commercial/assets.aspx>.

The presence of banks within conglomerates facilitates access to finance for affiliated companies. However, this also can give rise to financial risks associated with intra-group lending. In addition, large banks have significant exposures to several conglomerates, including their own. These conglomerates borrow both internally and externally. Contagion from common borrowers could be a potential risk. The

network analysis study of the central bank, Bangko Sentral ng Pilipinas (BSP), also shows that the failure of large conglomerates would have profound contagion effects on banks (IMF, 2022^[24]).

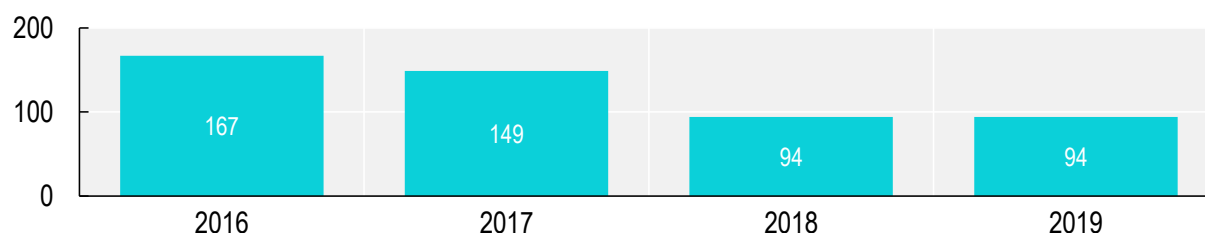
To mitigate this, the Philippines has regulations in place to prevent excessive lending to a single borrower. Specifically, the BSP enforces a regulation that limits the total amount of loans, credit facilities and guarantees that a bank can extend to a single borrower to 25% of the bank's net worth (BSP, 2021^[26]). This regulation is critical to maintaining financial stability and effective risk management within the banking sector. Additionally, due to the widespread practice of intra-group lending in the Philippines, the BSP has introduced specific regulations to govern such transactions. The regulation limits a bank's total loans, credit accommodations, and guarantees to a single subsidiary or affiliate to 10% of its net worth and to 20% for all subsidiaries and affiliates combined.

1.2.3. Enforcement of the corporate governance regulatory framework

Enforcement of the corporate governance regulatory framework in the Philippines could be improved. According to the Asian Corporate Governance Association, its enforcement ranks second lowest in the region. The SEC has focused its enforcement efforts primarily on shutting down scams and Ponzi schemes rather than on enforcing capital market regulations (ACGA, 2023^[2]). As the SEC diverts its attention to address these illegal activities, it often lacks the resources to adequately oversee corporate governance compliance. As a result, authorities frequently rely on investors to raise concerns about non-compliant companies. However, during consultations for this report, market participants pointed out that investors in the Philippines tend to be passive and rarely take an active role in upholding corporate governance standards.

The SEC and PSE currently provide limited information regarding their enforcement activities. The SEC's most recent annual report, which covers the period from 2020 to 2023, is available on its website. This document mainly focuses on legal actions taken against fraudulent schemes, while providing minimal information on enforcement actions pertaining to capital market regulations. For the PSE, the most recent annual report available on its website dates back to 2019 and only provides the most basic enforcement statistics. Figure 1.5 illustrates a declining trend in the number of market investigations, indicating a potential area of concern for regulatory oversight.

Figure 1.5. Number of market investigations in the Philippines



Note: The information presented is available only until 2019.

Source: PSE Annual Reports

The PSE EDGE portal serves as the PSE's official disclosure and information platform and provides access to various reports of listed companies. Currently, the platform only allows users to search for reports from the last two years, which limits its usefulness compared to similar platforms in other ASEAN countries such as Singapore and Malaysia, where annual reports from all previous years are available online. Expanding the PSE EDGE portal's historical database to include a wider range of documents covering multiple years could significantly enhance its value, especially for investors and analysts who need access to longitudinal

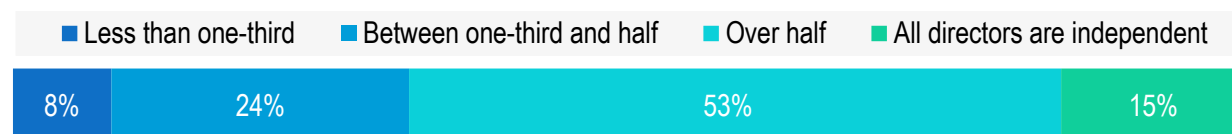
data and trends to make informed decisions. In addition, the platform does not currently provide prospectus information.

The publication of corporate governance reports is also essential to maintain transparency and accountability standards within companies. These reports not only help to demonstrate a company's compliance with governance regulations, they also provide explanations for any deviations, thereby allowing flexibility while promoting transparency. In the Philippines, listed companies are required to submit an integrated annual corporate governance report, in line with the “comply or explain” principle advocated by the Securities and Exchange Commission (SEC, 2017^[27]). This approach allows companies to either confirm their compliance with the governance code or explain the reasons for non-compliance. Weak minority shareholder activism and low activity on the secondary market (see Section 1.5), may limit pressure to ensure that compliance failures or lack of reasonable explanations are punished by the market.

A close examination of the Integrated Annual Corporate Governance Report (I-ACGR) of the top 10 listed companies in the Philippines reveals possible areas for improvement. For instance, Recommendation 8.4 of the Code requires disclosure of individual directors' detailed compensation. Although only 2 of the 10 companies explicitly stated their non-compliance, all of them failed to disclose executive compensation on an individual basis, opting instead for aggregate reporting. This highlights a wider issue of transparency in reporting and suggests the need for stricter enforcement and possible revision of the guidelines to ensure more detailed disclosure in line with best practises.

Recommendation 3.2 of the Code stipulates that the audit committee must consist of at least three qualified non-executive directors, with a majority being independent. While many companies state that they comply with this recommendation, they often fail to ensure that the majority of audit committee members are independent. Indeed, in a significant proportion of listed companies in the Philippines, less than half of the seats on the audit committee are held by independent directors, potentially compromising its independence and effectiveness (Figure 1.6). This is contrary to the best practice of having audit committees composed entirely of independent directors. As the primary role of the audit committee is to oversee financial reporting and the activities of the external and internal auditors, independence is critical to ensure unbiased oversight and governance.

Figure 1.6. Share of independent directors on the audit committee



Source: OECD-ORBIS Corporate Finance dataset.

1.2.4. Regulatory framework

Securities regulators play an important role in ensuring the integrity and efficiency of capital markets. They have three core objectives: protecting investors; ensuring that markets are fair, efficient and transparent; and reducing systemic risk. In the Philippines, the SEC is mandated with supervising the corporate sector, capital market participants, and the securities and investment instruments market, while simultaneously safeguarding the interest of investors. Moreover, the mandate of the SEC also includes its role in developing capital markets, fostering good corporate governance and enhancing investor protection (SEC, 2024^[28]).

The role, duties and organisational structure of the SEC were redefined by the Securities Regulation Code (SRC) in 2000. Since then, there have been two major reforms to the SRC. One was the redefinition of the SEC's regulatory responsibility that led to the transfer of its quasi-judiciary function to the judicial courts, enabling the SEC to focus on its core regulatory functions. Prior to the enactment of the SRC, the SEC

also possessed authority to adjudicate intra-corporate disputes and oversee corporate rehabilitation. Another important reform provided by the SRC is the demutualisation of the PSE, which sought to address the inherent conflict of interest of being a self-regulatory organisation controlled by trading participants.

The PSE is the sole stock exchange in the Philippines and plays a critical role as the primary venue for the listing and trading of stocks and other securities. It is mandated by the SEC to operate as a self-regulatory organisation, granting it regulatory responsibilities over the marketplace. The role of the PSE and its oversight by the SEC are mainly defined in the SRC. The SRC mandates the PSE to protect investors and the public interest as well as additional responsibilities of SROs, such as supervising trading practices, ensuring transparency in securities transactions and prices, and overseeing the auditing, supervision and disciplining of its members and participants. According to the SRC, the SEC oversees the stock exchange and the exercise of its responsibilities, and if necessary, has the right to assume control of the stock exchange to ensure adequate compliance with regulatory standards (SEC, 2001^[29]). The PSE submits its updated Compliance Plan to the SEC annually, which covers the applicable regulatory reporting and disclosure requirements to ensure alignment with current regulatory standards (PSE, 2024^[30]).

The demutualisation of the PSE in 2001 reduced the dominance of its 184 member brokers at the time. As mandated by the 2000 SRC, no single industry or business group may beneficially own or control more than 20% of the voting rights of the exchange (SEC, 2001^[29]). As a listed self-regulatory organisation, the PSE is tasked with enforcing regulations, while as a private for-profit firm, it also seeks to maximise shareholder returns. The regulatory objectives can thus sometimes conflict with the priorities of the shareholders (Di Noia, 2000^[31]). To address potential conflicts of interest, the PSE incorporated its market regulation division into the Capital Markets Integrity Corporation (CMIC). The aim of this restructuring was to enhance the regulatory independence and effectiveness of the exchange. By 2012, the CMIC was granted Self-Regulatory Organisation (SRO) status and became the primary regulator of the exchange's trading participants (CMIC, 2024^[32]).

As an SRO, the CMIC ensures market integrity and protects investors by enforcing compliance with CMIC and exchange rules and the SRC and other securities laws. However, the CMIC's regulatory mandate is restricted to the supervision of the exchange's trading participants. Other key regulatory functions, such as ensuring compliance with corporate disclosure requirements and listing approvals remain the responsibility of the PSE. Similarly, Singapore Exchange Regulation (SGX RegCo) operates independently of the Singapore Exchange (SGX) to ensure a clear separation of regulatory and commercial objectives. However, SGX RegCo operates as a fully separate entity dedicated to regulatory functions, including the monitoring of compliance with listing requirements, and the review and approval of new listings. This separation between its commercial and regulatory roles enhances the SGX's governance as an SRO by reducing conflicts of interest, strengthening market integrity and promoting investor confidence.

Along with its overall oversight of the operations of the PSE, the SEC is also tasked with ensuring that the PSE adheres to best practices in corporate governance. This includes monitoring compliance with the Corporate Governance Code and enforcing disclosure requirements (SEC, 2016^[33]). The PSE has made significant progress in corporate governance, including publishing its own sustainability report since 2019. However, it still faces challenges in fully complying with the Corporate Governance Code (PSE, 2024^[34]). For instance, while independent directors are recommended to serve for a maximum term of 9 years, the Chairman of the Board, one of the independent directors, has already held his position for 12 years (PSE, 2023^[35]).

The SEC has administrative responsibilities beyond supervising securities and the capital market. The SEC serves as the registrar and supervisor of the Philippine corporate sector, overseeing over 600 000 active corporations and evaluating their financial statements (SEC, 2024^[28]). This contrasts with peer countries such as Malaysia and Singapore, where a specialised agency is responsible for national business registry and ensuring compliance with corporate filing requirements. This dual responsibility may limit the resources available to the SEC for its core capital market supervisory functions. The SEC is

allowed to retain the fees it collects from its function as national business registry but not the fees collected as the capital market supervisor. A limited number of employees have direct or indirect oversight responsibilities for 600 market participants (IMF, 2019^[36]). This suggests that the SEC's resources may be insufficient to adequately address all its legal responsibilities, particularly those related to capital markets. For example, regulators typically publish an annual report every year. However, the SEC's most recent annual report combines information for four years (2020-2023) (SEC, 2024^[37]).

In 2022, the Capital Market Development Act established the Capital Market Development Council (CMDC) as a formal organisation co-chaired by the Secretary of Finance and a representative of the private sector. Its mandate is to develop the capital market by drawing up a development plan every five years that will constitute the Philippines capital market roadmap (ADB, 2023^[38]). The latest plan covers the period 2022-28 and focuses on three main areas: enhancing the supply of capital, boosting demand for capital and improving market infrastructure. While the CMDC is an important initiative to involve major market participants in the development of the capital market, some participants note that it is more a forum for including stakeholders in discussions than an organisation actively leading projects (Bunye, 2023^[39]).

1.2.5. Recommendations

Summary

To strengthen corporate governance, the Philippine authorities could consider:

- Providing regulators with more resources and a clearer mandate to enforce the Code of Corporate Governance and update it in line with the G20/OECD Principles of Corporate Governance.
- Strengthening board independence requirements and enforcement.
- Strengthening regulatory measures to supervise related party transactions.
- Pursuing efforts to address concerns on cross-shareholding structure for publicly listed companies.
- Assessing the possibility for the PSE to fully separate its regulatory function from its commercial function.
- Streamlining the SEC's focus on capital markets and allocating more resources to the SEC's supervision function.
- Strengthening the CMDC as a platform for dialogue and coordination with between authorities and stakeholders to steer capital market initiatives.

Corporate governance is a key component for increasing market attractiveness in both developing and advanced economies. In markets where ownership is concentrated and there is no established culture of minority shareholder activism, investor protection is particularly important. Proper regulatory oversight of capital markets is critical to ensure investor protection and the continuous development of the capital market. While important improvements have been made to the regulatory framework in the Philippines, several challenges remain that would benefit from further action.

The strong presence of conglomerates in the Philippine economy, with many parent companies or subsidiaries listed on the stock market, calls for an improved corporate governance framework to address the issues arising from such structures. The SEC could consider enhancing the corporate governance framework and bring it in line with global best practice. The G20/OECD Principles of Corporate Governance

provide insights for potential reforms, including with regards to company groups and the regulatory framework to promote their effective oversight, disclosure and transparency, and the responsibilities of boards of directors. The Philippine Corporate Governance Code, last updated in 2019, could be revised accordingly. Given the complex structures of company groups and their numerous subsidiaries in the Philippines, the Code should emphasise the importance of ensuring the effective oversight of listed companies within company groups, as well as their subsidiaries. It should also facilitate improved disclosure, particularly regarding group structures and stakeholders impacted by them, relevant to these company groups. Finally, it should clarify the board's responsibilities in group-wide risk management and establish an effective reporting framework to ensure that boards are informed of all material information concerning subsidiaries.

Another crucial point is the enforcement of the Code of Corporate Governance, which could be better implemented and to which more resources could be allocated. This could involve creating a centralised database to track corporate governance practices and violations which would complement the PSE's EDGE portal. Addressing the limitations of the portal in terms of data availability would bring it more in line with international standards and better meet the needs of its diverse user base. The PSE could also organise regular campaigns and trainings to increase awareness of corporate governance regulations. Additional resources are key to supporting these enforcement efforts and ensuring that regulatory bodies have the capacity to monitor and enforce compliance effectively.

Given the significant amount of intra-group lending in the Philippines, it is important to assess the need for more robust regulatory measures to supervise this activity. Adoption of measures to supervise intra-group lending could help enhance financial stability and reduce the risks associated with intra-group lending. Imposing strict limits and ensuring that transactions with related parties are conducted on market terms can mitigate potential conflicts of interest in banking sector and prevent the concentration of risk within conglomerates.

The Philippines could consider strengthening board independence standards and enforcement. Currently, listed companies are required to have at least 20% of independent directors on their boards or at least two independent directors. While the Code of Corporate Governance (“comply or explain”) recommends higher independence requirements, the mandatory requirement is lower than in most peer countries that require one-third of independent directors. Raising the current requirement from 20% to one-third could strengthen board independence, improve governance oversight and increase investor confidence. In addition, enforcement of board independence needs to be further improved as many listed companies do not currently comply with these requirements. The SEC and PSE should work together to strengthen enforcement of these regulations.

To strengthen corporate governance, enforcement of Memorandum Circular No. 4, Series of 2017, which limits the tenure of independent directors to a maximum of nine years, should also be strengthened. While the SEC has noted progress, including a decline in the number of independent directors exceeding the nine-year limit, further efforts are needed to strengthen enforcement and ensure consistent compliance across companies. Strengthening monitoring mechanisms and providing additional guidance to companies could help achieve these goals. In addition, it is currently recommended that audit committees should have a majority of independent directors. However, many companies do not follow this recommendation, which may compromise the independence of the committees. Consideration should be given to whether it would be feasible to enforce the independence of audit committees through listing rules, requiring them to be composed only of independent directors.

The regulation of RPTs is another critical issue that needs to be addressed. Currently, the regulatory framework for the supervision of RPTs is relatively weak compared to other jurisdictions in the region. Strengthening these regulations is essential to ensure proper oversight of RPTs. For example, a rule could be introduced requiring shareholder approval for material RPTs or giving the audit committee the

responsibility to oversee such transactions. These measures would help prevent controlling shareholders from abusing their power for personal gain, thereby better protecting the interests of minority shareholders.

Authorities may also consider assessing the impact of high ownership concentration of listed companies. Given the prevailing corporate group structures in the country, a considerable number of shares are held by subsidiary companies. To address this issue, the SEC could pursue efforts to address concerns about cross-shareholding structures for publicly listed companies.

Currently, the PSE faces conflicts of interest between its commercial and regulatory objectives. While the PSE established the CMIC to partially separate its regulatory functions, it retains critical functions such as ensuring compliance with disclosure requirements and approving listings. In contrast, many exchanges have adopted models that allow for an independent entity dedicated solely to regulatory oversight to ensure impartiality in market oversight. A full separation of the regulatory and commercial functions of the PSE would improve regulatory independence. One approach could be integrating the regulatory departments into CMIC. This would transform the CMIC into a subsidiary responsible for comprehensive supervisory functions, thereby enhancing market integrity and investor confidence.

Importantly, the SEC plays a central role as the primary regulator of the capital market, yet its effectiveness is challenged by its broad set of responsibilities. One issue is its additional role as the national company registry, overseeing over 600 000 registered companies. This dual mandate has stretched the SEC's resources and limited its capacity to effectively supervise and promote capital market development. Assessing the feasibility of transferring responsibility for company registration to a separate entity could be beneficial and is commonplace in many jurisdictions. In addition, the authorities should consider allocating more resources to strengthen its currently constrained supervisory capacity, potentially allowing it to retain fees from its supervisory activities. This might be particularly needed with a potential separation of the company registry to ensure the viability of current supervisory operations that are funded through income from the registry.

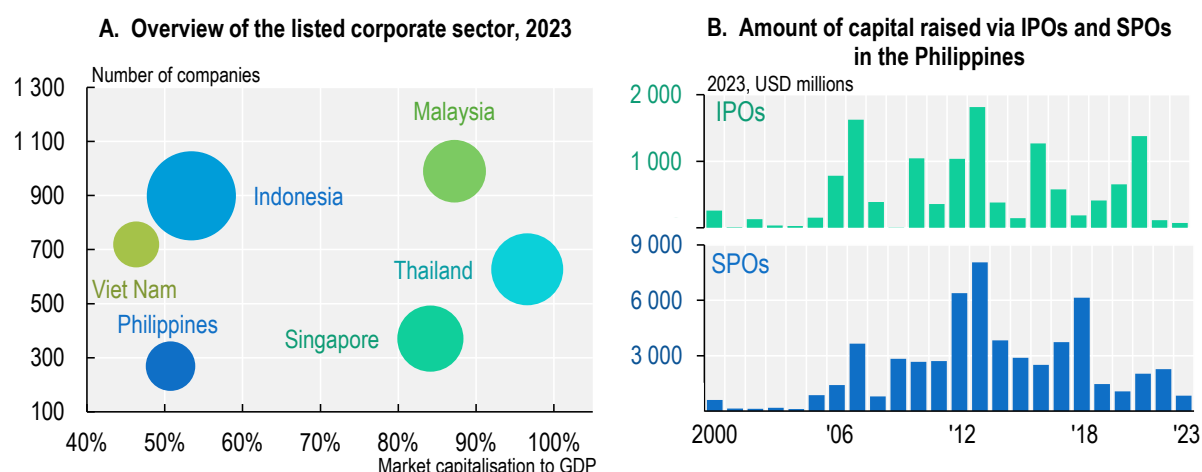
Effective co-ordination among stakeholders in capital markets and strong government commitment to market development are crucial. Authorities should prioritise strengthening the CMDC and enhancing co-ordination efficiency among stakeholders. While implementation of reforms needs to be supported by participating members, a clearer mandate and resources to produce project deliverables could incentivise change. The CMDC could serve as a platform for connecting stakeholders and advancing initiatives for capital market development, supported by clear targets and indicators to track progress.

1.3. Facilitating access to the public equity market and increasing its attractiveness

Access to public equity markets is essential for innovative companies that need financing and for the efficient allocation of resources in the economy. Despite favourable macroeconomic conditions and strong economic growth over the last decade, the Philippine stock market has remained relatively small. At the start of 2024, the PSE had 269 listed companies on the Main Board and SME Board with a total market capitalisation of USD 234 billion, equivalent to 52% of the country's GDP (Figure 1.7, Panel A). Compared to peer countries, the Philippines has the lowest number of listed companies and ranks second to last in terms of market capitalisation as a share of GDP.

Additionally, the amount of capital raised through initial and secondary public offerings remains low compared to regional peers. Since 2000, 95 Philippine companies have collectively raised almost USD 13 billion through initial public offering (IPOs) (Figure 1.7, Panel B). This is significantly lower than the least active market among peers, Viet Nam, where 584 companies raised USD 36 billion. Between 2000 and 2023, the capital raised through IPOs in the Philippines represented only 0.2% of GDP, much lower than in all other peer countries except Indonesia.

Figure 1.7. Public equity market overview



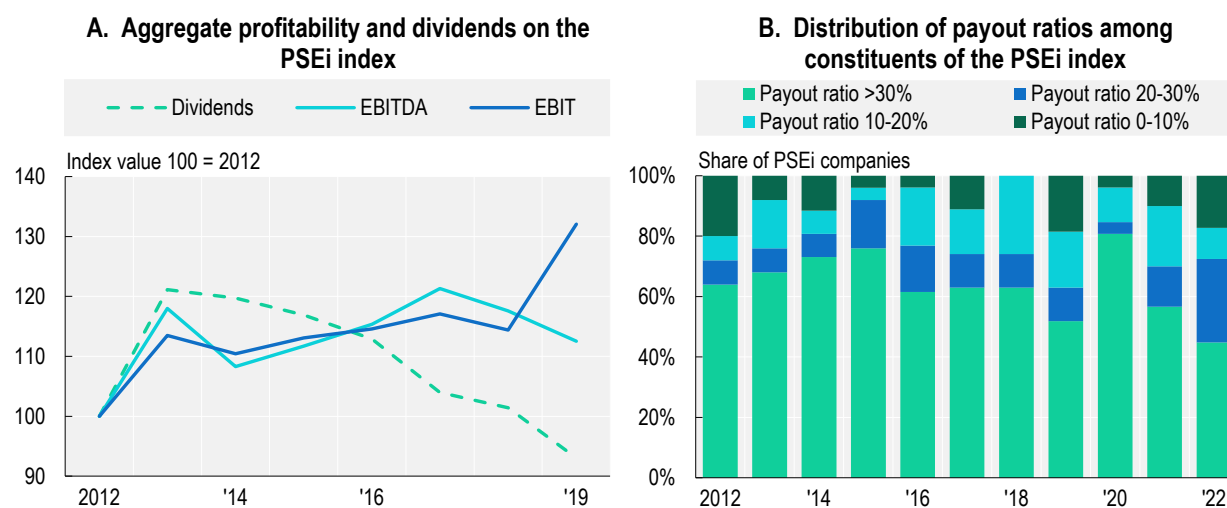
Source: OECD Capital Market Series dataset, LSEG, FactSet, Bloomberg; IMF (2024^[40]), World Economic Outlook Data: April 2024 Edition, <https://www.imf.org/en/Publications/WEO/weo-database/2024/April>; see Annex for details.

Part of the reason for this low activity may be the family-dominated structure of the economy whereby owners are reluctant to bring in external investors. During consultations for this report, market participants noted that current owners perceive the additional requirement for transparency and outside oversight as negatively impacting their autonomy and how they govern their firms. The prevalence of the conglomerate structure in the economy may also limit the incentives to go public, as these company groups can quite easily funnel capital internally. Many of these groups also own banks that provide cheap and flexible funding. Moreover, market participants noted that these conglomerates also tend to quickly dominate potentially fast-growing sectors that would generally be prime candidates for seeking external financing to propel their growth. There is therefore room for improvement to ensure that companies of all sizes can access public equity markets.

1.3.1. Shareholder returns

The returns offered to investors in the Philippine stock market have not been very attractive. Meanwhile, the main index is largely dominated by a small number of conglomerates whose profits have tended to grow faster than the country's GDP (6-7%). As shown in Figure 1.8, Panel A, during the period of strong growth up until the COVID-19 pandemic, dividends on the PSEi did not track increasing profits. These conglomerates, along with much of the Philippine economy, remain family-dominated with external shareholders generally playing a negligible role in decision-making. Keeping profits within groups to fund new expansions and investments seems to be the norm, according to OECD consultations. The Philippine stock market is dominated by large mature companies in banking, real estate and consumer goods, which are traditionally more likely to attract investors through dividends and reliable payout ratios. However, dividend yields have been low and payout ratios are declining (Panel B). During the 2010-22 period, a substantial share of the largest Philippine firms had limited payout ratios, with more than half paying out less than 30% in 2022. Tangible returns, transparency and the possibility to question capital allocation policies are needed to make Philippine firms attractive assets for outside shareholders.

Figure 1.8. Dividends on the PSEi companies



Note: Panel A shows earnings before interest, taxes, depreciation and amortisation (EBITDA), earnings before interest and taxes (EBIT) and dividends paid to shareholders for the PSEi constituents. Companies included are based on the list of current constituents. All numbers have been adjusted by CPI. For Panel B, negative payout ratios have been excluded.

Source: OECD Capital Market Series dataset; IMF (2024^[40]) World Economic Outlook Database, <https://www.imf.org/en/Publications/WEO/weo-database/2024/April>.

The Corporation Code of the Philippines states that companies are prohibited from retaining profits above 100% of the paid-in common equity. However, according to the Code, the board can avoid paying out dividends if justified by “definite corporate expansion projects or program approved by the board of directors”. Moreover, a board with a 2/3 shareholder majority has a large degree of discretionary power to invest funds in any other corporation, business or “any other purpose” (Congress of the Philippines, 2019^[41]). This potentially leaves considerable room for keeping profits within the company or group. While giving a shareholder majority flexibility in how to allocate capital is not uncommon, given the prevalence of company groups with strong shareholders whose main objective might not be returning value to shareholders through direct payouts, this might discourage outside investors.

Limited payout ratios are not uncommon globally but have been met by a range of policies to impose or encourage changes. For example, Brazil, Chile, Colombia, Greece and Venezuela have regulated the minimum share of annual profits that needs to be distributed, with payout ratios ranging from 25% to 50%. In Chile, the results suggest that this policy has been effective in protecting minority shareholder rights to cash flows without negatively affecting companies’ investment plans.

In Asia, there has been a long tradition in many markets for firms to keep profits within groups. However, China, Korea and Japan have recently implemented reforms to improve stock market performance, mainly by increasing shareholder returns. In 2023, China’s state asset regulator changed the assessment criteria used to measure SOE performance and SOEs started to be evaluated on return-on-equity (ROE) instead of net profits. Moreover, in early 2024, it said it would push companies to pay dividends several times a year. Korea released a plan in early 2024 to incentivise companies to focus on shareholder value and engage with investors to communicate targets for payout ratios and ROE, among other measures. Since the early 2010s, Japan has embarked on a sustained effort to untangle complicated cross-shareholdings and conglomerate structures and improve corporate governance practices. The recent stock market rally has been partly attributed to the success of these reforms, attracting high profile international investors (Fidelity International, 2024^[42]).

1.3.2. Listing process and requirements

Public equity offerings in the Philippines are perceived by market participants to involve a lengthy process. According to the SRC, securities public offerings must be registered with the SEC, with the exception of securities issued by the government and debt securities issued by banks. The SEC must declare a registration statement effective or reject it within 45 days of filing (SEC, 2001^[29]). Until recently, the timeline could be extended each time the SEC issued a Letter of Comments, with a new 45-day review period beginning upon receipt of the applicant's response. This process frequently resulted in significant delays (IMF, 2019^[36]). As stock market conditions are highly sensitive to timing, delays in the listing process may discourage companies from pursuing an IPO. Lengthy review periods can cause companies to miss optimal market windows, potentially affecting their valuation and investor interest.

In early 2024, the SEC issued a new regulation providing internal guidelines for a strict 45-day registration process. The new guidelines state that the review period commences upon payment of the registration fee without the possibility of a renewal of the 45-day review period upon receipt of the applicant's response to the SEC's Letter of Comments. The SEC notes that the average processing time for the registration of statements following these changes is around 36 days. During consultations, market participants did not necessarily perceive the changes as an improvement. They noted that whereas IPO applicants previously had a single point of contact at the SEC, they now have to interact with five different divisions and obtain their separate approvals before being able to send their registration application. This usually takes at least two weeks, meaning the overall process is not necessarily faster and might increase applicants' administrative burden. However, this is a new process, and more time may be needed before a clearcut assessment can be made.

As there is significant overlap between the requirements of the SEC and the PSE for listing and registration, co-ordination could be improved. Both the PSE and the SEC conduct a thorough review of all listing application documents, which requires filing the application simultaneously with the PSE and the SEC. On top of disclosures, the PSE also has suitability requirements that can disqualify a company from listing under specific conditions. During consultations, stakeholders highlighted the fact that the PSE usually takes 20 days to revert with comments and often requires applicants to update their application a few times. Sometimes these comments also require material changes to the prospectus already filed with the SEC, thus requiring an updated version to be submitted. Moreover, while the SEC meets twice every week, the PSE meets once a month, increasing risks of delays.

Regulators and stock exchanges in other ASEAN jurisdictions have collaborated to expedite the IPO approval process aiming to provide greater clarity and incentivise more companies to pursue public listings. For instance, in 2024, the Securities Commission Malaysia and Bursa Malaysia jointly committed to a three-month IPO approval period (SC Malaysia, 2024^[43]). In Singapore, companies submit their IPO application through SGX, which liaises with the Monetary Authority of Singapore (MAS) for regulatory reviews. A single filing platform avoids multiple filings to different authorities and allows for standardised filing requirements.

While listing requirements are critical to maintaining market integrity and fostering investor confidence, it is equally important that they are structured in a balanced manner that does not discourage companies from entering the public equity market. One such requirement is profitability. The Philippines requires companies to be profitable to be listed on the Main Board, while several other ASEAN jurisdictions offer more flexibility. As shown in Table 1.3, Indonesia, Malaysia and Singapore allow unprofitable companies to list if they meet alternative criteria, such as certain market capitalisation thresholds or cash flow requirements. For example, companies wishing to list on the SGX must meet one of three criteria. One criterion allows companies with a certain market capitalisation and turnover to be eligible for listing even if they are not yet profitable. This flexibility allows for the inclusion of high-growth companies that are not currently profitable but have significant growth potential.

Table 1.3. Key listing requirements of main equity markets

Market	Minimum capital requirement	Prerequisite of profitability	Minimum free-float	Operating history	Minimum number of base shareholders
Philippines	PHP 500 million (USD 9 million)	i) Cumulative net income of PHP 75 million (USD 1.4 million) for last 3 years ii) Minimum net income of PHP 50 million (USD 0.9 million) for the most recent year	20% - 33%	3 years	1 000
Indonesia	IDR 100 billion (USD 7 million)	No if other requirements are met such as total assets and cumulative cash flow	10% - 20%	3 years	1 000
Malaysia	MYR 500 million (USD 110 million)	No if other requirements are met such as market capitalisation	25%	3 years	1 000
Singapore	SGD 150 million (USD 111 million)	No if other requirements are met such as market capitalisation and sales	25%	3 years	500
Thailand	THB 300 million (USD 9 million)	i) Cumulative net income of THB 50 million (USD 1.5 million) for last 3 years ii) Minimum net income of THB 30 million (USD 0.9 million) for the most recent year	20%-25%	3 years	1 000
Viet Nam	VND 30 billion (USD 1.3 million)	Minimum return on equity 5% Profitable for two preceding years	10% - 15%	2 years	100

Note: For Viet Nam the requirements refer to the Hanoi Stock Exchange.

Source: PSE (2024^[6]), Main Board - IPO Listing Requirements, <https://www.pse.com.ph/ipo-listing-requirements/#listing1>; IDX, (2024^[7]), Stocks, <https://www.idx.co.id/en/products/stocks/>; SGX (2024^[8]), Mainboard, <https://www.sgx.com/securities/mainboard>; Bursa Malaysia, (2024^[9]), Listing Criteria, <https://www.bursamalaysia.com/listing/get-listed/listing-criteria>; SET, (2022^[10]), Common Shares Listing Admission, https://media.set.or.th/set/Documents/2022/Jul/Common_Shares_Listing_Admission.pdf; SSC (2020^[41]) Decree No. 155/2020/ND-CP, <https://lawnet.vn/en/vb/Decree-155-2020-ND-CP-elaboration-of-some-Articles-of-the-Law-on-Securities-76571.html>.

An idiosyncratic feature in the Philippine listing process that might create uncertainty is that underwriters must allocate at least 20% of the IPO to PSE trading participants and 10% to local retail investors (PSE, 2023^[44]). These requirements can lead to inefficiencies when brokers or retail investors are unable to fully subscribe their allocated shares, leaving investment banks with unsold shares. The PSE reported in 2021 that retail investors only subscribed to 1.4% of shares, much lower than the 10% assigned (PSE, 2021^[45]). However, more recently, the PSE notes that through the use of the PSE Easy application, the retail allocation has generally been well-subscribed. In addition to the financial implications for underwriters, allocations not fully subscribed could negatively affect the share price and reduce the liquidity of the stock if the underwriter has to hold on to a large block of IPO shares.

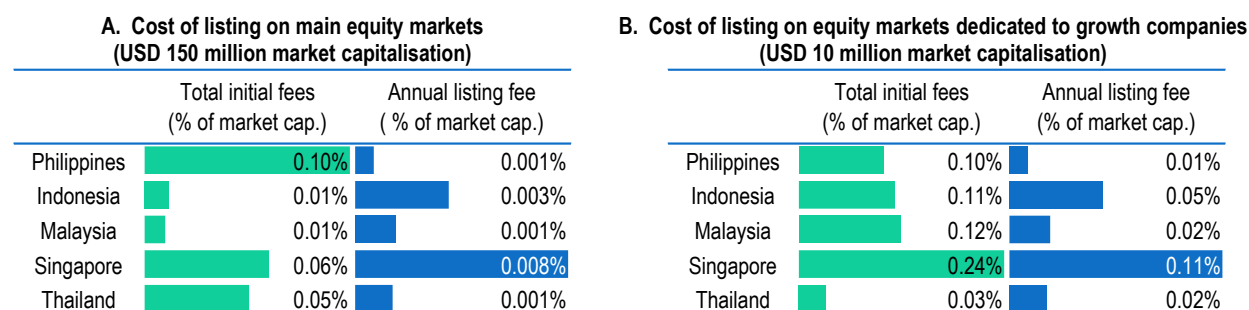
1.3.3. Cost of listing

For companies deciding on different alternatives to raise capital, the fees associated with listing can represent a significant cost and constitute a barrier to going public – particularly for smaller companies. Among the various costs, stock exchange fees typically include one-off initial listing fees and annual fees.

The fees charged by the PSE depend on the size of the IPO (see Section 3.1). As the comparison with peer countries' exchanges shows (Figure 1.9), the initial listing fee is relatively high on the Philippine main market for a USD 150 million (~PHP 8.3 billion) IPO but is in line with most peers for a small USD 10 million (~PHP 556 million) IPO on the SME Board. Notably, the initial fee in the Philippine Main Board does not

have a maximum, whereas in markets like Indonesia, Malaysia and Singapore the initial fee has a minimum and maximum amount. However, the PSE listing fees make up a limited amount of the total cost of an IPO.

Figure 1.9. Cost of listing on local stock exchanges



Note: The total initial fees indicated consist of processing, registration and initial listing fees where relevant, and are for the first year of listing. The assumed issue amount corresponds to 100% of equity.

Source: PSE (2024^[6]), Main Board - IPO Listing Requirements, <https://www.pse.com.ph/ipo-listing-requirements/#listing1>; PSE (2024^[46]), SME Board – IPO Listing Requirements, <https://www.pse.com.ph/ipo-listing-requirements/#listing2>; Bursa Malaysia (2024^[47]), Listing on Bursa Malaysia, Cost of Listing, https://www.bursamalaysia.com/listing/get_listed/cost_of_listing; SET (2024^[48]), Listing Fees and Taxes, <https://www.set.or.th/en/listing/equities/fees-and-taxes>; SGX (2024^[8]), Mainboard, <https://www.sgx.com/securities/mainboard>; SGX (2024^[49]), Catalyst, <https://www.sgx.com/securities/catalist>; IDX (2024^[7]), Stocks, <https://www.idx.co.id/en/products/stocks/>.

In the IPO process, the highest direct costs correspond to underwriting fees, legal fees and post-listing costs. Total fees are estimated by the PSE to be 5-6% of the amount issued. This is considered to be high by issuers compared to other forms of financing but is not out of line compared to other economies. Post-listing costs include the need for investor relations staff and increased compliance requirements. As certain fees are fixed, they can represent a barrier, especially for smaller companies seeking to access public equity markets. To address this, some countries in Asia provide government financial support for smaller companies to cover some of these costs. For example, in Malaysia companies listed on the growth market and technology-based companies listed on the main market can benefit from a tax deduction of listing costs of up to RM 1.5 million (~USD 325 K) until 2025 (EY, 2023^[50]). The Singapore Stock Exchange (SGX) offers listing grants for companies listed on the main and growth company segments. Companies can receive a grant covering 70% of their eligible expenses – such as underwriting, placement, audit, legal, valuation and listing fees – up to a cap of SGD 2 million (~USD 1.4 million) for companies with a market capitalisation above SGD 1 billion, while grants for those with a market capitalisation below SGD 1 billion are capped at SGD 1 million. Additionally, there is a grant covering 70% of fundraising expenses for SPOs, with the cap varying based on the timing of the SPO following the initial listing (MAS, 2021^[51]).

Taxes related to the issuance and transfer of shares can also impact the attractiveness of a public listing. The issuance and transfer of shares are subject to a documentary stamp duty tax (DST). This tax is the highest among peer countries, some of which exempt listed shares from it altogether. For the original issue of a stock in the Philippines, the tax is 1% of the amount issued. The transfer of listed shares traded on the PSE is exempt from documentary stamp duty tax, while the transfer of unlisted shares incurs a stamp duty amounting to 0.75% of the par value of the shares sold (Section 3.4). In peer countries this rate varies from 0% in Viet Nam to 0.2% of the purchase price or net asset value in Singapore (PWC, 2023^[52]; Acca Global, 2017^[53]; ASEAN Briefing, 2023^[54]; VDB-Loi, 2021^[55]). In Indonesia there is instead a minimum fixed tax amount for the issuance and transfer of equity and debt instruments (ASEAN Briefing, 2021^[56]).

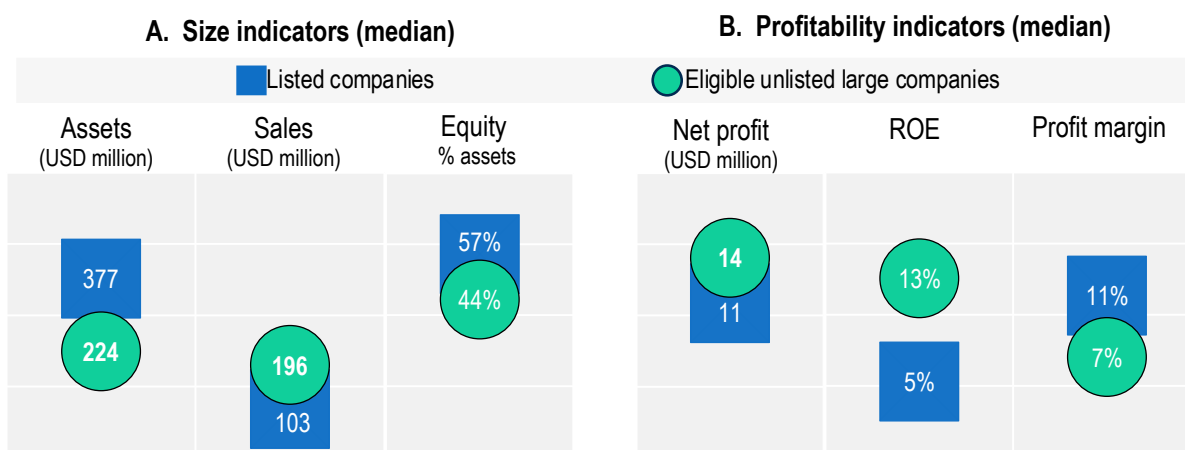
1.3.4. Potential IPO candidates

In the Philippines, public equity markets could be expanded by bringing more companies to the market. Currently, there are many IPO candidates within the universe of large unlisted companies and among state-owned enterprises (SOEs).

An analysis of the current universe of companies in the Philippines suggests that in 2021, there were 411 large unlisted non-financial companies (with assets above PHP 5.6 billion or USD 100 million). The minimum criteria for listing on the Main Board of the PSE is to have shareholders' equity or an anticipated market capitalisation of at least PHP 500 million (~USD 9 million), a free-float of at least 20%, a minimum net income of PHP 50 million (~USD 0.9 million) for the most recent fiscal year and a minimum of three years of financial reporting. Using the shareholders' equity reported on the balance sheet as a proxy for anticipated market capitalisation and the minimum net income criteria, 55% of the large unlisted companies in the Philippines are eligible for listing. Moreover, the average company age in this category is 25 years, meaning that many are mature firms. In 2021, the median asset size of these companies was PHP 11.4 billion (~USD 224 million), their median sales were PHP 9.9 billion (~USD 196 million) and their median return on equity was 13% (Figure 1.10).

Aside from fulfilling the minimum criteria, many large unlisted companies outperform the currently listed ones both in terms of size and profitability. Large unlisted companies have slightly lower median assets but higher median sales and higher leverage (Panel A). Median profitability, measured by net profit and ROE, is higher for unlisted companies compared to listed companies (Panel B).

Figure 1.10. Financial indicators for listed and large unlisted companies in the Philippines (2021)



Source: OECD Capital Market Series dataset, LSEG, FactSet, Bloomberg, OECD-ORBIS Corporate Finance dataset; see Annex for details.

Many state-owned enterprises in the Philippines have the potential to become listed. The listing of state-owned enterprises (SOEs) has significantly contributed to the growth and dynamism of capital markets worldwide. Over the last decade, an increasing number of SOEs in Asia have been listed on regional stock exchanges to enhance their productivity, efficiency and competitiveness (Silva and Nerlich, 2021^[57]). At the start of 2024, 76% of the state-controlled companies across the world were listed on Asian stock exchanges. In ASEAN countries state-controlled companies account for almost a third of the region's market capitalisation.

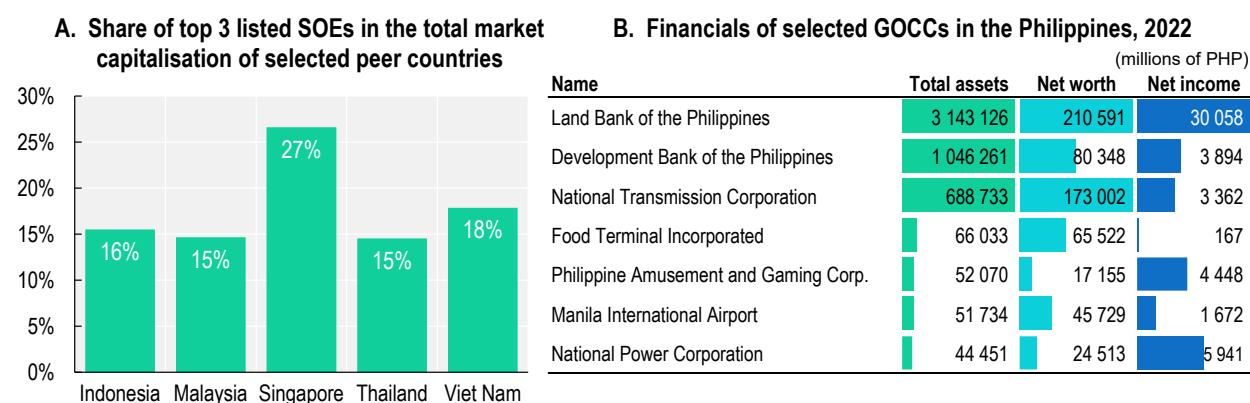
Currently, there are no SOEs listed on the PSE, which contrasts with a number of peer countries where SOEs make up a substantial share of market capitalisation. The most notable example is Singapore, where the top three listed SOEs – DBS Group Holding, Singapore Telecommunications and Singapore Airlines –

account for 27% of total market capitalisation (Figure 1.11, Panel A). Similarly, the top three listed SOEs in Malaysia, Indonesia, Thailand and Viet Nam each represent 15%-18% of the domestic stock exchanges' market capitalisation. These listed SOEs include banks, telecommunication companies, airports, and gas and petroleum production companies.

Several of these countries have taken steps to expand capital markets by listing SOEs. For example, the Indonesian Stock Exchange is co-operating with the Ministry of State-Owned Enterprises to support the development of the local capital market and accelerate its use by SOEs (IDX, 2023^[58]). This co-operation focuses on education and assistance for going public, as well as the issuance of other capital market instruments for SOEs and their subsidiaries. Similarly, in Viet Nam the government aims to have at least 25 SOEs with a market capitalisation of over USD 1 billion on the stock exchange by 2025, with 10 having a market capitalisation of over USD 5 billion (Hanoi Times, 2022^[59]).

In the Philippines, public equity markets could be expanded by listing minority stakes of financially significant SOEs. At the start of 2023, there were 118 government owned or controlled corporations (GOCCs) in the Philippines with total assets amounting to PHP 11.6 trillion (~USD 230 billion). Among these companies two banks stand out in terms of total assets, net worth and income as potential candidates for a stock market listing: *Land Bank of the Philippines* with total assets of PHP 3.1 trillion (~USD 61.5 billion) and *Development Bank of the Philippines* with total assets of PHP 1 trillion (~USD 20 billion) (Figure 1.11, Panel B). Other potential candidates for a partial listing are shown on Panel B. However, some of these SOEs are chartered institutions and a legislative amendment may be required in order to incorporate and restructure them for listing. Listings should also be preceded by reforms aimed at enhancing the performance, governance and management of SOEs to increase and preserve their commercial viability and competitiveness, in line with the *OECD Guidelines on Corporate Governance of State-Owned Enterprises*.

Figure 1.11. Listed SOEs in selected ASEAN countries and GOCCs in the Philippines



Note: GOCCs refer to government owned or controlled corporations. Net worth in Panel B represents the difference between total assets and total liabilities.

Source: GCG (2023^[60]), 2022 GCG Annual Report, <https://gcg.gov.ph/files/KMvhiF0hwOysqPcrHGG3.pdf>; OECD Capital Market Series dataset, FactSet, LSEG, Bloomberg; see Annex for details.

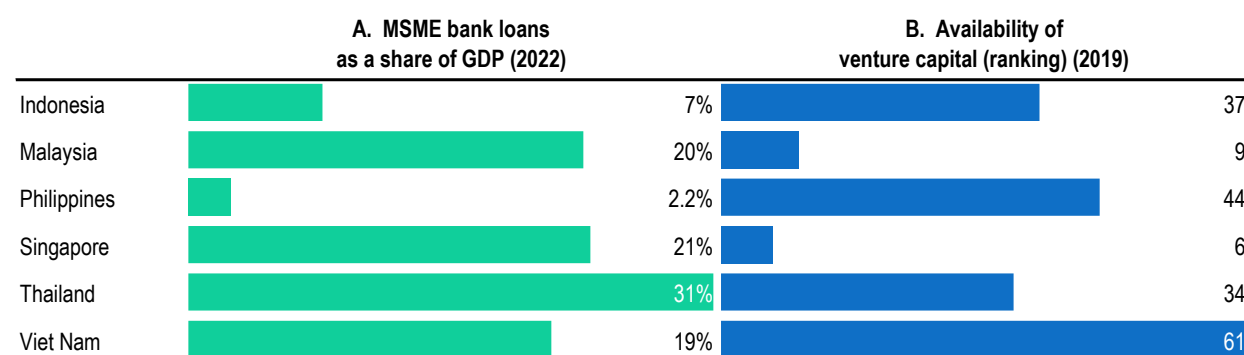
1.3.5. Equity markets for smaller companies

Smaller companies often face significant challenges when accessing bank financing due to the lack of tangible collateral and a proven track record. Lack of access to financing remains a significant barrier to the further development and sustainability of SMEs in the Philippines (BSP, 2020^[61]). Most companies (90.5%) are micro companies, and very few become medium (0.4%) or large (0.4%) sized. It is estimated that 107 043 MSMEs lack access to external financing (IFC, 2018^[62]). In 2022, bank loans to MSMEs

represented 4.3% of total bank loans, equal to only 2.2% of GDP (Figure 1.12, Panel A). Most SME financing in the Philippines comes from internal sources. Importantly, 42% of small enterprises and 33% of medium-sized enterprises are financially constrained (Flaminiano, 2021^[63]; Aldaba, 2013^[64]).

Equity financing could play an important role in providing long-term and risk-willing financing to SMEs. Private equity (PE) and venture capital (VC) play a crucial role in helping SMEs expand and achieve a scale suitable for market-based financing. However, PE and VC are still nascent in the Philippines, thus offering limited financing options for smaller companies. The Philippines ranks 44th globally in terms of availability of venture capital, second to last among peer countries and just ahead of Viet Nam (Figure 1.12, Panel B).

Figure 1.12. Financing options for smaller companies

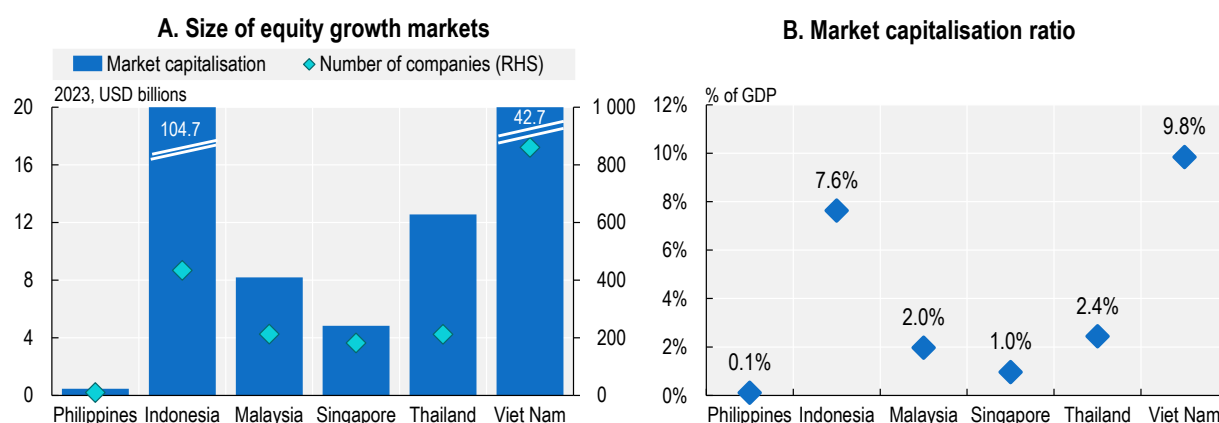


Source: IMF (2024^[40]), World Economic Outlook Data: April 2024 Edition, <https://www.imf.org/en/Publications/WEO/weo-database/2024/April>; World Bank (2023^[3]), WEF Global Competitiveness Index 4.0, <https://prosperitydata360.worldbank.org/en/dataset/WEF+GC>; ADB (2023^[65]), Asia Small and Medium-Sized Enterprise Monitor 2023, <https://www.adb.org/sites/default/files/publication/919641/asia-sme-monitor-2023.pdf>.

Many stock exchanges worldwide, including the PSE, have established dedicated markets for growth companies. In Asia, there are currently 28 equity segments for growth companies on 23 stock exchange across 17 jurisdictions. To facilitate access to public equity markets for growth companies, the PSE introduced the SME Board in 2013.

By the end of 2023, the SME Board hosted only 10 companies with a total market capitalisation of PHP 27 billion (~USD 460 million), which is significantly lower than peer countries (Figure 1.13, Panel A). In terms of market capitalisation, the size of the SME Board in the Philippines is less than one-tenth of Singapore's growth market, the smallest of the peer countries. It also has far fewer companies. As a share of GDP, the Philippine SME Board accounts for just 0.1%, markedly lower than peers (Panel B). While the structure and dynamism of an economy strongly impacts the demand for financing among SMEs, the stark difference relative to peers suggests significant potential for growth and increased participation of SMEs in the public equity market.

Figure 1.13. Equity markets dedicated to growth companies, 2023



Note: For Indonesia, the growth market refers to the Acceleration and Development segments on the Indonesia Stock Exchange, and for Malaysia, it refers to the ACE and LEAP segments on Bursa Malaysia.

Source: OECD Capital Market Series dataset, LSEG, FactSet, Bloomberg, see Annex for details.

Smaller firms are at a disadvantage compared to larger firms when seeking access to market-based financing. They have less ability to shoulder the large, fixed costs associated with a listing and have less resources to deploy for meeting listing criteria and disclosure requirements. Flexibility and proportionality in regulatory requirements could therefore play a crucial role in facilitating their access to market-based finance. The primary objective for regulators of incorporating flexibility and proportionality into the regulatory framework is to accommodate access to public financing for firms at different stages of development. The G20/OECD Principles of Corporate Governance recognise the importance of applying flexibility and proportionality with respect to a range of factors, such as firm size, ownership and control structure, geographical presence, sectors of activity and stage of development of the company (OECD, 2023^[66]). The SEC's Code of Corporate Governance aligns with the Principles by making it clear that it does not prescribe a one size fits all framework and allow boards some flexibility in establishing their corporate governance arrangements (SEC, 2019^[67]).

The Philippine SME Board allows companies to have a shorter operating history, a lower minimum number of target shareholders and lower financial performance compared to the Main Board (Table 1.4). However, the listing requirements in the SME Board are more stringent compared to peer markets. The SME Board requires a minimum EBITDA of PHP 15 million (~USD 0.3 million) for the previous three financial years to be listed while similar markets in Indonesia, Malaysia, Singapore and Viet Nam do not require companies to be profitable to be listed. Companies seeking to list on the Philippine SME Board also need to have a minimum operating history of two years - the longest among peer countries - and a minimum free-float level similar to that in the Main Board. Equity markets for growth companies in other jurisdictions have lower free-float requirements compared to the main markets.

Companies seeking to list on growth markets in the Philippines and peer countries are required to submit a prospectus or offering document, in addition to meeting the above-mentioned listing requirements. Philippine companies also need to submit audited business plans with projections for the next five years. The preparation of a prospectus can be overwhelming and costly for smaller companies. To address this, the Philippines, Singapore and Thailand exempt non-public offers made to qualified investors from the prospectus requirement (SEC, 2001^[29]; SEC Thailand, 2008^[68]; MAS, 2006^[69]). Outside Asia, the EU allows member states the flexibility to waive the prospectus requirement for smaller companies with an issuance below EUR 8 million to encourage their listings. Sixteen EU member states have opted to use this flexibility up to the highest threshold of EUR 8 million, while the rest use lower thresholds (ESMA, 2023^[70]).

Table 1.4. Key listing requirements of equity market dedicated to growth companies

Countries	Market	Minimum capital requirement	Profitability requirement	Minimum free-float	Operating history	Minimum number of base shareholders
Philippines	SME Board	PHP 25 million (USD 0.4 million)	i) Cumulative EBITDA PHP 15 million (USD 0.3 million) for 3 years ii) Cumulative operating revenues or minimum sales PHP 150 million (USD 2.7 million) for 3 years	20% - 33%	2 years	200
Indonesia	Development	i) IDR 100 billion (USD 6.1 million) ii) IDR 200 billion (USD 12.3 million) depending on profitability	i) Operating profit IDR 1 billion (USD 0.6 million) ii) Operating income IDR 40 billion (USD 2.5 million)	10% - 20%	1 year	500
Malaysia	ACE Market	Working capital for 12 months	No profitability requirement but a sponsor is needed to assess listing sustainability	25%	-	200
Singapore	Catalist	No quantitative entry criterion is required, but full sponsors decide if the listing applicant is suitable to be listed		15%	-	200
Thailand	Mai	THB 50 million (USD 1.5 million)	i) THB 10 million (USD 0.3 million) over the last year ii) Positive profit before the application	20%-25%	2 years	300
Viet Nam	UPCoM	VND 30 million (USD 1.2 million)	-	10%	-	100

Source: PSE (2024^[46]), SME Board – IPO Listing Requirements, <https://www.pse.com.ph/ipo-listing-requirements/#listing2>; Bursa Malaysia (2024^[71]) Rules, https://www.bursamalaysia.com/regulation/listing_requirements/leap_market/listing_requirements; IDX, (2024^[7]), Stocks, <https://www.idx.co.id/en/products/stocks/>; SGX (2024^[49]), Catalist, <https://www.sgx.com/securities/catalist>; SET (2024^[72]), Common Shares Listing Application, https://media.set.or.th/set/Documents/2022/Jul/Common_Shares_Listing_Admission.pdf; SSC (2020^[73]) Decree No. 155/2020/ND-CP, <https://lawnet.vn/en/vb/Decree-155-2020-ND-CP-elaboration-of-some-Articles-of-the-Law-on-Securities-76571.html>; SSC, (2019^[74]), Law on Securities, Article 32, <https://ssc.gov.vn/>.

The registration procedure for the SME Board is the same as for the Main Board in the Philippines. However, Singapore and Malaysia apply different registration procedures for their growth markets to streamline the IPO process for smaller companies. In Singapore, smaller companies listing on the Catalist market submit an offer document to the Singapore Stock Exchange rather than to the Monetary Authority of Singapore (MAS). The offer document, however, must comply with the same disclosure requirements as a full prospectus under the Securities and Futures Act and the Securities and Futures Regulations (MAS, 2024^[75]; SGX, 2024^[49]). Similarly, for initial public offerings on the ACE Market, Bursa Malaysia is responsible for the review and registration of the prospectus (SC Malaysia, 2021^[76]).

To facilitate the listing of smaller companies, the PSE introduced a sponsor system in 2013. Under this system, sponsors conduct a due diligence process to assess the financial condition and business viability of potential issuers and submit the certification to the PSE for approval. Sponsors provide support during the listing process, post-listing monitoring and advice on investor relations or disclosure. Sponsors can also benefit from their long-term relationship with sponsored companies through additional business opportunities. This has been the case in Singapore where the model has even created competition among sponsors (The Edge, 2020^[77]). In the Philippines, the equity market for growth companies does not seem to be attractive enough for potential sponsors. Moreover, to become an accredited sponsor, a filing fee of PHP 200 000 (~USD 3 600) and an accreditation fee of PHP 3.5 million (~USD 63 000) have to be paid, along with renewal fees (PSE, 2023^[78]). Furthermore, the PSE provides limited information on sponsors, in

contrast to the easily accessible lists of accredited sponsors available on the stock exchange websites in Singapore and Malaysia.

More recently, the PSE and SEC have introduced new programmes and tools to support growth companies' access to public equity. In 2021, with the support of the Capital Markets Development Council (CMDc), the PSE launched the Listing Engagement and Assistance Program (LEAP), partnering with investment banks and law and accounting firms to assist companies through the IPO process. By early 2024, the programme had 70 participants, a significant portion of which are SMEs (PSE, 2024^[79]; Foxmont Capital Partners & BCG, 2024^[80]). As part of the initiative, the PSE and S&P Global also inaugurated the first LEAP Insights session in 2023 to increase the financial awareness of companies. The sessions are designed to provide potential listing applicants with a preview of what it entails to be a publicly listed company (PSE, 2023^[81]). The SEC also actively promotes and educates on SME financing by engaging in roadshows and supporting crowdfunding platforms across regions.

During the consultations for this report, it was noted that two companies had successfully listed through the LEAP programme and that more focused efforts might be required to encourage firms to take the final steps to listing. One major issue is that smaller firms are hesitant to open their books to scrutiny. It was also noted that given the lack of perceived proportionality in requirements, many firms do not see the SME Board as attractive enough and instead either stay private or aim for the Main Board.

1.3.6. Recommendations

Summary

To facilitate access to public equity market, the Philippine authorities could consider:

- Implementing a minimum payout ratio along with guidelines and incentives for companies to communicate their plans for shareholder returns.
- Easing the Main Board listing requirement to allow companies with high growth potential to be listed even if they are not currently profitable.
- Committing to a three-month IPO approval process and potentially implementing a single submission platform for IPO applications.
- Simplifying the listing fee structure and introducing a maximum threshold on the initial listing fee.
- Lowering the stamp duty tax rate to increase the attractiveness of the Philippine equity market.
- Applying proportional requirements for the SME Board to make equity financing more accessible to SMEs, and implementing a simplified prospectus for issuances below a certain size for companies seeking to list on the SME Board of the PSE.
- Allowing more entities to play the role of sponsors and reducing costs for sponsors to help revitalise the equity market for growth companies.
- Creating a public-private initiative between the CMDc, SEC, GOCCs and PSE to establish a special programme for large unlisted companies and large SOEs to prepare and bring them to the stock market.

Equity financing is crucial for companies as it provides the patient capital necessary for businesses to grow. Moreover, it helps maintain a robust capital structure, enabling corporations to overcome economic downturns and unforeseen crises. Despite favourable macroeconomic conditions and strong economic growth in the Philippines, the public equity market has lacked dynamism and remains relatively small. A number of policy initiatives to facilitate access to the public equity market are outlined below.

The low payout ratios of many large mature Philippine firms suggest that there might be a need to incentivise companies to commit to clear payout policies. For the stock market to be attractive, investors must have clarity on their investment returns— and the returns must be globally competitive relative to similar firms. Given the high levels of profits of PSEi firms, a higher rate of return could potentially be achieved. An in-depth review could help design a payout policy suitable for the Philippine context. For instance, reforms based on either imposing a strict minimum payout or focusing more on incentives, such as in larger Asian economies, could serve as inspiration.

An analysis of listing requirements suggests that authorities could consider easing them further. For instance, currently, companies need to demonstrate profitability to be listed on the PSE, which is not the case for many other peer countries. A more flexible set of requirements could be implemented. This could include introducing multiple optional criteria regarding company performance to allow promising growth companies that are not yet profitable to list on the stock market.

The listing procedure could be streamlined. Currently, applicants are required to navigate between multiple departments within the SEC for their IPO application. Applicants must also submit similar documentation separately to both the SEC and the PSE. The PSE often extends its review timelines and may require documentation to be re-filed to the SEC, causing delays in the offering process. This situation underscores the need for improved communication and co-ordination between SEC and PSE officials on ongoing applications. The SEC and PSE could pursue a joint initiative to shorten the process. For example, they could commit to a three-month IPO approval period, which would provide companies with greater certainty and predictability encouraging more of them to consider going public. Alternatively, a single submission platform for IPO applications could effectively streamline the process, minimise duplication and reduce the administrative burden on applicants.

The fees associated with public equity markets can represent a barrier for companies, in particular for smaller companies. To address this issue, the PSE could contemplate establishing a maximum threshold on the initial listing fee. The Philippine government could consider providing financial support to assist companies for whom the IPO costs present a barrier to entering the public equity markets. This support could take the form of tax credits or grants. Taxes on equity issuances also impact the attractiveness of a public listing. Policy makers in the Philippines could consider reducing the stamp duty tax, non-existent in many peer markets, to enhance market competitiveness.

To boost the use of equity financing by SMEs, the stock exchange could also consider applying more flexible and proportional requirements to list on the SME Board, in line with other markets. The PSE should identify the barriers through dialogue with firms and set the listing and ongoing requirements at an appropriate level, taking into account the business uncertainty and potentially unstable cash flow that these companies face. For example, the PSE could consider removing the market capitalisation threshold and financial performance requirements for the SME Board. Moreover, this could be supplemented by requiring a simplified prospectus or offer document for issuances below a certain size.

In addition, the existing sponsor listing model could be improved to attract more companies and encourage sponsors to participate. The sponsor system has not been widely used possibly due to higher fees and lack of attractive companies seeking to list on the SME Board. Reducing the costs to become an accredited sponsor, such as filing and accreditation fees, may encourage greater sponsor participation. Brokers could potentially be brought in as sponsors. In addition, the currently limited information on accredited sponsors should be expanded through publication on the PSE website to increase their visibility to companies

seeking to go public. For example, relevant information about the sponsorship can be published on the webpage of the Listing Engagement and Assistance Program (LEAP).

Additionally, to encourage large unlisted companies to go public, the SEC, CMDC and PSE could create a programme for large unlisted companies to prepare them to join the stock market. While the LEAP initiative is promising, most companies in the programme are SMEs. A similar programme targeted to large unlisted companies – including grantees of local franchises of larger multinationals – could perhaps result in more listing and increase the attractiveness of the stock market. Financially significant state-owned enterprises (SOEs) could join this programme. Globally, and in Asia in particular, the listing of SOEs has significantly contributed to the growth and dynamism of capital markets. However, in the Philippines, there are no listed SOEs. Given their size, listing minority shares of these companies could stimulate the stock market and would offer SOEs an opportunity to improve their governance and their financial performance.

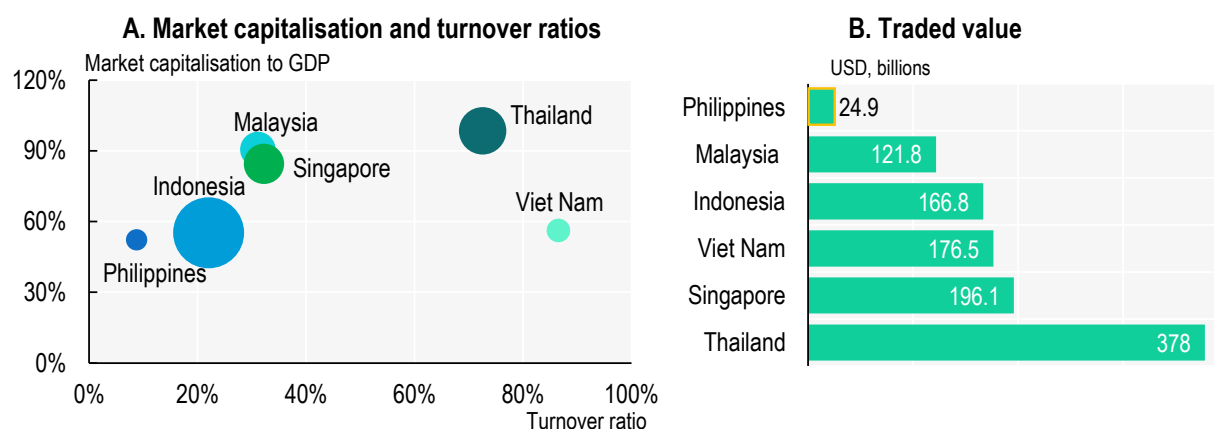
To facilitate the listing of SOEs, the Philippine Stock Exchange (PSE) and the Governance Commission for Government-Owned or Controlled Corporations (GOCCs) could initiate a collaboration. This partnership could prioritise initiatives aimed at preparing SOEs for joining public markets, by improving their corporate governance, financial management and operational efficiency, among others. These companies should adhere to the highest corporate governance standards, as set out in *the G20/OECD Principles of Corporate Governance*. Simultaneously, the government could continue implementing reforms in line with the *OECD Guidelines on Corporate Governance of State-Owned Enterprises*, aimed at enhancing the performance and management of SOEs to increase and preserve their commercial viability and competitiveness.

1.4. Increasing stock market liquidity

Secondary stock market liquidity is crucial to allow investors to enter and exit the market without having to accept major discounts to the fair market value. Liquidity also contributes to the price formation process and reduces price volatility. Therefore, lower liquidity risk can reduce the cost of raising capital for issuers. A liquid secondary market can therefore affect the activity in the primary market by encouraging companies to list and issue more equity.

In the Philippines, the equity market is small and illiquid compared to peer countries. In 2023, the market capitalisation-to-GDP ratio was 52% and the turnover ratio of the PSE was 8.8%, the lowest among peer countries (Figure 1.14, Panel A). The average turnover ratio for peer countries was 49%, ranging between 22% and 87%. In terms of the value of shares traded on the stock exchange, the Philippines also has the lowest figure among peer countries with only USD 24.9 billion worth of shares traded in 2023 (Panel B). The annual turnover ratio on the Main Board has been consistently low since 2010, averaging 14% between 2010 and 2023.

Figure 1.14. Size and liquidity in public equity markets, 2023



Note: In Panel A, the size of the bubble is proportional to each country's share in the combined market capitalisation of all six markets. Turnover ratio is computed as the annual traded value divided by market capitalisation.

Source: IMF (2024^[40]), World Economic Outlook Data: April 2024 Edition, <https://www.imf.org/en/Publications/WEO/weo-database/2024/April>; OECD Capital Market Series dataset; Websites of stock exchanges, see Annex for details.

1.4.1. Free-float levels

Lower trading volumes and turnover ratios are usually associated with low free-float levels, as a reduced number of shares is available for trading. In the Philippines, the prevalence of large conglomerates and family-owned businesses explains the high ownership concentration and low free-float. During OECD consultations, market participants noted this issue to be important for owners' reluctance to list and relinquish even limited control. Corporations hold 47% of equity in the country, and on average they own 52% of the equity in 70% of the listed companies (see Chapter 3). The dominant position of family-owned groups also reflects the limited willingness of owners to dilute their ownership, in spite of the potential upside in valuation resulting from increased investor interest (IMF, 2021^[82]).

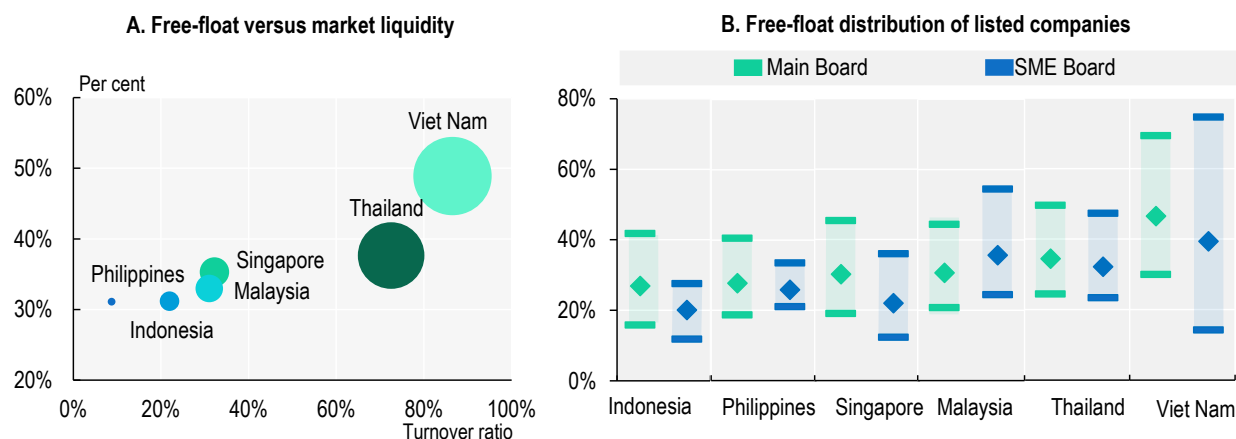
The Philippines has the lowest market free-float ratio and secondary market liquidity among peer countries (Figure 1.15, Panel A). Conversely, countries with higher free-float levels, such as Singapore, Thailand and Viet Nam, have more liquid stock markets. In 2023, half of the companies listed on the PSE Main Board had a free-float below 28%, while only one-quarter of companies had a free-float level above 40%, lower than all peers but Indonesia (Panel B). Like similar markets globally, companies listed on the SME Board have lower free-float levels compared to the main market.

While potentially discouraging IPOs, stock exchanges often require companies to have a minimum level of free-float to support liquidity in the market. In the case of the Philippines, the PSE requires a minimum 20-33% free-float for companies to become listed, applying a higher ratio to smaller firms and a lower ratio to large firms. In addition, after the listing, companies must always maintain a minimum free-float level of 10% (PSE, 2021^[83]). For example, in Viet Nam, the free-float requirement for listing is 15% and can be reduced to 10%, depending on the company market capitalisation (Viet Nam Business Law Blog, 2021^[84]). In Singapore, listed companies must maintain minimum 10% of free-float level after the listing, as in the Philippines (SGX, 2024^[85]).

Global index providers such as MSCI and S&P often use a free-float-adjusted market capitalisation to construct their indices with specific liquidity requirements for inclusion. The resulting low index weights for companies with a low free-float reduces demand from investors using benchmarking against indices. This both negatively affects liquidity and valuations (MSCI, 2022^[86]; S&P, 2020^[87]). Philippine companies constitute only 0.0%-0.7% of the *MSCI Emerging Asia*, *MSCI Emerging Markets* and *AC Asia Pacific* indices, respectively (Figure 1.16, Panel A), which is low relative to their share of ASEAN market

capitalisation (Panel B). While small size potentially could have an impact on index inclusion, the median size of listed companies in the Philippines is similar to those in markets such as Thailand and Singapore, and larger than those in Indonesia and Viet Nam (see Chapter 3).

Figure 1.15. Free-float levels and secondary stock market liquidity, 2023

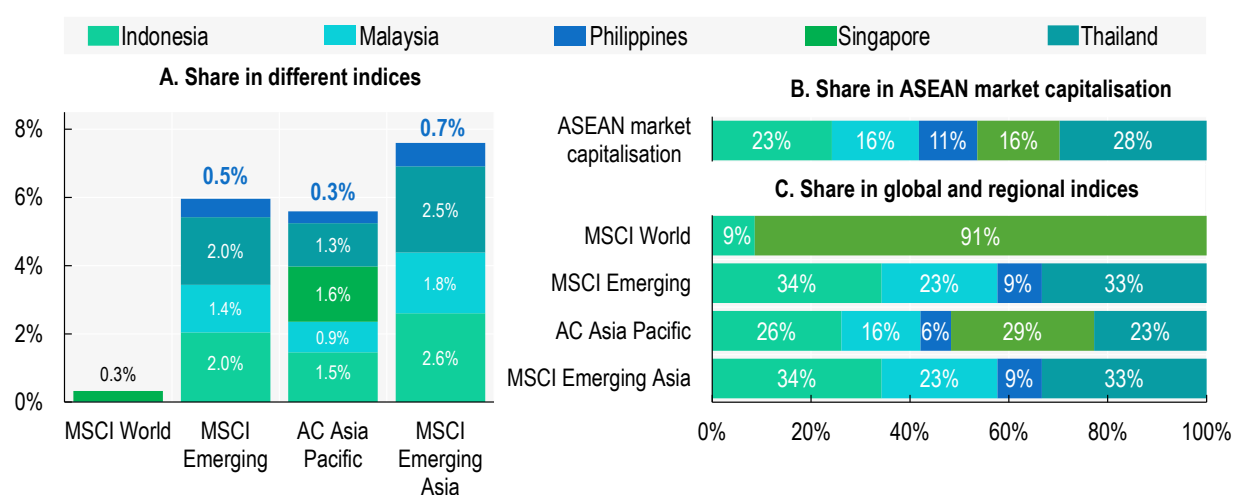


Note: In Panel A, free-float level represents the average across companies in each main market. The size of the bubble is proportional to each country's market liquidity, measured by the turnover ratio. In Panel B, lower and upper bounds show first and third quantiles of the free-float distribution of companies in each market. The middle corresponds to the median.

Source: OECD Capital Market Series dataset, LSEG, FactSet, Bloomberg; see Annex for details.

To incentivise companies to maintain a high free-float, stock exchanges often request a certain level above the minimum to be included in their own equity indices, ranging for example from 15% to 20% in Singapore, Thailand and the Philippines (LSEG, 2024^[88]; PSE, 2021^[89]; SET, 2023^[90]).

Figure 1.16. Index inclusion of companies from the Philippines and selected peer countries, 2022



Note: Panel A shows the total share of companies from different countries in each index. The share of Indonesian companies in Panel A for the MSCI World is 0.03% and is not visible. Panel B shows (bottom panel) the distribution of the companies included in each index and compares them with (top panel) the country's market capitalisation shares in ASEAN's total. The information on MSCI constituents is as of September 2023, REITS and investment funds are excluded from the indices.

Source: OECD Capital Market Series dataset, LSEG, MSCI; see Annex for details.

1.4.2. Cost of trading and taxes

The cost of trading may also affect market liquidity in the Philippines. The PSE charges 0.005% of the traded value from both the seller and buyer, plus a 12% VAT (Table 1.5). A clearing and settlement fee of 0.01% of the traded value is also paid by both parties of the transaction. In addition, the SEC collects the equivalent of 0.005% of the traded value from sellers and buyers. After the SEC removed the 1.5% minimum broker commission fee in April 2024, fees range between 0.05-1.5%² depending on the traded value with the addition of 12% VAT (PSE, 2008^[91]; PSE, 2024^[92]). The seller pays an additional transaction tax amounting to 0.6% of the value traded. In summary, the buyer of PHP 10 000 in stocks pays 0.3% of the transaction value in fees and taxes, while the seller pays 0.9%.

Table 1.5. PSE transaction costs for stock trading

Fees and taxes	Buy-side	Buying equity of PHP 10 000	Sell-side	Selling equity of PHP 10 000
PSE transaction fee	0.005% of the transaction value + 12% VAT	PHP 0.56	0.005% of the transaction value + 12% VAT	PHP 0.56
Clearing and settlement fee	0.01% of the transaction value	PHP 1	0.01% of the transaction value	PHP 1
Broker's commission	Between 0.05% - 1.5% of the transaction value + 12% VAT	PHP 28	Between 0.05% - 1.5% of the transaction value + 12% (VAT)	PHP 28
Fees to SEC	0.005% of the transaction value	PHP 0.50	0.005% of the transaction value	PHP 0.50
Stock transaction tax	-	-	0.6% of the transaction value	PHP 60
Cost as % of traded value		0.3%		0.9%

Note: The example assumes a broker's commission of 0.25% of the traded value. Fees to the SEC refer to "SRC fee" for the buyer and "SEC fee" for the seller.

Source: PSE, (2024^[92]), Investing at PSE, <https://www.pse.com.ph/investing-at-pse/>.

The fees paid to the stock exchange in the Philippines are on the lower range compared to peer countries (Table 1.6). Nonetheless, the Philippines and Thailand are the two jurisdictions where the regulator charges an additional fee. Contrary to other jurisdictions, the Philippines also charges a 0.6% transaction tax over the traded volume to the seller.

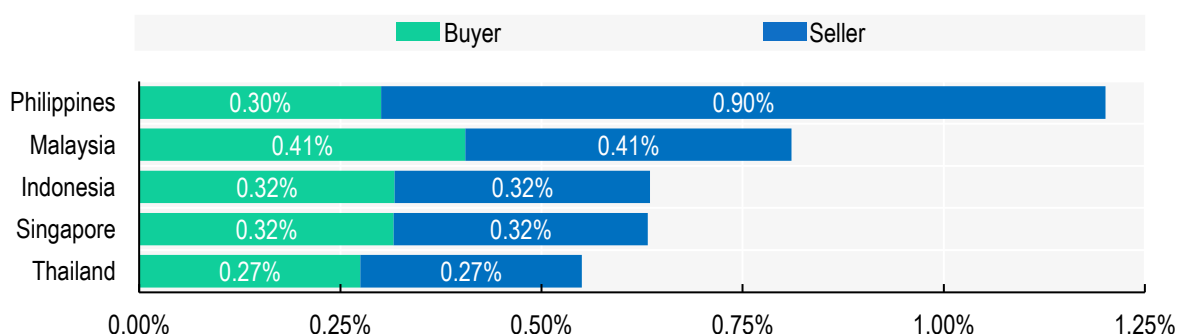
Table 1.6. Trading costs in the Philippines and selected peer countries

Countries	Stock exchange fees (of the traded value)	Securities regulator fees (of the traded value)	Financial transaction tax (of the traded value)
Philippines	0.005%	0.005%	0.6% (paid by the seller)
Indonesia	0.018%	No fees collected	No
Malaysia	0.0025%	No fees collected	No
Singapore	0.0075%	No fees collected	No
Thailand	0.005%	0.001%	No

Source: PSE (2024^[92]), Investing at PSE, <https://www.pse.com.ph/investing-at-pse/>; IDX (2024^[93]), Trading Hours and Mechanism, <https://www.idx.co.id/en/products-services/trading-hours-and-mechanism/>; SGX (2024^[94]), Trading, <https://www.sgx.com/securities/trading>; Bursa Malaysia (2024^[95]), Transaction Costs, https://www.bursamalaysia.com/trade/trading_resources/equities/transaction_costs; SET (2024^[96]), Taxation on Equities Investment, <https://www.set.or.th/th/market/information/tax>.

The overall trading cost in the Philippines is the highest among peers (Figure 1.17). Trading costs for buyers and sellers represent 1.2% of the total traded value, almost double the average of peer countries (0.66%). The fees collected from the buyers by the PSE (0.30%) are comparable to peer countries. However, on the sell side, the additional financial transaction tax of 0.6% significantly increases the cost of selling a stock compared to peer countries. This cost is three times higher than in Indonesia, Singapore and Thailand, and more than two times that of Malaysia. Importantly, there is no capital gains tax (CGT) on the selling of listed stocks in the Philippines, whereas in peer countries capital gains are subject to specific tax rates or are taxed as ordinary income (see Section 3.4). Transaction taxes are usually a simpler way of collecting taxes than CGT and may be preferable in countries where the resources and automation of the tax authority is limited.

Figure 1.17. The cost of trading in the Philippines and selected peer countries



Note: The calculation assumes buying/selling 1 000 shares in each stock exchange. The price of the share is taken as 10 units in the domestic currency of each country for simplicity. The broker's commission rate is 0.25% of transaction value for each country. The figure also includes taxes taken on goods and services and VAT where relevant. Capital gain taxes and other are not included.

Source: PSE (2024^[92]), Investing at PSE, <https://www.pse.com.ph/investing-at-pse/>; Bursa Malaysia (2024^[95]), Transaction Costs, https://www.bursamalaysia.com/trade/trading_resources/equities/transaction_costs; IDX (2024^[93]), Trading Hours and Mechanism, <https://www.idx.co.id/en/products-services/trading-hours-and-mechanism/>; SET (2024^[96]), Taxation on Equities Investment, <https://www.set.or.th/th/market/information/tax>; SGX (2024^[94]), Trading, <https://www.sgx.com/securities/trading>.

1.4.3. Research on companies

Market research increases the visibility of listed companies, provides fundamental information about their prospects and gives insights to investors for better decision-making. It can also provide outside investors with a third-party view on governance issues and provide easy access to comparable operating performance and payout policies of local and global peers. Market research on companies also contributes to efficient price discovery and therefore can have a positive impact on liquidity. In the Philippines, private institutions and brokerage firms conduct market research on companies targeting professional investors. The LSEG also prepares reports on each company, including companies listed on the SME Board, which are published on the PSE Equities Information Platform with limited access.

To support stock market liquidity, stock exchanges promote accessible company research. For instance, in 2022, Bursa Malaysia introduced Bursa Research Incentive Scheme with the objective of increasing research coverage. As of June 2024, more than 50 000 research reports on companies were publicly available on the stock exchange's website (Bursa Malaysia, 2024^[97]). The Monetary Authority of Singapore (MAS) provides support to research houses under the Grant for Equity Market Singapore scheme. Under the scheme, eligible research houses and financial institutions can be reimbursed up to SGD 4 000 (~USD 2 984) per equity research report, depending on the number of reports they produce in a year (MAS, 2021^[51]). These reports are also published on the Singapore Exchange website.

1.4.4. Market making mechanism

Market markets support a well-functioning equity market by providing liquidity at all times. In the Philippines, the market making role is undertaken by 121 brokers (PSE, 2024^[98]). However, these brokers match sellers and buyers, and do not trade on their own account or build inventories. According to market participants, only half of them are active. The general rules and requirements for trading participants on the PSE do not explicitly refer to market making activities (PSE, 2009^[99]).

Stock exchanges often provide incentives to market makers to compensate them for the risk they take in providing the market with liquidity. For instance, Singapore offers a clearing fee reduction for market makers and active traders based on their performance of quoting prices on certain stocks (SGX, 2024^[94]). In the Philippines, some privileges are given for market makers participating in the government securities market. In 2017, the Bureau of the Treasury launched the Enhanced Government Securities Eligible Dealers (GSED) programme, with the aim of promoting depth and liquidity in the Government Securities market (Bureau of the Treasury, 2023^[100]). Moreover, listed corporate bonds are required to have registered liquidity providers (see Chapter 3). Some jurisdictions, such as Croatia, have similar provisions for companies listed on the stock exchange (OECD, 2021^[101]). However, in the Philippine stock market, the current regulation does not provide any privileges or incentives for trading participants acting as market makers. The revised trading rules includes an article dedicated to market making, which is still pending final approval by the SEC, as of June 2024 (PSE, 2010^[102]).

1.4.5. Derivative market

The availability of derivative products improves stock market liquidity by providing better risk management opportunities for investors, enhancing the price discovery mechanism and reducing the cost of capital for firms (Jobst, 2008^[103]). Financial derivatives in the Philippines are currently offered by banks to their clients and regulated by the BSP. Derivative transactions take place mainly OTC, due to the lack of a public derivative market. In 2021 and 2024, the BSP issued regulations defining which financial derivatives a bank can engage in. According to these new rules, a universal or commercial bank can without the need of prior approval from BSP deal in FX forwards, FX swaps, interest rate swaps, forward rate agreements, interest rate and currency futures, and any financial derivative traded in an organised market where the bank is recognised as a dealing participant or member (BSP, 2021^[104]; BSP, 2024^[105]). The BSP has expressed its support for the development of an organised derivatives market. In 2023, the Bankers Association of the Philippines introduced the dollar-peso cross-currency swap (CCS) facility (BAP, 2023^[106]). The Philippine Dealing & Exchange Corporation (PDEX), the fixed income exchange, is also launching a bond forward programme.

Compared to peer countries, the Philippines is the only country without a public derivative market, which limits investors' ability to use derivatives for managing their risks. Although the current regulatory framework does not include provisions regarding the establishment of a marketplace for derivative transactions in the Philippines, there has been ongoing efforts by the PSE to experiment with different derivative products. For instance, in 2013, the PSE and SGX initiated a collaboration for the development of SGX-PSE MSCI Philippines index future, which was launched at the SGX (PSE, 2019^[107]). In 2015, the PSE introduced a new trading system allowing for improved trading capacity and the trading of fixed income and derivatives (PSE, 2024^[108]). In 2025, the PSE aims to launch a new PSEi index future product in collaboration with the Hong Kong Exchange (PSE, 2023^[81]). Moreover, to ensure a more robust regulatory basis, the SEC is planning to publish guidelines regarding the functioning of derivatives markets.

1.4.6. Securities borrowing/lending and short selling

To support market liquidity and diversify strategies available to investors, the PSE has launched a securities borrowing and lending (SBL) programme (PSE, 2024^[109]). This programme also supports the

development of other products, such as derivatives and ETFs. SBL makes equity securities more liquid and allows investors to lend their securities and earn interest. The SBL programme was first introduced in 2006 but all the regulatory infrastructure was put in place until late 2023, including facilitating foreign participation and offshore collateral. According to market participants, certain institutional investors are still not allowed to take part in securities lending.

In 2023, the PSE launched a short selling programme, allowing investors to sell securities borrowed through SBL (PSE, 2023^[110]). The availability of short selling improves price discovery, as investors can take short positions against overvalued assets. It can also increase liquidity by allowing investors to hedge against downturn risks and promote trading activity also in downturns. This is especially important for investors with long-holding periods such as insurance companies and pensions funds. Moreover, the possibility to take short positions increases the appeal of the equity market to foreign investors and brings the Philippines in line with regional peers such as Malaysia, Indonesia, Singapore and Thailand. Today only 52 securities are available for short selling, including one ETF and the constituents of the PSEi, MidCap Index and Dividend Yield Index. It is worth noting that while the regulatory requirements are now in place, few brokers are seemingly offering short selling so far. However, this might mainly be due to the general upwards cycle experienced since short selling was introduced.

1.4.7. Recommendations

Summary

To increase the liquidity in the secondary public equity market, the Philippine authorities could consider:

- Promoting the inclusion of Philippine companies in major investable indices to enhance the visibility and attractiveness of the market to foreign investors, for example by incentivising listed companies to increase free float levels by making follow-on offering easier or less costly.
- Offering grants or implementing support programmes for research institutions to conduct independent stock analysis and research.
- Introducing incentives for market participants to participate as market makers.
- Accelerating the process to establish a public derivative market in the country by providing the necessary regulatory framework for their trade and supervision.
- Reviewing outstanding barriers to SBL adoption and provision of short selling services.
- Assessing the reduction of the stock transaction tax on the sale of PSE listed shares.

Liquidity in the secondary public equity market is a key element for a well-functioning capital market. The Philippine public equity market is characterised by low liquidity levels, driven by low free-float levels, a highly concentrated ownership structure and potential trading frictions. To support secondary market liquidity, the Philippine authorities could consider implementing the initiatives outlined below.

The limited free-float levels lead to limited participation in investable indices and lower investor interest. Authorities may want to consider streamlining the follow-on offering process and consider options to allow companies to deduct a notional interest on new equity issuance, which could provide a more amenable environment for listing additional equity.

Authorities may also consider promoting research on listed companies to boost the visibility of, and interest in, Philippine stocks. To increase the quantity and quality of information and its accessibility, the PSE might consider collaborating with brokerage firms and private research institutions. Authorities could collaborate

with the PSE by establishing a programme to promote independent market research accessible to the public. It is key to ensure the autonomy of the research provider from the firms analysed to avoid conflicts of interest or undue pressure from powerful firms.

To enhance market making activities, the PSE could introduce a mechanism where trading participants acting as market makers receive an incentive to provide liquidity that compensates them for holding inventory. The incentives could be in the form of fee reductions, reputational gains or other privileges based on quoting performance and liquidity provided to the market.

In addition, the Philippine authorities could consider introducing a legal framework for the establishment and functioning of a public derivatives market outside the banking sphere with the aim of supporting the development of new instruments to manage risks. It could also provide the necessary regulatory guidelines for their trade and supervision, as well as work closely with market participants to understand any outstanding barriers to the introduction or use of these products. There is considerable space to expand the availability of equity instruments and related products. The stock market enjoys sufficient transparency in prices to develop a derivative market.

With the regulatory framework in place for SBL and short-selling, the authorities could now shift their focus to ensuring the necessary market infrastructure is in place for market participants to start offering related products. The regulator could review any impediments preventing institutional holders from making their holdings available to prospective securities borrowers. These would provide a reliable source of supply, while potentially boosting the returns for investors. The authorities could also engage with brokers to understand if there are remaining barriers that hinder their participation in short selling operations.

The transaction cost of buying and selling shares listed on the PSE is higher than in peer countries and should be evaluated. Many markets in the region are more competitive in terms of transaction fees and in offering tax advantages. Authorities could consider speeding up the Senate's vote to reduce the stock transaction tax to bring trading costs down towards levels in peers. However, a full review should be conducted, taking into account the CGT exemption, the estimated effect on traded volumes and the overall fiscal impact.

1.5. Facilitating market-based long-term financing via corporate bonds

Long-term financing via corporate bonds provides a source of finance that strengthens corporate balance sheets and enables long-term investment. It also provides a counter-cyclical buffer to bank credit, which is highly pro-cyclical. In line with this rationale, the Philippine Central Bank Governor has recently expressed a desire to expand the corporate bond market beyond top-rated securities to broaden the funding opportunities available to corporations, a goal also pursued in the 2024 work programme of the Financial Stability Coordination Council (BSP, 2024^[111]).

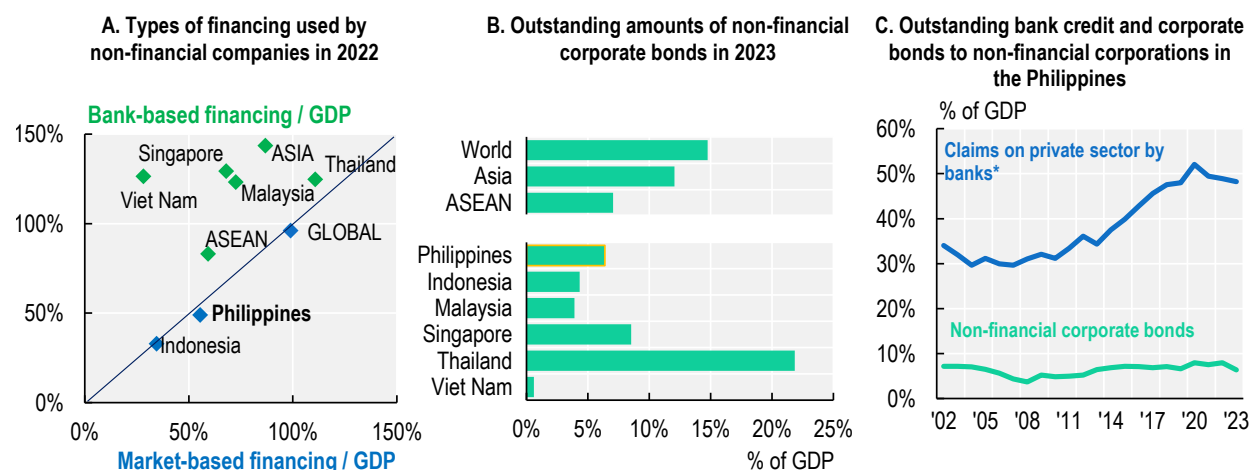
In the Philippines, the amount of financing provided by public markets and banks to non-financial corporations is subdued relative to peers, representing only 55% and 49% of GDP, respectively (

Figure 1.18, Panel A). The Philippine market for corporate bonds remains immature, having experienced sluggish growth in the last decades. Outstanding non-financial corporate bonds made up 6.4% of GDP in 2023, far lower than in Asia and globally (Panel B). Growth in the outstanding amounts has been relatively flat since 2000, whereas bank credit to non-financial corporations has increased rapidly since 2010 (Panel C). Despite bank credit growth, the penetration of the banking system is still low. These trends suggest that corporate demand for credit is not fully served either by the banking system or the market.

While the listing of corporate bonds on the local exchange has increased over the last decade, a substantial amount of Philippine bonds is issued on foreign exchanges, in contrast to most peer countries where a larger share is issued domestically (Section 3.2). This points to competitive disadvantages in the local

market. Furthermore, the relatively low number of large issuances in the Philippines over the last two decades compared to peers suggests that mainly large corporations and conglomerates accessed the market.

Figure 1.18. Market-based and bank-based financing used by non-financial companies



Note: In panel A, market-based financing is defined as the sum of the market capitalisation of non-financial listed companies and the outstanding amount of non-financial corporate bonds as share of GDP. Bank-based financing is bank credit to non-financial corporations also expressed as share of GDP. Where possible BIS data for *Bank credit to the private non-financial sector (core debt)* has been used, and for those jurisdictions with no BIS data, World bank data for *Domestic credit to private sector by banks (% of GDP)* has been used. For the Philippines *Claims on private sector* reported by BSP (i.e. not including *claims on other financial corporations*). In Panel C, banks include universal and commercial banks (U/KBs), thrift banks, rural and cooperative banks, digital banks, non-stock savings and loans associations, and non-banks with quasi-banking functions.

Source: Bank of International Settlements; World Bank (2024^[112]) Open Data, <https://data.worldbank.org/>; LSEG; BSP (2024^[113]), Annual Report 2023, bsp.gov.ph/Media_And_Research/Annual_Report/AnnRep_2023.pdf; BSP (2021^[114]), Annual Report 2021, [Bangko Sentral ng Pilipinas Media and Research - Publications and Reports \(bsp.gov.ph\)](https://bsp.gov.ph/Media_And_Research/Publications_and_Reports(bsp.gov.ph)); BSP (2019^[115]), Annual Report 2019, bsp.gov.ph/Media_And_Research/Annual_Report/annrep2019.pdf; BSP (2016^[116]), Annual Report 2016, [annrep2016.pdf \(bsp.gov.ph\)](https://bsp.gov.ph/Media_And_Research/Annual_Report/annrep2016.pdf); (2014^[117]), Annual Report 2014, [2014 BSP Annual Report - Rev IFAS](https://bsp.gov.ph/Media_And_Research/Annual_Report/annrep2012.pdf); BSP (2012^[118]), Annual Report 2012, bsp.gov.ph/Media_And_Research/Annual_Report/annrep2012.pdf; BSP (2010^[119]), Annual Report 2010, [BSP AR 2010 with ERM inputs](https://bsp.gov.ph/Media_And_Research/Annual_Report/annrep2010.pdf); BSP (2008^[120]), Annual Report 2008, [Microsoft Word - Introduction.doc \(bsp.gov.ph\)](https://bsp.gov.ph/Media_And_Research/Annual_Report/annrep2008.pdf); BSP (2006^[121]), Annual Report 2006, [Microsoft Word - BSP Annual Report 2006.doc](https://bsp.gov.ph/Media_And_Research/Annual_Report/annrep2006.pdf); BSP (2004^[122]), Annual Report 2004, [BSP Annual Rep 2004 vol.1.doc](https://bsp.gov.ph/Media_And_Research/Annual_Report/annrep2004.pdf); OECD Capital Market Series dataset; see Annex for details.

1.5.1. Listing process and costs

The listing process and costs associated are considered by market participants as one of the main barriers to issuing corporate bonds in the Philippines (OECD, 2024^[123]). The current regulation and listing rules are reverse engineered from the equity issuance rules. There is a common SEC registration form for both equity and debt securities, and several sections are clearly only relevant for equity issuance. Likewise, there are prospectus sections on compliance with corporate governance and a comprehensive business description more relevant for shareholders than bondholders (IMF, 2019^[36]). The form also presents a few broad examples of suggested risks to be expanded on that might be challenging to interpret, both for issuers and investors. There is considerable overlap between the documents required by the SEC and those required by the PDEX and the process is mainly paper-based.

The registration and listing process is also lengthy, both relative to international comparisons and to alternative sources of financing. The regulator has a time limit of 45 days to approve an application and, as previously mentioned, notes that the average processing time is about 36 days. However, according to market participants it can take up to around 60 days to receive approval. Overall, the entire issuance process is estimated to take 2-3 months. The SEC Office Order No.125 issued in February 2024 aimed at

reducing the approval period. At the same time, recent changes in the SEC registration and approval process require the issuer to collect separate authorisations from the SEC divisions involved instead of having a single point of contact. According to market participants, this change risks creating further delays and complicates the process. In comparison, agreeing on terms for a bank loan and receiving funds might only take weeks. Moreover, corporate bond issuance in other markets tends to be a faster process, especially for issuers with an issuance programme. Currently, the process remains slow and prevents issuers from quickly tapping the market when timing is right. A peculiar feature of the Philippine process is that the issuer needs to have an initial issuance when registering the programme. Internationally, the common practice is for the issuer to first file and register and then issue the first bond. Seeking to address some of these issues, the SEC is currently embarking on a project to improve the shelf registration framework.

Meanwhile, the Philippines is also taking part in positive regional developments, such as the ASEAN+3 Multi-Currency Bond Issuance Framework. This initiative seeks to standardise the issuance process and make corporate bonds more comparable in order to create a less fragmented market, and in turn increase investor interest and intra-regional bond transactions (ABMI, 2023^[124]).

According to OECD consultations with market participants, the other main challenge related to corporate bond issuance is cost. For all but AAA-rated issuances, bond financing is too expensive relative to bank-financing. Illiquidity makes investors require high spreads for anything but the top graded bonds. There also seems to be a stigma associated with anything but a top rating, further discouraging investment in bonds not rated AAA. Most non-rated companies are listed overseas, which might be a legacy from when the Philippine government did not have an investment grade rating. Beyond the listing fees, market participants estimate the total cost of issuing a corporate bond to be 1-2% of the amount issued. This estimate includes fees for underwriting and legal costs, and a significant component is the 0.75% stamp tax. Bank loans are traditionally cheaper, with domestic banks being relatively well-capitalised and having high liquidity (ICMA, 2024^[125]; IMF, 2023^[126]). A survey in a previous OECD study identified bank financing as a barrier to the expansion of market-based finance (OECD, 2024^[123]).

Overall costs are an important part of the choice of financing but listing fees are arguably not excessive in the Philippines. Table 1.7 shows the fees paid to the exchange in the Philippines and peer countries, calculated based on issuances of USD 50 million (~PHP 2.8 billion) and USD 200 million (~PHP 11.1 billion) for bonds with 5-year maturity. Issuance fees decrease relatively with size for most markets. The listing costs in the Philippines are higher than in Malaysia and on par with those of Singapore for the example USD 200 million listing (see Annex G for details).

Discussions with market participants and an analysis of the listed securities on PDEX point to a clear bias towards large companies and conglomerates for issuing corporate bonds. Given the fixed costs associated with market-based finance, scale is often a key barrier to access the market. Smaller firms are more likely to find their access to bank credit reduced during downturns, making alternative sources for finance critical (OECD, 2012^[127]). The *enrolment* option on the PDEX offers the option of a simplified listing process for issuance directed towards professional investors only. Enrolling bonds avoids SEC registration, requires a simpler offer memorandum (instead of a full prospectus) and less burdensome disclosures that are largely determined by investors. As of July 2024, 3.5% of the securities admitted to the PDEX were enrolled rather than listed.

In order to expand the available financing options for smaller companies, many countries have implemented reforms aimed at boosting SME participation in the corporate bond market. One example is the Italian mini-bond framework, also adopted by a number of European peers. The framework allows unlisted SMEs to issue bonds without a credit rating and allows for a less stringent process compared to larger companies. Issuers may list their bonds on a segment of the exchange reserved for qualified investors. There are also tax advantages associated with the mini-bonds, making them more attractive to

both issuers and investors. Mini-bonds have facilitated SMEs' access to debt, and improved credit conditions in terms of lower interest rates and longer maturities (Croce, Quas and Tenca, 2024^[128]).

Table 1.7. Corporate bond listing fees across selected peers countries

Nominal values in USD	Philippines	Indonesia	Malaysia	Singapore
Small issuance	Principal: USD 50 million			
Initial listing fee	1 798	1 641	3 289	18 657
Annual listing fee	2 500	11 000	0	0
Total fees (5 years)	14 298	56 641	3 289	18 657
As % of amount issued	0.03%	0.11%	0.01%	0.04%
Large issuance	Principal: USD 200 million			
Initial listing fee	1 798	1 641	3 289	18 657
Annual listing fee	2 696	42 000	0	0
Total fees (5 years)	15 280	211 641	3 289	18 657
As % of amount issued	0.01%	0.11%	0.002%	0.01%

Note: Corporate bonds are presumed to be listed under the Standard/Regulated Tier of each market, with an assumed maturity of five years. Source: IDX (2020^[129]), Amendment to Regulation Number I-B concerning the Listing of Debt Securities, https://www.idx.co.id/media/8680/peraturan_i_b_pencatatan_efek_bersifat_utang.pdf; PDEX (2014^[130]), Listing Fee Schedule; Bursa Malaysia (2018^[131]), Fees and Charges for the Main Market, https://www.bursamalaysia.com/sites/5bb54be15f36ca0af339077a/assets/5c86103a39fba26bcc467dc0/MainMarketFeesandCharges_1September2018.pdf; (SGX, 2024^[132]), Listing Debt Securities, <https://www.sgx.com/fixed-income/listing-debt-securities>; IMF (2024^[133]), International Financial Statistics, <https://data.imf.org/regular.aspx?key=61545850>.

Another deterrent for issuers is the current tax regime, which is unfavourable compared to peers and may discourage issuance. The documentary stamp tax, at 0.75% of the issued amount, is markedly higher in the Philippines than in peer countries. For investors, the system in the Philippines is also less favourable. At 20%, the tax on interest payment is higher than in Indonesia and Singapore, where rates are between 10-17%. The current withholding tax of 20% for residents and 30% for foreign investors is also higher than peers. In order to claim tax exemptions, investors are required to register a separate account at the depository. While this can simplify the tax process, in most markets brokers use omnibus accounts for their clients to reduce the barriers for investors. However, this requires a more active role of brokers in keeping records of their individual clients. In the Philippines, capital gains are taxed as regular income, with rates ranging from 0-35% for individuals and 30% for corporations, in contrast to Indonesia, Malaysia and Singapore where there is no capital gains tax.

1.5.2. Credit ratings

The reliability of credit ratings is another barrier to the development of the Philippine corporate bond market. The credit assessment is a key investment criterion for bond investors, and credit ratings agencies (CRA) play an important role as providers of independent and competent technical analysis. Lack of reliable assessment makes investors demand a larger risk premium or even unwilling to invest, thereby increasing the cost of financing for firms seeking to raise capital. Corporate bonds in the Philippines are required to have at least one credit rating, with no minimum rating required (OECD, 2024^[123]).

There are currently two SEC-accredited CRAs operating domestically, PhilRating and Credit Rating and Investor Services Philippines, Inc. According to market participants, the local CRAs lack reliability, and thus their assessments of creditworthiness are not believed to accurately assess the credit risk of rated instruments. Notably, most bonds are top graded and there is a 20-30 bps spread within the AAA-rated

bonds. One of the issues raised is that CRAs do not publish price lists or their reports, nor their methodologies. This makes it difficult for users to access and assess their analyses. Market participants also question their ability to maintain their independence from issuers. No international CRA following international practices has a local footprint. The SEC published in 2014 the *Guidelines on the Accreditation, Operations and Reporting of Credit Rating Agencies* aiming to increase the quality of CRAs (SEC, 2014^[134]). While efforts have also been made to improve the situation by joining the Association of Credit Rating Agencies in Asia, differences in rating scales and processes have in general impeded significant progress (OECD, 2024^[123]).

Moreover, acquiring a credit rating may demand a level of technical expertise that many SMEs and companies unfamiliar with market-based financing may lack. Due to high fees relative to the issuance amount, obtaining a credit rating might be unaffordable and obstruct their access to long-term debt securities. To address this, Malaysia has introduced an alternative credit system where SME Corporation of Malaysia provides credit ratings for smaller companies' issues (OECD, 2024^[135]). France has a similar system in place where the Banque de France provides a credit score for a fee based on a system that collects and integrates financial information about individual firms (Banque de France, 2024^[136]). Such ratings rely on collecting reliable financial statements, something the corporate registry at the SEC may struggle to provide given its limited resources (ACGA, 2023^[2]).

1.5.3. Government bond yield curve and corporate bond liquidity

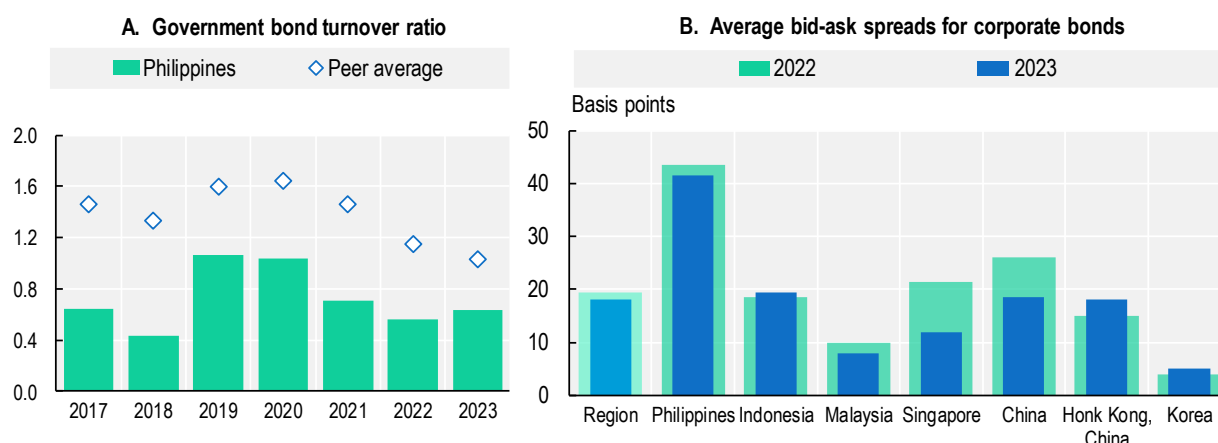
A deep and liquid government bond market is a prerequisite for a well-functioning corporate bond market. Government bonds are considered risk-free instruments whose central function is to provide a benchmark for pricing other risky securities, including corporate bonds. Ideally, a stable yield curve based on government bonds of different maturities in the financial markets ensures reliable pricing of instruments such as corporate bonds. In the Philippines, the government has worked extensively to create a reliable yield curve and implemented reforms. These include adding predictability to the issuance calendar, using benchmark issuance, establishing a repo market, moving trading to Bloomberg, introducing market makers and increasing the size of issuance, among others (ADB, 2019^[137]; ADB, 2022^[138]). Despite these efforts, liquidity remains low for Philippine government bonds in terms of turnover ratio (Figure 1.19, Panel A). Between 2021 and 2023 it hovered around 60%, around half of the peer average. The limited size of Philippine issuance limits these bonds' attractiveness to foreign investors.

Gaps still need to be addressed in terms of the repo market, the robustness of the dealer network and in aligning issuance with market requirements. The BSP is actively working with market participants to improve the market, for example by working on the adoption of a Global Master Repurchase Agreement of the overnight reverse repurchase facility. Together with the Bankers Association of the Philippines (BAP), the BSP is introducing an enhanced Philippine peso interest rate swap market with 15 banks committing as market makers for one- to six-month swaps against the overnight reference rate. The aim is to establish market-based two-way quotes as benchmarks for credit pricing. Longer tenors will also be included. Along with the BAP relaunching the interbank repo market last year, the BSP is also working on improving the reverse repo market to enhance liquidity (BSP, 2024^[139]).

Lack of liquidity in the corporate bond market is also a barrier to the development of this source of financing in the Philippines. An illiquid market affects valuation and trading; therefore, investors require a liquidity risk premium. Corporate bond markets are inherently less liquid than stock markets and this is intensified by the fact that Asia is dominated by buy-and-hold strategy investors (AsianBondsOnline, 2024^[140]). Bid-ask spreads are the highest in the region (Figure 1.19, Panel B). Market participants attribute high spreads to low activity on the PDEX, mainly due to a limited number of counterparties. In response, the BSP has allowed PDEX dealing participants to be exempt from the Single Borrower Limit to facilitate market making (PDEX, 2020^[141]). This rule normally caps the exposure of an institution to a single debtor.

Nonetheless, despite this policy, there is a lack of counterparties, and currently not enough reliable market-makers stepping in to provide two-way quotes and building inventory.

Figure 1.19. Government bond turnover ratio and corporate bond bid-ask spreads



Note: In Panel A the peer average is computed as the average of the annual government bond turnover ratio of Indonesia, Malaysia, Singapore, Thailand and Viet Nam. In Panel B “Region” refers to the average of the values for the seven jurisdictions in the figure.

Source: AsianBondsOnline (2024^[142]), Data Portal, <https://asianbondsonline.adb.org/data-portal/>.

1.5.4. Public-Private Partnerships bonds

Corporate bond markets can also be expanded by leveraging the use of Public-Private Partnerships (PPP). Delivering on the objectives of the Philippine Development Plan 2023-2028 requires substantial infrastructure investments and corporate bond markets could provide financing for PPPs. The passing of the PPP Code in 2024 highlights the intent of the government to engage the private sector. While PPP bonds are not new to the Philippine market, PPP financing is dominated by bank loans (PPP Center, 2023^[143]; PPP Center, 2015^[144]). However, there are limitations in tenors offered by banks at the upper end of the maturity range, limiting the flexibility of financing options for PPPs.

The new PPP Code supports a range of guarantees and credit enhancements that can increase the use of PPP bonds (NEDA, 2024^[145]). Latin America provides several examples of solid PPP bond participation of both foreign and domestic investors by using effective mechanisms to allay risks. Peru has successfully employed government-backed payment certificates, subject to pre-defined completion of project milestones. This has insured cash flows in the eyes of investors while avoiding higher sovereign debt levels. In Chile, government-guaranteed revenue floors and caps have also been used to great effect. Other mechanisms in Latin America include development bank and export credit agency guarantees, and composite bank/bond financing structures where bond financing refinances a bank loan once the project is complete (Crédit Agricole, 2021^[146]).

1.5.5. Recommendations

Summary

To facilitate market-based financing via corporate bonds, the Philippine authorities could consider:

- Conducting a review of the listing and registration process to ensure it is tailored to bond issuance and is competitive in terms of speed of issuance.
- Improving the shelf-registration process for serial issuers by allowing filing and registration without immediate issuance.
- Designing a framework directed at enabling SMEs and other unserved firms to access corporate bond financing.
- Implementing stricter transparency rules on local CRAs, providing alternative credit risk assessment options and incentivising international CRAs to establish a local footprint.
- Promoting the use of corporate bonds for PPP financing of infrastructure projects.

The corporate bond market in the Philippines is underdeveloped and has not expanded in line with general credit growth. While the banking sector has a structural advantage, its penetration remains low compared to peers, leaving many firms without access to bank loans. Moreover, those companies relying on bank financing are more exposed since banks tend to restrict credit during economic downturns. Furthermore, a lack of debt securities with different risk-return characteristics denies long-term investors potential opportunities that match both their investment horizon and risk profiles. A deepening and expansion of long-term financing through corporate bonds should therefore be a desirable objective for the authorities. A number of policy measures can be put in place to this end.

A comparison of the listing process suggests that registration and issuance issues are part of the reason corporate bonds might not always be an attractive source of financing. For listed companies, many required documents required should already be available at the SEC, suggesting a simplified procedure could be developed. A separate SEC registration form for debt securities should be developed. In such a form, prospectus disclosure on corporate governance and business description could be revised, allowing it to focus more clearly on covenant compliance and interest coverage. Disclosure of material risks could be facilitated with clearer guidance. A drastic reduction of the timeline is needed to ensure issuers can reliably time their issuance. Relatedly, the shelf-registration process should be reviewed to make sure it adheres to international best practices by allowing filing and registration without immediate issuance. Moreover, authorities could also continue to simplify serial issuance by minimising the need for additional documentation. Ensuring that the SEC is adequately resourced is also essential to prevent delays and support a more efficient issuance timeline.

To extend market-based debt financing beyond the very largest companies and further diversify investment opportunities, authorities should consider introducing a framework directed at enabling SMEs and other unserved firms to access the market. An interesting example is Italy's mini-bond framework, which uses a simplified process, reduced requirements and tax incentives to expand market-based debt financing to smaller companies. This approach has also provided qualified investors with a broader range of securities. Adopting a similar framework could generate more interest in the current enrolment option.

The challenge posed by the lack of reliable local CRAs implies that an overhaul of agencies' ways-of-working and transparency are needed. Stricter CRA regulations should be implemented, focusing on their transparency regarding methodology, default rates of their credit categories and pricing. Authorities could also incentivise established international CRAs to establish a local footprint. Moreover, an

assessment could be made of whether any authority has the capacity, competence and data needed to provide ratings, similar to systems in Malaysia or France. Resources might be needed, either at the SEC or at a new separated corporate registry, to ensure data the quality in company disclosures to perform such ratings.

To expand the corporate bond market and simultaneously boost the capital directed towards infrastructure development, the government could consider financing these investments via long-term corporate bonds. These PPP bonds could be issued by a private sector company, or an entity created specifically for the purpose of executing the project. This would broaden the types of corporate bonds available in the Philippine market, while providing attractive investments for institutional investors with long-term liabilities. Authorities could consider implementing similar mechanisms to those having been successfully employed in Latin America. These have proven to be attractive to institutional investors, while avoiding incurring greater sovereign indebtedness.

Finally, taxes are higher compared to some peer countries and may be a deterrent to issuance. The fiscal implications of adjustments to make this market more competitive by adjusting taxes could be assessed. For foreign investors, the process for seeking withholding tax exemptions is onerous and the process could be revised.

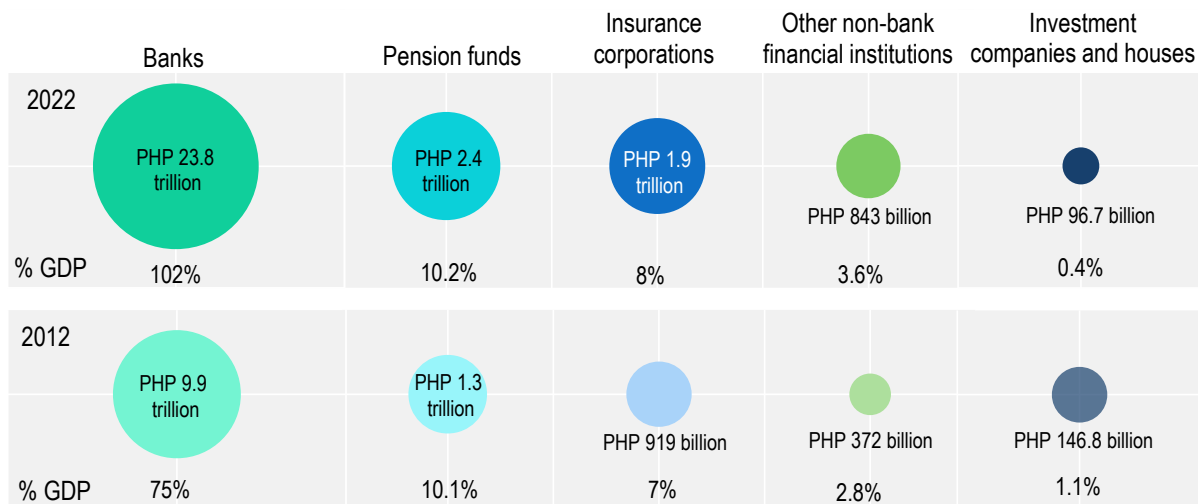
1.6. Deepening the investor base

Households and institutional investors – such as pension funds, investment funds and insurance corporations – play a core part in supplying the capital needed to spur economic growth. For households, investing savings in the capital market provides an opportunity to take part in the expansion of the economy, to build wealth and improve future living standards. Traditional institutional investors like pension funds and insurance corporations are particularly important due to the scale on which they direct contributions and premiums into productive assets and the longer-term nature of their liabilities. Likewise, investment funds channel wealth and savings into productive assets that support a dynamic business sector and entrepreneurial risk-taking. Expanding the investor base and providing institutions and households with opportunities to invest their capital is therefore an important lever of inclusive economic growth.

1.6.1. Increasing the role of institutional investors

As already mentioned, the banking sector plays an outsized role in the Philippines relative to institutional investors. In 2022, institutional investors' assets represented just over 18% of banking sector assets (Figure 1.20). Of these, pension funds were the largest with PHP 2.3 trillion (~USD 42 billion) in assets, followed by insurance corporations with total assets of PHP 1.9 trillion (~USD 34.9 billion). Assets of the banking sector have expanded by 27 percentage points as a share of GDP since 2012, while institutional investors' assets have grown by 1.2 percentage points, with pension fund growing in line with GDP and insurance firms slightly faster.

Figure 1.20. Size comparison of selected financial institutions in the Philippines

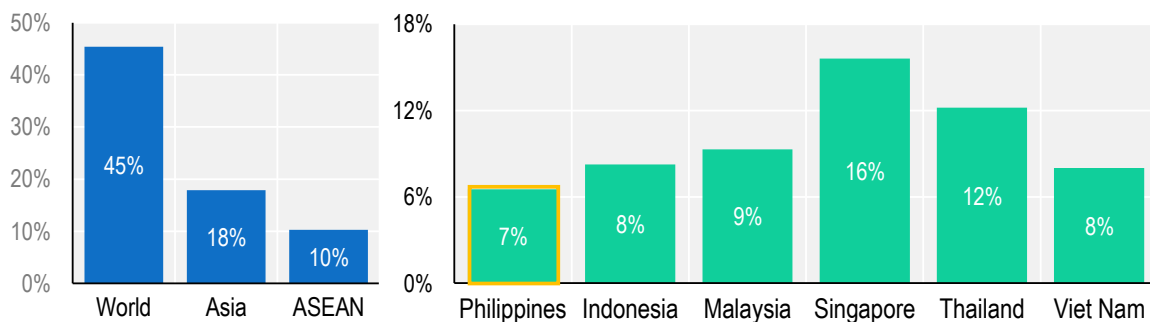


Note: Amounts in the figure refers to total assets. Values have been adjusted by CPI and are expressed in 2023 PHP.

Source: GCG (2014^[147]), 2013 Annual report of GOCC sector, <https://gcg.gov.ph/files/Qretpcplww9VWxaFNEWB.pdf>; GCG (2023^[60]) 2022 GCG Annual Report, <https://gcg.gov.ph/files/KMvhiF0hwOysqPcrHGG3.pdf>; BSP (2023^[148]), BSP Annual Report Volume II- Statistical Bulletin–2022, <https://www.bsp.gov.ph/Pages/MediaAndResearch/PublicationsAndReports/AnnualReportVolumeIIStatisticalBulletin.aspx>; IMF (2024^[40]) World Economic Outlook Database, <https://www.imf.org/en/Publications/WEO/weo-database/2024/April>.

Globally, institutional investors are the largest investors in equity markets, owning 45% of market capitalisation in 2023 (Figure 1.21). This share is much lower in Asia at 18%, and even lower in ASEAN economies at 10%. In the Philippines, the share is only 7%, the lowest among ASEAN peer countries. Institutional investors in the Philippines are predominantly foreign, further underscoring the small size and underdevelopment of the domestic institutional investor base.

Figure 1.21. Institutional investor ownership of listed equity, end of 2023



Note: Values refer to the amount owned by institutional investor as a share of market capitalisation in each market.

Source: OECD Capital Market Series dataset, FactSet, LSEG, Bloomberg; see Annex for details

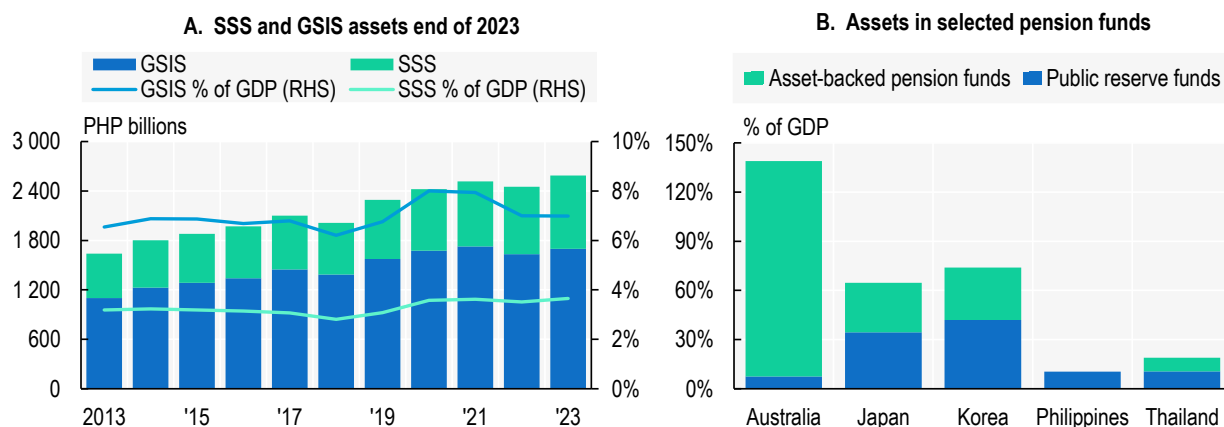
1.6.2. Pension funds

Pension funds play an important role in capital markets in many countries. They underpin a sustainable public pension system by accumulating assets to finance future payouts. Their long-term investment horizon allows pension funds to finance investments that contribute to future economic growth. Capital market securities are usually a core part of their portfolios. Nonetheless, the amount of investable pension assets not only depends on the level of economic development of a country but also crucially on the design of the system. Pension assets range from a very small share of GDP in Greece to almost 200% in Denmark.

In some countries the pension system is *funded* based on accumulating and investing contributions over time, and in others it is a pay-as-you-go (PAYG) system where pensions benefits are financed by contributions from current workers. Funded entitlements not only build up capital that can be invested productively but can also reduce the fiscal burden on the state.

The pension system in the Philippines is mainly a PAYG system, based on the mandatory Social Security System (SSS) for private sector workers and the Government Service Insurance System (GSIS) for public sector workers. Since 2022 there are also funded parts in the form of the recently rebranded MySSS Pension Booster, with a mandatory part for earnings above a certain level, as well as a voluntary part. Due to the limited share of funded components, total pension assets in the Philippines represented only 10.6% of GDP at the end of 2023. SSS total assets amounted to PHP 889 billion (~USD 15 billion) or 3.7% of GDP (Figure 1.22). This includes the reserves for the main defined benefit pensions and the MySSS Pension Booster funds. As of November 2023, the mandatory and voluntary MySSS Pension Booster funds had accumulated PHP 77.7 billion (~USD 1.3 billion), or 0.3% of GDP. The recent introduction of these funded SSS parts explains the relatively low asset accumulation. Regarding the GSIS, at the end of 2023, the assets amounted to PHP 1 699 billion (~USD 29 billion), or 7.0% of GDP. SSS and GSIS assets as a share of GDP have increased by 0.5 and 0.4 percentage point respectively in the period 2013-23. Compared to other countries with public reserves set aside to help financing future pension obligations from PAYG pension schemes, reserves in the Philippines are limited, as are asset-backed pension plans.

Figure 1.22. Total assets in asset-backed pension funds and public pension reserve funds



Source: Annual reports and Philippine Statistics Authority for GDP (Panel A); OECD (2023^[149]), *Pension Markets in Focus*, <https://www.oecd.org/pensions/pensionmarketsinfocus.htm>; SSS; GSIS; and Social Security Office for Thailand (Panel B).

Apart from the SSS and the GSIS, there is also the employer retirement pay that some workers in the private sector are eligible for, which is paid by the last employer in a lump sum proportional to the years of service with that employer. There is no requirement to pre-fund these obligations, accrued benefits are not portable, and workers need five years of service to be eligible.

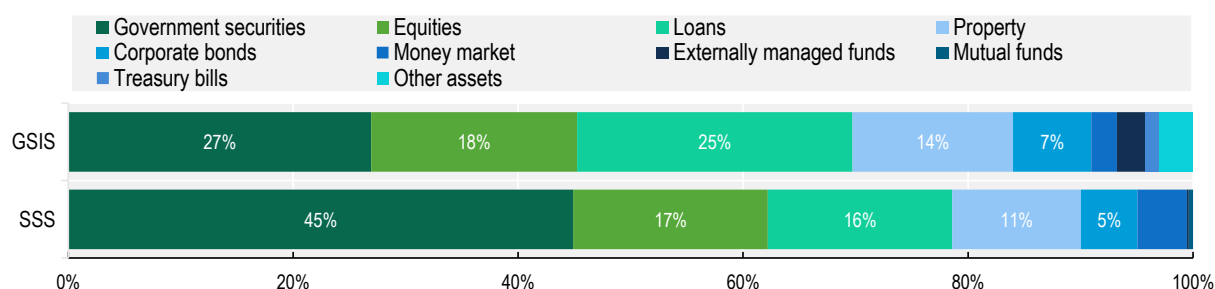
Apart from the low level of funding, these schemes suffer from low participation rates. The GSIS had two million active members as of March 2024, representing roughly half of government workers. Out of a 48 million labour force, the SSS had 42 million members at the end of 2023 (88%), but only 13 million (31% of the economically active population) were paying contributions in January 2024. The mandatory MySSS Pension Booster (previously WISP) had six million members at the end of 2023.

Attempts to build funded voluntary schemes have met with varying degrees of success. These include the Personal Equity and Retirement Account (PERA), open since 2016 to any person of legal age with a tax identification number, the aforementioned voluntary MySSS Pension Booster, open since 2022 to SSS

members, and individual corporate pension schemes. The PERA allows a yearly 5% tax credit on contributions up to PHP 200 000, thus implying a tax reduction of PHP 10 000 (~USD 170). Overseas Filipinos can contribute double this amount as they are less likely to be able to use the tax credit. PERA adoption has so far been slow, with 5 774 contributors at the end of September 2024. The voluntary MySSS Pension Booster scheme seems more successful with 30 536 enrolled members at the end of 2023, despite these contributions not being tax deductible. While these schemes are new and thus very limited in terms of asset size, successful rollout and participation could imply a large difference in investable assets and future funding of pension benefits. OECD consultations with market participants suggest that the fact that the only available PERA-licensed administrators currently are UITF managers limits the appeal and available investments. Moreover, the modest size of the tax credits might not be a sufficient incentive relative to the time and effort needed to set up the PERA. In September 2024, the SEC issued Memorandum Circular No. 14 widening the types of entities that may register as PERA administrators, such as securities brokers, investment houses, investment company advisers, fund managers and others the SEC deems to have the necessary qualifications.

Regarding investment by pension funds, investment in equities and corporate bonds is relatively modest for the SSS and the GSIS (Figure 1.23). At the end of 2022, investment in equities represented less than 20% of total assets and investment in corporate bonds less than 10% for both institutions. A notable difference is the large share of government securities in the SSS (45%) relative to the GSIS (27%). SSS and GSIS asset allocations differ from those of public pension reserves in other countries due to their relatively large investment in loans (Figure 1.24).

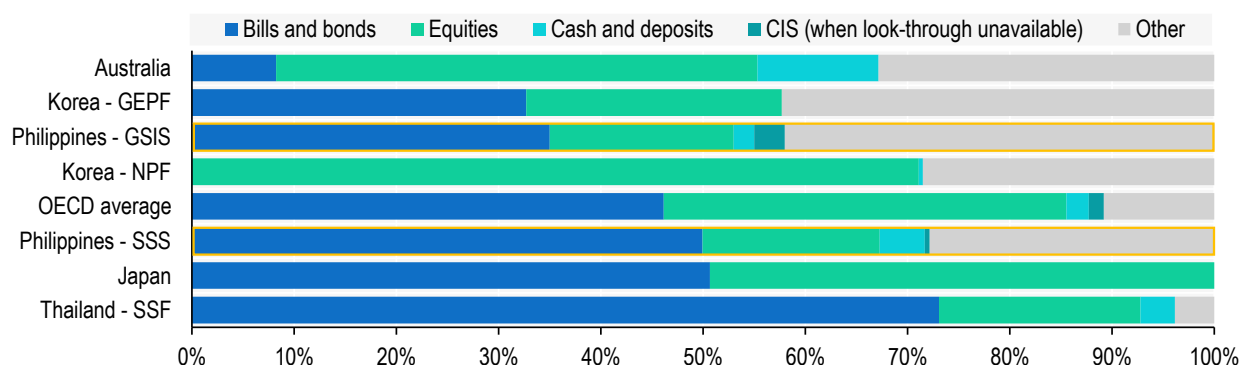
Figure 1.23. Asset allocation of the SSS and GSIS, 2022



Note: Data refer to end-September 2022 for the SSS and end-December 2022 for the GSIS.

Source: SSS and GSIS Annual reports.

Figure 1.24. Asset allocation of selected public pension reserve funds, end of 2022



Note: CIS means Collective Investment Scheme.

Source: OECD (2023^[149]), *Pension Markets in Focus*, <https://www.oecd.org/pensions/pensionmarketsinfocus.htm>; SSS; GSIS; and Social Security Office for Thailand.

Investment rules for the SSS and the GSIS could allow a larger share to be directed towards private capital markets (Table 1.8). The SSS funds must invest 15% of assets in government securities. The GSIS must invest 40% in direct housing loans to members and group housing projects and the remainder can potentially be invested in government securities. Given the substantial share of assets the GSIS is supposed to direct to these loans, domestic corporate bonds can only make up 6% of assets, and equities 24%. Moreover, there is a limited allocation to mutual funds and thus hardly any indirect investment. For the SSS, investment options are more open but with lower limits for equities and corporate bonds for the MySSS Pension Booster funds, potentially explained by the priority to preserve capital for these two funds which are invested collectively by the SSS. Notably, the asset allocation (Figure 1.23) is markedly more conservative for the SSS relative to the investment limits and relative to the GSIS. More flexibility in permissible long-term investments for the SSS could also help to increase its options in matching its longer-term liabilities (ADB, 2022^[150]). A more detailed list of the investment limits for the SSS and the GSIS can be found in the Annex.

Additional restrictions affect the investment landscape of the pension system. According to the Social Security Act of 2018, investments in corporate bonds must finance domestic projects. The issuer is required to have an investment grade rating, have no history of default and maintain an interest coverage ratio of 1.25 during 3 out of 5 years preceding the investment. For investments in equities and foreign assets, the issuer should have a proven track record of profitability over the last three years and payment of dividends at least once over the same period. For the GSIS, investment in domestic equities can only be made in companies with a market capitalisation of at least PHP 15 billion (~USD 260 million), and operating profitability for the last 3 years. Regarding initial public offerings, the issuing company must have an initial market capitalisation of no less than PHP 10 billion (~USD 170 million), a track record of profitability for the last 3 years, and the public offer should be at least PHP 1 billion (~USD 17 million). Moreover, GSIS transactions are subject to audits, especially when securities are sold at a loss. While institutional investors are limited in size, this safeguard reduces the incentives to trade for one of the major capital market actors. This can both negatively affect pension beneficiaries and remove an important trading counterparty causing them to provide limited liquidity to capital markets.

Table 1.8. Selected investment limits for the pension reserves and funds of the SSS and GSIS

Asset class	SSS reserve fund (as % of total assets)	MySSS Pension Booster funds (as % of total assets)	GSIS (as % of assets net of loans)
Government securities	Min 15%	Min 15%	Max 60% of total assets
Listed equities	Max 40%	Max 20%	Max 40% net of loans
Corporate bonds			
Foreign sovereign, private corporations, supranational corporations	Max 40%	Max 20%	Max 25% net of loans
Foreign sovereign, private corporations, local governments			Max 15% net of loans
Domestic private corporations or local governments			Max 10% net of loans
Short-and-medium-term loans to members	Max 25%	Max 25%	N/A
Direct housing loans to members and group housing projects secured by first mortgage	N/A	N/A	<u>Min 40% of total assets</u>
Mutual funds	Max 40%, of which max 15% for foreign mutual funds	N/A	N/A
Money market instruments	No limit	Max 40%	No Limit, net of loans

Source: Social Security Act of 2018, Revised guidelines on the implementation of the mandatory provident fund programme for SSS members, and Revised guidelines on the implementation of the new voluntary provident fund programme for SSS members; GSIS Investment Policy Guidelines.

While current rules are designed to create a level of investment conservatism that prevent excessive risk-taking, they might limit potential returns and payouts for future beneficiaries.

Transforming the retirement system into a funded defined contribution system would increase the level of assets earmarked for retirement and could also drive the development of capital markets by developing a domestic investor base. Moreover, the current system lacks portability when workers change employer. Therefore, the retirement pay is fully paid by the last employer and calculated based on the number of years of service with that employer only. The Capital Markets Development Act of 2021 proposed the introduction of a new mandatory, fully funded and portable occupational pension system to address the weaknesses of the current system. Approval of this bill would improve employees' expected retirement income and expand the role of institutional investors in the capital markets. The bill is still awaiting the Senate's approval.

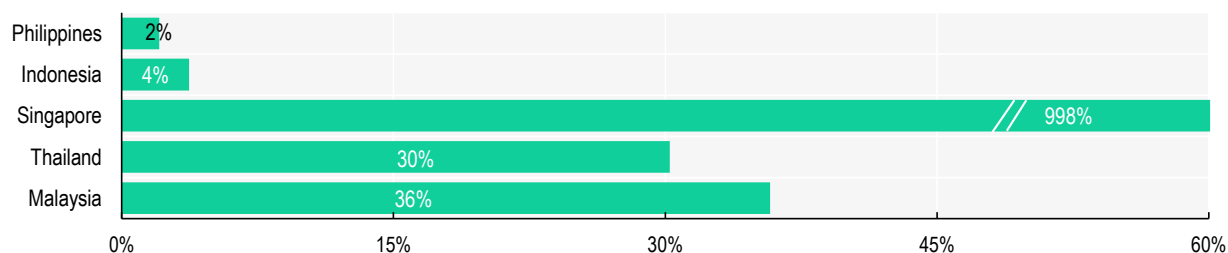
1.6.3. Investment funds

Investment funds have experienced significant growth since the global financial crisis, increasing from USD 24.7 trillion in 2009 to USD 74.8 trillion in 2022 (FSB, 2023^[151]). In the United States and Canada, financial assets held by investment funds have surpassed these countries' GDP, while in Japan and Korea, they represent around 40% of GDP (OECD, 2020^[152]). In the Philippines, investment funds' growth has been limited, as showcased by the low level of assets under management (AUM) by mutual funds relative to peer countries (Figure 1.25).

In the Philippines, investment funds are categorised as collective investment schemes (CIS). These schemes mainly include mutual funds, unit investment trust funds (UITFs) and variable universal life insurance (VUL). This section will focus specifically on mutual funds and UITFs, in line with the usual definition and scope of investment funds.

A peculiar feature of the Philippine CIS landscape is that mutual funds are regulated by the SEC, and UITFs by the BSP (Table 1.9). Despite both investment schemes offering similar products and investment options, each regulatory body sets its own requirements and frameworks, leading to different regulatory and tax treatments. This fragmented environment is reflected in the different legislation governing each type of investment scheme. Mutual funds are regulated under the Investment Company Act and the Securities Regulation Code, which cover registration, operation and reporting requirements. Meanwhile, UITFs are regulated under the Manual of Regulations for Banks (MORB), particularly Section 414, which governs their establishment, administration and operation.

Figure 1.25. Assets under management by mutual funds as a share of GDP, end of 2022



Note: According to the Global Financial Development Database, a mutual fund is a managed collective investment scheme that pools money from multiple investors to purchase securities. In the Philippines, this can also include mutual funds issuing units of participation.

Source: World Bank (2022^[153]), Global Financial Development Database, <https://www.worldbank.org/en/publication/gfdr/data/global-financial-development-database>.

Mutual funds and UITFs differ in key aspects, such as their structure, management, distribution and fees (Table 1.9). Mutual funds are required to be structured as corporations while UITFs are structured as trust funds. When investing in mutual funds investors acquire shares or units of participation in a mutual fund corporation, while investing in UITFs involves purchasing units of the trust. Moreover, mutual funds are managed by investment company advisors and distributed through mutual fund distributors, while UITFs are managed and distributed mainly by trust departments of banks and trust corporations. With respect to fees, mutual funds typically charge investors an upfront sales load (purchasing fee) when shares are bought, or a redemption fee referred to as a back-end sales load, while the annual management fee is deducted from the mutual fund assets. Meanwhile, UITFs only charge a management fee, also known as a trustee fee. Despite these differences, the investment options offered by these two funds are similar and include mainly money market funds, bond funds, equity funds and balanced funds.

This contrasts with the practice in many other countries, where both these investment vehicles fall under the same regulatory framework. In Singapore, for example, all investment fund activities are regulated under the Securities and Futures Act and the Monetary Authority of Singapore is the sole regulator (Singapore Funds, 2024^[154]). There are a variety of fund structures to suit different fund strategies and considerations. In particular, mutual funds can be structured as either unit trusts or variable capital companies, allowing a high degree of flexibility (Singapore Funds, 2024^[155]). In Malaysia, the primary law regulating investment funds is the Capital Markets and Services Act, and Bursa Malaysia is the sole regulator responsible for overseeing fund activities (Law Office Malaysia, 2024^[156]).

The development of UITFs in the Philippines has significantly outpaced that of mutual funds. By the end of 2023, there were 257 UITFs with a combined AUM of USD 15.2 billion. This figure is nearly four times the AUM of mutual funds, which stands at USD 4.2 billion. (PIFA, 2024^[157]). There is also a significant difference between the investment profile of mutual funds and unit investment trust funds. Money market funds (MMFs) represent 60% of total UITFS assets. These MMFs invest mainly in short-term government securities, deposits and other highly liquid instruments with a portfolio duration of one year or less. In contrast, only 29% of mutual funds' assets correspond to money market funds. Instead, mutual funds have a riskier investment profile. Specifically, bond and equity funds account for 64% of total AUM in mutual funds, compared to 37% for UITFs.

Table 1.9. Comparison between mutual fund and unit investment trust fund

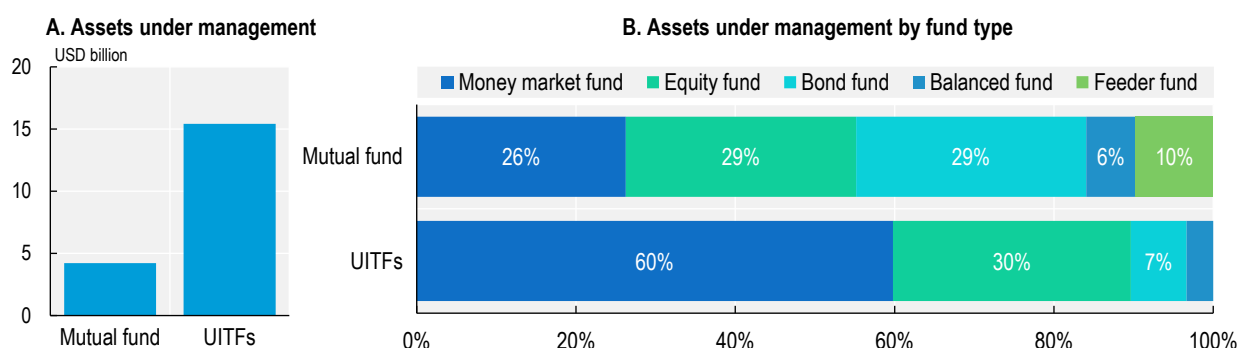
	Mutual fund	Unit investment trust fund
Regulatory body	Securities and Exchange Commission	Bangko Sentral ng Pilipinas
Legislation	Investment Company Act Securities Regulation Code	Manual of Regulations for Banks
Structure	Structured as corporations	Structured as trust funds
What Investors buy	Shares and/or units of participation in mutual fund corporation	Units of the trust
Managed by	Investment company advisors	Trust departments of banks and trust corporations
Distribution channel	Principal mutual fund distributors	Trust departments of banks and trust corporations
Fee structure	Sales load: When buying (front-end fees) or when selling (redemption fee) Others: annual management fee deducted from mutual fund assets	Management fee (Trustee fee)
Investment options	Money market fund Bond fund Equity fund Balanced fund Feeder fund Fund-of-funds Index fund Multi-asset fund	Money market fund Bond fund Equity fund Balanced fund Feeder funds Fund-of-funds Index funds Multi-asset fund

Source: PSE Academy (2024^[158]), Mutual funds and UITFs, https://www.pseacademy.com.ph/reading_materials/mutual-funds-and-uitfs/.

Several factors have contributed to the lack of dynamism of mutual funds in the Philippines. A significant barrier is the requirement for mutual funds to incorporate and register with the SEC under the Investment

Company Act (SEC, 2019^[159]). Unlike trusts, which follow a single authorisation process, mutual funds typically need to undergo a two-stage process: first obtaining approval for the company to be incorporated, and then gaining approval to operate as a fund. Additionally, this process involves the election of a board, which can extend the setup duration to approximately one year, as indicated by market participants. In contrast, setting up a trust can be done in three months. Another factor reducing the attractiveness of mutual funds is stringent regulatory requirements, including mandatory regular financial disclosures and a minimum 10% liquidity requirement for assets (SEC, 2019^[159]). Although recent regulatory changes allow for deviations, a contingency plan should still be established. In contrast, most ASEAN countries do not mandate minimum investment in liquid assets but require mutual funds to maintain sufficient liquidity to meet redemption requests.

Figure 1.26. Assets under management and distribution by fund type, end of 2023



Source: BSP (2024^[113]), 2023 BSP Annual Report, https://www.bsp.gov.ph/Media_And_Research/Annual%20Report/AnnRep_2023.pdf; PIFA (2023^[160]), PIFA Statistical Report, <https://pifa.com.ph/facts-figures/downloadables/>.

The differences between the two investment schemes also relate to taxes. Since mutual funds are investment companies primarily engaged in investing, reinvesting and trading in securities, they are subject to gross receipts tax from the income derived from the sale of securities and other income sources. UITFs, on other hand, are product offerings of trust entities, and thus are not subject to the gross receipts tax. Nonetheless, like mutual funds, they are subject to final withholding tax for the income earned, such as on interest and dividends. Moreover, the income of the trust entity generated from trust fees (including fees on UITFs) are likewise subject to the business tax. Moreover, there are also differences in the level of stamp duty taxes. As investing in a mutual fund is considered as purchasing an equity share, the investor is subject to a documentary stamp duty equivalent to 1% of the nominal value. In the case of UITFs a stamp duty of PHP 30 is levied on the issuance of a certificate which represents ownership or participation in the UITF (National Tax Research Center, 2018^[161]).

In the Philippines, the funds are required to pay taxes on the income from investments, rather than investors themselves — a practice that differs from many other countries. Under this system, all investment income, including interest income, dividends and capital gains, are taxed at the fund level rather than at the investor level. This practice has both advantages and disadvantages. On the positive side, taxing investment income at the fund level simplifies tax obligations for investors as they do not need to report or pay taxes on these incomes individually. This can reduce administrative burden and complexity for individual investors. On the other hand, taxes at the fund level may also make funds less attractive to certain investors, as they reduce the overall return on the investment. In contrast, if taxes are deferred and applied at a later stage, investors have more flexibility to plan their tax strategies according to their personal financial situations. In some cases, taxing income at the fund level might influence fund portfolio managers to take decisions based on tax considerations rather than on maximising return on investments.

In 2022, the Collective Investment Scheme Law (House Bill No.642) was presented to Congress with a proposal to create a harmonised regulatory and taxation framework for collective investment schemes. The objective of this bill is to streamline regulations and provide a unified framework that will improve investor protection and simplify compliance for fund managers. It also aims to enhance co-operation and co-ordination among the SEC, BSP and the Insurance Commission to guarantee consistent regulatory enforcement across different types of CIS, including UITF, mutual fund and variable universal life insurance policies. However, as of June 2024, the bill is still under discussion.

Table 1.10. Comparison of tax regimes for mutual funds and unit investment trust funds

	Mutual fund	Unit investment trust fund
	Tax paid at the investor level	
Documentary stamp tax	PHP 2 for every PHP 200 of face value	PHP 30 on every issuance of certificate evidencing investment
Capital gain tax	Exempt	Exempt
	Tax paid at the fund level	
Tax on the income of fund investments	Tax rate ranges from exempt to 20% depending on the type of security and passive income	Tax rate ranges from exempt to 20% depending on the type of security and passive income
Business tax on non-bank financial intermediaries	5%-7%	Not applicable

Note: Tax on non-bank financial intermediaries refers to the intermediaries that performs quasi-banking functions.

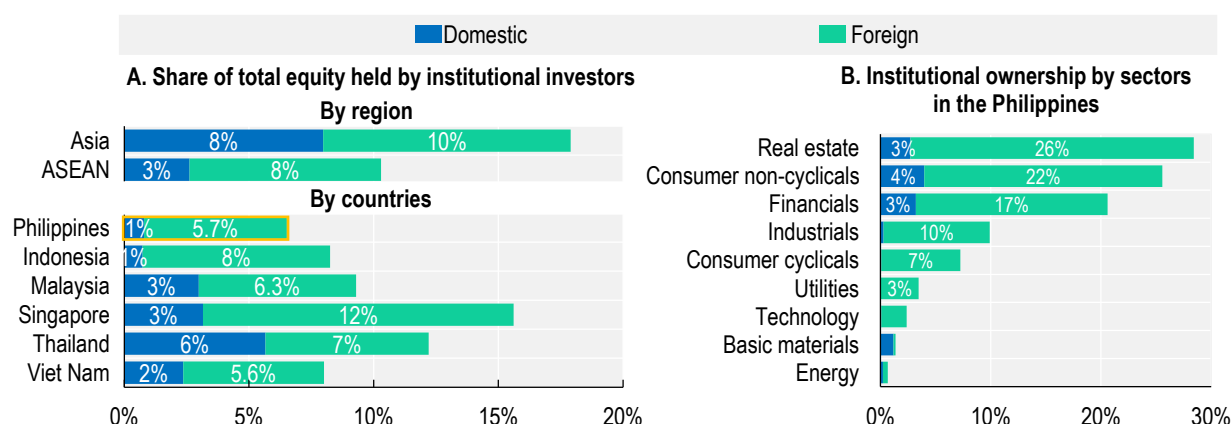
Source: National Internal Revenue Code.

The Passive Income and Financial Intermediary Taxation Act (PIFTA) was approved by the House in 2022. It proposes to make taxes equitable across investor types and discourage arbitrage opportunities. The bill includes several reforms, such as coherence in the application of the stamp duty tax across different investment regimes, a single rate of 15% on interest income, dividends and capital gains, and eliminating business tax for all investment vehicles. However, despite having already being approved by the House, it has not been voted in the Senate (Business World, 2024^[162]).

1.6.4. Foreign institutional investors

Foreign institutional investors bring capital, expertise and global perspectives to domestic capital markets. By demanding higher levels of transparency, accountability and corporate governance from the companies they invest in, they play an important role in enhancing the efficiency, stability and growth potential of domestic equity markets. The Philippine stock market has a low participation of foreign institutional investors compared to other ASEAN countries (Figure 1.27, Panel A). Nonetheless, foreign institutional investor ownership surpasses that of domestic institutional investors. This is the case in most industries (Panel B). Foreign investors in the Philippines also account for a significant share of trading in the secondary public equity market. In 2022, 42% of the trading activity was conducted by foreign investors (PSE, 2023^[81]).

Figure 1.27. Institutional investor ownership, end of 2023



Source: OECD Capital Market Series dataset, FactSet, LSEG, Bloomberg; see Annex for details.

Apart from the fundamental economic prospects and reliability of the judicial system, the availability of diverse financial instruments and listed companies with high free-float levels are usually core components for attracting foreign investors. However, the capital market in the Philippines fall short in both. There is only one equity ETF in the Philippines, whereas Singapore, Indonesia and Malaysia have 73, 42, and 16 ETFs, respectively (IDX, 2024^[163]; Bursa Malaysia, 2024^[164]; SGX, 2024^[165]). Similarly, in terms of investable indices, Indonesia, Singapore and Malaysia have 43, 41 and 32 equity indices, respectively, while the Philippines has only 10 (SGX, 2024^[166]; IDX, 2024^[167]; Bursa Malaysia, 2024^[168]). The Philippine capital market also lacks a derivative market that would enable investors to hedge their risks.

There are also significant challenges related to the free-float and liquidity in the secondary stock market (see Section 1.4) which hinders its ability to attract foreign investors. Institutional investors prefer investing in large, widely held companies with higher free-float levels, as well as companies with good corporate governance, to ensure funds are not misappropriated. However, the ownership structure of listed companies in the Philippines shows high concentration levels compared to other ASEAN peer countries. In 49% of listed companies the largest shareholder owns more than half of the equity capital, which is well above the average levels in ASEAN (37%) and Asia (22%) (see Chapter 3). Moreover, Philippine companies lag behind their peers in important aspects of corporate governance, including the protection of minority shareholder rights, as highlighted in Section 1.2, making foreign investors hesitant.

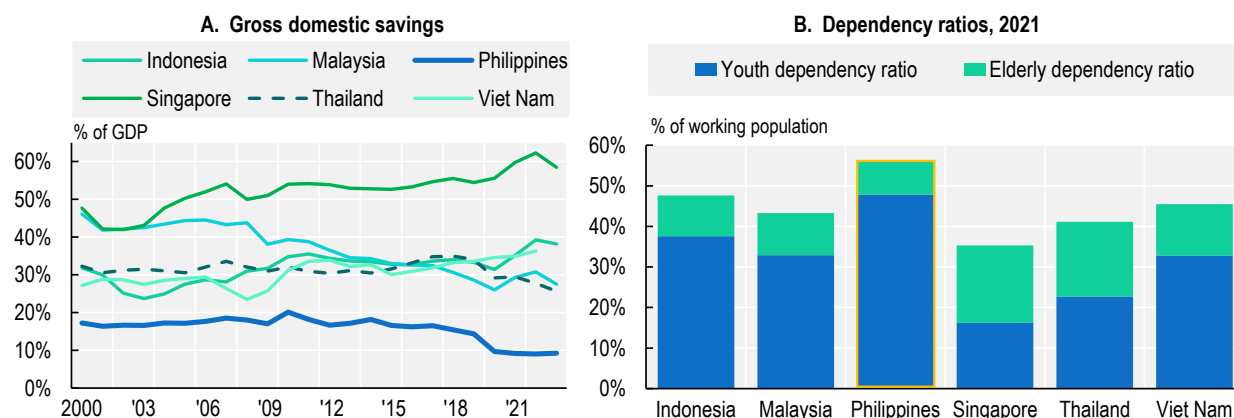
Taxes and the related processes can significantly influence the attractiveness of capital markets to foreign investors. In 2024, the Philippines introduced the *Ease of Paying Taxes Law* with the aim of facilitating tax compliance and modernising the country's tax administration. Several countries in the ASEAN region apply reduced tax rates for foreign investors (see Chapter 3). For instance, in Viet Nam, foreign corporations are subject to a reduced corporate income tax on the proceeds made in transfers of securities. In Indonesia, non-resident investors are subject to a final withholding tax of 20% on the dividends received from domestic corporations. Indonesia offers a reduced tax rate (10%) for non-residents on interest income from bonds versus the 15% faced by resident investors. These lower rates serve as an incentive for non-resident investors and are used with the objective of expand the investor base. In contrast, in the Philippines, foreign investors are taxed at a rate of 30% for interest income from bonds - 10 percentage points higher than the rate applied to domestic investors.

1.6.5. Providing households with more investment opportunities

Savings perform an important dual role in the economy, both as a buffer against uncertainty and as a source of investment. For households, savings represent a buffer that can protect against income shortfalls

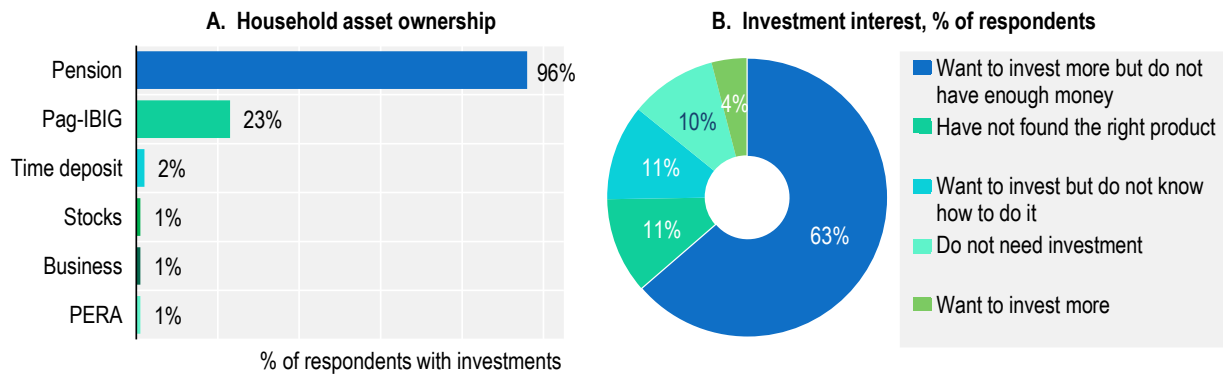
and smooth consumption over the life cycle. The domestic savings rate is low in the Philippines relative to peers, at only 14.3% of GDP in 2022 (Figure 1.28, Panel A), compared to 30%-35% of GDP in most peer countries. As low savings rates are associated with low-income levels, part of the explanation is likely to be lagging disposable incomes in the Philippines (Section 2.1). However, even when GDP per capita was higher than, or on par with, some peers (Viet Nam and Indonesia, respectively), the domestic savings rate was lower in the Philippines. A likely complimentary explanation is the demographic structure of the Philippines, with a high youth dependency ratio, which limits households' ability to save (Panel B). Only 33.5% of all households stated that they had savings in the first quarter of 2024, pointing to a relatively unequal distribution of savings opportunities. Across all income levels the share of households with savings has yet to recover to pre-COVID-19 levels (BSP, 2024^[169]).

Figure 1.28. Gross domestic savings and dependency ratios



Note: The youth dependency ratio is the ratio of the youth population (ages 0-14) per 100 people of working age (ages 15-64); and the elderly dependency ratio is the ratio of the elderly population (ages 65+) per 100 people of working age. The dependency ratio is the sum of both.
Source: CIA (2024^[170]), Field Listing - Dependency ratios, <https://www.cia.gov/the-world-factbook/field/dependency-ratios/>; World Bank (2024^[112]), Open Data, <https://data.worldbank.org/indicator/NY.GDS.TOTL.ZS>.

Detailed statistics on the composition of households' financial assets is not readily available, but according to the 2021 Financial Inclusion Survey of the BSP, the activity of adult Filipinos in the capital markets is limited (Figure 1.29, Panel A). Thirty-six per cent of respondents stated that they were financial investors, up from 25% in the 2019 survey. However, if government pension schemes are excluded, the participation of retail investors declines from 15% in 2019 to 10% in 2021. If the mandatory employment-linked savings of the Home Development Mutual Fund (Pag-IBIG) are also disregarded, retail investment is scarce. Of respondents with investments, only 2% had time deposits, 1% owned stocks and 1% had assets on a PERA account. In 2022, there were around 1 million savers (0.9% of the population) in the voluntary Pag-IBIG MP2 fund, which invests at least 70% of assets in housing finance and the rest mainly in government securities and corporate bonds. The increase in the number of PERA contributors to 5 774 by the end of September 2024, up 5.5% from the previous year, shows a modest growth in adoption rate (BSP, 2024^[171]; BSP, 2024^[113]). Meanwhile, by the end of 2023 the number of stock market accounts increased to 1.91 million, up by 11.3% from the previous year (PSE, 2024^[172]). Income constraints are a major barrier to investment (63%), and so is a lack of financial literacy (11%) and an inability to finding suitable investment products (11%) (Panel B).

Figure 1.29. Household asset ownership and investment interest

Note: Respondents may give several answers in Panel A.

Source: BSP (2021^[173]), Financial Inclusion Survey 2021,

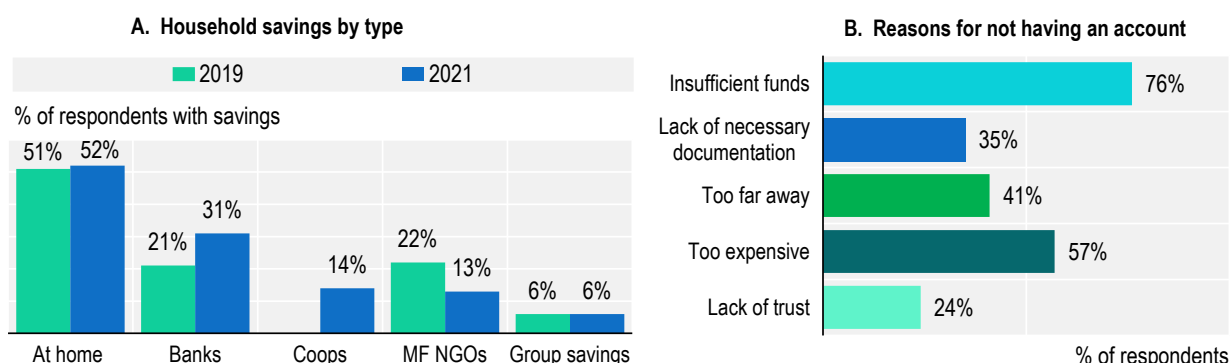
<https://www.bsp.gov.ph/Inclusive%20Finance/Financial%20Inclusion%20Reports%20and%20Publications/2021/2021FISToplineReport.pdf>.

The low savings rate is also linked to the limited financial inclusion in the Philippines. Following strong growth in basic accounts targeting unbanked households and a rapid growth of e-money accounts during COVID-19, the BSP estimates household transaction account penetration to be 65%. This includes bank accounts, accounts with non-banks and e-money wallets. For individuals, the latest BSP survey answers from 2021 suggest a bank penetration rate of 56% (BSP, 2021^[173]). Furthermore, the last Global Findex survey shows that many Filipinos continue to save money in their home, rather than with an institution (Figure 1.30, Panel A). This suggests a need to broaden and deepen financial inclusion to bring a larger share of savings into the financial system. Apart from a lack of funds, reasons for not having a bank account included that accounts are still regarded as expensive (57%), that providers are geographically inaccessible (41%), that the necessary documentation is lacking (35%) and trust is low (24%) (Panel B).

The growth in the number of stock market accounts from 870 000 in 2017 to 1.91 million in 2023 is mostly the result of the growth in online accounts, their share in the total number of accounts increasing from 45% in 2017 to 80% at the end of 2023 (PSE, 2023^[81]). This can be attributed mostly to increased interest in the online platforms of traditional brokerage firms. In the second part of 2023 the e-wallet provider GCash and the digital bank Maya launched online investment platforms allowing users to invest in the stock market. According to GCash, in April 2024 the number of users of its stock trading platform reached 500 000. This development is underpinned by the 2020 SEC rule that enables simplified onboarding of low-risk investors with maximum investments of PHP 50 000 (~USD 900) (SEC, 2020^[174]).

While the national digital ID, Philippine Identification System (PhilSys), presents a great opportunity for introducing retail investors to the capital market, additional efforts are needed. The BSP's 2023 approval of digital Know-Your-Customer rules, based on a risk-based approach and the national digital PhilSys identification, has streamlined the process to access the stock market. In August 2024 the BSP mandated supervised institutions to accept the digital ID, following the Philippines Statistic Authority's June 2024 guidance for public and private institutions to do the same (BSP, 2024^[177]). As the implementation of these stipulations may take time, some traditional brokers still do not accept PhilSys as identification. Another potential barrier to attracting customers is that some platforms require an initial deposit of up to PHP 10 000 (~USD 180). The minimum purchase amount on the PSE is relatively large, especially for certain share price brackets, which might also deter small investors.

Figure 1.30 Household account penetration and savings



Note: Accounts in Panel A refer to both financial accounts and with mobile money providers. Financial accounts are all types of accounts, including standard bank accounts, held at any financial institution. BDA refers to the Basic Deposit Account of the BSP. MF NGO refers to Microfinance Non-Governmental Organisations.

Source: BSP (2023^[175]) Financial Inclusion in the Philippines the Philippines: Dashboard - As of Third Quarter 2023, https://www.bsp.gov.ph/Media_And_Research/Financial%20Inclusion%20Dashboard/2023/FIDashboard_3Q2023.pdf; World Bank (2021^[176]) Global Findex Database 2021, <https://doi.org/10.48529/jsmy-j747>; BSP (2021^[173]), Financial Inclusion Survey 2021, <https://www.bsp.gov.ph/Inclusive%20Finance/Financial%20Inclusion%20Reports%20and%20Publications/2021/2021FISToplineReport.pdf>.

Easy-access digital platforms have shown to be an efficient way of expanding financial inclusion and provide access to investment opportunities in developing countries. The rapid expansion of retail investors in India, from 41 million to 140 million between 2019 and 2023, is largely attributed to the digital infrastructure, such as the digital ID and accessible digital investment platforms. The BSP has been very supportive, launching initiatives such as the Open Finance pilot programme, which shares financial data through an API to enable new digital products. It is also working on a framework for digital marketplaces to give bank customers access to more financial services. Likewise, the SEC issued a memorandum in April 2024 providing for the Strategic Sandbox framework. This allows potential operators of such platforms to innovate and test financial products in a live setting prior to their full launch – even when the specific regulations are absent. Products and regulations can thereby be developed in tandem to ensure flexibility and closer co-operation between the market and the regulator.

The Philippines' large remittance inflows (see Section 2.1) can also provide an opportunity for increased financial inclusion if some of these flows can be moved to formal channels. Research suggests that an increase in remittance income leads to higher household savings or investment (ADB, 2024^[178]). Even though the COVID-19 pandemic moved some remittance transactions online, over-the-counter modes of transfer dominate, with 87% of respondents using pawn shops, money services or agents, compared to 26% using banks or online transfers (BSP, 2021^[173]). Initiatives directed towards the remitters, such as the 5-year tax-free savings account and USD bonds in small denominations, are yet to be widely used.

Improving financial literacy in the Philippines is essential for promoting financial inclusion and expanding investment opportunities. The ability to make sound investment decisions crucially depends on basic financial literacy. In the 2021 BSP Financial Inclusion Survey, only 2% could answer 6 basic financial literacy questions correctly, covering the understanding of concepts such as division, inflation and compound interest (BSP, 2021^[173]). A global 2023 OECD study of 45 countries shows that financial literacy in the Philippines is significantly lower than in Malaysia and Thailand but higher than in Indonesia. Interestingly, the Philippines had the highest share of respondents holding crypto assets among all countries surveyed, while it fell below the average for those holding any financial product at all. Compared to both peers and the global average, the Philippines had markedly higher shares of respondents with negative experiences in engaging with the financial sector. These included issues such as investment scams, financial fraud, unrecognised transactions and being denied the opening of a bank account (OECD, 2023^[179]).

Research conducted by the CFA Society in the Philippines shows that there is limited awareness of UITFs and mutual funds among the population, especially among younger investors (Gutierrez, 2020^[180]). This lack of knowledge often leads to unrealistic expectations of investment performance and a poor understanding of the risks involved. Even current investors in these products often have a limited understanding of their investments. The BSP, SEC and PSE are all pursuing financial literacy initiatives, engaging market participants and other authorities in partnerships to boost engagement. However, more efforts are needed to generate sufficient scale in results.

Closely linked to financial literacy is financial consumer protection, which fosters trust in market participants and provides recourse against dishonest actors. Twenty-four per cent of unbanked Filipinos cite lack of trust as a barrier to opening an account, well above the 7% average in comparable countries (Figure 1.30, Panel D). To address this, the government has stepped up efforts to increase financial consumer protection through the passing of the Financial Consumer Protection Act in 2022. This provides supervisors with tools to protect consumer interests and resolve disputes in line with global standards. This has allowed the BSP to turn the Consumer Protection and Market Conduct Office into a mediator, offering quick resolution of disputes (BSP, 2023^[181]).

1.6.6. Recommendations

Summary

To deepen the investor base, the Philippine authorities could consider:

- Removing the minimum investment floors for SSS and GSIS and relax the pension funds' restrictions regarding investment in equities and corporate bonds.
- Reevaluate trading audits on pension funds.
- Promoting PERA more intensively, removing outstanding frictions in onboarding and administration, broadening the types of administrators and potentially increasing incentives.
- Approving the Collective Investment Schemes Law to bring uniformity to collective investment schemes and the Passive Income and Financial Intermediary Taxation Act to harmonise the tax structure; in the meantime, implementing a single-step registration process for mutual funds to simplify the regulatory framework and expedite the process to establish new funds.
- Introducing a wider range of products on the PSE and increasing the number of ETFs.
- Ensuring investors have access to easy onboarding and streamlined digital platforms at low costs with low minimum investments.
- Increasing efforts to boost financial literacy, including through the involvement of market participants and co-operating to deliver common messages and launch campaigns aimed at targeted groups, and participating in the PISA financial literacy assessments.
- Implementing a private-public initiative to create awareness among citizens of the financial consumer protection system in place to ensure fair and responsible treatment of consumers.

Institutional and retail investors are core elements for dynamic and vibrant capital markets. Their participation ensures that institutional capital and households take part in corporate value creation and build savings and wealth, and it helps to democratise overall economic expansion. To support the development of the investor base, the Philippine authorities could consider implementing the initiatives outlined below.

The Philippine authorities should continue to promote the use of PERA and seek to remove frictions to its widespread adoption. This could be done by increasing the number of administrators, reducing the burden of onboarding faced by new account holders and ensuring that both attractive default options and more tailored investment opportunities are available. Furthermore, authorities could also consider increasing the tax credits available to ensure the incentive is high enough to set up an account and make regular contributions.

Regulators could adjust investment limits to increase expected returns for pension funds and pension reserves. The OECD Core Principles of Private Pension Regulation recommend that regulators do not prescribe a minimum level of investment for any given category of investment and to avoid portfolio limits that prevent adequate diversification. The Philippines could consider removing the investment floors for the SSS (15% in government securities) and the GSIS (40% in loans). Moreover, easing restrictions on credit quality, maturity and share of funds allocated to an asset class or specific investment, as well as investment target size and profitability, could help direct capital to where it is most needed, while ensuring attractive returns. Current post-trade auditing rules for public institutional investors could also be reviewed to ensure these investors are not discouraged from actively trading.

The Philippines does not have a unified framework to deal with various types of collective investment schemes (CIS), unlike other ASEAN countries. The fragmented regulation of CIS has significantly prevented the industry from developing. The proposed CIS Law, once passed, will level the playing field and provide a uniform tax and regulatory framework for all CIS products. It will also establish the legal foundation for other investment products, such as exchange-traded funds (ETFs) and real estate investment trusts (REITs). Authorities should urge the approval of the bill.

The current tax system creates significant disparities between mutual funds and UITFs, potentially leading to tax arbitrage. Although the Passive Income and Financial Intermediary Taxation Act has been passed by the House, its vote in the Senate is still pending. Authorities should encourage the approval of the Act. Once implemented, it will harmonise the tax treatment of equivalent products, reduce arbitrage opportunities and promote the development of investment funds.

In the meantime, it would be beneficial to streamline the mutual fund setup process, which currently takes approximately one year. This prolonged timeline has proven to be a major obstacle, hindering the overall development of the mutual fund industry in the Philippines. Implementing a single-step registration process for mutual funds would be a natural starting point for expediting their establishment.

The presence of listed companies with high free-float levels in public equity markets and the availability of diverse financial instruments could attract more foreign investors. Authorities should focus on increasing the number of listed companies with higher levels of free-float, broadening the range of available investment and hedging products, such as ETFs and derivatives. Additionally, promoting the inclusion of Philippine companies in major investable indices and improving corporate governance standard will also help attract more foreign investors. Measures to improve the attractiveness of capital markets to foreign investors should be considered. This could include aligning taxes with peer countries and simplifying procedures.

To replicate the success of digital investment platforms in other emerging markets, regulators should collaborate with market participants to deliver a streamlined, cost-effective experience for investors. Regulators should remain flexible in addressing technical or procedural challenges to facilitate the efficient establishment of digital investment platforms. Moreover, they should encourage platforms to eliminate the minimum balance requirement for opening accounts. The BSP should ensure that banks accept the digital Philsys ID and authorities should encourage brokers and digital platforms to follow suit, with the aim of streamlining the digital onboarding process. Moreover, the SEC should approve the proposed amendment to reduce the minimum purchase amount, allowing investments starting at PHP 100 (~USD 1.8).

Although many financial literacy programmes have been established, further efforts are needed to increase financial literacy and mobilise existing savings. The authorities should consider building on the National Strategy for Financial Inclusion 2022-2028 to further engage market participants such as banks, digital financial service providers, brokers, investment firms and asset managers through a concerted effort and with common messages. Furthermore, targeted campaigns towards young people for example, could be an effective channel to increase financial literacy and inclusion. The authorities should continue to increase their efforts to raise trust in the financial system, clearly communicating the properties and mechanisms of the financial consumer protection system in place. Finally, the Philippines should join the PISA financial literacy assessments to compare its levels of literacy with other markets and gain valuable insights into how other countries have developed policies and programmes.

The large flows of remittances are mainly employed to finance household consumption, but greater financial inclusion could be achieved by channelling some of these funds through digital or banking platforms, facilitating investment in the capital market.

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Notes

¹ MC No. 8, 2018, which requires shareholders' approval for any change in the company's external auditor and mandates that the Audit Committee consist exclusively of board members; MC No. 3, 2020, which establishes a minimum 21-day notice period for regular stockholders' meetings; MC No. 12, 2020, which mandates shareholders' approval for the sale of 51% or more of a company's assets in a single or aggregated transaction within one year; MC No. 14, 2020, which grants shareholders the right to propose items for inclusion in the agenda of regular or special meetings; MC No. 7, 2021, which grants shareholders the right to call special stockholders' meetings; and MC No. 11, 2024, which prescribes the minimum content for meeting minutes and mandates their posting on the company's website within five business days.

² The minimum commission rate varies between 0.05%-0.25% of the transaction value, with higher commission rates charged for small transactions. The maximum broker's commission allowed is 1.5% of the traded value.

2 The corporate sector

This chapter provides an overview of key economic indicators for the Philippine economy, along with comparisons with selected peer countries. It also provides an in-depth characterisation of non-financial companies' demographics, capital structure, investment and performance in the Philippines and compares it to selected peer countries.

During much of the last decade the Philippines has experienced strong GDP growth rates, above growth in the Association of Southeast Asian Nations (ASEAN) region, and GDP per capita has roughly doubled since 2000. While investment has been a key underlying driver of growth, especially after the mid-2010s, the country still lags behind its neighbours in terms of capital depth. The COVID-19 induced downturn hit the economy harder than regional peers, with a 9.5% drop in GDP and unemployment reaching 10.3% in 2020. Increased fiscal spending helped targeted low-income groups and supported the economic rebound, while simultaneously leading to a sharp increase in debt-to-GDP, now nearing 60%. This has led to the adoption of the *Medium-Term Fiscal Framework* (MTFF) that seeks to contain deficits and create fiscal space, while ensuring continued investment-backed growth, with the objective of reaching upper middle-income status by 2028 in accordance with the overall Philippine Development Plan.

2.1. Overview of the economy

After the turbulence of the 1980s and the financial crisis of the 1990s, the Philippines experienced a more stable macroeconomic environment and began to enjoy the dividends of previous structural reforms. In the decade up to the COVID-19 crisis, GDP grew by 6.3% on an annual basis, up from 4.8% between 2001 and 2010. Capital accumulation and increasing labour productivity were the main drivers of this growth (World Bank, 2018^[1]). Investment as a share of GDP peaked in 2019 at slightly over 27% of GDP, while unemployment steadily declined before the COVID-19 crisis (Table 2.1). Services, both low-skilled segments and higher value-add business process outsourcing, as well as manufacturing, especially electronics, have been key sectors driving growth. While much of this expansion can be attributed to the large conglomerates that dominate the economy, these structures also raise questions about potentially poor competition and subdued investment in certain sectors that continues to weigh down on the economic potential (World Bank, 2022^[2]; World Bank, 2018^[1]).

The Philippines was hit harder economically by the COVID-19 crisis than its regional peers. This was partly due to higher cases of illness, and the resulting disruptions to its service and manufacturing sectors (ADB, 2021^[3]). The Philippines' reliance on contact-based services and exports sensitive to supply chain retrenchment proved to be weaknesses, with GDP declining by 9.5% in 2020. The government responded by implementing policies targeted towards households particularly prone to be affected, while simultaneously boosting the recovery of consumption. The economy started to recover in 2021 and growth accelerated to 7.6% in 2022, partly due to pent-up demand, before slowing to 5.6% in 2023, but still outgrowing peers. Meanwhile, increasing inflation led the central bank to substantially increase interest rates by 450 basis points between May 2022 and October 2023, settling at a target rate of 7%. Besides having a cooling effect on the economy, this also strengthened the Philippine peso, leading to lower imported inflation. By late 2023 the inflation rate had fallen to 3.9%, within the target range of 2-4%.

Economic growth is anticipated to increase to 6% in 2024 and remain at that pace in the mid-term, based on increased investment and external demand (IMF, 2024^[4]). Monetary policy is expected to soften in coming years, but the government's shift towards a more restrictive fiscal policy might dampen the prospects of growth outpacing expectations. Meanwhile, benefitting from the demographic dividend of a younger population, the Philippines is forecasted to outgrow its peers and converge with richer neighbours in coming years (IMF, 2023^[5]).

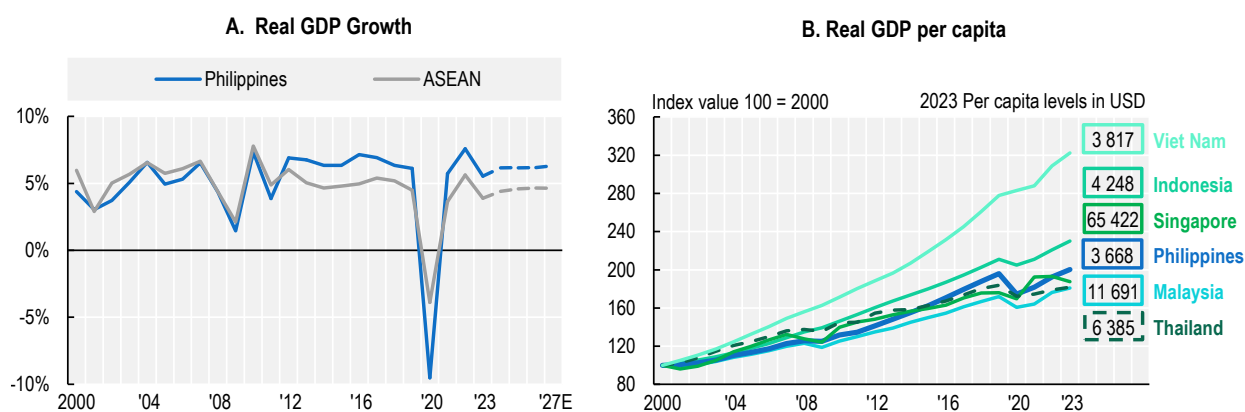
Table 2.1. Key economic indicators for the Philippines

	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023
Real GDP growth (%)	6.8	6.3	6.3	7.1	6.9	6.3	6.1	(9.5)	5.7	7.6	5.6
Real GDP per capita (USD 2017 PPP)	6 611	6 918	7 235	7 616	8 002	8 366	8 732	7 773	8 096	8 582	NA
Unemployment rate (%)	7.1	6.8	6.3	5.4	5.7	5.3	5.1	10.3	7.8	5.4	4.3
Headline inflation (%)	2.6	3.6	0.7	1.3	2.9	5.3	2.4	2.4	3.9	5.8	6.0
Labour productivity growth (%)	3.4	5.4	4.1	0.7	10.8	2.3	3.1	13.0	(7.8)	(2.3)	1.9
Fiscal balance (% of GDP)	0.4	1.3	0.1	(0.7)	(0.8)	(1.5)	(1.5)	(5.5)	(6.2)	(5.5)	(5.1)
Primary fiscal balance (% of GDP)	2.7	3.5	2.1	1.0	0.9	0.2	0.1	(3.7)	(4.4)	(3.5)	(2.9)
Gross government debt to GDP (%)	43.9	40.3	39.7	37.4	38.1	37.1	37.0	51.6	57.0	57.4	56.6
Current account balance (% of GDP)	4.0	3.6	2.4	(0.4)	(0.7)	(2.6)	(0.8)	3.2	(1.5)	(4.5)	NA
Investment (GFCF, % of GDP)	20.8	20.9	22.2	25.0	25.6	27.3	27.2	21.3	22.3	23.3	NA
Non-performing loans to total lending (%)	2.4	2.0	1.9	1.7	1.6	1.7	2.0	3.5	4.0	3.1	3.4

Note: Investment refers to the Gross Fixed Capital Formation (GFCF).

Source: ILOSTAT (2024^[6]) Statistics on labour productivity, <https://ilostat.ilo.org/topics/labour-productivity/>; IMF (2024^[4]) World Economic Outlook Database, <https://www.imf.org/en/Publications/WEO/weo-database/2024/April>; IMF (2024^[7]), Financial Soundness Indicators, [Financial Soundness Indicators - IMF Data](https://www.imf.org/en/Publications/WEO/weo-database/2024/April); PSA (2024^[8]) Labor Force Survey, <https://psa.gov.ph/statistics/labor-force-survey>; World Bank (2024^[9]) Open Data, <https://data.worldbank.org/>.

From a real GDP growth slightly below the ASEAN region before the 2010s, the Philippines has since 2011 outpaced the region (Figure 2.1, Panel A). It suffered relatively worse downturns both during the 2008 global financial crisis and the COVID-19 pandemic, but the latest rebound has also been stronger. GDP per capita development over the last two decades is in the mid-range relative to peers (Panel B). In 2023, the Philippines performed worse than Indonesia and Viet Nam, resulting in the lowest GDP per capita among peer countries at USD 3 528. This puts the Philippines roughly on par with Viet Nam, and about 13% below Indonesia in terms of real GDP per capita.

Figure 2.1. Real GDP growth and GDP per capita

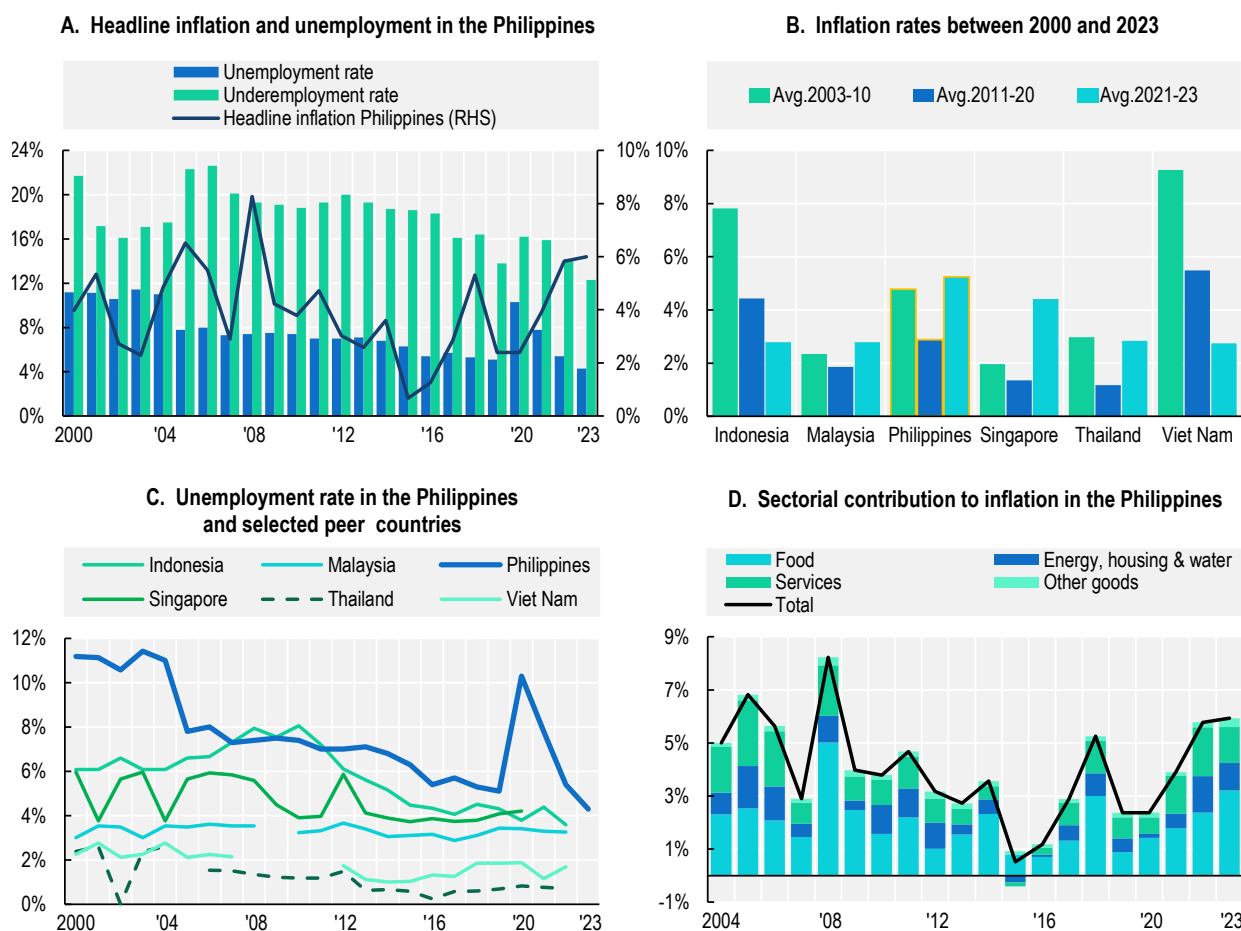
Note: In Panel A, the values for 2024 to 2027 are forecasts.

Source: IMF (2024^[4]) World Economic Outlook Database, <https://www.imf.org/en/Publications/WEO/weo-database/2024/April>; World Bank (2024^[9]) Open Data, <https://data.worldbank.org/>.

Unemployment has generally been higher in the Philippines relative to peer countries. Nevertheless, unemployment rates have steadily declined over the past two decades (Figure 2.2, Panel A). The country suffered an unemployment rate spike during the COVID-19 crisis, partly due to the fall in global migrant

labour (ADB, 2021^[3]). However, in the aftermath of the crisis, the unemployment rate quickly returned to its pre-crisis trend. Equally important, the underemployment rate, defined as those in the labour force in employment seeking to work more hours, has declined by around 10 percentage points since 2005. While overseas workers have increased from about 1 million in 2006 to an average of 1.9 million during the 2016-19 period, the reduction of the slack in the labour force also rests on solid economic growth (Migration Policy Institute, 2024^[10]). While efforts being made to reduce the large share of unsecure short-term job contracts could impact the willingness to hire more staff, it could also improve the working conditions of employees and possibly help formalise part of the sizeable informal economy (ILOSTAT, 2024^[11]). The relatively young population could provide a demographic boost to the economy, but also implies a risk of upward pressure on the unemployment rate if sufficient economic growth fails to materialise.

Figure 2.2. Inflation and unemployment



Note: In Panel D, food includes alcohol and tobacco. The weights used to calculate the contributions to inflation are based on a 2018 consumer price index by the Philippine Statistics Authority.

Source: PSA (2024^[12]), Labor Force, [PX-Web - Select variable and values \(psa.gov.ph\)](https://psa.gov.ph/PX-Web-Select-variable-and-values); PSA (2024^[13]), Prices, [PX-Web - Select table \(psa.gov.ph\)](https://psa.gov.ph/PX-Web-Select-table); World Bank (2024^[9]) Open Data, <https://data.worldbank.org/>.

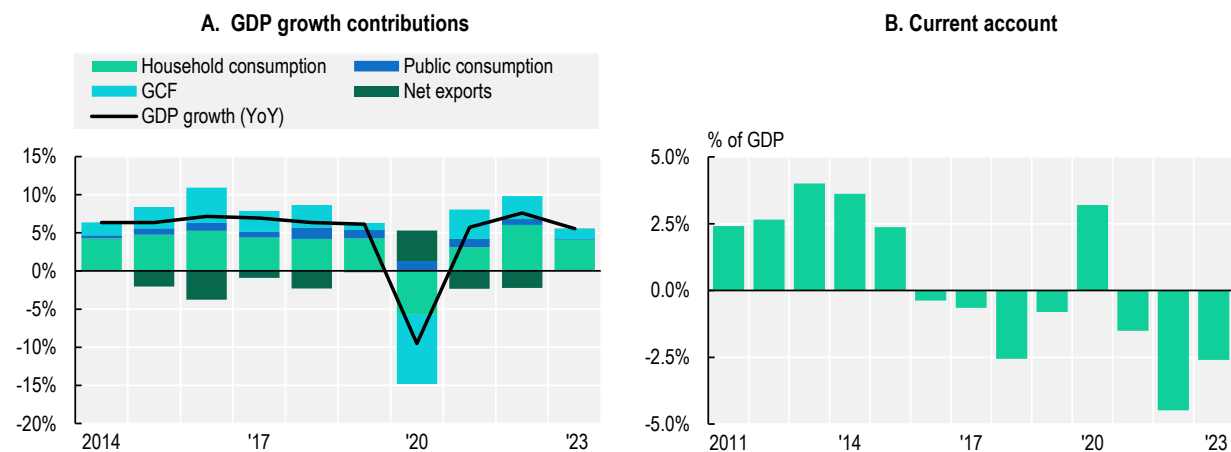
Inflation in the Philippines decreased over the last decade, in line with peer countries. This follows globally subdued inflation rates following the 2008 global financial crisis, mainly driven by lower increases in food prices and services (Figure 2.2, Panel D). Inflation spikes following the 2008 financial crisis, in 2018, and post COVID-19 were mainly caused by increases in food and commodity prices. Food makes up a large share of the CPI. Moreover, the Philippines is more reliant on imported foods than neighbours and has

been worse affected by barriers erected in some exporting countries (Natixis Corporate and Investment Banking, 2022^[14]). The war in Ukraine and the subsequent disruption to supply chains have increased pressure on food prices. These developments have highlighted the need for policies to increase agricultural productivity. Meanwhile, inflation had fallen to 3.9% in December 2023, after forceful rate hikes by the central bank during 2022 and 2023 (DOF, 2024^[15]).

Household consumption and gross capital formation have been important drivers of Philippine growth since 2000, in particular with investment accelerating in the 2010s, helping to boost growth past the levels of the previous decade. These were also the two GDP components hardest hit by the COVID-19 crisis, leading to a cumulative decline of 15% in GDP in 2020, somewhat offset by positive net exports and government consumption (Figure 2.3, Panel A). Generally, however, net exports have not had a positive impact on GDP growth, with an average contribution of -0.4%. Recently, capital formation has been somewhat weighed down by a reduction in inventories built up in 2022 and by a cooling of private construction, driven by higher interest rates (IMF, 2023^[5]). Fiscal consolidation has meanwhile reduced the size of government consumption.

The current account of the Philippine economy is characterised by net goods imports, net service exports and a dependence on remittances (Figure 2.3, Panel B). Commodity price increases pushed the current account into clearly negative territory in 2018, and together with a rebounding demand led to a 4.5% deficit in 2022. This eased to a 2.6% deficit in 2023, mainly due to a narrowing goods trade deficit, while the service surplus increased, as well as the secondary income through steady remittance growth (BSP, 2024^[16]). The COVID-19 crisis severely hit the important tourism and business process outsourcing sectors, although the Philippines reported an overall surplus due to sharply declining imports relative to exports. The recovery of these sectors has since been central in narrowing the current account deficit. Going forward, continued infrastructure investments may boost tourism and transport growth significantly, while the outsourcing sector is expected to continue expanding (Economist, 2024^[17]). This suggests a potential return to a positive current account balance. However, the Philippines remains vulnerable to commodity price fluctuations, especially food and fuel, and will remain so in the mid-term (IMF, 2023^[5]).

Figure 2.3. GDP growth contribution and current account composition in the Philippines



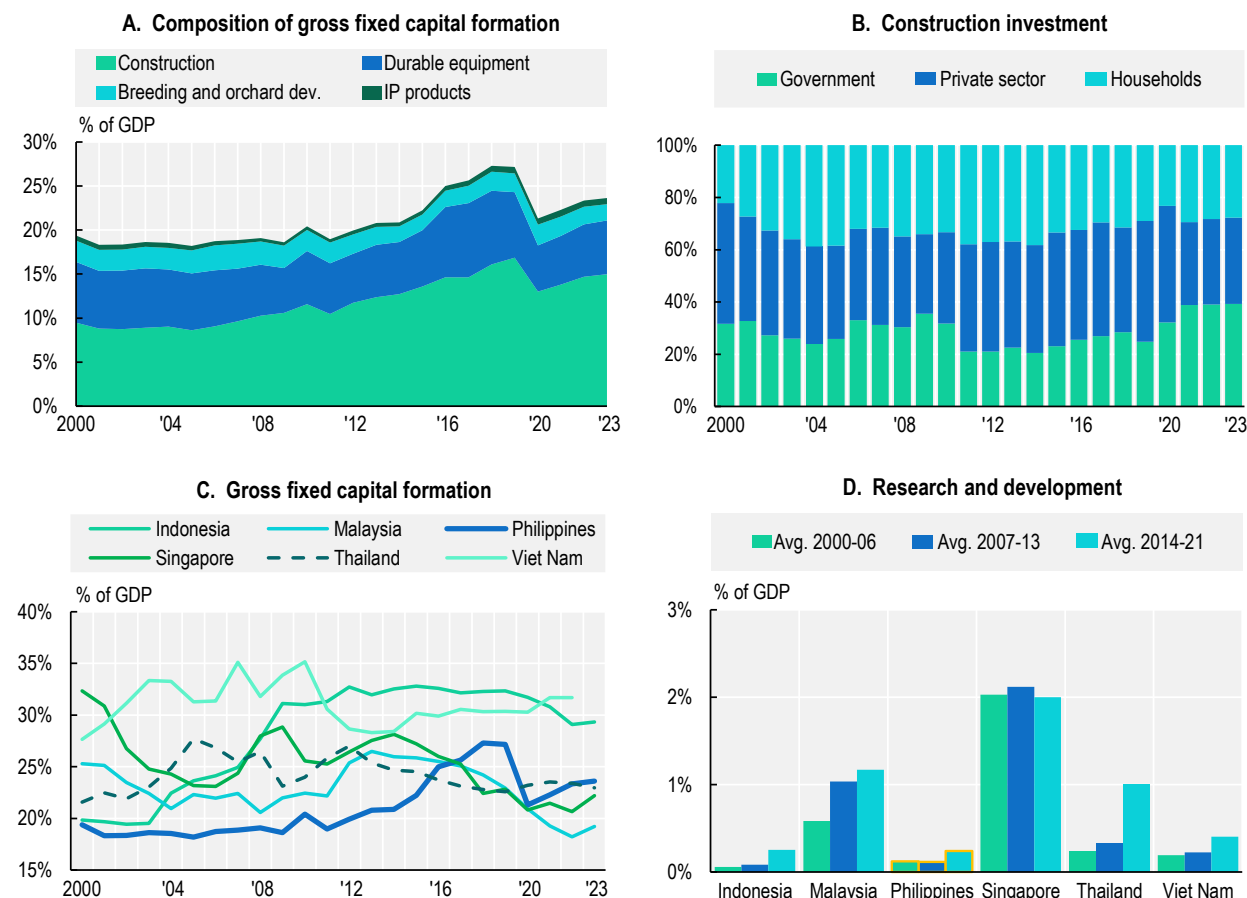
Note: GCF stands for Gross Capital Formation.

Source: IMF (2024^[18]) Balance of Payments and International Investment Position, [IMF Data](#); IMF (2024^[4]), World Economic Outlook database, [Report for Selected Countries and Subjects \(imf.org\)](#); PSA (2024^[19]) Economic Accounts, [PX-Web - Select variable and values \(psa.gov.ph\)](#).

In the decade until the COVID-19 pandemic, investment in the Philippines grew from 18-19% of GDP to over 27%. Construction drove this increase, as well as durable equipment to a lesser extent in the late 2010s. The pandemic led to a sharp decline in GDP, but it rebounded strongly, led especially by

government construction (Figure 2.4, Panels A and B). At the same time, private and household construction have declined relative to government investment. This was particularly evident after 2020, as a decline in building permits coincided with tighter monetary policy and higher borrowing costs (IMF, 2023^[5]). Despite the increase in investment over the period, the Philippines still lagged behind other developing peer countries, such as Indonesia and Viet Nam, where gross fixed capital formation constituted over 30% of GDP during much of the decade preceding the COVID-19 pandemic (Panel C). Recently, the government has increased its efforts to boost investment further through the Build Better More programme and the passage of the Private-Public Partnerships Code (IMF, 2023^[5]).

Figure 2.4. Investment trends



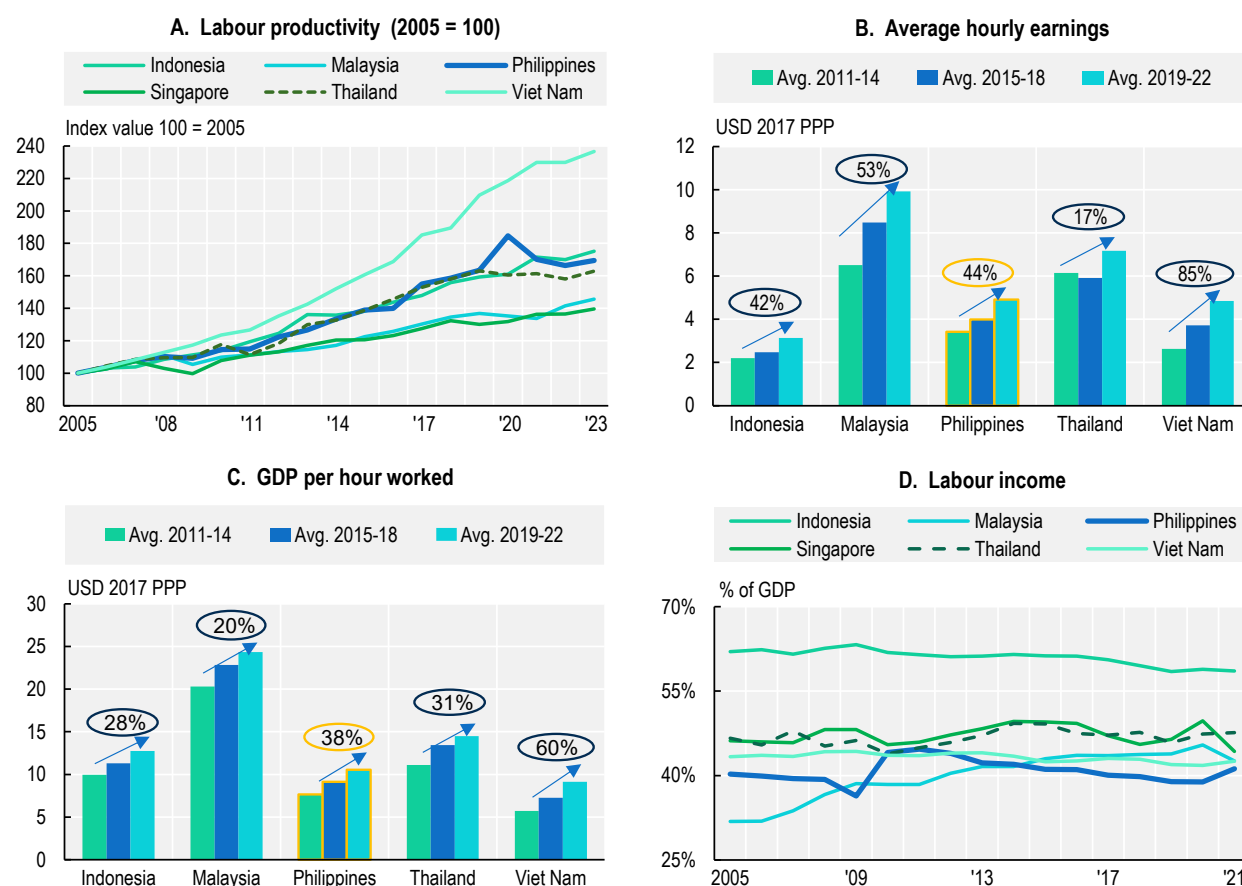
Note: Data on research and development are patchy, with only two observations for the 2014-2021 Philippine average (2015 and 2018).

Source: PSA (2024^[19]) Economic Accounts, [PX-Web - Select variable and values \(psa.gov.ph\)](https://px-web.psa.gov.ph); World Bank (2024^[9]) Open Data, <https://data.worldbank.org/>; World Bank (2024^[9]) Open Data, <https://data.worldbank.org/>.

As in many low- and mid-income countries, R&D remains subdued in the Philippines, at 0.1% to 0.3% of GDP over the last two decades. However, data is patchy and the last available data point is for 2018, where it peaked at 0.32% of GDP (Figure 2.4, Panel D). Spending is lower than in many peers and far from most developed countries, which often invest above 2% of GDP. Government spending made up 60% of total R&D in 2018, and was tilted towards agricultural research, with the private sector making up the other 40%, with its R&D relatively more focused on engineering and technology (Congressional Policy and Budget Research Department, 2022^[20]). Limited government budget allocations, combined with conservative disbursement of funds continue to limit overall R&D spending.

Labour productivity in terms of GDP per hour worked has increased rapidly over the last decades. A spike in productivity during the COVID-19 pandemic was mainly due to hours worked decreasing faster than production, and it decreased as the labour market normalised (Figure 2.5, Panel A). The Philippines has converged somewhat with more developed peers, but has also fallen behind better performers, such as Viet Nam and Indonesia. The increase in labour productivity has been driven mainly by structural changes, where significant parts of the labour force have moved from the less productive agricultural sector to services and manufacturing. These sectors have also developed towards a greater focus on more skill-intensive products, as in the case of manufacturing shifting from textiles and paper towards electronics equipment (World Bank, 2018^[1]). Labour productivity growth increased in parallel to an increase in capital investment in the second half of the 2010s, but capital accumulation has nonetheless lagged peers and continues to weigh on the country's productive potential.

Figure 2.5. Labour productivity and labour income as a share of GDP



Note: For Panel A labour productivity refers to GDP per hour worked. For Panel C the 2011-14 average for Thailand relies on a single observation and the 2019-22 average for Malaysia on two observations.

Source: ILOSTAT (2024^[6]), Statistics on labour productivity, <https://ilostat ilo.org/topics/labour-productivity/>; ILOSTAT (2024^[21]), Statistics on wages, <https://ilostat ilo.org/topics/wages/>; ILOSTAT (2024^[22]), Statistics on labour income and inequality, <https://ilostat ilo.org/topics/labour-income/>.

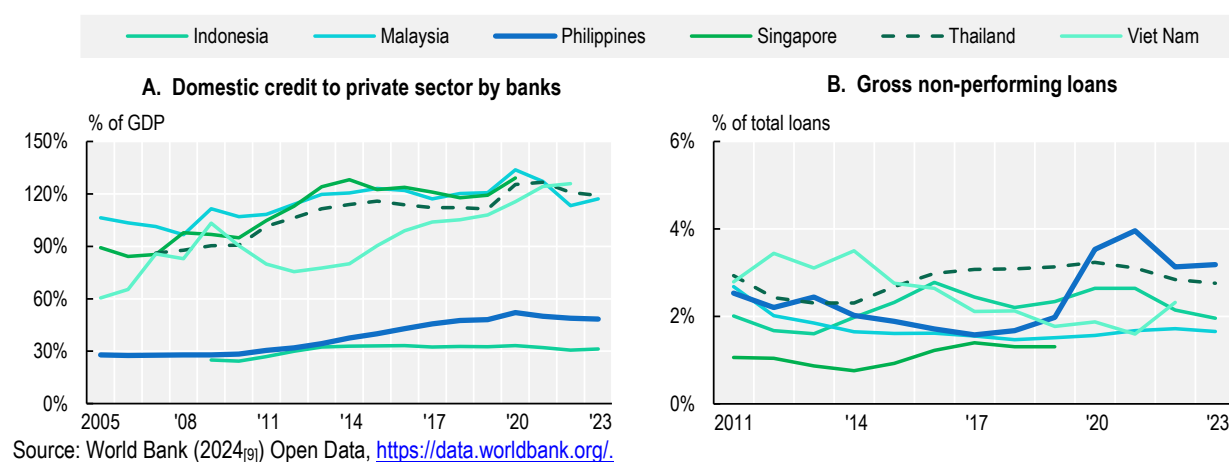
Hourly labour costs have also increased at a higher rate than output, meaning higher unit labour costs (Panels B and C). Meanwhile, peers have faced similar increases in labour costs relative to productivity. The rise in output and earnings per hour suggests an improvement in competitiveness relative to neighbours over the 2011-22 period, except for Thailand whose starting point relies on a single

observation. However, these figures are PPP adjusted so do not provide a perfect comparison in terms of international competitiveness. It is also worth noting that wages have roughly regained their share of overall domestic product after a decline over the last decade and now stand slightly above the 2005 level, while still lagging peers (Panel D).

The Philippine financial sector is dominated by banks that are generally part of larger conglomerates. Their lending to non-financial corporations makes up about 58% of total loans, markedly higher than among peers (IMF, 2023^[5]). Meanwhile, the share of lending by non-bank financial intermediaries (NBFIs) to non-financial corporations has been flat at 22% since 2017, whereas the NBFIs share of credit to the private sector as a whole has increased from 34% to 37% (BSP, 2024^[23]). Philippine banking has grown substantially over the last decades, with domestic credit to the private sector by banks increasing from 27% to 50% of GDP during the 2005-23 period (Figure 2.6, Panel A). While the Philippines relies heavily on banks for its corporate financing needs, the banking sector is still relatively small compared to most of its peers. This suggests it is relatively underbanked and might suffer from credit shortage. There are, however, other types of financing available in the country, such as local informal lenders and pawnshops that provide short-term credit at higher rates. At the end of 2021, the pawnshop industry's assets totalled PHP 103.5 billion (~USD 2.0 billion), compared to PHP 1 491.5 billion (~USD 29.2 billion) for consumer loans of universal, commercial and thrift banks, and PHP 20.8 trillion (~USD 408.4 billion) for the total banking sector. (Agcaoili, 2024^[24]; BSP, 2021^[25]). The share of loans to SMEs is still lower than before the pandemic.

The financial sector experienced some stress during the COVID-19 crisis, as non-performing loans (NPLs) as a share of total loans doubled to nearly 4%. While the authorities responded with strong forms of forbearance, allowing banks to provision over a maximum of five years in order to delay NPL recognition, the economic slowdown and credit tightening has pushed up troubled loans (IMF, 2021^[26]). Although this may have softened the impact of credit stress, it could also prolong the resolution of non-performing loans and thus weaken the financial system. NPLs could potentially increase as loans refinance at current higher rates, especially in the commercial real estate sector where vacancy and leverage rates remain high.

Figure 2.6. Banking sector loan trends

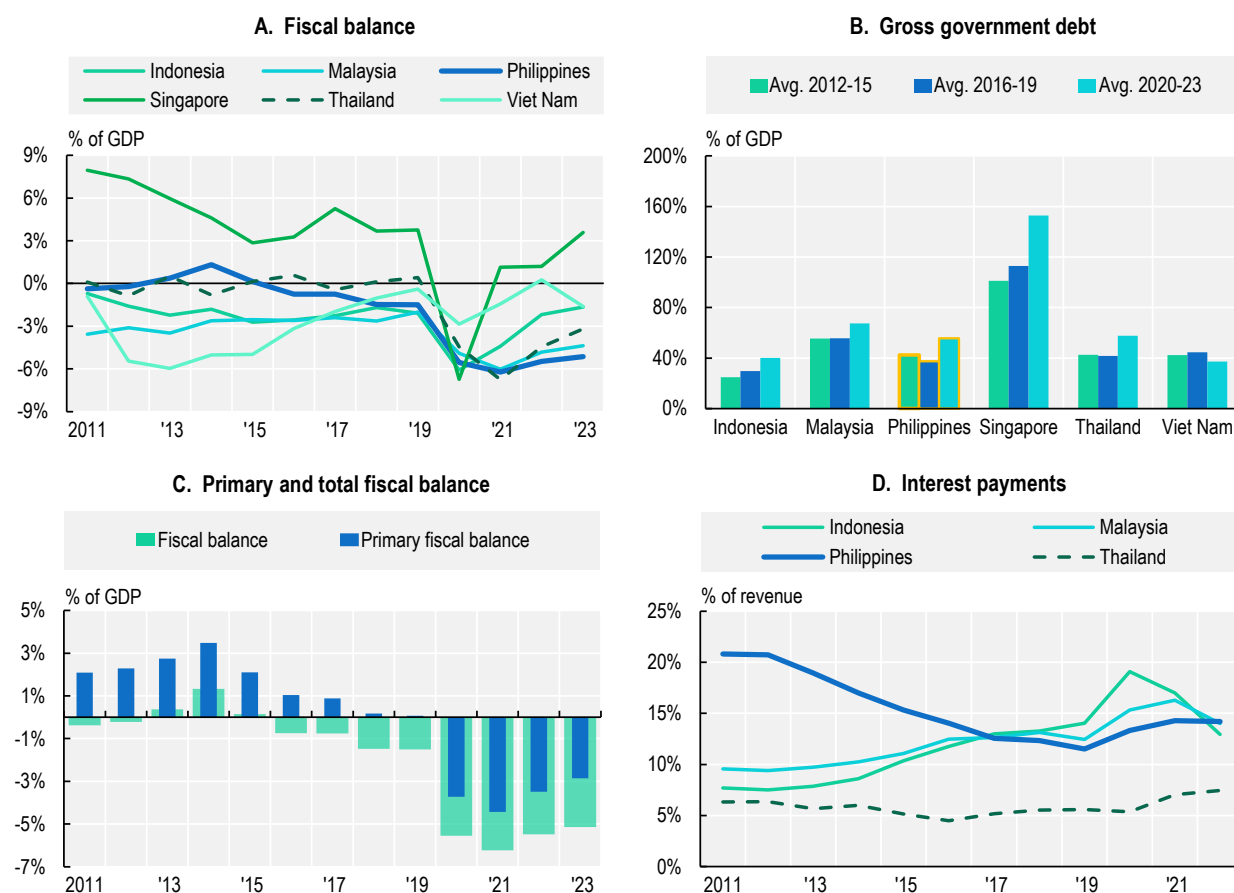


Compared to most developing peers, the Philippines had a relatively conservative fiscal policy in the decade before the 2008 global financial crisis with mostly positive primary fiscal deficits (Figure 2.7, Panel A and C). However, by 2016 increasing government investment turned the total fiscal balance negative. The response to the COVID-19 pandemic, with targeted support for certain groups and decreased revenues, led to a primary deficit of -4.4% in 2021. The response was designed to contain the increase of poverty, boost consumer sentiment and support the recovery by assisting vulnerable households. Partly

motivated by the need for future fiscal space, and the potentially destabilising effects of high debt levels, Congress in 2022 adopted the *Medium-Term Fiscal Framework*. The objective is a 3% deficit by 2028, debt-to-GDP under 60% by 2025, while maintaining and expanding initiatives to support growth. In 2023 fiscal consolidation improved as the primary deficit shrunk to -2.9% (IMF, 2023^[5]).

Debt levels as a share of GDP were decreasing until the crisis, from about 45% earlier in the decade to around 37%. COVID-19 crisis spending and a contracting economy pushed debt-to-GDP to near 60% (Figure 2.7, Panel B). This rapidly worsening fiscal position as a result of relatively targeted responses highlighted the limits of future spending power. Moreover, the Philippines' vulnerability to climate-induced crises reinforces the need for more fiscal space (World Bank, 2022^[27]).

Figure 2.7. Fiscal balance and gross government debt



Source: IMF (2024^[4]), World Economic Outlook Database, <https://www.imf.org/en/Publications/WEO/weo-database/2024/April>; World Bank (2024^[9]) Open Data, <https://data.worldbank.org/>.

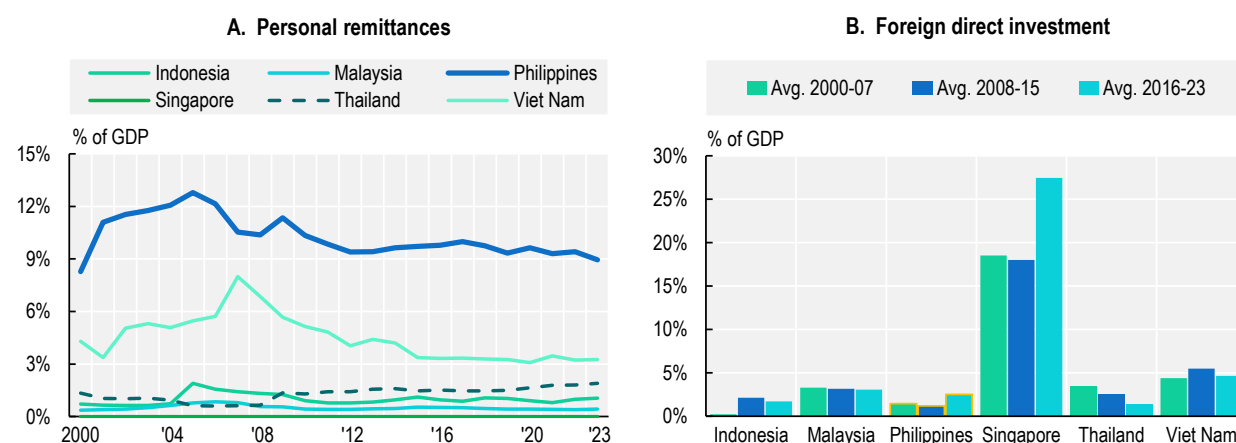
Government interest payments as a share of revenues steadily declined between 2011 and 2019 along with the reduced debt levels but have increased since 2019 and have stabilised around 14%. This is still significantly higher than most peers, and most developed markets – which usually do not face interest payments much higher than 8% of revenues (Figure 2.7, Panel D). Maturities on Philippine government debt has continuously increased, with short- and mid-term maturities making up 40.6% of the outstanding amounts in 2000, decreasing to 20.5% in 2023. The long-term maturities have correspondingly increased from 58.6% to 79.4% (Bureau of the Treasury, 2023^[28]). This underlines the importance of successfully concluding fiscal consolidation, both by containing expenditure and increasing the taxbase as suggested in the *Medium-Term Fiscal Framework* (IMF, 2023^[5]). It should also be noted that the government seeks

to further increase investment rates, as growth remains a key lever to maintain a manageable debt-to-GDP level.

Personal remittances are an important feature of the Philippine economy that sets it apart from its peers in terms of providing an alternative source of consumption and savings. They provide a steady flow of foreign exchange and help fund the current account deficits. The remittances also provide a source of income and savings that supports many low-income families and help fund small scale businesses. The government has sought to leverage this pillar of the economy and offers special savings products for these large overseas inflows in the form of tax-exempt retail dollar-denominated bonds, with subscriptions as low as USD200 initially and USD 100 for further increments (Bureau of the Treasury, 2023^[29]). Remittances from overseas Filipinos have ticked down somewhat as a share of GDP over the last two decades, from 12% to slightly under 10% (Figure 2.8, Panel A).

Foreign direct investment (FDI) in the Philippines has long lagged its peers. For the period following the 2008 crisis and up until 2015, the average was 1.3% of GDP, almost 1% behind Indonesia, the second lowest and significantly behind Viet Nam. This partly explains the lack of capital accumulation in the country relative to peers. Strict rules on foreign ownership of land and equity ownership stand in stark contrast with the more liberalised approach in Viet Nam. The second half of the 2010s did see a doubling of the FDI rate to 2.6% of GDP, thus overtaking that of Indonesia. But even this rate is modest by international standards and explains the government's efforts to spur foreign direct investment further, for example through the Regional Comprehensive Economic Partnership, a trade and investment agreement, which entered into force in 2022 (IMF, 2023^[5]).

Figure 2.8. Remittances and foreign direct investment



Source: World Bank (2024^[9]) Open Data, <https://data.worldbank.org/>.

2.2. Business demographics

Micro, small and medium-sized enterprises (MSMEs) are an essential part of the economy in the Philippines, as well as in peer countries. Due to their dynamic nature, high growth potential and substantial contribution to employment, MSMEs play a crucial role in fostering innovation and growth in the economy (Aldaba, 2012^[30]). By the end of 2022, over 99.6% of enterprises in the Philippines were MSMEs, meaning only 0.4% were classified as large enterprises (over 200 employees). In peer countries, the share of MSMEs ranged from 97.2% to 99.9% (Table 2.2). More than 90% of Philippine MSMEs were micro-enterprises (employing less than 10 employees), while small enterprises (10 to 99 employees) accounted for 8.7% and medium-sized enterprises (100 to 200 employees) 0.4%. Indonesia and Thailand

have comparable distributions of firm size, where micro and small enterprises together represent more than 98% of the total number of enterprises. The proportion of micro-enterprises is lower in Malaysia (77%), Singapore (77%), and Viet Nam (63%), with higher shares of small, medium, and large sized enterprises.

Table 2.2. Company distribution by firm size, end of 2022

	Micro	Small	Medium	Large	Number of firms	Number of firms per 1 000 citizens
Philippines	90.5%	8.7%	0.4%	0.4%	1 109 684	9
Indonesia	98.7%	1.2%	0.1%	0.01%	65 471 133	236
Malaysia	76.7%	19.2%	1.5%	2.6%	1 204 987	35
Singapore	77.4%	16.8%	4.5%	1.3%	300 700	51
Thailand	85.2%	13.0%	1.4%	0.5%	3 202 001	45
Viet Nam	62.6%	31.1%	3.5%	2.8%	610 637	6

Note: There is no common definition for MSMEs across ASEAN countries. The Philippine Statistics Authority (PSA) classifies MSMEs based on the number of employees, while the Republic Act No. 9501 classifies MSMEs based on their asset value. The report follows the PSA's definition. In Viet Nam, the number of employees, total revenue and total capital are used in combination to classify MSMEs. In Indonesia there is a wide prevalence of ultra micro enterprises in the country, which is reflected in the MSME data. See the Annex for more detail. The data for Indonesia and Viet Nam are for 2019.

Source: Ministry of Cooperatives and Small and Medium Enterprises in Indonesia (2021^[31]), Data Development of Micro, Small, Medium Enterprises (MSMEs) and Large Enterprises (UB) in 2018-2019, <https://satudata.kemerkopukm.go.id/arsip/2>; PSA, (2022^[32]) 2022 List of Establishments, <https://dtiwebfiles.s3.ap-southeast-1.amazonaws.com/MSME+Resources/2022+Philippine+MSME+Statistics+in+Brief.pdf>; SME Corporation Malaysia (2023^[33]), Profile of MSMEs (2016-2022), <https://www.smecorp.gov.my/index.php/en/policies/2020-02-11-08-01-24/profile-and-importance-to-the-economy>; Singapore Department of Statistics (2022^[34]), Enterprises, <https://www.singstat.gov.sg/find-data/search-by-theme/industry/enterprises/latest-data>; Thai Office of SMEs Promotion, (2024^[35]), Number of Employment of Medium and Small Enterprises, <https://data.go.th/en/dataset/number-of-employment>; Ministry of Planning and Investment in Viet Nam, (2020^[36]), Enterprises, <https://www.gso.gov.vn/en/px-web/?pxid=E0524&theme=Enterprise>; ADB (2023^[37]), 2023 Asia SME Monitor, <https://data.adb.org/dataset/2023-asia-small-and-medium-sized-enterprise-monitor>.

It is noteworthy that the Philippines has a relatively low number of businesses compared to its peers. For instance, it boasts only 9 companies per 1000 citizens, in stark contrast to Malaysia (35) and Thailand (45). A significant contributing factor to this disparity could be the challenging environment for business establishment. Investors in the Philippines often encounter hurdles in obtaining necessary permits from local governments (Aldaba, 2013^[38]). According to World Bank, starting a business in the Philippines requires an average of 33 days, significantly longer than in Thailand (6 days), Indonesia (13 days) and Viet Nam (16 days) (World Bank, 2021^[39]).

The size distribution of companies in the Philippines remained stable between 2006 and 2022. The share of MSMEs has consistently made up more than 99% of the total number of enterprises. During this period, the number of MSMEs grew by 42%, in line with the growth of the overall number of enterprises. The share of small and medium-sized enterprises remained low over the same period, a sign of challenges for scaling up. In the Philippines, smaller enterprises tend to face significant barriers in accessing external capital, restricting their expansion (Aldaba, 2012^[30]).

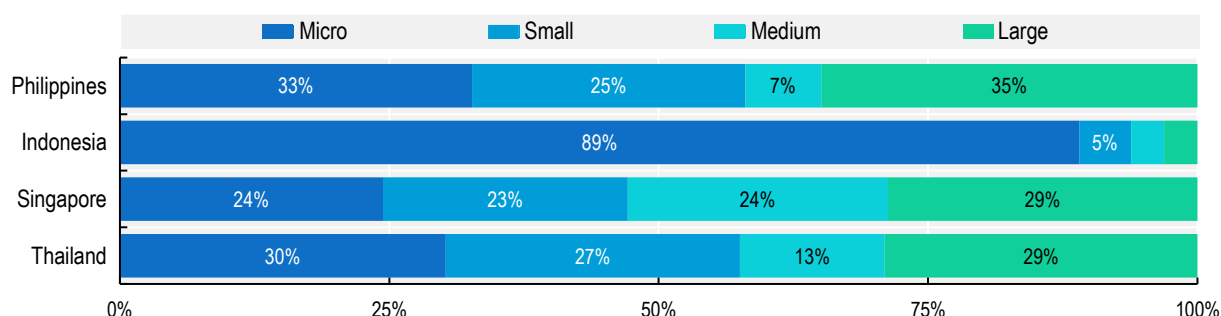
Table 2.3. Company distribution by firm size in the Philippines

	2006	2010	2014	2018	2022
Micro	92.0%	91.3%	89.9%	88.5%	90.5%
Small	7.3%	8.0%	9.2%	10.6%	8.7%
Medium	0.4%	0.4%	0.4%	0.5%	0.4%
Large	0.3%	0.4%	0.4%	0.5%	0.4%
Total number of companies	783 065	777 687	946 988	1 003 111	1 109 684

Source: PSA, (2022^[32]), 2022 List of Establishments, <https://dtiwebfiles.s3.ap-southeast-1.amazonaws.com/MSME+Resources/2022+Philippine+MSME+Statistics+in+Brief.pdf>.

MSMEs in the Philippines contribute less to employment compared to peer countries, despite their large share in the economy. In 2022, 65% of the workforce was employed by MSMEs (Figure 2.9). Micro enterprises accounted for 33% of employment, while small and medium-sized enterprises accounted for 25% and 7%, respectively. Importantly, a substantial proportion of the Philippine population works in the informal sector, which is not captured in these figures. It is likely that the actual share of the population working in SMEs is significantly higher (Christi and Cabegin, 2022^[40]). Large enterprises in the Philippines account for more than one-third of employment, while representing only 0.4% of enterprises. The share of employees in medium-size enterprises is low at 7%, reflecting the lack of a strong mid-sized sector.

Figure 2.9. Employment distribution by firm size



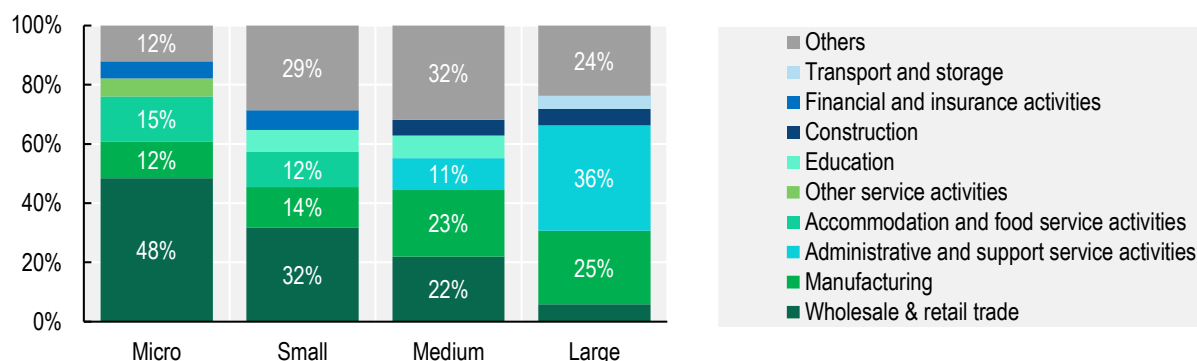
Note: There is no common definition for MSMEs across ASEAN countries. The Philippine Statistics Authority (PSA) classifies MSMEs based on the number of employees, while the Republic Act No. 9501 classifies MSMEs based on their asset value. The report follows the PSA's definition. In Viet Nam, the number of employees, total revenue and total capital are used in combination to classify MSMEs. In Indonesia there is a wide prevalence of ultra micro enterprises in the country, which is reflected in the MSME data. See the Annex for more detail. The data for Indonesia and Viet Nam are for 2019.

Source: Ministry of Cooperatives and Small and Medium Enterprises in Indonesia (2021^[31]), Data Development of Micro, Small, Medium Enterprises (MSMEs) and Large Enterprises (UB) in 2018-2019, <https://satudata.kemendag.go.id/arsip/2/>; PSA, (2022^[32]) 2022 List of Establishments, <https://dtiwebfiles.s3.ap-southeast-1.amazonaws.com/MSME+Resources/2022+Philippine+MSME+Statistics+in+Brief.pdf>; Singapore Department of Statistics (2022^[34]), Enterprises, <https://www.singstat.gov.sg/find-data/search-by-theme/industry/enterprises/latest-data>; Thai Office of SMEs Promotion, (2024^[35]), Number of Employment of Medium and Small Enterprises, <https://data.go.th/en/dataset/number-of-employment>.

The distribution of employment by company size varies across industries. In 2022, the *wholesale and retail trade* industry employed the largest share of the workforce. It was the most dominant sector within micro and small-sized enterprises, employing 48% and 32% of their workforce, respectively, and 22% that of medium-sized enterprises (Figure 2.10). Micro enterprises had a highly concentrated employment distribution, with more than 75% of employees working in one of three industries: *wholesale and retail trade* (48%), *accommodation and food service activities* (15%) and *manufacturing* (12%). Small-sized enterprises have a similar employment distribution, although less concentrated.

The *manufacturing* industry ranked second in terms of employment. It was mainly concentrated in medium and large-sized enterprises, representing 23% and 25% of the workforce, respectively. In large enterprises, more than one-third of the workforce was employed in the *administrative and support service activities* industry, making it the third largest industry by employment. *Construction* is among the top five industries for medium and large-sized enterprises, constituting 5% and 6% of the workforce respectively.

Figure 2.10. Employment by industry and company size in the Philippines, 2022



Note: The industry classification corresponds to the one used by the Philippine Statistics Authority. The category “others” depends on the company size category and covers remaining industries other than the top five. Depending on the company size, the category “others” includes: agriculture, forestry, and fishing; mining and quarrying; electricity, gas, steam, and air conditioning supply; water supply, sewage, waste management and remediation activities; information and communication; real estate activities; professional, scientific and technical activities; human health and social work activities; arts, entertainment, and recreation; and other service activities. Wholesale and retail trade includes the repair of motor vehicles and motorcycles.

Source: PSA (2022^[32]), 2022 List of Establishments, <https://dtiwebfiles.s3.ap-southeast-1/2022+Philippine+MSME+Statistics+in+Brief.pdf>.

2.3. Company categories in the Philippines

The OECD-ORBIS Corporate Finance dataset is built by using financial and ownership information from the ORBIS database. Four categories of companies are defined by combining ownership and financial information: *listed companies*; *large unlisted companies*; *small and mid-sized companies that are part of a group*; and *independent small and mid-sized companies*. These four categories serve as the basis for sections 2.3 to 2.5. These categories and the financial information are used to analyse the business dynamics in the Philippines and to compare it with selected ASEAN peer countries. The analysis is limited to non-financial companies with more than 10 employees for two reasons. Firstly, data coverage typically increases with firm size, which means that the coverage for smaller firms is less reliable, hampering comparability. Secondly, the focus of this report is market-based financing and micro-firms are generally less likely to use market-based financing.

The company categories intend to account for differences in size, industry, listing status and ownership structure, all factors that can affect the ability of companies to access financing and therefore to invest. Importantly, ORBIS coverage is less extensive for the Philippines compared to other economies, therefore any interpretation of the data should take that limitation into account.

Category 1: Listed companies

This category includes non-financial listed companies. There were 169 non-financial listed corporations with median assets of around USD 368 million (~PHP 20.7 billion) by the end of 2021 (Table 2.4). Being listed on a stock exchange requires certain transparency and disclosure standards, as well as other corporate governance practices, so the listing status may have a strong impact on a corporation’s financing conditions. A listed company typically passes a certain threshold in terms of its formal and institutional

structure, which may make outside investors more willing to provide funds and facilitate access to a wider range of financing options, including private equity and public and private debt markets.

Category 2: Large unlisted companies

This category includes non-financial large unlisted companies. By the end of 2021, there were 411 non-financial corporations with assets larger than USD 100 million in real terms and their median asset size was USD 209 million (~PHP 11.7 billion) in 2021. Compared with publicly listed companies, less information is available for large unlisted companies, which is likely to reduce their financing options and potentially result in less favourable financing conditions. However, companies in this category can generally be classified as professionally managed, formal companies.

Category 3: Small and mid-sized companies that are part of a group

This category includes all small and mid-sized enterprises controlled by a listed (Category 1) or a large unlisted corporation (Category 2). SMEs based in the Philippines but controlled by a foreign company are also included in this category. By the end of 2021, Category 3 contained 1 008 companies with median assets of USD 10.3 million (~PHP 575 million). Since the financial results of SMEs that are part of a group are consolidated into a parent company, unconsolidated accounts are used in the analysis to identify their own structure. In general, the information available for SMEs is relatively limited, but being part of a group can help them access improved financing conditions compared with independent SMEs.

Category 4: Independent small and mid-sized companies

This category includes all SMEs identified to be controlled by individuals and those with no available ownership information. For this category, data is based on unconsolidated accounts. The group of independent SMEs is the largest in terms of number of companies, but the smallest in terms of size. The information available for these companies is limited and unlike SMEs that are part of a group, independent SMEs do not benefit from the financing advantages of a group structure.

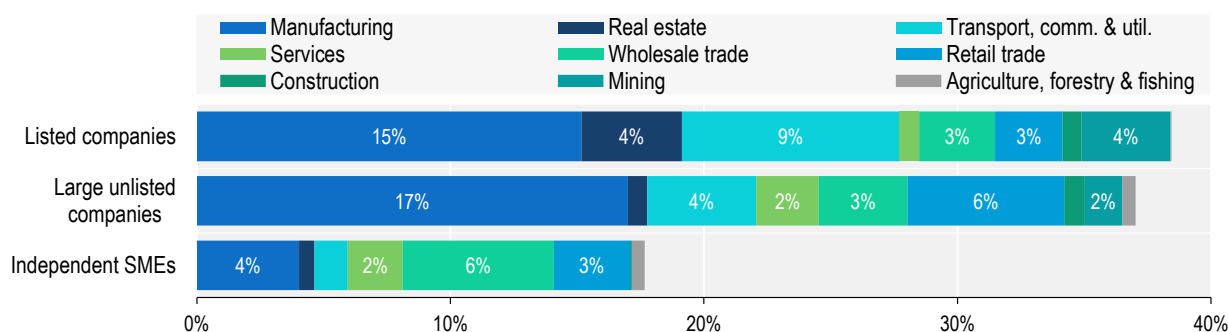
Table 2.4. Company categories of the non-financial business sector in the Philippines

Year	Category 1		Category 2		Category 3		Category 4	
	No. of companies	Median assets (USD K)	No. of companies	Median assets (USD K)	No. of companies	Median assets (USD K)	No. of companies	Median assets (USD K)
2013	162	205 031	163	219 163	1 141	5 961	13 653	912
2014	160	226 272	185	217 345	991	6 590	12 991	1 006
2015	161	249 803	135	169 916	931	5 827	11 986	1 028
2016	163	256 632	147	164 297	920	6 103	12 024	1 006
2017	162	317 496	142	181 287	864	6 814	11 514	1 051
2018	161	323 029	283	190 250	1 033	9 980	10 849	1 223
2019	163	384 539	400	195 321	1 203	11 206	12 762	1 348
2020	165	385 188	463	215 181	1 257	11 350	15 214	1 422
2021	169	368 389	411	208 967	1 008	10 255	13 769	1 264

Source: OECD-ORBIS Corporate Finance dataset; see Annex for details.

In 2021, listed companies and large unlisted companies accounted for 38% and 37% of aggregate sales, respectively (Figure 2.11). Independent SMEs made up 19% of total sales. Since the accounts of SMEs part of group are consolidated into the parent company, their share of sales is not shown here so as not to double count their contribution.

Figure 2.11. Contribution to sales by company category in the Philippines, end of 2021



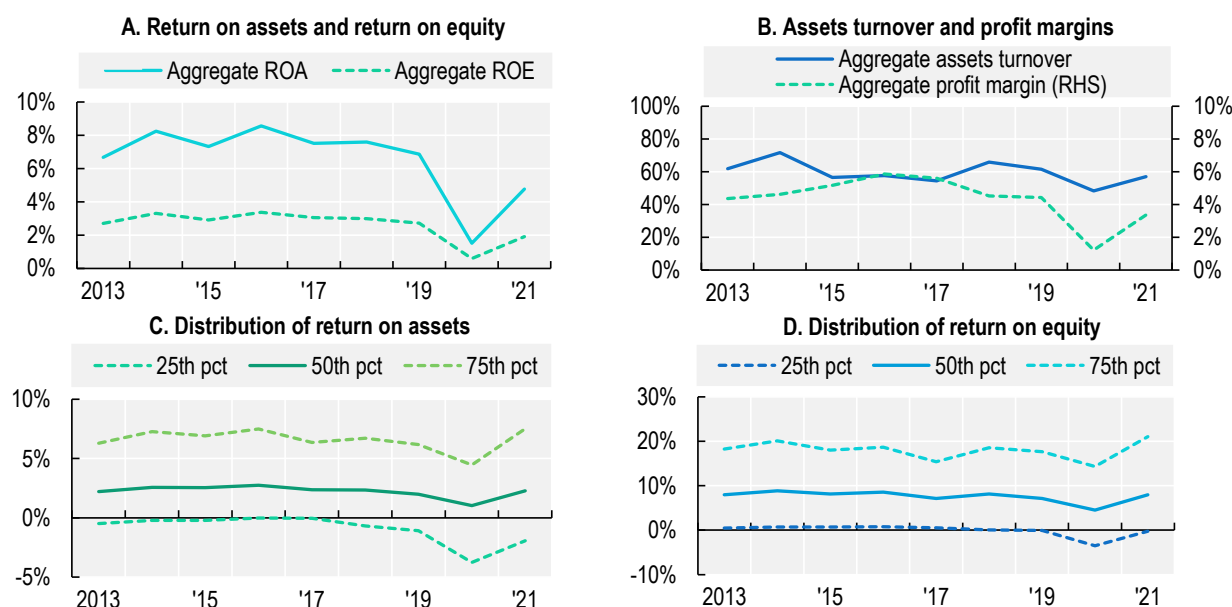
Note: For each category, sales are presented as share of total sales in the formal economy. Calculations for the total economy take into account the group structure of companies and avoid considering companies that are already consolidated in the accounts of domestic non-financial parent companies. The figure does not show the category of SMEs part of a group as these companies are accounted for in the financial statements of their parent company. The categories in this figure are subsamples of the economy constructed for characterisation and comparison purposes and do not consider parent companies with less than USD 100 million in assets. As a result, they do not add up to 100%. Source: OECD-ORBIS Corporate Finance dataset; see Annex for details.

2.4. Performance and profitability of non-financial companies

As discussed in section 2.1, the corporate sector in the Philippines was severely impacted by the COVID-19 pandemic. In 2020, both the aggregate return on equity (ROE) and return on assets (ROA) reached their lowest level over the period 2013 to 2021. Specifically, ROE peaked at 8.6% in 2016, then declined to 6.9% in 2019, and further dropped to 1.5% in 2020 (Figure 2.12, Panel A). This decline was also reflected in asset turnover, calculated as sales divided by assets, and aggregate net profit margin, calculated as net profit divided by sales. The profit margin decreased from 5.9% in 2016 to 4.5% in 2019, and then fell further to 1.2% in 2020 (Panel B). In 2021, there was a strong recovery, with ROA and ROE increasing to 1.9% and 4.8%, respectively. While the pandemic impacted the performance level of all companies, the recovery in 2021 was more pronounced for those with higher ROA and ROE. This resulted in an increasing disparity between these firms and others (Panels C and D).

In the Philippines, the share of loss-making companies¹ has slightly increased for SMEs part of group and independent SMEs. In 2017, approximately 43% of SMEs part of a group and 25% of independent SMEs were loss-making (Figure 2.13). By 2021, these figures had risen to 46% and 31%, respectively, despite the economic recovery after the COVID-19 pandemic. Additionally, nearly 40% of large unlisted companies were also loss-making. Meanwhile, the median ROE in 2021 remained similar to 2013 and 2017 levels, except for listed companies. Independent SMEs enjoyed the highest ROE, at around 8% in 2021, while the ROE of other categories of companies ranged between 4.4% and 5.3%. Listed companies, despite having the lowest share of loss-making companies, saw their ROE decline from a high of 7.5% in 2013 to 5.3% in 2021.

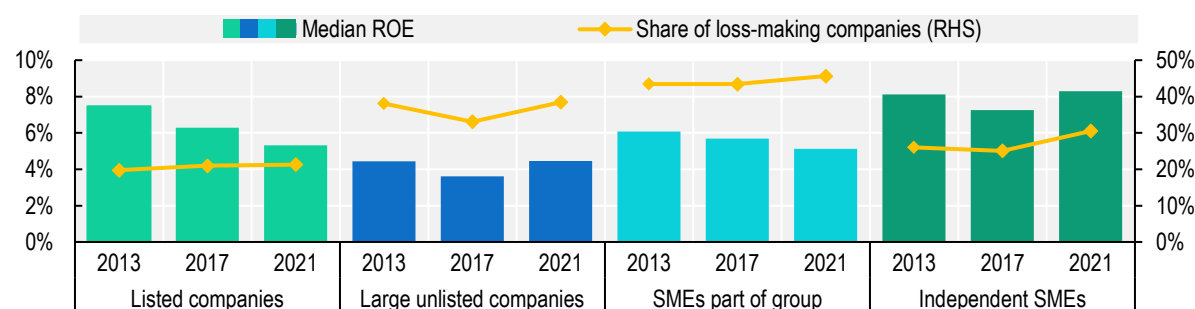
Figure 2.12. Performance of non-financial companies in the Philippines



Note: Percentile is abbreviated as pct.

Source: OECD-ORBIS Corporate Finance dataset; see Annex for details

Figure 2.13. Median ROE and share of loss-making non-financial companies in the Philippines

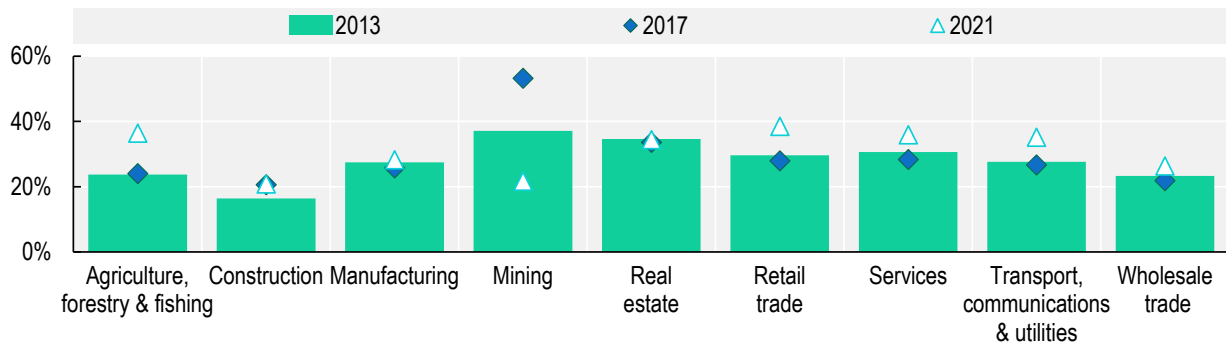


Note: Loss-making companies are defined as companies with negative net income.

Source: OECD-ORBIS Corporate Finance dataset; see Annex for details

The share of loss-making firms varies significantly across industries. Importantly, all industries, except *mining and real estate*, had more loss-making companies in 2021 than in 2013. The *retail trade industry*, the largest employer in the Philippines, experienced an increase in the share of loss-making companies from 30% in 2013 to 39% in 2021 (Figure 2.14). Close behind are three industries, *agriculture, forestry and fishing*; *services*; and *transportation, communications and utilities*, each with around 35% of loss-making companies. The *mining industry* had the highest share of loss-making companies in 2017 but this share had decreased to 22% by 2021.

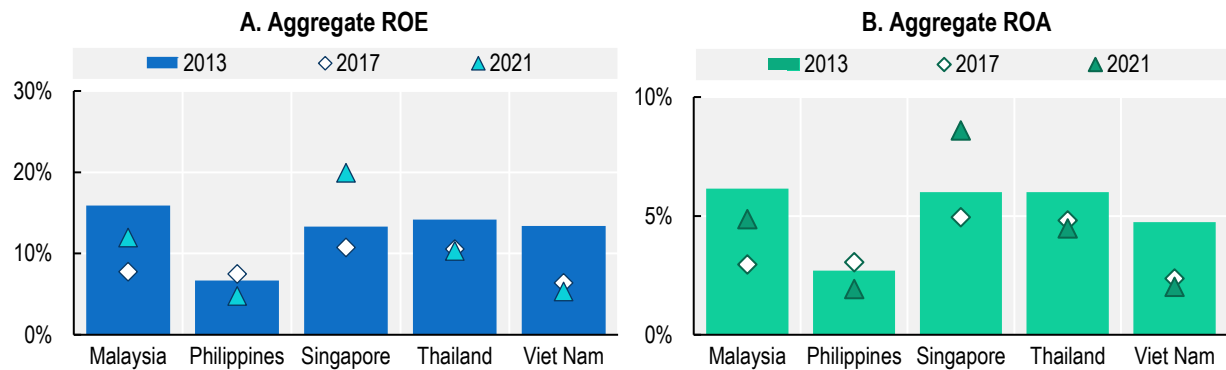
Figure 2.14. Share of loss-making non-financial companies by industry in the Philippines



Source: OECD-ORBIS Corporate Finance dataset; see Annex for details

Compared to selected ASEAN peers, the Philippines has the lowest level of profitability (Figure 2.15, Panel A and B). In 2013, the Philippines recorded an ROE of 6.7%, less than half of what Malaysia (15.9%) and Thailand (14.2%) achieved. This disparity has persisted over time. In 2021, companies in the Philippines had an ROE of 4.8%, significantly lower than peers. Conversely, in 2021 Singapore has experienced substantial increases in both ROE and ROA, reaching 19.9% and 8.6%, respectively.

Figure 2.15. Profitability of non-financial companies in the Philippines and selected peer countries

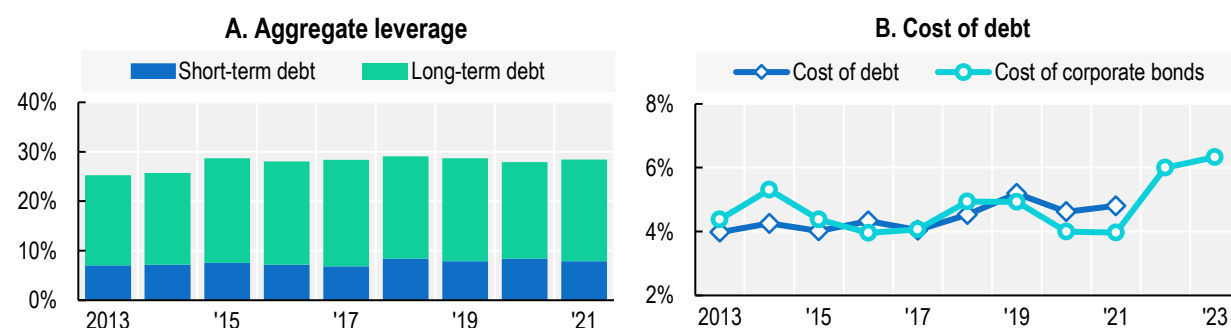


Source: OECD-ORBIS Corporate Finance dataset; see Annex for details

2.5. Capital structure of non-financial companies

In recent years, the leverage of Philippine companies, calculated as the ratio of financial debt to total assets, has remained stable at around 29%. From an aggregate leverage of approximately 25% in 2013, this ratio increased to 29% in 2015, primarily due to a significant rise in long-term debt. Specifically, long-term debt rose from 18% in 2013 to 21% in 2015, driven mainly by large unlisted companies (Figure 2.16, Panel A). From 2015 to 2021, the level of indebtedness remained relatively stable, fluctuating around 29%.

Figure 2.16. Leverage and cost of debt of non-financial companies in the Philippines



Note: Cost of debt is calculated as the interest payment divided by the total financial debt. Cost of corporate bonds refers to median of each year of a sample of fixed rate corporate bonds issued having maturity between 4 and 8 years.

Source: OECD-ORBIS Corporate Finance dataset, OECD Capital Market Series dataset; see Annex for details.

Stable leverage has been supported by a steady cost of debt over the period 2013-21. The cost of debt, measured by the interest paid on financial debt and the yield on corporate bonds, remained relatively stable from 2013 to 2021 for Philippine firms (Figure 2.16, Panel B). Starting in 2019 the cost of debt started to rise driven by rising monetary policy rates to curb inflation. From the second half of 2018 to 2019, the benchmark interest rate increased by 175 basis points, pushing up borrowing costs for Philippine companies. Following the BSP's rate cuts in the second half of 2019, borrowing costs and corporate bond yields declined notably in 2020. However, since 2022, interest rates have continuously risen, rising by 450 basis points since May 2022, pushing borrowing costs to their highest level since 2007 (Bloomberg, 2024^[41]). As a result, corporate bond yields rose to 6.0% in 2022, and then to 6.3% in 2023.

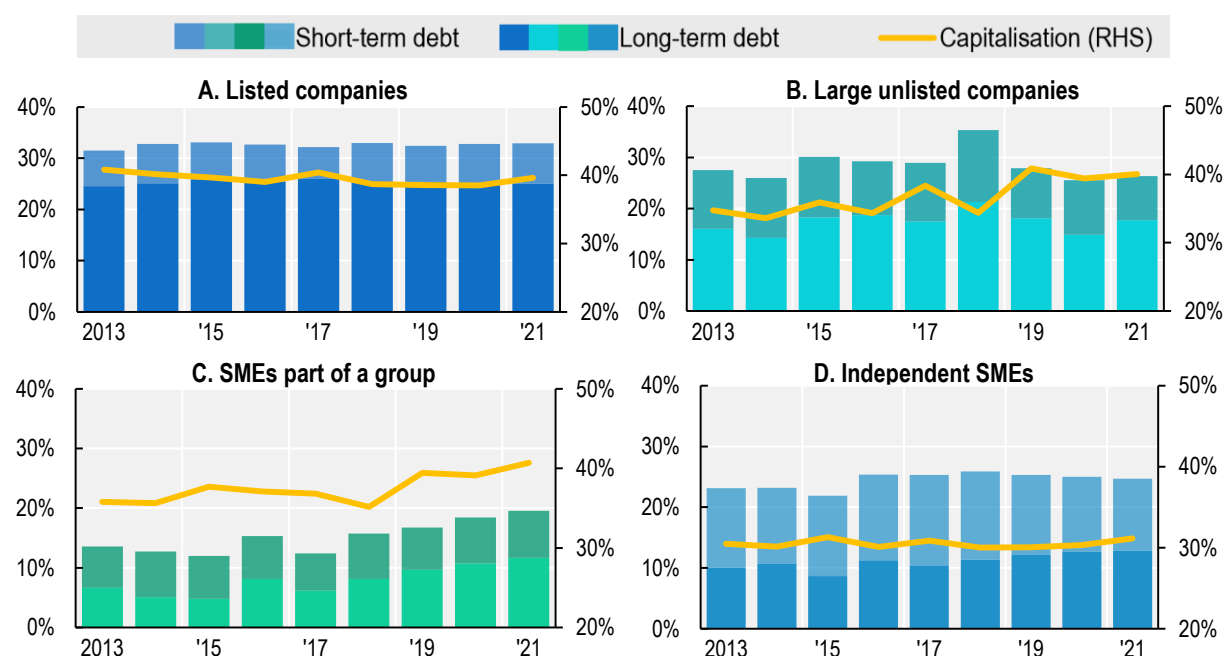
2.5.1. Leverage of non-financial companies

Listed companies and large unlisted companies have significantly higher levels of debt compared to the two SME groups (Figure 2.17). Specifically, SMEs that are part of a group have a significantly lower level of indebtedness compared to other categories. This may be explained by equity financing being more accessible within the group, reducing the need for external capital. Importantly, independent SMEs have higher debt levels compared to SMEs part of a group.

Besides the difference in debt levels, there are also clear differences in the composition of debt. Importantly, listed companies are able to secure the largest share of debt with longer maturity, while SMEs part of a group and independent SMEs have the lowest share of long-term debt. Large and established firms are able to borrow long-term and lock in favourable rates when interest rates are low. This stability reduces the burden of frequent refinancing or renegotiating terms, providing greater financial predictability and security (Demirgüç-Kunt, 1998^[42]).

Debt levels for listed companies have remained stable while for large unlisted companies they have increased since 2013. The only significant change for large unlisted companies occurred in 2018, when both short-term and long-term debt increased, to secure financing at low rates. Conversely, both SMEs that are part of a group and independent SMEs have been able to increase long-term debt, with increases of 5% and 3%, respectively.

Figure 2.17. Aggregate leverage levels by company category in the Philippines



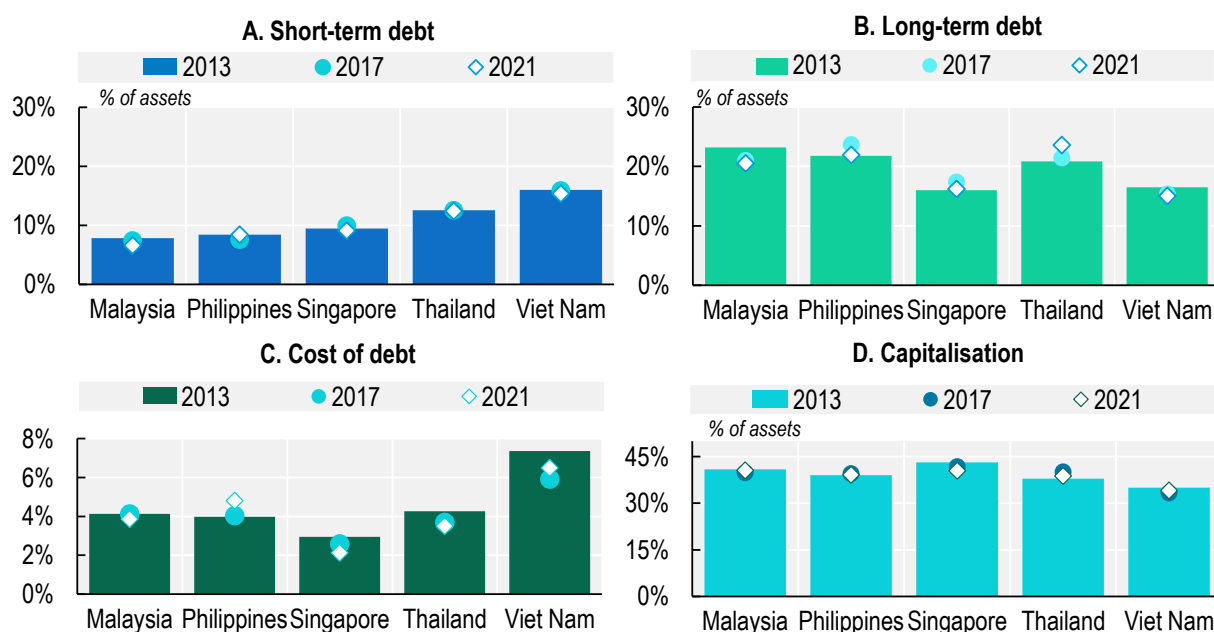
Source: OECD-ORBIS Corporate Finance dataset; see Annex for details

The levels of capitalisation, calculated as shareholder equity in total assets, are the highest for listed companies and for large unlisted companies, at around 40%. SMEs part of a group have improved their level of capitalisation from 36% in 2013 to 41% in 2021. Independent SMEs have the lowest level, with only 30% of their assets being financed by shareholder equity. This low level of capitalisation, combined with low debt levels, indicates that these companies are generally financially constrained. Specifically, 42% of small enterprises and 33% of medium-sized enterprises face financial constraints (Flaminiano, 2021^[43]). In the Philippines, most SME financing comes from the personal resources of entrepreneurs and their families, including internal accruals, loans from relatives and friends, and loans from informal lenders (Aldaba, 2012^[30]).

2.5.2. Leverage, capitalisation and cost of debt – comparison with peer countries

Compared to ASEAN peers, Philippine companies have one of the lowest levels of short-term debt (Figure 2.18, Panel A), with only 8% of total assets in this category. Over the past decade, all ASEAN countries have maintained relatively constant levels of short-term debt. On the other hand, long-term debt increased slightly from 22% in 2013 to 24% in 2017 (Panel B). However, the COVID-19 pandemic led to a reduction in long-term debt, bringing it back down to 22% in 2021. Nonetheless, by the end of 2021, Philippine companies had the second highest level of long-term debt among ASEAN countries, surpassed only by Thailand. It is important to mention that the coverage in the Philippines is less than in peer countries and is biased towards large firms. The cost of debt faced by companies in the Philippines is similar to levels in Malaysia and Thailand (Panel D). Among ASEAN peers, companies in Singapore face the lowest cost of debt, while peers in Viet Nam face the highest.

Figure 2.18. Debt, capitalisation levels and cost of debt of non-financial companies



Source: OECD-ORBIS Corporate Finance dataset; see Annex for details

The capitalisation ratio of Philippine non-financial companies remained relatively stable between 2013 and 2021, at around 39% (Figure 2.18, Panel C). Companies in ASEAN countries have a relatively similar level of capitalisation, ranging between 34% and 41% in 2021, with companies in Malaysia having the highest level of capital in the region.

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Notes

¹ Loss-making companies are defined as companies with negative net income.

3

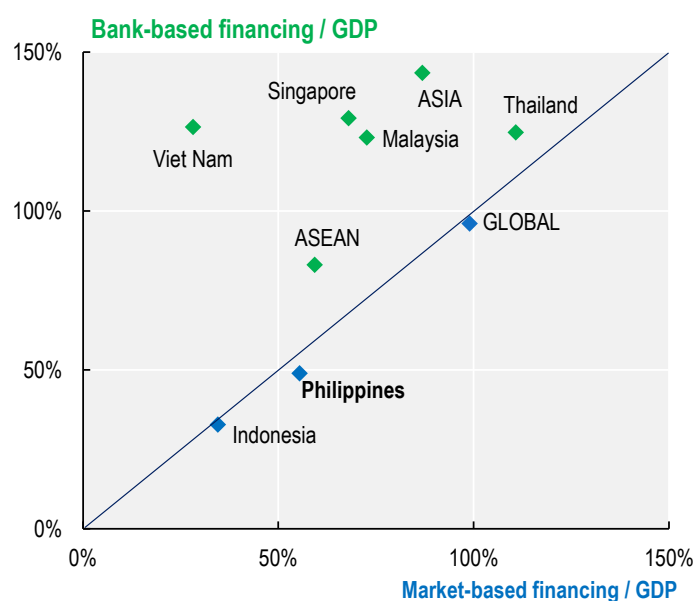
Market-based financing

This chapter provides an overview of market-based financing in the Philippines. It highlights trends in the issuance of public equity and corporate bonds and compares them with ASEAN peer countries. It also provides an overview of the listed corporate sector and characterises the ownership structure of listed companies. Furthermore, it describes the marketplaces, listing requirements and market infrastructure used to trade public equity and corporate bonds in the Philippines. Finally, it summarises the tax treatment for issuers and investors when participating in the capital market and compares it with peer countries.

A well-functioning capital market plays a central role by channelling financing to the corporate sector, thereby fostering a vibrant and innovative business sector and providing better saving opportunities to households. This linking of supply and demand for capital will play an important role in achieving economic growth goals set out in the Philippine Development Plan (NEDA, 2023^[1]). Dynamic capital markets drive economic growth by allocating capital to its most productive uses spurring employment, technological progress and economic growth. Just as importantly, they provide investors with the opportunity to manage savings, share in corporate profits and accumulate wealth.

ASEAN non-financial corporations tend to rely more on bank financing than market-based financing compared to global aggregates (Figure 3.1). Globally, market-based financing in 2022 was slightly larger than bank-based finance relative to GDP, at 99% versus 96%. While public capital markets have been expanding in ASEAN countries, companies still rely heavily on bank loans for their financing. Figure 3.1 highlights the relatively smaller size of the ASEAN financial system, which is especially true for the Philippines and Indonesia. In the Philippines, low penetration of the banking sector together with less developed market-based financing suggests that many businesses may be financially constrained.

Figure 3.1. Market-based and bank-based financing by non-financial companies, end of 2022



Note: Market-based financing is defined as the sum of the market capitalisation of non-financial listed companies and the outstanding amount of non-financial corporate bonds. Bank-based financing is bank credit to non-financial corporations. Both are expressed as share of GDP. Where possible BIS data for *Bank credit to the private non-financial sector (core debt)* has been used, and for those jurisdictions without BIS data, World bank data for *Domestic credit to private sector by banks (% of GDP)* has been used. For the Philippines BSP data on depository corporations *claims on private sector* has been used, which is distinct from *claims on other financial corporations*.

Source: OECD Capital Market Series dataset, Bank for International Settlements, LSEG, World Bank (2024^[2]) Open Data, <https://data.worldbank.org/>.

Equity and debt financing are complementary forms of capital that allow firms to achieve an optimal capital structure. Equity financing is essential for companies as it represents risk-willing, patient capital suitable to fund long-term uncertain investments. This flexibility allows companies to pursue growth opportunities without the immediate pressure of repayment obligations. Additionally, equity financing helps maintain a resilient capital structure, enabling corporations to withstand economic downturns and unexpected crises. In previous crises public equity financing has played a key role in supporting business continuity and expansion (OECD, 2021^[3]). Meanwhile, corporate bond markets provide an alternative source of debt financing to regular bank loans. Generally, corporate bonds differ from bank loans by allowing access to a

broad range of investors, offering longer tenors, requiring less collateral and offering less restrictive covenants. Corporate bond markets have become an increasingly important source of financing since the 2008 global financial crisis. Stricter banking regulation and low rates have led to an expansion of non-financial corporate bonds (OECD, 2024^[4]).

3.1. The public equity market

A company wishing to raise equity can do so by listing its shares on one or more stock exchanges by conducting an initial public offering (IPO). Moreover, companies already listed can raise further equity from the public market through secondary public offerings (SPOs or follow-on offerings). The same company can return to this source of funding several times depending on its needs. The equity raised from SPOs may be used for different purposes and can also help fundamentally sound companies overcome a temporary downturn in economic activity.

Globally, one of the most significant developments in capital markets since the mid-1990s has been the increased use of public equity markets by Asian companies. As a result, at the end of 2023, over half of the world's listed companies were listed on Asian stock exchanges, together representing almost one-third of the market value of listed companies globally. However, the region's markets show significant differences in their degree of development.

Since the 1990s, the Philippines has introduced a series of reforms aimed at improving the macroeconomic landscape and developing the capital markets. However, activity on the public equity markets remains limited and lacks dynamism. This section describes IPO and SPO activity in the Philippines and selected peer countries during the period spanning from 2000 to 2023. It provides trends on the amount of capital raised and number of IPOs and SPOs and compares them with peer countries.

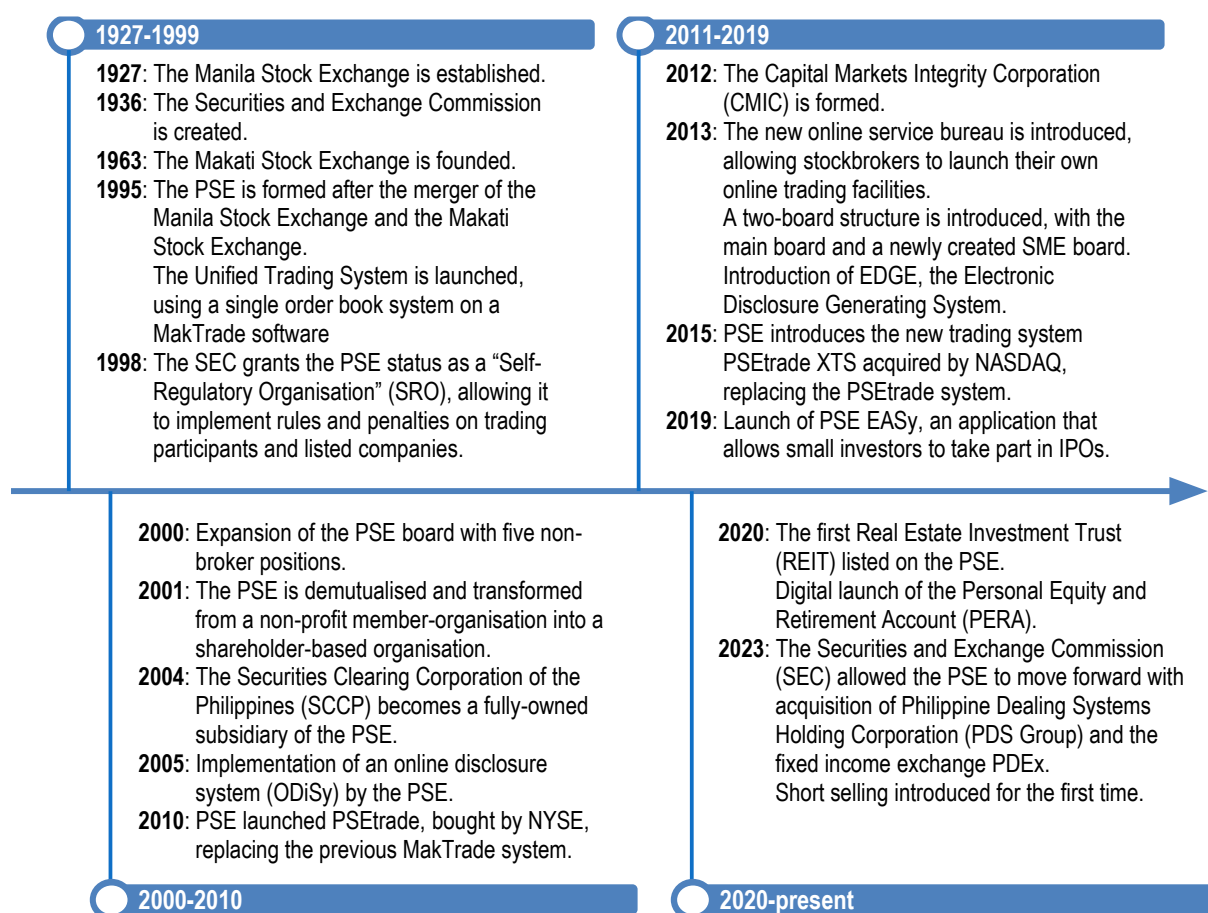
3.1.1. Stock market in the Philippines

The Philippine public equity market was founded through the opening of the Manila Stock Exchange in 1927 (Figure 3.2). In 1963, the competing Makati Stock Exchange was created, leading many corporations to list on both exchanges. Following the People Power Revolution in 1986, capital market development was identified as a key factor to stimulate corporate growth (ADB, 2003^[5]). Two competing stock exchanges, with sometimes varying prices for the same stocks, were considered as a barrier to attracting investors. Consequently, the exchanges were merged to form the Philippine Stock Exchange (PSE) in 1995 (PSE, 2024^[6]).

Since the 1980s, the Philippine stock market has been falling behind regional peers in terms of market capitalisation, turnover volume and quality standards (Ho and Odhiambo, 2016^[7]). A concerted effort to develop the capital market was made through the formation of the Capital Market Development Council (CDMC) in 1992, bringing together government bodies and market participants to champion updated regulations and drive change. Drawing upon the expertise of the World Bank, ADB, IMF and USAID, the Philippines Securities and Exchange Commission (SEC) was identified by the government as a key institution needing an overhaul, along with updated regulations. Thus, during the 1990s a number of actions were taken: (1) regulatory agency responsibilities were reallocated, (2) the regulatory framework was strengthened (e.g. through improved disclosure, antifraud rules, better protection of minority shareholder rights, new requirements for independent directors and net capital requirements for broker-dealers), (3) the stock market infrastructure was extended by establishing the Philippine Central Depository and the Securities Clearing Corporation of the Philippines (SCCP), (4) rules on collective investment schemes were updated, including through a tax reform, and (5) a programme to increase the number of listed companies was initiated which sought to divest state-owned enterprises and encourage banks to issue equity (ADB, 2003^[5]).

Under consecutive Capital Market Development Plans, the CDMC has pursued actions to improve the corporate governance of both the PSE and market actors, to strengthen the regulator's capacities, and to encourage market participation. Having traditionally been a broker-dominated exchange, operated like a non-profit member-organisation, the decision was made in 2001 to demutualise and list the marketplace itself. Simultaneously, the ownership structure was reconfigured with reduced broker ownership, instead inviting issuers, retail investors and some government entities as owners. Currently 126 brokers operate on the exchange, and collectively own 18.3% of it. The remaining ownership is divided as follows: the San Miguel Corporation retirement plan owns 9.2%, Premier Capital Venture Corporation, GSIS and the Philippine Long Distance Telephone Company retirement fund own 8.1% each, directors, officers and employees own 0.7%, and the remaining 47.5% is owned by the public (PSE, 2023^[8]). Brokers, despite holding a minority stake, maintain some privileges, such as being offered an allocation of shares of new issues.

Figure 3.2. Timeline of selected key dates and developments for the Philippine Stock Exchange



Source: PSE (2024^[6]), PSE-History, <https://corporate.pse.com.ph/about-pse/corporate-profile/history/>.

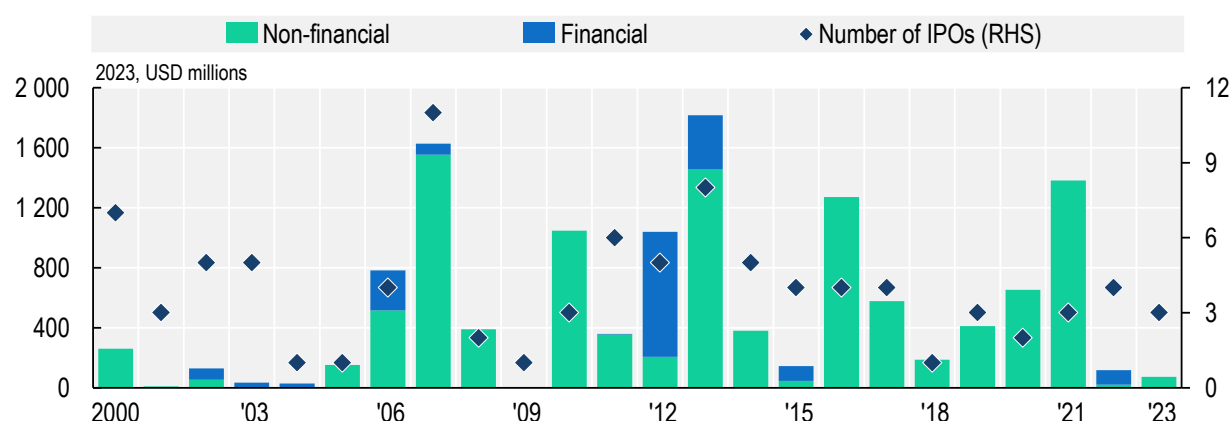
3.1.2. Trends in initial public offerings

Since 2000, 95 companies from the Philippines have collectively raised USD 12.9 billion through IPOs (Figure 3.3). Although the country has witnessed a notable increase in IPO activity starting in 2006, the market lacks the consistent dynamism of other Asian economies, with both the amounts of capital raised and the number of offerings failing to achieve steady growth. IPO activity peaked at 11 offerings in 2007

and USD 1.8 billion in capital raised in 2013. Total capital raised from IPOs between 2000 and 2011 amounted to USD 4.8 billion, almost doubling to USD 8 billion in the 2012-2023 period. This increase was not reflected in the number of offerings, indicating that larger but fewer companies accessed public equity markets during the last 12 years compared to the previous period.

The financial sector's use of public equity markets has been limited. Since 2000, only 18 companies have conducted an IPO, contributing 14% of the total capital raised. 2012 stands out with the financial sector playing a key role in the market by raising USD 833 million through two IPOs. Nonetheless, participation declined in the following years, notably between 2016 and 2021, when no financial companies used public equity markets.

Figure 3.3. Initial public offerings in the Philippines

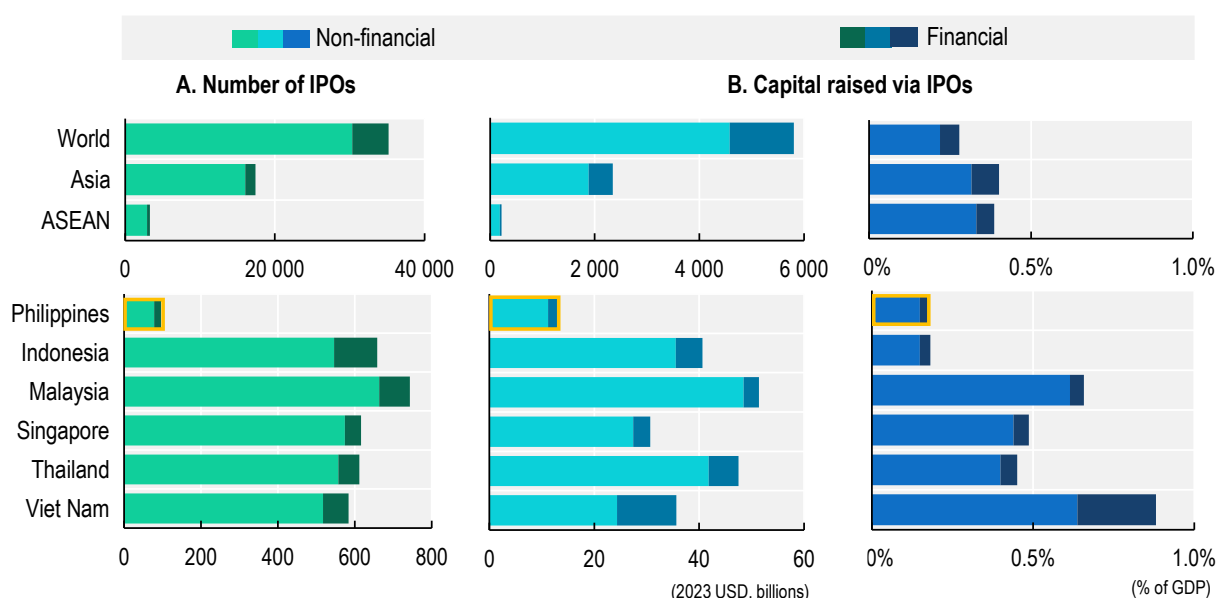


Source: OECD Capital Market Series dataset; see Annex for details.

IPO activity has been substantially lower in the Philippines than in peer countries both in terms of the number of IPOs and capital raised. Regarding the non-financial sector, only 77 Philippine companies have entered the market since the early 2000s, collectively raising USD 11 billion. In all peer countries more than 500 companies have conducted an IPO, raising between USD 24 and 48 billion (Figure 3.4, Panels A and B). When the total equity raised through non-financial initial public offerings is scaled as a percentage of GDP, the Philippines also ranks last compared to the other ASEAN jurisdictions. Total capital raised in IPOs during the 2000-2023 period accounts for 0.1% of the country's GDP, significantly lower than that of Viet Nam and Malaysia (0.6%), as well as that of Singapore and Thailand (0.4%). Moreover, it is also lower compared to the global figure of 0.2% and to both the Asian and ASEAN regions, where non-financial company equity raised accounts for 0.3% of GDP for both.

The participation of financial companies in the IPO market in the Philippines since the early 2000s has also been relatively limited compared to peer countries. The Philippines ranks last both in the number of IPOs and capital raised, with only 18 IPOs and USD 2 billion raised between 2000 and 2023 (Figure 3.4, Panel A and B). While the financial sector's contribution as a proportion of the total funds raised through IPOs aligns with the ASEAN average, constituting 14% of total proceeds, the capital raised by financial companies accounts for just 0.03% of GDP. This is the lowest percentage among its peers and is also below the averages for the entire ASEAN region, Asia and the world.

Figure 3.4. IPOs, 2000-23



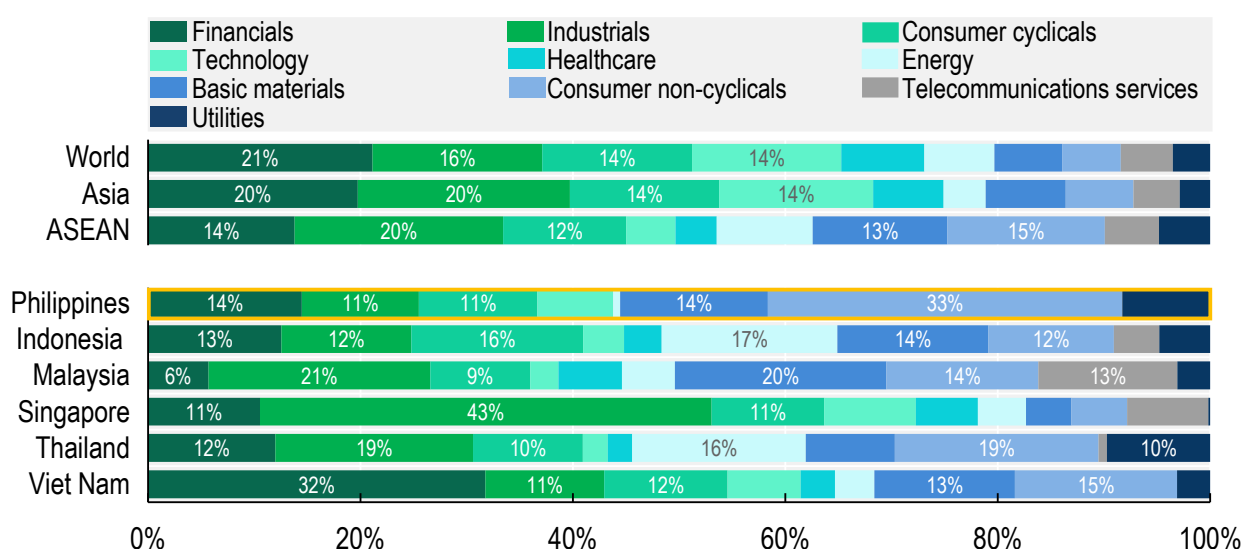
The *consumer non-cyclicals* sector was by far the largest raiser of funds through IPOs between 2000 and 2023. This sector accounted for 33% of the total proceeds, followed by the *financials* and *basic materials* sectors, each representing around 14% of the total proceeds. This trend diverges from peer countries, where the share of *consumer non-cyclicals* typically ranges between 5% and 19%. It is also higher than the figure for Asia and globally, which stands at 6.4% and 5.5%, respectively (Figure 3.5). The contributions of companies from the *financials* and *basic materials* sectors are 14% each, similar to ASEAN levels.

Conversely, the *industrials* sector only accounts for 11% of the capital raised in the Philippines, the lowest among peers and far from the 20% in the ASEAN region and Asia (Figure 3.5). Notably, no company in the *healthcare* sector in the Philippines has conducted an IPO over the last 24 years, a unique situation compared with peer countries. Participation of the *telecommunications services* and *energy* sectors is also very limited, accounting for less than 1% of total proceeds.

The industry composition of non-financial IPOs in the Philippines has undergone changes since 2000, contrasting with the relatively stable industry composition observed in the ASEAN region during the same period (Figure 3.6). For instance, between 2000 and 2007, the *utilities* sector contributed 39% of total funds raised through IPOs. However, its weight decreased substantially in subsequent years, becoming almost negligible. Similarly, the *industrials* sector during that period accounted for 35% of capital raised, but the share has declined sharply since 2008. The *consumer non-cyclical* industry has experienced the opposite trend. While it raised only 3% of total capital during the 2000-07 period, its share of non-financial IPO proceeds rose to 63% between 2008 and 2015, before decreasing to 37% between 2016 and 2023. Similarly, the *basic materials* sector steadily increased its contribution over time, rising from 2% during 2000-07 to 10% in the 2009-15 period, and peaking at 28% between 2016 and 2023.

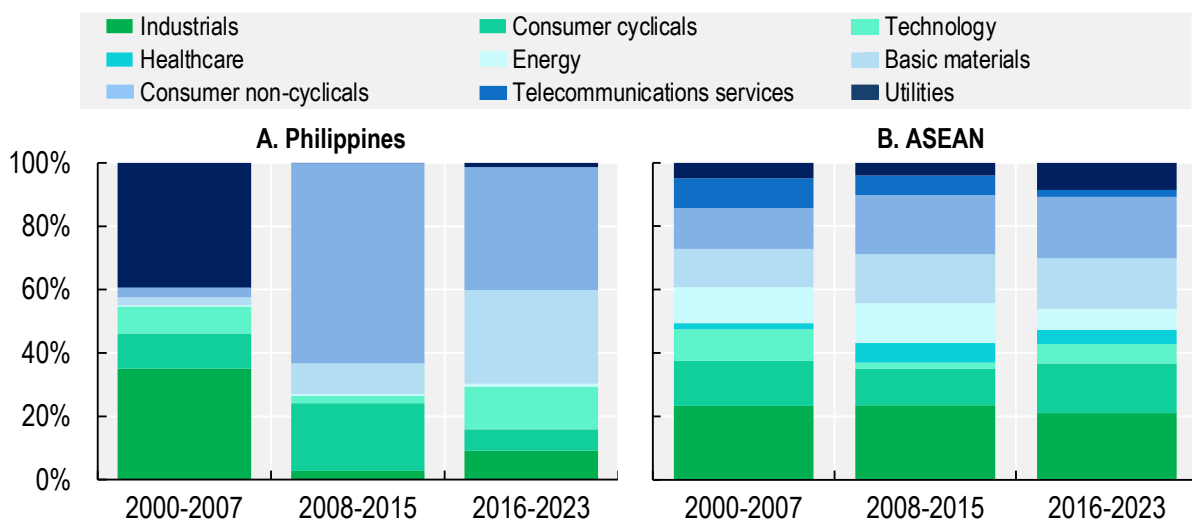
In the ASEAN region, although the industry composition in terms of IPO issuance has been more stable, there have also been slight changes over time (Figure 3.6). Sectors like *industrials*, *technology*, *telecommunications services* and *energy* have experienced a decline in their influence over the years. On the contrary, sectors such as *consumer cyclicals*, *consumer non-cyclicals* and *utilities* have gradually gained importance in the region's issuance.

Figure 3.5. Industry distribution of IPOs, 2000-23



Source: OECD Capital Market Series dataset; see Annex for details.

Figure 3.6. Industry distribution of IPOs by non-financial companies



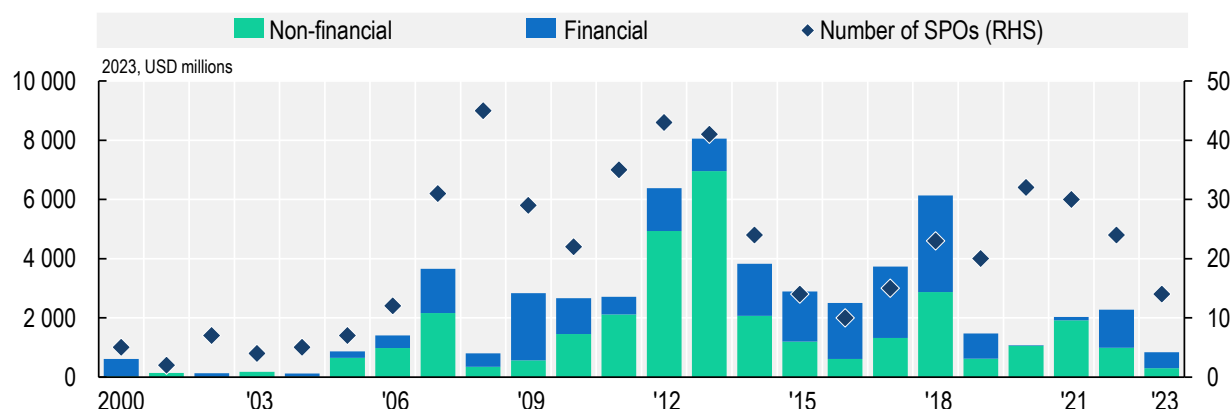
Source: OECD Capital Market Series dataset; see Annex for details.

3.1.3. Trends in secondary public offerings

Between 2000 and 2011, Philippine companies conducted 204 SPOs, collectively raising USD 16.1 billion (Figure 3.7). In the following 12-year period from 2012 to 2023, funds raised through SPOs surged to USD 41.2 billion. The number of SPOs itself saw a comparatively smaller rise, reaching a total of 290 over the last 12 years, indicating a trend towards larger SPOs over time. While secondary offerings experienced robust growth in volume and value between 2005 and 2013, peaking at USD 8.1 billion in 2013, activity declined after 2014. There were notable exceptions to this trend, particularly in 2017 and 2018, when both the number of SPOs and the proceeds increased. Notably, in 2023, the amount of equity capital raised through SPOs by Philippine companies hit its lowest point since 2004. Financial companies have raised a

higher share of capital through SPOs than through IPOs. For instance, since the early 2000s, firms in the financial sector have accounted for 42% of the total proceeds raised.

Figure 3.7. Secondary public offerings in the Philippines



Source: OECD Capital Market Series dataset; see Annex for details.

In comparison to peer countries, the Philippines also has one of the least active SPO markets, primarily due to the inactivity of non-financial companies. Since 2000 a total of 378 non-financial SPOs have been conducted, raising a total USD 33 billion (Figure 3.8, Panels A and B). Among peer countries, only Indonesia had fewer SPOs. Regarding the amount of capital raised by non-financial companies, the Philippines only surpassed Viet Nam. The capital raised via SPOs by non-financial companies as a share of GDP in the Philippines was also among the lowest compared to its peers. This figure was significantly lower than in Singapore (1.3%), Malaysia (0.9%) and Thailand (0.7%). Furthermore, it fell below the global average of 0.5% and the averages in Asia and the ASEAN region, both at 0.6%.

In contrast, the amount of capital raised by financial firms via SPOs in the Philippines was one of the highest among peer countries, totalling USD 24 billion (Figure 3.8, Panel B). This was surpassed only by Indonesia and Malaysia with USD 37 billion and USD 25 billion, respectively. At 0.3% of GDP, the Philippines had the highest figure among peer countries. This is also higher compared to levels globally, in Asia and in the ASEAN region, which stood at around 0.2%. Meanwhile, the number of financial SPOs conducted between 2000 and 2023 was the lowest among regional peer countries, making Philippine financial SPOs the largest among peers.

The industry composition of capital raised through SPOs in the Philippines varies less than in most regional peers and when compared with global, Asian and ASEAN industry compositions (Figure 3.9). Since the early 2000s, financial companies in the Philippines have accounted for 42% of the total proceeds raised through SPOs. This is higher than the ASEAN region as a whole, Asia and the world, where the shares are below 30%. Among peer countries, only Viet Nam has a higher share (50%).

The *industrials* and *consumer non-cyclicals* sectors are the second and third largest issuers of SPOs in the Philippines, with 15% and 14% of capital raised, respectively. The *utilities* sector has contributed 6% of SPO funds raised, a higher share than peers. Conversely, sectors such as *consumer cyclicals*, *basic materials*, and *telecommunications services* are not important issuers of capital in the Philippines compared to peer countries.

Figure 3.8. SPOs, 2000-23

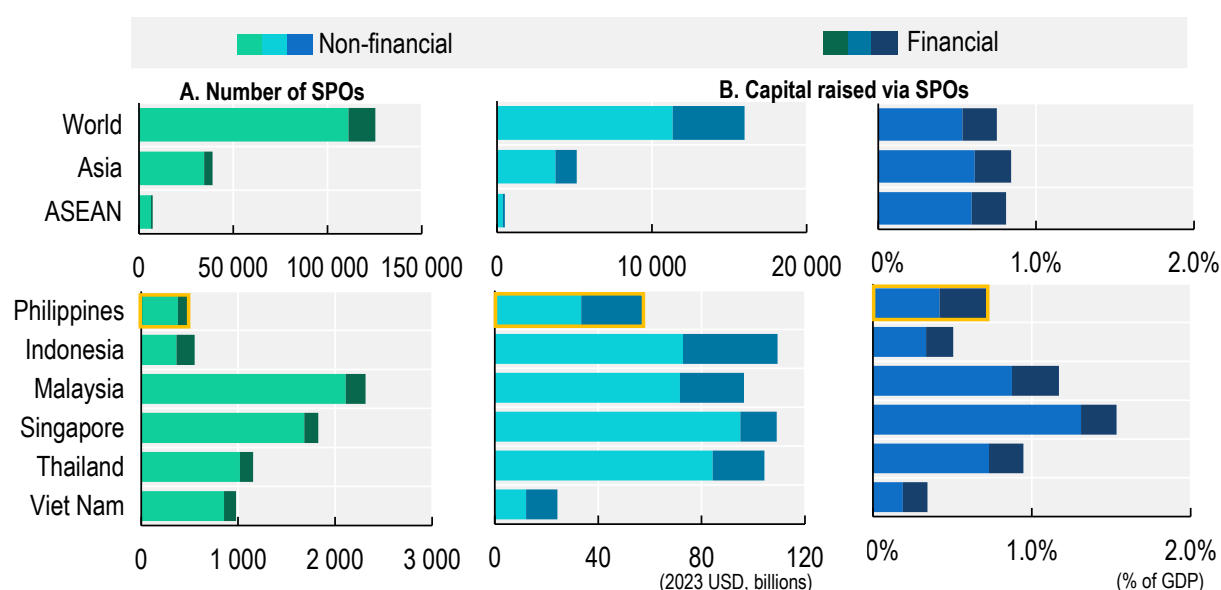
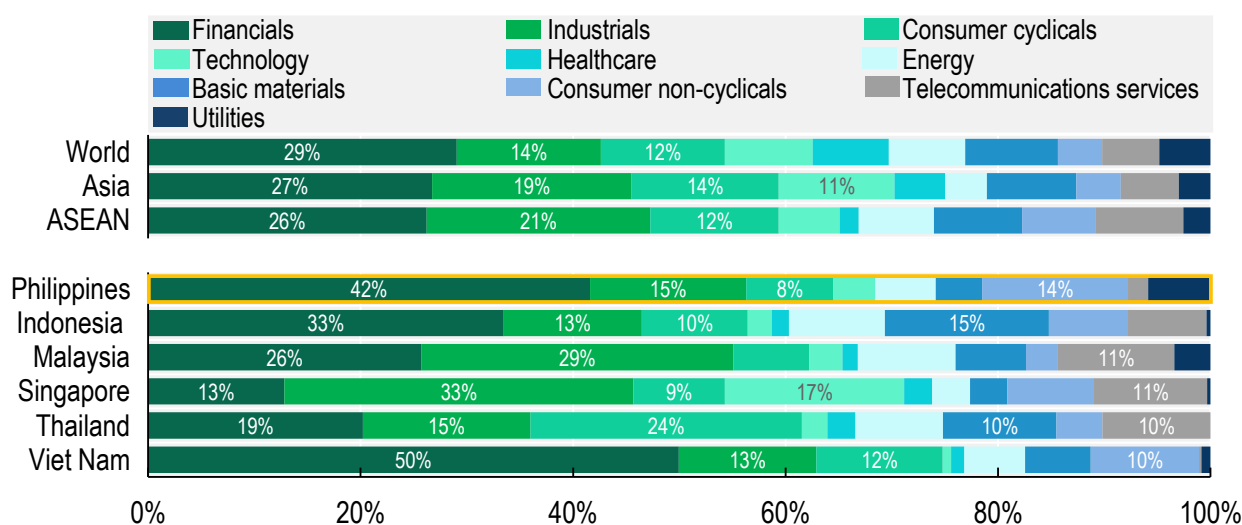


Figure 3.9. Industry distribution of SPOs, 2000-23



Source: OECD Capital Market Series dataset; see Annex for details.

3.1.4. Overview of the listed corporate sector

The Philippine Stock Exchange had 269 listed companies by the end of 2023, with a total market capitalisation of USD 234 billion (Table 3.1). Nearly all companies are listed on the Main Board. The SME Board hosts only 10 companies, representing less than 1% of the total market capitalisation of the exchange.

Table 3.1. Listed companies on the Philippine Stock Exchange, end of 2023

Segment	Number of companies	Market capitalisation (USD millions)
Main Board	259	234 022
SME Board	10	460

Source: PSE (2024^[9]), Listed Company Directory, <https://www.pse.com.ph/listed-company-directory/>.

Compared to peer countries, the Philippines has a relatively low level of market capitalisation. It ranked last in total market capitalisation among peer countries (Figure 3.10) and has the lowest number of listed companies. Market capitalisation as a share of GDP stands at 54%, markedly lower than the ASEAN level at 67% and Asia at 96%. The median market capitalisation of listed companies on the Philippine market is USD 68 million, slightly higher than in peers.

Figure 3.10. Listed companies, end of 2023

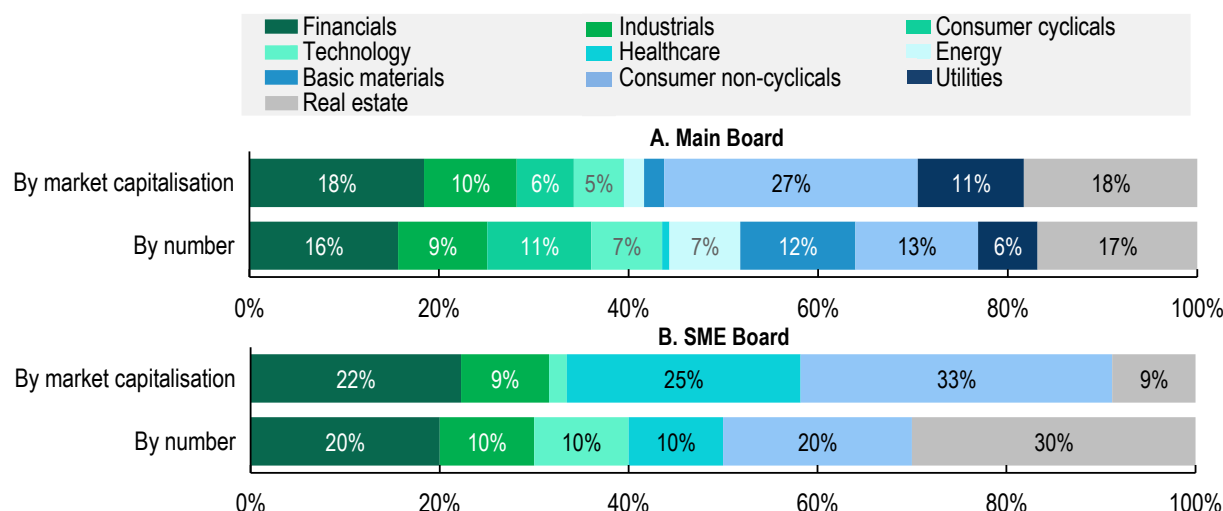
	No. of companies	Market cap. (USD billions/trillions)	Median size (USD millions)	% of GDP
By region				
World	51 984	113 T	81 M	107%
Asia	28 094	32 T	102 M	96%
ASEAN	5 152	3 T	35 M	67%
By country				
Philippines	269	234 B	68 M	54%
Indonesia	904	757 B	69 M	55%
Thailand	839	507 B	33 M	99%
Singapore	555	423 B	46 M	84%
Malaysia	990	376 B	71 M	94%
Viet Nam	1 581	243 B	10 M	56%

Notes: "T" stands for trillions, "B" stands for billions and "M" stands for millions. Companies on growth markets are included in the analysis.

Source: OECD Capital Market Series dataset, LSEG; IMF (2024^[10]), World Economic Outlook Data: April 2024 Edition, <https://www.imf.org/en/Publications/WEO/weo-database/2024/April>.

With respect to industry composition, the Philippines stock exchange is dominated by companies from *consumer non-cyclicals*, *financials* and *real estate* sectors (Figure 3.11, Panel A). On the Main Board, these three industries together account for almost half of listed companies and over 60% of market capitalisation. Companies from *consumer non-cyclicals* account for the highest share of market capitalisation (27%), followed by *real estate* and *financials*, each accounting for 18%. On the SME Board, the same three industries comprise 70% of the listed companies and over 60% of market capitalisation (Figure 3.11, Panel B). Other major issuers are *industrial* and *utilities*, representing around 10% of total market capitalisation on the Main Board. On the SME Board, *healthcare* accounts for one-quarter of market capitalisation and *consumer non-cyclicals* for one-third.

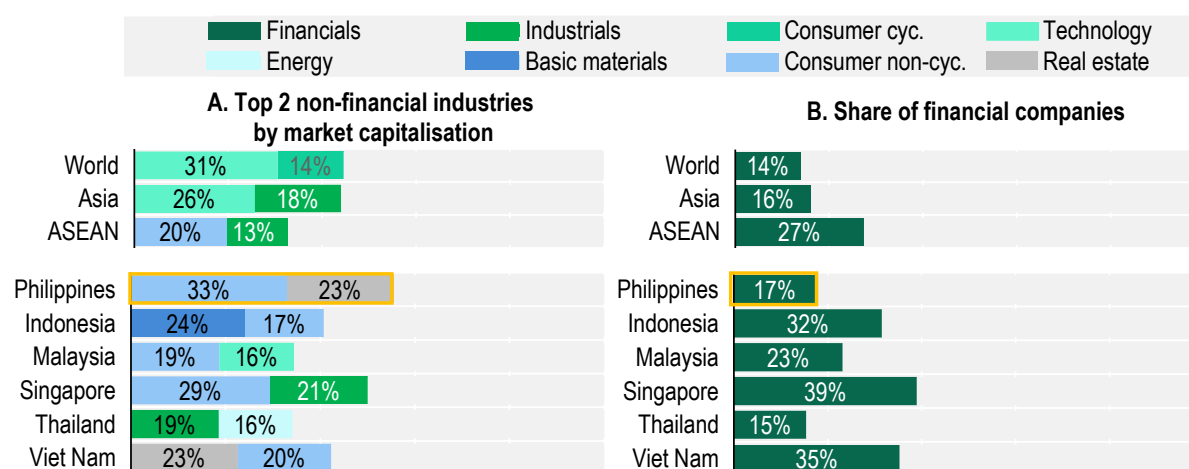
Figure 3.11. Industry composition of companies listed on the Philippines Stock Exchange, end of 2023



Source: OECD Capital Market Series dataset; see Annex for details.

Consumer non-cyclicals is the dominant industry in Asia and across ASEAN countries (Figure 3.12, Panel A). Technology companies have a lower presence in the Philippines and peer ASEAN countries compared to the rest of Asia and the world, where the *technology* sector is the largest. Real estate companies have a strong presence, constituting around one-quarter of market capitalisation in both the Philippines and Viet Nam. Importantly, financial corporations have a high presence overall across ASEAN countries (Figure 3.12, Panel B). However, in the Philippines, financial companies only account for around 17%, significantly lower than peer countries such as Indonesia (32%) and Viet Nam (35%).

Figure 3.12. Industry composition of listed companies, end of 2023



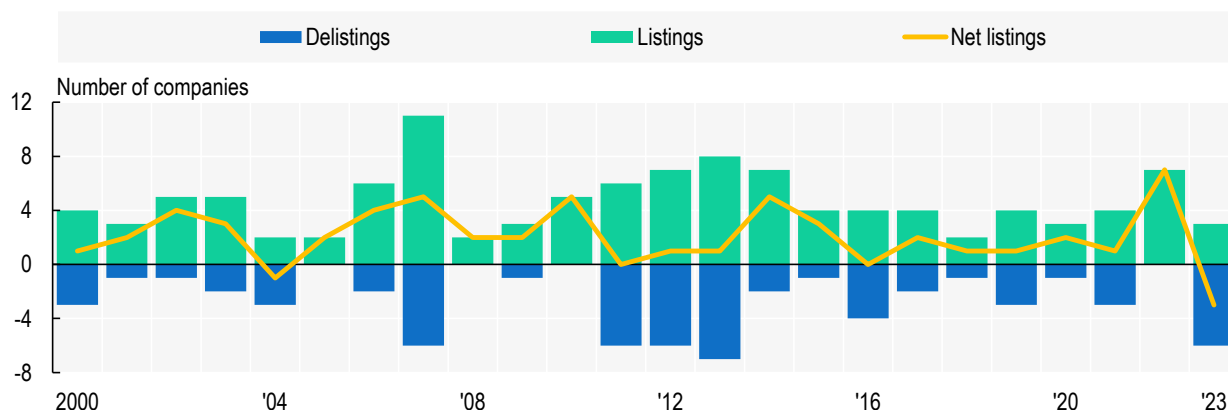
Source: OECD Capital Market Series dataset; see Annex for details.

Since 2000, 111 companies have been listed on the Philippine Stock Exchange, while 61 companies have delisted (Figure 3.13). This has led to a significant net increase in the number of listed companies. In 2007, before the global financial crisis, 11 companies were listed in a single year. However, listing activity slowed down in the aftermath of the financial crisis due to sluggish investor confidence, preventing companies from conducting IPOs. Subsequently, the IPO activity slowly recovered, with an average of five listings per

year since 2010. Particularly, 2022 recorded the highest net listings, with seven listings and no delistings. However, in 2023, the market had a negative net intake.

To boost the number of listings, the PSE, with the support of the Capital Markets Development Council (CMDCC), introduced the Listing Engagement and Assistance Program (LEAP) in 2021. In partnership with other organisations the programme helps prospective companies through the listing process. At the start of 2024 the programme had 70 participants. The SME Board requirements have also been amended by introducing a sponsorship model whereby a firm wishing to list without meeting the regular requirements, may do so via a sponsor. The sponsor needs to be accredited by the exchange and is meant to ensure the quality of the listing candidate and uphold its responsibilities vis-à-vis investors, in order to maintain market integrity (PSE, 2024^[62]).

Figure 3.13. Newly listed and delisted companies in the Philippines

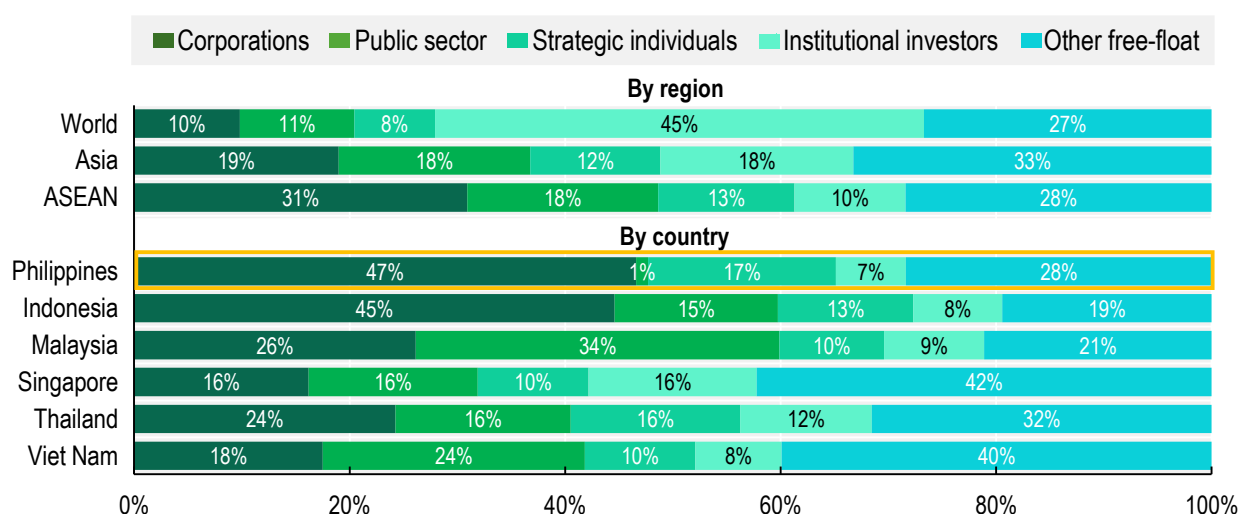


Source: OECD Capital Market Series dataset; PSE (2024^[11]), Delisted companies, <https://www.pse.com.ph/delisted-companies/>.

3.1.5. Investors and ownership structure of listed companies

The ownership structure of listed companies in the Philippine stock market stands out with its high level of corporate ownership (Figure 3.14). At the end of 2023, corporations owned 47% of the local market capitalisation, almost twice the level in other ASEAN countries (excluding Indonesia) and much higher than in Asia (19%) and globally (10%). Strategic individuals own 17% of the stock market, higher than the rate in the ASEAN region (13%). Their importance is explained by the prevalence of large family businesses in the Philippines. Meanwhile institutional investors own a modest 7% of the listed equity in the Philippines, much lower than in other ASEAN markets, Asia and globally. ASEAN markets generally have a low level of institutional ownership (10%) compared to their holdings in Asia (18%) and globally (45%). The public sector, an important owner in other ASEAN and Asian markets, is insignificant in the Philippines mainly due to the lack of privatised SOEs.

Figure 3.14. Investors' holdings, end of 2023

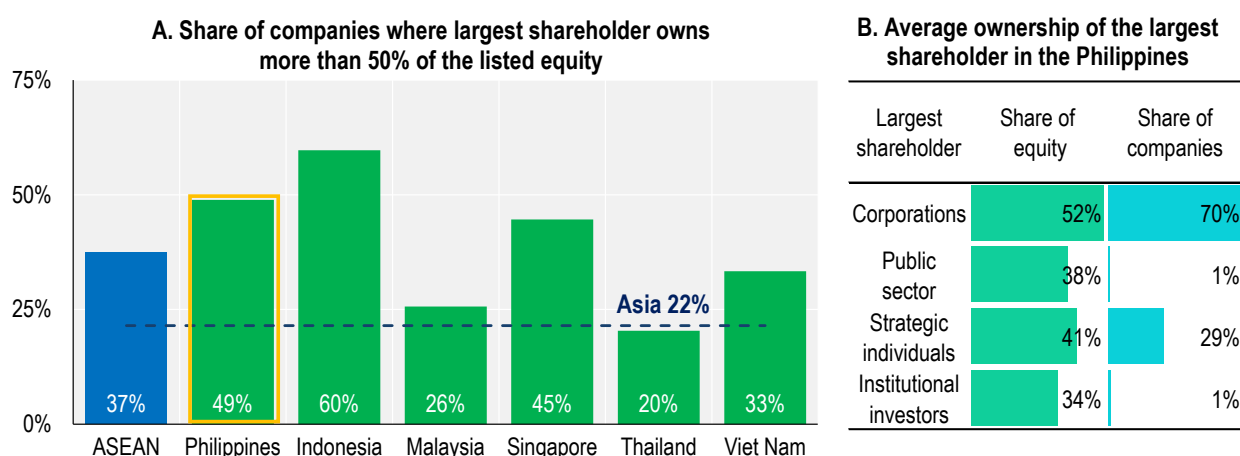


Note: Investors are classified following (De La Cruz, Medina and Tang, 2019^[12]), "Owners of the world's listed companies". Strategic individuals are those who are required to disclose their holdings in a company, typically individuals holding large number of shares, the CEO, board members, family members of the strategic individuals. They are not to be confused with retail investors.

Source: OECD Capital Market Series dataset, FactSet, LSEG, Bloomberg, see Annex for details.

The ownership structure of listed companies in the Philippines also shows high concentration levels at the company-level compared to other ASEAN peer countries. In 49% of listed companies, the largest shareholder owns more than half of the equity capital, which is well above the levels in ASEAN markets (37%) and Asia (22%) (Figure 3.15, Panel A). The only exception is Indonesia, where the share of companies with the largest shareholder owning more than half of the equity stands at 60%.

Figure 3.15. Ownership concentration, end of 2023



Notes: In panel B the ownership (share of equity) is calculated as the average percentage of shares outstanding owned by each investor category when the largest shareholder in the company belongs to that investor category; the share of companies is computed as the ratio of the companies whose largest shareholder belong to a given category of investor over the total number of companies for which information is available.

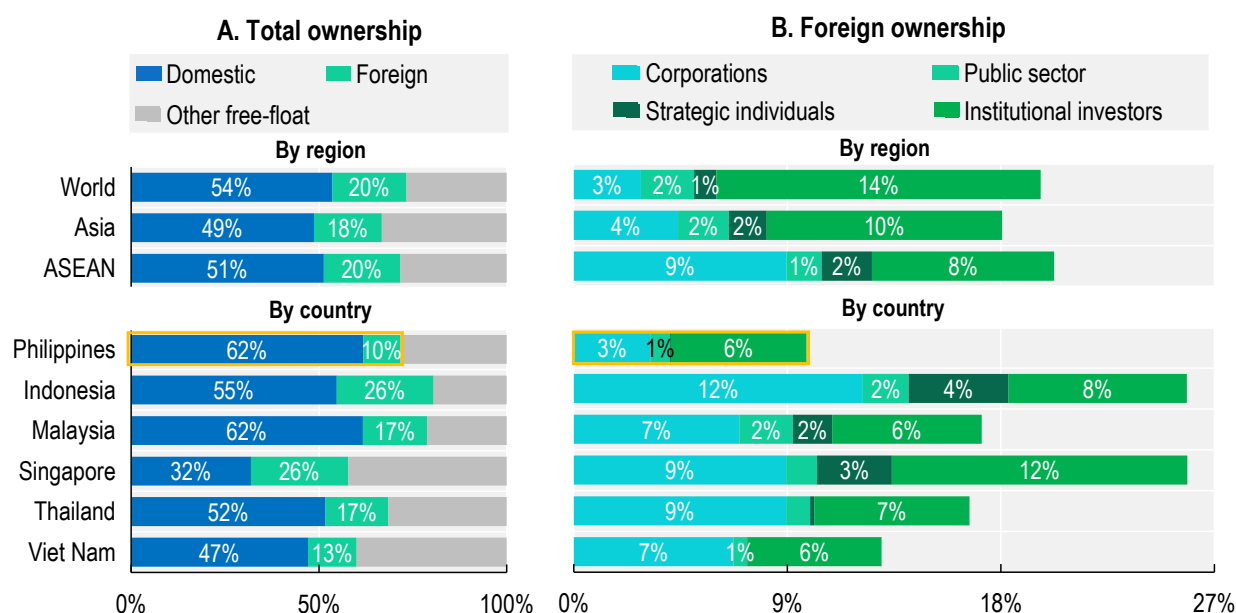
Source: OECD Capital Market Series dataset, FactSet, Thomson Reuters, Bloomberg; see Annex for details.

At the company level, corporations are the most common largest single shareholder in the Philippines, holding on average 52% of the equity in 70% of the companies (Panel B). Strategic individuals constitute

the second largest shareholder group, holding on average 41% of the equity in 29% of the companies. Public sector and institutional investors on the other hand, hold on average a relatively smaller share of the equity, 38% and 34% respectively, in 1% of the companies each.

In the Philippines, the ownership of listed companies is dominated by domestic investors, who own 62% of the total equity, higher than in Asia (49%) and globally (54%) (Figure 3.16, Panel A). Compared to peer countries, the Philippines has the highest share of domestic investors. Therefore, the total share of equity owned by foreign investors is the lowest (10%) among ASEAN (13%-26%), and also lower than levels in Asia (18%) and globally (20%). Among foreign investors in the Philippines, institutional investors are predominant, holding 6% of the total equity (Panel B). Foreign corporations hold only 3% of the total equity – less than half the share they hold in other ASEAN countries.

Figure 3.16. Foreign and domestic ownership of listed companies, end of 2023



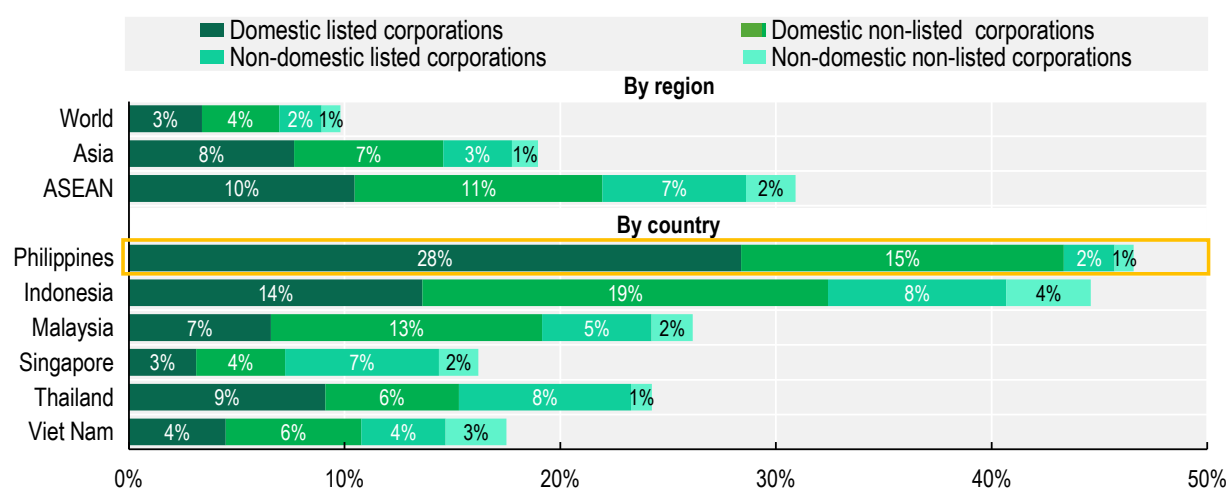
Note: The category “other free-float” in Panel A represents shares in the hands of investors that are not required to disclose their holdings and therefore no information is available.

Source: OECD Capital Market Series dataset, FactSet, LSEG, Bloomberg, see Annex for details.

High levels of corporate ownership in the Philippines reflect the presence of company group structures. Listed companies with a large corporate ownership are often part of a group, either as the parent company or as a subsidiary. Company group structures in the Philippines are characterised by familial relations, allowing affiliated companies to enjoy lower transaction costs and have easier access to resources within the family group (Rama, 2010^[13]).

Domestic corporations hold a greater share of the market capitalisation (43%) than non-domestic ones (3%), meaning that domestic company groups are prevalent. This is also true in other ASEAN countries except in Singapore, where the share of non-domestic corporations (9%) is higher than domestic corporations (7%) (Figure 3.17).

Figure 3.17. Corporations as owners of listed companies, end of 2023



Source: OECD Capital Market Series dataset, FactSet, LSEG, Bloomberg; see Annex for details.

Furthermore, in the Philippines, the predominant equity owners are other listed corporations, of which 28% are owned by domestic listed corporations and another 2% by foreign listed ones (Figure 3.17). Listed corporations also hold a greater share of the equity compared to unlisted corporations in Asia and globally. In peer countries, on the other hand, the situation in terms of the predominant equity holders among corporations is different. While in Thailand and Singapore listed corporations own a greater share of the equity, in the rest of the ASEAN countries non-listed corporations are the predominant owners.

3.1.6. Listing requirements and fees of the stock exchange

The stock market in the Philippines is managed and operated by the Philippine Stock Exchange (PSE) and consists of the Main Board and the SME Board. The PSE also part-owns the fixed income market, PDEx, which enables trading of corporate bonds and government securities. The PSE has 8 constituent indices; the PSE Composite Index (PSEi) is the main index and is composed of the 30 largest listed companies. Apart from a broad 'all shares' index, the other indices are all sector-based.

The main differences between the Main Board and the SME Board are the listing requirements and fees, which are based on the size of the listing. The key differences between the listing requirements of the two boards are summarised in Figure 3.18 and a comparison of fees in Figure 3.19. A comprehensive description for the listing and post-listing requirements including fees is included in the Annex.

The Main Board has higher standards on financial performance, the minimum share of stock offered, the minimum number of shareholders and the operating lifetime of the company. Companies seeking to list on the SME Board need to submit a business plan including a strategy on how to achieve business objectives over the coming five years. Both Boards require a board of directors consisting of at least 7 directors, where at least two, or 20% of the board, must be independent. SEC registration and post-listing disclosures of financial statements, periodic reporting and corporate governance reports are also the same for the two Boards. As mentioned above, the fee structure for both Boards is comprised by a listing fee and an annual fee, based on market capitalisation. Admission fees are proportional to size for both Boards, up to PHP 15 billion (~USD 267 million) for the Main Board, after which the fees are lowered from 0.1% to 0.05% of the aggregate value of securities offered.

Figure 3.18. Stock exchange listing requirements for the Main Board and SME Board

	Main Board	SME Board
Capital requirement	Shareholders' equity of at least PHP 500 mln for the most recent fiscal year.	Shareholders' equity of at least PHP 25 million for the most recent fiscal year.
Min. number of shareholders	At least 1 000 shareholders owning shares equivalent to at least one board lot.	At least 200 shareholders owning shares equivalent to at least one board lot.
Operating lifetime	At least three years.	At least two years.
Listing documentation	Red herring prospectus and prospectus.	Red herring prospectus, prospectus and a business plan showing growth prospects.
Financial requirements	- Cumulative net income of at least PHP 75 mln for three years preceding application, with an exception for companies with operations over 10 years, then a cumulative net income of PHP 75 mln for at least 2 of the 3 last years is needed. - Minimum net income of at least PHP 50 mln for the previous fiscal year.	- Cumulative EBITDA $\geq$ PHP 15 mln for the 3 previous fiscal years (or as long as the company has been operational). - or - Cumulative operating revenue $\geq$ PHP 150 mln for the previous 3 years, with an average growth rate of at least 20% for the previous two years.

Source: PSE (2024_[14]), Consolidated Listing and Disclosure Rules, https://documents.pse.com.ph/wp-content/uploads/sites/15/2024/04/Consolidated-Listing-and-Disclosure-Rules_as-of-April-2024_FINAL.pdf; SEC (2024_[15]), Schedules of fees, <https://www.sec.gov.ph/forms-and-fees/schedules-of-fees/#gsc.tab=0>; SEC (2020_[16]), Registration of Debt or Equity Securities, https://www.sec.gov.ph/wp-content/uploads/2020/02/2018_UpdatedRequirementsForRegistrationofDebtOrEquitySecurities.pdf.

Figure 3.19. Listing and annual fees

	Main Board	SME Board
SEC registration fee	- SEC registration filing fee of 0.10% of the aggregate value of securities being offered if value is no more than PHP 500 million, increasing in incremental steps with offered value, to PHP 812 500 + 0.025% of the aggregate value of securities being offered if value is over PHP 1 billion. - A further 1% of this filing fee is then added as a legal research fee.	Same as the main board.
PSE admission fee	- If aggregate value of securities offered below PHP 15 billion, 0.1% of this value, with a min. of PHP 500 000. - If aggregate value of securities offered above PHP 15 billion, PHP 15 million + 0.05% of the excess value above 15 billion.	0.1% of the aggregate value of securities being offered.
PSE annual fee	0.01% of market cap., with a min. of PHP 250 000 and max. of PHP 2 million	PHP 100 per million of market cap. With a min. of PHP 50 000 and max. of PHP 250 000.

Source: PSE (2024_[14]), Consolidated Listing and Disclosure Rules, https://documents.pse.com.ph/wp-content/uploads/sites/15/2024/04/Consolidated-Listing-and-Disclosure-Rules_as-of-April-2024_FINAL.pdf; SEC (2024_[15]), Schedules of fees, <https://www.sec.gov.ph/forms-and-fees/schedules-of-fees/#gsc.tab=0>; SEC (2020_[16]), Registration of Debt or Equity Securities, https://www.sec.gov.ph/wp-content/uploads/2020/02/2018_UpdatedRequirementsForRegistrationofDebtOrEquitySecurities.pdf.

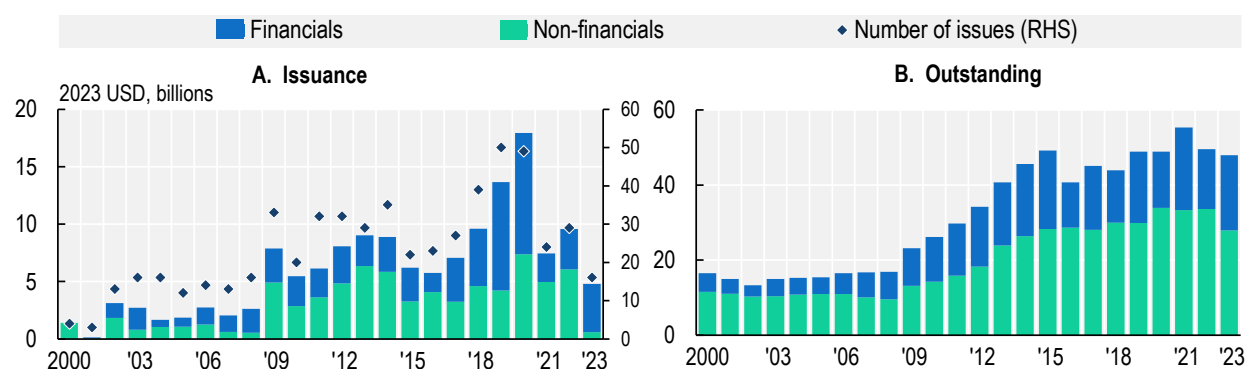
3.2. The corporate bond market

While banks continue to dominate the financing of non-financial companies in many Asian jurisdictions, corporate bond markets have developed rapidly. Since the Asian financial crisis of 1997-98, corporate bond issuance growth in Asia has outpaced economic growth, with outstanding amounts representing 9.4% of GDP in 2000 and growing to 30% in 2023. The expansion of corporate bond markets in Asia has been driven mainly by China and the issuance of financial corporations. Financial corporations were responsible for 65% of the growth in the outstanding amounts in the region between 2000 and 2023, and non-financial corporations made up the remaining 35% (Figure 3.21).

Since 2000, the outstanding amounts of corporate bonds in the Philippines have expanded at a lower average yearly rate (4.8%) compared to the ASEAN level (5.7%). This holds for both financial and non-financial corporate bonds. Of the USD 410 billion issued in ASEAN countries in 2020-23, about 10% were issued by Philippine companies, slightly below the country's average contribution to the region's GDP at 12%. After strong growth in the period before the COVID-19 crisis, issuance peaked at USD 19 billion in 2020 (Figure 3.20, Panel A). In 2023, out of the 16 corporations that used corporate bond markets to raise capital, only 5 were non-financial corporations, which may be explained by the increase in domestic borrowing costs following the sharp increase of 450 basis points in the central bank reference rate (BSP, 2024^[17]).

Since 2000, the aggregate amount issued has roughly been split evenly between financial corporations (48%) and non-financial corporations (52%), with non-financials slightly outpacing financials after 2008 (Figure 3.20, Panel A). The exception was the 2017-20 period, when non-financial corporate bonds have made up 41% of amounts issued on average. As a result, at the end of 2023, 58% of the USD 48 billion in outstanding bonds corresponded to non-financial corporations (Figure 3.20, Panel B).

Figure 3.20. Corporate bond issuance and outstanding corporate bonds in the Philippines



Source: OECD Capital Market Series dataset, LSEG; see Annex for details.

Relative to peer countries, the Philippines ranks second to last in terms of number of bonds issued with 567 bonds since 2000 (Figure 3.21). Only Viet Nam, where the corporate bond market is at an early stage of development, had fewer issuances. The number of bonds issued in relation to the size of the economy highlights the undersized nature of the corporate bond market in the Philippines. Between 2000 and 2023, capital raised amounted to USD 75 billion for non-financial corporations and USD 70 billion for financial corporates. This distribution is fairly similar to Indonesia's situation, but in Thailand, non-financials have been the main issuers, and in Singapore and Malaysia, corporate bonds from the financial sector dominate.

An overview of issuance activity shows that the corporate bond market in the Philippines is mostly used by larger companies, since the average issue size is higher than in peer countries (Figure 3.21). This was confirmed during OECD consultations with market participants. Moreover, the outstanding amount of

corporate bonds relative to GDP stands at 11% in the Philippines, roughly in line with the ASEAN region (13%). However, it is much lower than in many peer countries, such as Singapore (29%), Malaysia (22%) and Thailand (18%). While the Philippine corporate bond market has grown in nominal terms, as share of GDP it has been static since 2000. Other peer markets, like Indonesia or Viet Nam, have struggled to grow, whereas Singapore and Thailand have roughly doubled from representing around 15% of GDP in 2000 to above 30% in 2023.

Figure 3.21. Corporate bond issuance overview, 2000-23

	Number of bond issues	Non-financial corporations capital raised via bond issuance (USD billions)	Financial corporations capital raised via bond issuance (USD billions)	Bonds outstanding as a share of GDP (average)
By region				
World	288 501	43 350	64 414	27%
Asia	134 355	11 744	13 775	16%
ASEAN	9 316	757	840	13%
By country				
Philippines	567	75	70	11%
Indonesia	1 376	129	103	5%
Malaysia	1 825	63	189	22%
Singapore	2 116	172	306	29%
Thailand	3 062	308	159	18%
Viet Nam	347	6	12	1%

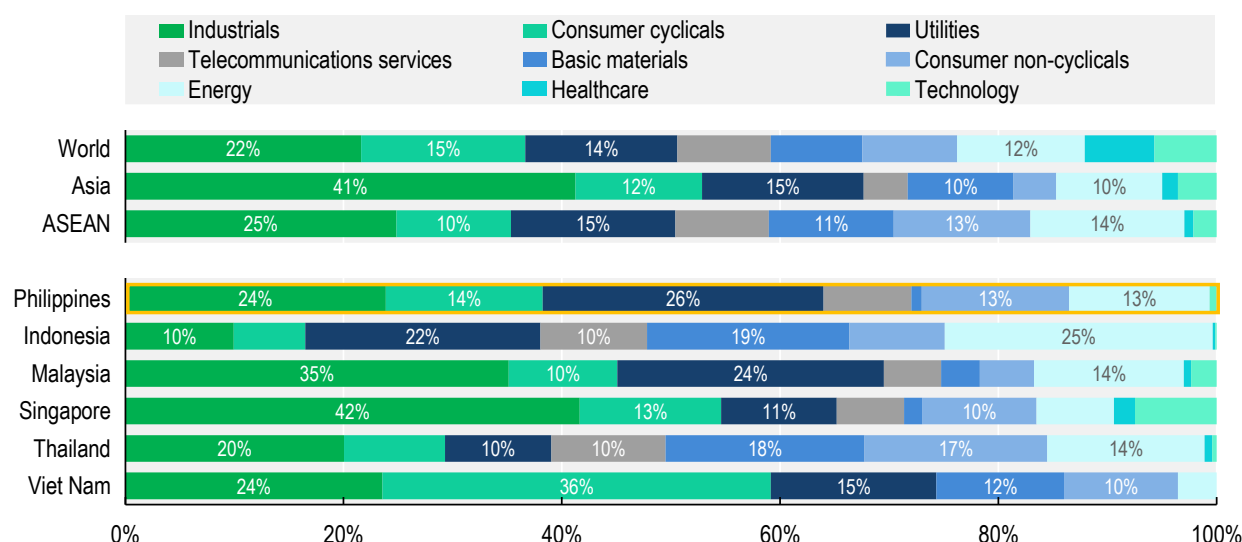
Note: Bonds outstanding as a share of GDP is the annual average of the ratio between 2000 and 2023.

Source: OECD Capital Market Series dataset, LSEG; see Annex for details.

In terms of the industry composition of the non-financial company issuers, *industrials*, *utilities* and *consumer cyclicals* are dominant across ASEAN markets. These three sectors make up half of the issuance in the ASEAN region over the 2000-23 period, similar to global levels, but lower than Asia (Figure 3.22). In the Philippines, Singapore and Malaysia, these three industries represent slightly higher shares, at 64%, 69% and 65%, respectively. In particular, corporate bonds issued by the *utilities* sector stand out in the Philippines, raising 26% of the total proceeds. In Indonesia and Thailand *basic materials* makes up nearly 20% of issuance, a high share when compared internationally.

Between 2000 and 2023, over half of the total amount of corporate bond issued by non-financial companies in the Philippines had maturities ranging between 5 and 10 years. If bonds with a maturity of 10 years or more are added to this share, the total is 80% of issuance. This is higher than peers, as well as both the ASEAN region and Asia, where the shares of bonds with a maturity of 5 or more years were 55% and 42%, respectively (Figure 3.23, Panel A). While lengthening of maturities is beneficial for corporations, in the case of the Philippines, it supports the notion that only a few large corporations have access to corporate bond markets and issue large bonds with longer maturities. Among peer countries, shorter maturities have made up the largest share of issuance in Indonesia, Thailand and ASEAN as a whole, while the distribution has been more even in Malaysia and Singapore. Over the last 10 years, the share of mid-range of maturities, between five and ten years, has decreased in many markets compared to the previous decade, with the shares of both shorter and longer maturities increasing. In the Philippines, it is mostly longer maturities that have increased, whereas in Malaysia, Thailand and the ASEAN region as a whole, both short and long maturities have increased fairly equally.

Figure 3.22. Industry composition of non-financial corporate bonds, 2000-23



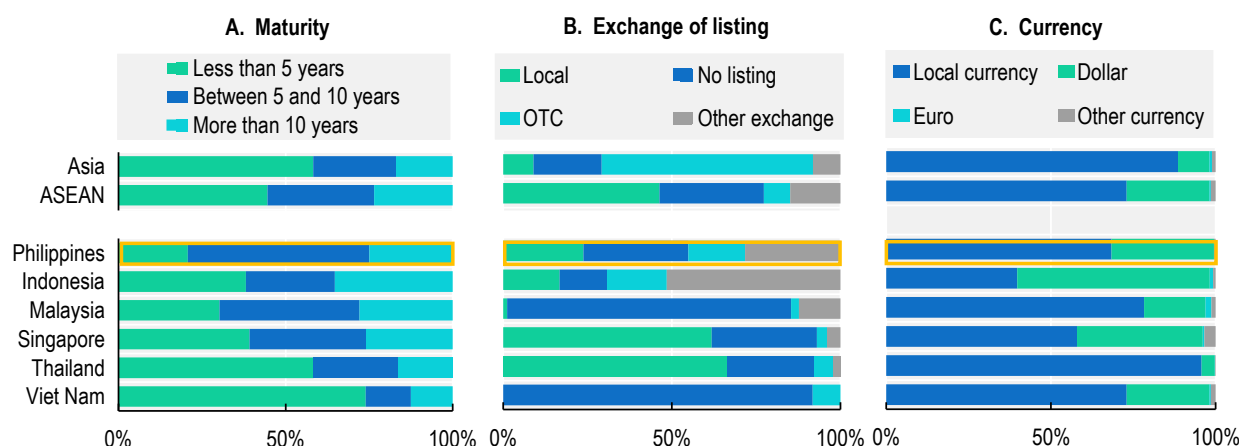
Source: OECD Capital Market Series dataset, LSEG; see Annex for details.

Regarding the choice of the exchange of listing for non-financial corporate bonds, the landscape varies across markets. In the Philippines, over the 2000-23 period, only 24% of corporate bonds listed on the local exchange. This was much lower than in Singapore and Thailand, at 62% and 66%, respectively, and ASEAN as a whole, at 46% (Figure 3.23, Panel B). Almost one-third of Philippine corporate bonds listed on foreign exchanges. While this share decreased in the last decade, it was still higher than all peers but Indonesia. In Singapore and Thailand, corporations preferred to list their bonds on the local exchange. In contrast, in Malaysia and Viet Nam, bonds were not listed on a stock exchange, but instead privately placed. Comparing amounts issued with the number of issues shows that local exchanges have primarily served smaller issuers, while larger issues tend to access foreign exchanges. Moreover, smaller issuers have often preferred private placements rather than listing on exchanges.

Globally and in Asia, there is an increasing number of over-the-counter (OTC) markets managed by stock exchanges. In many countries, these markets are the primary markets for corporate bonds (OECD, 2024^[18]). While most corporate bonds are not listed in Asia as a whole and instead trade over-the-counter, this is not the case in the ASEAN region (Figure 3.23, Panel B). In the Philippines, the share of corporate bonds not listed trading OTC was 17% over the period, with an increase in the use of OTC markets over the last ten years compared to the previous ten-year period.

In all markets shown in Panel C the dominant currencies are the local currency and US dollar, which together make up over 95% of the amounts issued by non-financial corporations between 2000 and 2023. For the Philippines, 68% of issued amounts were denominated in local currency, and 31% in US dollar. This is in stark contrast to the non-financial corporate bond market in the early 2000s, when over 70% of the amount issued was made in US dollars.

Figure 3.23. Characteristics of non-financial corporate bonds, 2000-23



Note: Shares are computed based on total proceeds.

Source: OECD Capital Market Series dataset, LSEG; see Annex for details.

3.2.1. Trading and listing corporate bonds in the Philippines

The Philippine Dealing & Exchange Corp (PDEX), operated by the PDS Group, is the only regulated fixed income marketplace in the Philippines where corporate bonds can be listed and traded. The PDEX operates an electronic trading platform and is designated by the Securities Exchange Commission (SEC) as a self-regulatory organisation (SRO). As an SRO it provides rules and requirements directed towards market participants for the listing, related disclosure, and trading of fixed-income securities itself. As the main market operator in fixed income, government securities are also traded on the PDEX. To support liquidity of government bonds the PDEX provides programmes such as the *Securities Lending Transactions Program* and the *Inter-Professional Repurchase Agreement Market Program*. The PDEX is also linked directly to settlement systems through ownership of the Philippine Depository & Trust Corporation (PDTC), the main securities depository that provides central securities services for both the equities and fixed income market.

The admission and continued listing on the PDEX rests on the regulatory framework set out in the Securities Regulation Code (SRC) where the emphasis is on providing investor protection, while allowing professional investors freedom to make informed decisions on securities with less extensive requirements (ADB, 2017^[19]). SEC registration is required for bond issues publicly offered to any investor, whereas those issued to a set of professional investors can be classified as ‘exempt transactions’ and avoid registration. However, professional investors themselves need to be registered as such at the SEC. Banks instead need to notify the Bangko Sentral ng Pilipinas (BSP), while publicly offered non-resident issuers and issues in foreign currency need to both register with the SEC and notify the BSP (ADB, 2020^[20]). The SEC registration process for bonds has been based on that of equity issuance and thus demands the same disclosure requirements. To determine the value of securities, equity holders generally need more information than bondholders who can focus more narrowly on debt covenants, meaning disclosure requirements are relatively extensive.

The PDEX is also the OTC market operator in the Philippines, including government securities, corporate bonds and notes. According to the OTC rules, all trading must occur on an organised market authorised by the SEC. Therefore, listing or enrolment on the PDEX is in effect mandatory to trade in the OTC market (ADB, 2020^[20]). According to the IMF, the PDEX is “in essence an OTC market with a trade reporting system” (IMF, 2019^[21]). Another point of note is the option of shelf registration, whereby an issuer, by registering with the SEC, can issue tranches under a single registration statement on a consecutive or delayed basis. Although the 2015 Securities Regulation Code sought to update shelf registration rules to

adhere to global best practices – for example, by allowing a longer issuance period, faster issuance process, and the ability to pay registration fees in line with issuance rather than a total upfront – initiatives to create a streamlined process for serial issuance continues (SRC, 2015^[22]).

The PDEX admission requirements for *listing* (public offers directed to all investors) and *enrolment* (offers directed towards professional investors) vary in their complexity. Both types of issues need a licensed underwriter, a registry recording changes of ownership, and facility agent, providing monitoring of the issue on behalf of investors. Both also need a rating – either of the issuer or the issued securities – and a market maker to support liquidity. The key added requirements for public offers are summarised in Figure 3.24 below (PDS Group, 2021^[23]; PDEX, 2011^[24]). Apart from the SEC registration, the main difference between listing and enrolment comes in terms of the level of required disclosures to the PDEX. Applications to list bonds require both detailed financial statements and audited reporting, and a prospectus encompassing a broad range of information. Enrolled bonds can rely on a simpler offer memorandum that is markedly less extensive, and other disclosures are more generally focused on what the prospective investors demand. Therefore, as enrolment is specifically targeting professional investors who might have quite specific disclosure demands or investing guidelines, this venue for admitting corporate bonds to the PDEX offers a more flexible and less onerous route.

The cost of admission to the PDEX is the same whether the bonds are listed or enrolled (Figure 3.25). However, listed bonds also require SEC registration, which entails the same fee as an equity issuance. Both these types of fees are proportional to the value of securities offered, but with incremental regressive steps.

Figure 3.24. PDEX listing requirements for corporate bonds

Requirements for listed bonds	
SEC registration	Registration statement for the securities to be listed, which includes: a prospectus, audited financial statements, a tax compliance report, articles of incorporation/by-laws.
Credit rating	The issuer must be rated by a credit rating agency, or the securities if they are subordinated. Ratings must also be maintained continually.
Liquidity providers	The issuer must have at least one market maker.
Due diligence	Due diligence must have been performed by an SEC-licensed external underwriter, arranger or issue manager according to regulatory standards.
Prospectus	The issuer must provide a prospectus in accordance with the Securities Regulation Code.

Source: PDEX (2021^[25]), Rules for the Fixed Income Securities Market, <https://www.pds.com.ph/wp-content/uploads/2021/02/PDEX-Rules-for-the-Fixed-Income-Securities-Market-as-Amended-Revised-25-February-2021.pdf>; PDEX (2024^[26]), Listing Qualifications, https://www.pds.com.ph/index.html%3Fpage_id=598.html; PDEX (2011^[24]), Listing Checklist: Listing Application (Registered Securities); SEC (2024^[27]), SEC Form 12-1 Checklist, https://www.sec.gov.ph/wp-content/uploads/2024/02/2024Form_SEC-Form-12-1-Submission-Checklist-2024.docx.

Figure 3.25. Admission fees for corporate bonds

Admission fees	
SEC registration fees	- SEC registration filing fee of 0.10% of the value of securities being offered if value is no more than PHP 500 million, increasing in incremental steps with offered value, to PHP 812 500 + 0.025% of the aggregate value of securities being offered if value is over PHP 1 billion. - A further 1% of this filing fee is then added as a legal research fee.
PDEX admission fees	- An application fee of PHP 50 000 for government-like securities* and PHP 100 000 – 200 000 for non-government-like* securities. - An annual maintenance fee of 0.005% per annum, with a minimum of PHP 50 000 (for an issue of PHP 1 billion and below), and a maximum of PHP 150 000 (for an issue of PHP 3 billion and above).

Note: *See table A 11. in Annex G. for details on the definition of government-like and non-government-like bonds.

Source: PSE (2021^[28]), Consolidated Listing and Disclosure Rules, https://documents.pse.com.ph/wp-content/uploads/sites/15/2024/04/Consolidated-Listing-and-Disclosure-Rules_as-of-April-2024_FINAL.pdf; SEC (2024^[15]), Schedules of fees, Schedules of Fees - Securities and Exchange Commission.

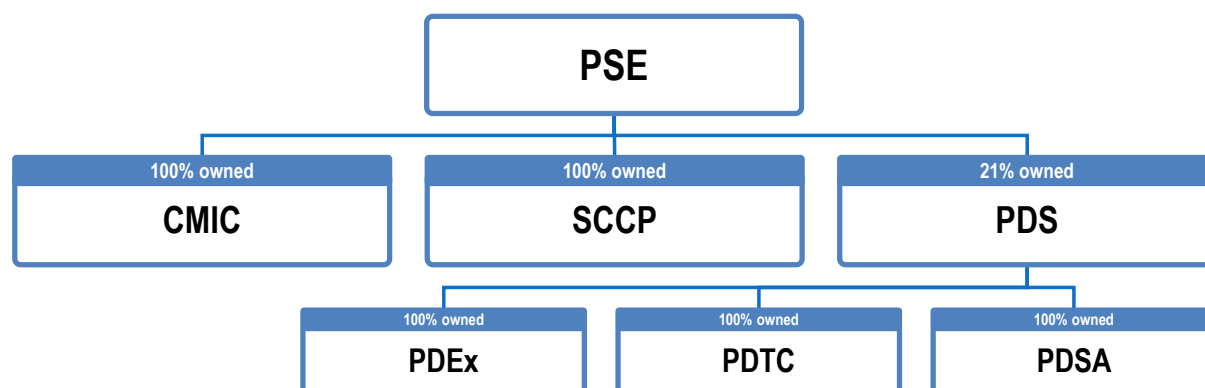
3.3. Securities market infrastructure

The PSE was granted status as a Self-Regulatory Organisation (SRO) by the SEC in 1998. The SRO status is meant to transmit ownership of rules to market participants, with the objective to both improve adherence and create rules that are more flexible and market-driven and thus develop a system less likely burdened by over-regulation. Meanwhile, the SEC retained its position as the overall regulator and supervisor of securities, corporations and capital market participants. It is responsible for approving the issuance and registration of all types of securities to be approved for distribution in the Philippines under the Revised Securities Act (Clearstream, 2024^[29]). It also operates the corporate registry.

The operations of the PSE are divided into listings and disclosure, trading and market operations, and capital market development. In 2010, the audit, market surveillance and compliance functions were incorporated into a fully-owned subsidiary, the Capital Markets Integrity Corporation (CMIC), which was granted SRO status by the SEC in 2012 (CMIC, 2024^[30]). See Figure 3.26 for an overview of the ownership structure of key parts of the infrastructure.

The PSE also fully owns the Securities Clearing Corporation of the Philippines (SCCP), which acts as the central clearing house for the equity market, licensed by the SEC. The SCCP manages cash and securities settlement for the connected brokers, synchronising payments and transfer of securities. It guarantees the settlement in the event of a participant's default, mitigating settlement risk. The SCCP system works through multilateral netting, where net settlement for each clearing member leads to a single net cash position, and where the SCCP acts as the seller to all net buyers and seller to all net sellers. After each trading day's net clearing the SCCP provides instructions for the exchange of cash and securities through the settlement bank accounts and central securities depository accounts of each clearing member, which is then carried out within two days (SCCP, 2024^[31]; SCCP, 2023^[32]). For debt securities it is the Philippine Dealing & Exchange Corporation (PDEX) that handles payment and settlement. It is owned by the Philippine Dealing System Holdings Corporation (PDS Group).

Figure 3.26. Ownership structure of the stock market infrastructure



Source: PSE (2024^[33]), Group Corporate Structure, <https://corporate.pse.com.ph/about-pse/the-organization/group-corporate-structure/>; PDS Group (2024^[34]), About PDS Group, https://www.pds.com.ph/index.html%3Fpage_id=180.html.

Through its stake in the PDS Group, the PSE partly owns the Philippine Depository & Trust Corporation (PDTC), the central securities depository. The depository holds securities in electronic book entry form and acts as a collateral manager and lending agent for securities lending and borrowing transactions. After settlement instructions are received, the depository can affect the transfer of securities from one account to the other. It also provides registry services, maintaining the official record of ownership. Combined with the payment services offered, the registry can perform payments of dividends or interest to holders on behalf of the issuer. The depository computes the entitlements, as well as the corresponding withholding taxes (PDS Group, 2024^[35]). The PDS Group also owns the PDS Academy for Market Development Corp. (PDSA) – a non-stock, non-profit association engaged in education and market development.

The partial ownership of the PDS Group also means that the PSE partly controls the PDEX, the fixed income exchange and trading platform. In late 2023, the SEC approved the PSE's request for approval to acquire 100% of PDS's shares, which would concentrate securities trading in the Philippines under one entity. However, any deal requires the acceptance of current shareholders, which include some potential vested interests.

The Philippine equity market operates based on the PSEtrade XPS system, bought in 2015 and using NASDAQ's X-stream technology. It is equipped to handle large trading volumes and manage further functional developments, such as the addition of fixed income and derivatives. It also secures uptime by being able to perform same-day recovery in case of failure. In addition to regular and preferred shares, the exchange recently introduced REITs and an ETF. Dollar denominated securities and warrants also exist to a limited extent. An expansion to include trading of depository receipts and derivatives is planned for 2024 and 2025. These instruments were introduced to boost liquidity and improve risk management for investors (PSE, 2023^[8]). In 2018, the PDEX switched its trading system from the previous NASDAQ X-stream Fixed Income Trading Engine to Bloomberg's FIQ system and was accompanied by new reference rates based on Bloomberg's BVAL service and administered by the Bankers' Association (PDS Group, 2024^[36]).

3.4. Related taxes

Effective tax policies play a crucial role in attracting investments and enhancing market liquidity, therefore promoting overall capital market development. Consequently, well-designed tax frameworks should not impede the growth and development of capital markets. Recognising that taxes can influence the incentives of market participants, many countries have used tax policies to create a more favourable

investment environment by offering tax incentives and providing specific tax benefits for issuers and/or investors. The main focus here is on taxes that affect issuers (corporations) and investors who can be identified as corporations or individuals. Additionally, the tax treatment to foreign investors is also discussed when relevant.

3.4.1. Corporate income

The standard corporate income tax rate (CIT) in the Philippines is 25% based on net taxable income (PWC, 2024^[37]). This rate was reduced from 30% in 2021 with the introduction of the Corporate Recovery and Tax Incentives for Enterprises Act (ASEAN Briefing, 2021^[38]). However, the Philippines still has the highest CIT rate among peer countries, with Singapore offering the lowest CIT rate at 17% (Table 3.2). Resident foreign corporations conducting business in the Philippines through a branch office are taxed similarly to domestic corporations. However, they are only taxed on income originating in the Philippines, except for capital gains from the sale of buildings not used in business, which are taxed as ordinary income.

In the Philippines, smaller domestic corporations with total assets not exceeding PHP 100 million (~USD 1.8 million) and total net taxable income not surpassing PHP 5 million (~USD 90 thousand) benefit from a reduced CIT rate of 20% (PWC, 2024^[37]). Moreover, in 2024, the *Ease of Paying Taxes Law* introduced various measures to facilitate tax compliance for smaller corporations. Micro and small businesses stand to gain from tailored provisions, including simplified income tax returns, decreased civil penalties, and reduced interest rates and fines.

Table 3.2. Corporate income tax (CIT) rates

	Headline CIT	Smaller company CIT	Criteria to benefit CIT incentives for small companies
Philippines	25%	20%	Total assets not exceeding PHP 100 million (~USD 1.8 million) and total net taxable income not exceeding PHP 5 million (~USD 90 000)
Indonesia	22%	Proportional ranging 11% - 22%	Turnover more than IDR 4.8 billion (~USD 312 000) and less than IDR 50 billion (~USD 3.2 million)
		0.5%	Turnover less than IDR 4.8 billion (~USD 312 000)
Malaysia	24%	Proportional ranging 15% - 24%	Paid-up capital of MYR 2.5 million (~USD 545 000) or less and gross business income not surpassing MYR 50 million (~USD 10.9 million)
Singapore	17%	Proportional ranging 4.25%-17%	Qualifying start-up companies and other companies than start-ups
Thailand	20%	Proportional ranging 0%-20%	Companies with paid-in capital less than THB 5 million (~USD 143 000) and income less than THB 30 million (~USD 858 000)
Viet Nam	20%	-	-

Source: PWC (2024^[37]), Worldwide Tax Summaries-Philippines-Corporate-Taxes on corporate income, <https://taxsummaries.pwc.com/philippines/corporate/taxes-on-corporate-income>; PWC (PWC, 2023^[39]), Worldwide Tax Summaries - Singapore - Corporate - Taxes on corporate income, <https://taxsummaries.pwc.com/singapore/corporate/taxes-on-corporate-income>; PWC (2023^[40]), PWC Worldwide Tax Summaries-Malaysia-Corporate-Taxes on corporate income, <https://taxsummaries.pwc.com/malaysia/corporate/taxes-on-corporate-income>; PWC (2023^[41]), Worldwide Tax Summaries - Indonesia - Corporate - Taxes on corporate income, <https://taxsummaries.pwc.com/indonesia/corporate/taxes-on-corporate-income>; (PWC, 2024^[37]), Worldwide Tax Summaries - Thailand - Corporate- Taxes on corporate income, <https://taxsummaries.pwc.com/thailand/corporate/taxes-on-corporate-income>; PWC (PWC, 2024^[42]), Worldwide Tax Summaries - Vietnam - Corporate- Taxes on corporate income, <https://taxsummaries.pwc.com/vietnam/corporate/taxes-on-corporate-income>.

All ASEAN countries except Viet Nam offer reductions in the CIT rate for smaller companies. Singaporean companies can benefit from partial tax exemptions, and additionally, qualifying start-up companies are eligible for a three-year start-up tax exemption. Various tax incentives are also available to corporations engaged in specified activities or industries recognised as beneficial to Singapore's economic development (PWC, 2023^[39]). In Malaysia resident companies with paid-up capital of MYR 2.5 million (~USD 545 000)

or less and gross business income not surpassing MYR 50 million (~USD 10.9 million) are eligible for lower tax rates ranging between 15% and 24%, provided they meet certain ownership conditions (PWC, 2023^[40]).

In Indonesia, special tax regimes for CIT are applicable in specific cases. For instance, public companies that have at least 40% of their total share capital listed (and when additional conditions are met) qualify for a 3% tax reduction from the standard CIT rate. This discount results in an effective tax rate of 19% for some public companies. Additionally, small enterprises, defined as corporate taxpayers with an annual turnover not exceeding IDR 50 billion (~USD 3.2 million), benefit from a 50% tax reduction off the standard rate. This reduction is applied proportionally to taxable income based on gross turnover, up to a limit of IDR 4.8 billion (~USD 312 000) (PWC, 2023^[41]).

Smaller corporations in Thailand with paid-in capital not exceeding THB 5 million (~USD 143 000), and with an income not surpassing THB 30 million (~USD 858 000), may benefit from tax exemptions or are taxed at reduced rates (PWC, 2024^[37]). In Viet Nam, certain incentives for CIT apply for qualified research and development and large investment projects (PWC, 2024^[42]). Additionally, foreign investors in Viet Nam may benefit from a reduced CIT rate, subject to specific eligibility criteria (Vietnam Briefing, 2024^[43]).

3.4.2. Capital gains

In the Philippines, taxation of capital gains from the sale of listed and unlisted shares differs for investors. The capital gains generated from the sales of listed shares on the local stock exchange are not subject to capital gain taxes. However, this tax exemption is contingent upon the listed corporation maintaining a minimum public ownership threshold of 10% of its issued and outstanding shares, whichever is higher. If the requirement on public ownership is not met, it results in the imposition of the standard 15% capital gains tax. However, there is a stock transaction tax charged to the seller in the form of a withholding tax (WHT) at 0.6% on the gross selling price for all listed shares.

The capital gains generated from the sale of shares not traded in the local stock exchange are subject to capital gain taxes at a 15% rate. Resident and non-resident individuals and corporations are taxed on Philippine-source capital gains at the same rate of 15% (PWC, 2024^[44]; BIR, 2024^[45]). Most peer countries (Singapore, Indonesia, Thailand and Viet Nam) do not have a specific regime for capital gains and instead treats them as ordinary income for both companies and individuals. Only Malaysia has a separate regime for capital gains (Table 3.3).

Overall, countries tend to support capital market development by introducing tax reductions for the sale of shares in listed companies, bonds or funds. In Malaysia, capital gains from the disposal of unlisted shares are subject to a tax rate of 10% on chargeable income for corporations, while individuals are exempt from capital gains tax (MahWengKwai & Associates, 2024^[46]; PWC, 2024^[47]). Singapore does not have a formal capital gains tax regime. However, gains from the disposal of listed or unlisted ordinary shares by a company are not taxed if specific conditions regarding the holding period (24 months) and minimum shareholding (20%) are met (IRAS, 2020^[48]). In Indonesia, capital gains are generally taxed as ordinary income both for individuals and corporations. However, similar to the Philippines, capital gains from sales of shares listed on the Indonesian stock exchange are exempt and the seller is instead subject to a stock transaction tax in the form of a WHT at 0.1% of the transaction value (PWC, 2023^[49]).

In Thailand, capital gains are treated as ordinary income for both for corporations and individuals (PWC, 2024^[50]). However, foreign companies not doing business in Thailand are subject to a WHT at 15% tax for capital gains, unless exempt under a double tax treaty. Capital gains from the sale of fund units in a fixed income mutual fund are exempt from tax subject to certain conditions, for both Thai companies and foreign companies continuing business in Thailand. For individuals, capital gains on the sale of shares in a company listed and sold on the Stock Exchange of Thailand are exempt, as is the sale of investment units in a mutual fund (PWC, 2024^[51]). In Viet Nam, capital gains are generally taxed as ordinary income both for individuals and corporations. Foreign entities pay for the transfer of securities a 0.1% of the total sales

proceeds. However, gains derived by a resident entity from the transfer of securities are taxed at the usual CIT rate of 20% (PWC, 2024^[52]).

Table 3.3. Taxation of capital gains on the disposition of shares

	Formal tax regime	Capital gains generated in the disposal of unlisted shares	Capital gains generated in the disposal of listed shares
Philippines	Yes	15% for both domestic and foreign corporations	0.6% on the transaction value stock transaction tax in the form of WHT
Indonesia	No	Taxed as ordinary income both for individuals and corporations	0.1% on the transaction value stock transaction tax in the form of WHT
Malaysia	Yes	For corporations: 10% For individuals: tax-exempt	-
Singapore	No	Taxed as ordinary income (Tax exempt: if specific conditions on the holding period and ownership are met)	Taxed as ordinary income (Tax exempt: if specific conditions on the holding period and ownership are met)
Thailand	No	Taxed as ordinary income both for individuals and corporations	For corporations: taxed as ordinary income For individuals: tax-exempt
Viet Nam	No	Taxed as ordinary income both for individuals and corporations	For residents: usual CIT rate 20% For non-residents: 0.1% on the transaction value

Source: BIR (2024^[53]), Capital Gains Tax, <https://www.bir.gov.ph/capitalgainstax?q=capital%20gains>; PWC (2024^[44]), PWC Worldwide Tax Summaries - Philippines-Corporate - Other taxes, <https://taxsummaries.pwc.com/philippines/corporate/other-taxes>; PWC Worldwide Tax Summaries - Malaysia - Corporate - Income determination, MahWengKwai & Associates (2024^[46]), Capital Gains Tax: Disposal of Unlisted Shares and Capital Assets, <https://mahwengkwei.com/capital-gains-tax-disposal-unlisted-shares-capital-assets-malaysia/>; IRAS (2020^[48]), IRAS e-Tax Guide, [https://www.iras.gov.sg/media/docs/default-source/e-tax/etaxguide_certainty-of-non-taxation-of-companies-gain-on-disposal-of-equity-investments-\(3rd-edition\).pdf?sfvrsn=ceb9a99_11](https://www.iras.gov.sg/media/docs/default-source/e-tax/etaxguide_certainty-of-non-taxation-of-companies-gain-on-disposal-of-equity-investments-(3rd-edition).pdf?sfvrsn=ceb9a99_11); PWC (2023^[49]), Worldwide Tax Summaries - Indonesia - Corporate - Income determination, <https://taxsummaries.pwc.com/indonesia/corporate/income-determination>; PWC (2024^[50]), PWC Worldwide Tax Summaries - Thailand - Corporate - Income Determination, <https://taxsummaries.pwc.com/thailand/corporate/income-determination>; PWC (2024^[52]) Worldwide Tax Summaries - Vietnam - Corporate - Income determination, <https://taxsummaries.pwc.com/vietnam/corporate/income-determination>.

In Indonesia, Malaysia and Singapore, there is no capital gains tax for the disposition of corporate bonds (OECD, 2024^[18]). In the Philippines, only bank and non-bank financial intermediaries performing quasi-banking functions are required to pay 7% on their capital gains from corporate and government bonds (ADB, 2017^[19]). Capital gains derived from trading activities, however, are subject to regular income tax ranging from 0% to 0.35% for individuals and for corporations 30%. Notably, capital gains derived selling corporate bonds with a maturity over five years are exempt (NTRC, 2018^[54]). In Thailand, capital gains from corporate bonds are typically assessed as ordinary income and subject to a withholding tax of 15%, while investments in bonds by mutual funds are tax-exempt (PWC, 2024^[47]).

3.4.3. Dividends

In the Philippines, dividends received by a domestic or resident foreign corporation from another domestic corporation are exempt from income taxes. However, dividends received by a non-resident foreign corporation from a domestic corporation are subject to a final withholding tax at a rate of 25% (PWC, 2024^[55]). Additionally, treaty rates ranging from 10% to 25% may also be applicable if the recipient is a resident of a country that has a tax treaty with the Philippines. Moreover, resident individuals are taxed at a 10% rate on dividend income received from a domestic corporation. Non-resident individuals are subject to a 20% tax rate for dividends if engaged in trade or business in the Philippines, and 25% if not engaged in business activities in the country.

Among ASEAN peers, dividends are tax-exempt in Malaysia and Singapore for both individuals and corporations, and in Thailand only corporations benefit from a tax exemption. In contrast, Indonesia does not offer any tax exemptions for dividends. In Indonesia, dividends distributed by a domestic corporation received by a resident taxpayer are treated as taxable income, while dividends distributed by a domestic corporation received by a non-resident foreign corporation or individual are subject to a withholding tax at a rate of 20% (PWC, 2023^[49]).

In Malaysia, shareholders (individuals and corporations) benefit from tax exemption on dividends received. Companies are not required to deduct tax from dividends paid to shareholders (PWC, 2024^[47]). In Singapore, dividends received by corporations and individuals are tax exempt (PWC, 2023^[56]). In Thailand, dividends received by a company listed on the Stock Exchange of Thailand from another Thai company, or by an unlisted company for a corporation are tax exempt provided certain conditions apply (PWC, 2024^[50]). For individuals, dividends received from a company incorporated in Thailand are subject to a final withholding tax at 10% (PWC, 2024^[51]). In Viet Nam, dividends paid by a company to its corporate shareholders are not subject to tax (Deloitte, 2019^[57]).

3.4.4. Interest income

In the Philippines, interest income from bank savings, time deposits, deposit substitutes and money market placements received from a domestic corporation by domestic or resident foreign corporations and individuals incur a withholding tax of 20%. Interest income from a Foreign Currency Deposit Unit (FCDU)¹ is subject to a withholding tax of 15%. For corporations, this interest income is excluded from gross income reported in CIT returns (PWC, 2024^[37]). Moreover, interest income earned by non-resident individuals on FCDU accounts is tax exempt. This exemption was primarily aimed at attracting remittances and reducing the cost of remittances to the country.

Interest income on bonds is subject to the above-mentioned withholding tax at 20% for domestic investors and taxed at 30% for foreign investors. Tax regulations in the Philippines currently incentivise the issuance of longer-term debt (over five years) by making them tax-exempt (BIR, 2024^[45]). Interest income from bonds with maturities of less than three years is taxed at 20%, those between 3 and 4 years at 12%, and those between 4 and 5 years at 5%. Non-residents are exempt from tax on interest payments on bonds issued by banks and financial institutions.

Among peer countries, in Indonesia, interest income on deposits and bonds received by a resident corporation or individuals is taxed at a final withholding tax of 15%. However, interest income on bonds for non-residents is subject to a reduced tax rate of 10% (PWC, 2023^[41]). In Malaysia, interest income for corporations is subject to CIT, while interest for individuals from deposits from approved banks and financial institutions and certain types of bonds or securities is exempt from tax (PWC, 2023^[58]). In Singapore, interest income earned on government bonds is tax-exempt for individuals (MAS, 2024^[59]). However, interest income earned on corporate bonds are taxed at 17% of CIT rate for corporations, while for corporate bonds under the Qualifying Debt Securities scheme a reduced tax rate of 10% applies (OECD, 2024^[18]). Moreover, deposits with approved banks and licensed finance companies are exempt from interest income tax for both individuals and corporations (IRAS, 2024^[60]). In Thailand, interest income from bank deposits and corporate bonds is subject to a final withholding tax rate at 15% (PWC, 2024^[51]). In Viet Nam, interest income is taxed at the standard CIT rate for corporations (PWC, 2024^[52]). Interest income earned on government bonds is tax exempt for non-residents institutional investors, while interest income earned from corporate bonds is subject to withholding tax at a flat rate of 5% (ADB, 2018^[61]).

3.4.5. Documentary stamp duty tax

The documentary stamp duty tax for the original issue of shares and dividends of a stock in the Philippines is 1% of the amount issued. On unlisted share transfer, stamp duty amounts to 0.75% of the par value of

the shares of stock sold, while the transfer of shares of stock listed and traded at the PSE are exempt from documentary stamp tax (BIR, 2024^[62]; PSE, 2024^[63]). For issuances of debt instruments, stamp duty tax is also 0.75% (BIR, 2024^[62]).

Among peer countries, Indonesia does not have a proportional stamp duty tax based on par value like the Philippines, but rather imposes a minimum fixed amount of IDR 10 000 (USD 0.70) for the issuance and transfer of stocks and debt instruments (ASEAN Briefing, 2021^[64]). In an attempt to broaden the range of accessible investment options and foster greater investor engagement in the domestic capital market, Malaysia has lowered the stamp duty tax rate for shares traded on Bursa Malaysia from 0.15% to 0.1% in 2023 (ASEAN Briefing, 2023^[65]). In Singapore, stamp duty on shares is calculated at 0.2% of the purchase price or the net asset value of the shares (PWC, 2023^[66]). However, there is no stamp duty imposed for the issuance of new shares or the purchase of shares listed on the Singapore Stock Exchange (Acca Global, 2017^[67]). In Thailand, stamp duty tax is 0.1% over the book value or the transfer price of shares or bonds, whichever is higher. However, transfers of Thai government bonds and listed securities deposited in Thailand Securities Depository are exempt from stamp duty (SET, 2024^[68]). In Viet Nam, there is no stamp duty tax for the transfer of shares (VDB-Loi, 2021^[69]).

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Notes

¹ FCDU refers to a unit of a local bank/branch of a foreign bank authorised by the Bangko Sentral ng Pilipinas (BSP) to engage in foreign-currency denominated transactions, pursuant to Republic Act No. 6426 (the Foreign Currency Deposit Act of the Philippines), as amended. It allows individuals to deposit money and earn interest in foreign currencies.

Annex A. Methodology for data collection and classification

Company categories and financial information

The corporate information presented in Chapter 2 is mainly based on the OECD ORBIS Corporate Finance database. The OECD-ORBIS Corporate Finance dataset includes financial and ownership information for non-financial companies between 2005 and 2021.

Company categories construction

Chapter 2 shows the following four non-financial firm categories: Category 1 “Listed companies”, Category 2 “Large unlisted companies”, Category 3 “Small and mid-sized companies part of a group”, and Category 4 “Independent small and mid-sized companies”. The construction of the company categories is based on the ownership, industry, legal information and financial information tables. The procedure starts by identifying all listed and unlisted companies with assets over USD 100 million in the entire ORBIS universe. Non-financial listed companies are classified immediately as Category 1 and large unlisted non-financial companies as Category 2. For these groups, the consolidated financial statements are used, if available.

The following steps identify the countries of interest and uses their ownership country year tables to identify companies in Category 3 and Category 4. ORBIS provides many records of owners at different points in time from different sources. Two criteria are used to clean the ownership information and to be left out with only one record for each owner firm year observation: the largest owner is kept and the latest information is prioritised. The largest owner can be either the global ultimate owner at 50%, the global ultimate owner at 25%, or the largest direct owner with over 25% holdings. Once the sample has a unique owner firm year record, owners are classified as corporations or natural persons.

Using the ownership records generated in the previous step, the routine starts by identifying the subsidiaries of the listed and large unlisted companies. Three types of companies are identified: 1) domestic subsidiaries with a local parent, 2) domestic subsidiaries with a foreign parent, and 3) companies controlled by a person. Some companies that are classified as subsidiaries in this step were already identified as large unlisted companies at the beginning. In these cases, since the subsidiary was already consolidated, its data were not used to avoid duplications. The domestic subsidiaries with a local parent in Category 1 or 2, or with foreign parents Category 1 or 2 are classified as Category 3. Please note that this category includes the non-financial domestic subsidiaries of financial domestic parent and foreign parents as these parents are excluded as they do not meet the industry requirement or because they are not incorporated in the domestic market under analysis. The companies where the largest owner is a person (over 25% ownership) are classified as Category 4.

Economy wide calculations take into account the ownership structure of companies and avoid considering companies that are already consolidated in the accounts of domestic non-financial parent companies. Thus, economy wide calculations include companies from Category 1, Category 2, Category 4, companies without ownership information, and companies from Category 3 that had a foreign parent or a financial domestic parent.

Financial information cleaning

The company category classification described in the previous section also incorporates different types of financial reporting (consolidated and unconsolidated reports). Large companies in the universe commonly report consolidated financial statements as well as unconsolidated financial statements. For the listed and large unlisted non-financial company categories, consolidated accounts are considered, if available. For the remaining categories, unconsolidated financial statements are used. The raw financial dataset contains several firm year observations when a company has multiple consolidation codes or it reports for different purposes. To construct a panel with a unique firm year observation, the following steps are applied:

- Financial companies are excluded.
- The fiscal year is recorded as the previous calendar year of the closing date whenever the closing date of the financial statement is before 30 June.
- Financial statements covering a 12-month period are used, preferably.
- When multiple observations within the same year exist, accounts with closing dates closer to year-end are preferred to accounts with older closing dates.
- Published annual reports are preferred to local registry filings. Local Registry filings are preferred to unknown filing types.
- Accounts using IFRS are preferred to those using GAAP, accounts using GAAP are preferred to those using unknown accounting practices.
- For companies with multiple consolidation codes, the following criteria apply: for companies that release consolidated financial statements, C1 is preferred when both C1 and C2 exist; for companies that release unconsolidated statements the observation from annual reports are preferred over others.
- Financial information is adjusted by annual USD Consumer Price Index changes and information is reported in 2023 constant million USD.
- Companies with at least one observation showing negative assets or negative fixed assets are dropped from the sample.
- Companies with equal or less than 10 employees are dropped from the sample. When employee number is not available companies with total assets below USD 54 000 (PHP 3 million) are dropped from the sample.
- Financial statement information is winsorised at 1% for both tails within companies' categories.
- In the case that there are single year gaps in the financial data, these are populated by interpolation using the average value of the preceding and the succeeding year for major items. Sub items are then calculated using accounting identities. Such interpolation is reserved for single year gaps, and is not applied for data gaps with two or more years. The OECD ORBIS Corporate Finance uses the 1 digit SIC industry classification.

Table A A.1. ORBIS industry classification

Standard Industrial Classification (SIC)	
Agriculture, forestry and fishing	Retail trade
Construction	Services
Manufacturing	Transportation, communications, electric gas and sanitary services
Mining	Wholesale trade

Company MSMEs classification by size

The firm size information presented in Chapter 2 is mainly based on each country's own classification of MSMEs. These classifications differ across countries, and even across different sectors in one country. The MSME classification used in this report is as follows:

Table A A.2. Definition of MSMEs by countries

Countries	Micro		Small		Medium	
	Number of employees	Other criteria	Number of employees	Other criteria	Number of employees	Other criteria
Indonesia	1-4 people	Net assets (land and building excluded.): less than Rp 50 million Total annual sales: less than Rp 300 million	5-19 people	Net assets (land and building excluded.): between Rp 50 million – Rp 500 million Total annual sales: between Rp 300 million – Rp 2.5 billion	20-99 people	Net assets (land and building excluded.): between Rp 500 million – Rp 10 billion Total annual sales: between Rp 2.5 billion – Rp 50 billion
Malaysia*	1-4 people	Annual sales turnover less than RM 300 000	Manufacturing: 5-74 people Services and other sectors: 5-29 people	Annual sales turnover: between RM 300 000 – RM 15 million in manufacturing Annual sales turnover: between RM 300 000 – RM 3 million in services and other sectors	Manufacturing: 75-200 people Services and other sectors: 30-75 people	Annual sales turnover: between RM 15 million – RM 50 million in manufacturing Annual sales turnover: between RM 3 million – RM 20 million in services and other sectors
Philippines	1-9 people		10-99 people		100-199 people	
Singapore*	Less than 200 people	Revenue less than or equal to USD 1 million	Less than 200 people	Revenue between USD 1 million – USD 10 million	Less than 200 people	Revenue between USD 10 million – USD 100 million
Thailand	1-5 people	Revenue less than B 1.8 million	Manufacturing: 6-50 people Services and trading: 6-30 people	Revenue between: B 1.8 million – B 100 million in manufacturing Revenue between: B 1.8 million – B 50 million in services and trading	Manufacturing: 51-200 people Services and trading: 31-100 people	Revenue between: B 100 million – B 500 million in manufacturing Revenue between: B 50 million – B 300 million in services and trading

Countries	Micro		Small		Medium	
	Number of employees	Other criteria	Number of employees	Other criteria	Number of employees	Other criteria
Viet Nam	1-10 people	Total revenue not more than: D 3 billion for agriculture, forestry, and fishery; industry and construction or Total capital not more than: D 3 billion	Agriculture, forestry, and fishery; industry and construction: 11-100 people	Total revenue not more than: D 50 billion for agriculture, forestry, and fishery; industry and construction or Total capital not more than: D 20 billion	Agriculture, forestry, and fishery; industry and construction: 101-200 people	Total revenue not more than: D 200 billion for agriculture, forestry, and fishery; industry and construction or Total capital not more than: D 100 billion
		Total revenue not more than D 10 billion for commerce and services or Total capital not more than: D 3 billion		Total revenue not more than D 100 billion for commerce and services or Total capital not more than: D 50 billion		Total revenue not more than: D 300 billion for commerce and services or Total capital not more than: D 100 billion

Notes: In Malaysia, either the employment or annual sales turnover criteria should be met to be classified within that category. Singapore defines small and medium enterprises (SMEs) as enterprises with operating value no more than USD 100 million or employment of no more than 200 workers. The distribution of MSMEs in this report is mainly done by considering the first criteria. As Singapore uses SME rather than MSME definition, income thresholds for each category of firm size are taken from Singapore Department of Statistics publications.

Source: PSA, (2022^[208]) 2022 List of Establishments, <https://dtiwebfiles.s3.ap-southeast-1.amazonaws.com/MSME+Resources/2022+Philippine+MSME+Statistics+in+Brief.pdf>; ASEAN (2024^[271]), Definitions of MSME in ASEAN Member States, <https://asean.org/wp-content/uploads/2023/11/Definition-of-MSME-in-ASEAN-Member-States.pdf>.

Public equity data

The information on initial public offering (IPOs) and secondary public offerings (SPOs) presented in Chapter 1 and Chapter 3 is based on transaction and/or firm level data gathered from several financial databases, such as LSEG (Screener, Datastream), FactSet and Bloomberg. Considerable resources have been committed to ensuring the consistency and quality of the dataset. Different data sources are checked against each other and, whenever necessary, the information is also controlled against original sources, including regulator, stock exchange and company websites and financial statements.

Country coverage and classification

The dataset includes information about all initial public offerings (IPOs) and secondary public offerings (SPOs or follow on offerings) by financial and non-financial companies. All public equity listings following an IPO, including the first-time listings on an exchange other than the primary exchange, are classified as a SPO. If a company is listed in more than one exchange within 180 days, those transactions are consolidated under one IPO. The country breakdown is carried out based on the domicile country of the issuer. In the dataset, the country of issue classification is also made based on the stock exchange location of the issuer. It is possible that a company becomes listed in more than one country when going public. The financial databases record a dual listing as multiple transactions for each country where the company is listed. However, there is also a significant number of cases where dual listings are reported as one transaction only based on the primary market of the listing. For this reason, the country breakdown based on the stock exchange is currently carried out based on the primary market of the issuer. The IPO and SPO data are collected on a deal basis via commercial databases in current USD values. Issuance amounts initially collected in USD were adjusted by 2023 US Consumer Price Index (CPI).

Exclusion criteria

With the aim of excluding IPOs and SPOs by trusts, funds and special purpose acquisition companies the following exclusion criteria are used:

- Financial companies that conduct trust, fiduciary and custody activities
- Asset management companies such as health and welfare funds, pension funds and their third-party administration, as well as other financial vehicles
- Open-end investment funds
- Other financial vehicles
- Grant making foundations
- Asset management companies that deal with trusts, estates and agency accounts
- Special Purpose Acquisition Companies (SPACs)
- Closed-end investment funds
- Listings on an over the counter (OTC) market
- Security types classified as “units” and “trust”
- Real Estate Investment Trusts (REITs)
- Transactions with missing or zero proceeds

Industry classification

LSEG uses the Reference data Business Classification (TRBC) Industry Description. The economic sectors used in the analysis are the following economic sectors:

Table A A.3. Public offerings industry classification

TRBC Economic Sector	
Basic materials	Industrials
Cyclical consumer goods & services	Non-cyclical consumer goods & services
Energy	Non-profit/private organisations/services
Financials	Technology
Governmental services	Telecommunications services
Healthcare	Utilities

Ownership data

The main source of information is the FactSet Ownership database. Data are collected as of end of 2023 in current USD thus no currency nor inflation adjustment is needed. The data are complemented and verified using LSEG and Bloomberg. Market information for each company is collected from LSEG. The dataset includes the records of owners for 31 342 companies listed on 115 markets covering 94% of the world market capitalisation. For each of the countries/regions presented, the information corresponds to all listed companies in those countries/regions with available information.

Table A A.4. Categories of owners

Investor category	Categories of owners	
	Investor type	
Private corporations and holding companies	Business association	Operating division
	Employee stock ownership plan	Private company
	Holding company	Public company
	Joint venture	Subsidiary
	Non-profit organisation	
Public sector	Government	Regional governments
	Sovereign wealth manager	Public pension funds
Strategic individuals and family members	Individual (strategic owners)	Family office
Institutional investors	Bank investment division	Mutual fund manager
	Broker	Other
	College/University	Pension fund
	Foundation/Endowment manager	Pension fund manager
	Fund of funds manager	Private banking/Wealth management
	Fund of hedge funds manager	Private equity fund/Alternative inv.
	Hedge fund	Real estate manager
	Hedge fund manager	Research firm
	Insurance company	Stock borrowing/lending
	Investment adviser	Trust/Trustee
	Market maker	Umbrella fund
	Mutual fund-closed end	Venture capital/Private equity
Other free-float including retail investors	Shares in the hands of investors that are not required to disclose their holdings. It includes the direct holdings of retail investors who are not required to disclose their ownership and institutional investors that did not exceed the required thresholds for public disclosure of their holdings.	

The information for all the owners reported as of the end of 2023 is collected for each company. Some companies have up to 5 000 records in their list of owners. Each record contains the name of the institution,

the percentage of outstanding shares owned, the investor type classification, the origin country of the investor, the ultimate parent name, among other things.

The table below presents the five categories of owners defined and used in this report following (De La Cruz, Medina and Tang, 2019^[225]). Different types of investors are grouped into these five categories of owners. In many cases, when the ultimate owner is identified as a Government, a Province or a City and the direct owner was not identified as such, ownership records are reclassified as public sector. For example, public pension funds that are regulated under public sector law are classified as government, and sovereign wealth funds (SWFs) are also included in that same category.

Corporate bond data

Data presented on corporate bond issuance in Chapter 3 and Section 1.5 are based on OECD calculations using data obtained from London Stock Exchange Group (LSEG) that provides international deal-level data on new issues of corporate bonds that are underwritten by an investment bank. The database provides a detailed set of information for each corporate bond issue, including the identity, nationality and sector of the issuer; the type, interest rate structure, maturity date and rating category of the bond, the amount of and use of proceeds obtained from the issue. Convertible bonds, deals that were registered but not consummated, preferred shares, sukuk bonds, bonds with an original maturity less than or equal to one year or an issue size less than USD 1 million are excluded from the dataset. The analyses in the report are limited to bond issues by non-financial companies. The industry classification is carried out based on the TRBC Industry Description. The country breakdown is carried out based on the issuer's country of domicile. Yearly issuance amounts initially collected in USD were adjusted by 2023 US CPI.

Given that a significant portion of bonds are issued internationally, it is not possible to assign such issues to a certain country of issue. For this reason, the country breakdown is carried out based on the country of domicile of the issuer.

Early redemption data

When calculating the outstanding amount of corporate bonds in a given year, issues that are no longer outstanding due to being redeemed earlier than their maturity should also be deducted. The early redemption data are obtained from LSEG WS and cover bonds that have been redeemed early due to being repaid via final default distribution, called, liquidated, put or repurchased. The early redemption data are merged with the primary corporate bond market data via international securities identification numbers (i.e. ISINs).

Rating data

Rating information is based on OECD calculations using data obtained from LSEG that provides rating information from three leading rating agencies: S&P, Fitch and Moody's. For each bond that has rating information in the dataset, a value of 1 is assigned to the lowest credit quality rating (C) and 21 to the highest credit quality rating (AAA for S&P and Fitch and Aaa for Moody's). There are eleven non-IG categories: five from C (C to CCC+); and six from B (B- to BB+). There are ten IG categories: three from B (BBB- to BBB+); and seven from A (A- to AAA).

If ratings from multiple rating agencies are available for a given issue, their average is used. Some issues in the dataset, on the other hand, do not have rating information available. For such issues, the average rating of all bonds issued by the same issuer in the same year (t) is assigned. If the issuer has no rated bonds in year t, year t-1 and year t-2 are also considered, respectively. This procedure increases the number of rated bonds in the dataset and hence improves the representativeness of rating-based

analyses. When differentiating between investment and non-IG bonds, the final rating is rounded to the closest integer and issues with a rounded rating less than or equal to 11 are classified as non-IG.

Industry classification

The corporate bond dataset uses the Reference data Business Classification (TRBC) Industry Description. The economic sectors used in the analysis are the following economic sectors:

Table A A.5. Corporate bonds industry classification

TRBC Economic Sector	
Basic materials	Healthcare
Consumer cyclical	Industrials
Consumer non-cyclical	Technology
Energy	Utilities

MSCI data

The MSCI data used in the Section 1.4 has been retrieved from the equity index constituents disclosed by MSCI, and the data is as of September 1, 2023. The details are cross-referenced with the OECD dataset on listed companies. Industry classification and market capitalisation are extracted from this dataset built with the aforementioned process on “Listing Information”. The information on listed companies was as of end 2022, REITS and investment funds are excluded from the analysis. The matched sample used in the analysis represents nearly 90% of the total weight for the *MSCI Emerging Asia* index and over 90% of the weight for the *MSCI Emerging*, *MSCI World* and *AC Asia Pacific* indices.

PSE and PDEX listing requirements and fees

Table A A.6. PSE Main Board admission/post-listing requirements

Admission requirements	
Operating lifetime	At least three years.
Capital requirement	The shareholders' equity required to be at least PHP 500 million for the most recent fiscal year.
Minimum number of shareholders	At least 1 000 shareholders owning shares equivalent to at least one board lot.
Board of Directors	Minimum of seven directors, two of which - or 20% of the board - must be independent, and each director should have at least one share in his name.
Minimum public offering	If the market capitalisation: - less than PHP 500 million: the highest of PHP 50 million and 33% of the ownership. - between PHP 500 million and PHP 1 billion: the highest of PHP 100 million and 25% of the ownership. - over PHP 1 billion: the highest of PHP250 million and 20% of the ownership.
Financial requirements	A cumulative net income of at least PHP75 million, excluding non-recurring items, for the three last full fiscal years preceding the application for listing. An exception is made if the company has been operating for at least ten years prior to filing the application, in which case the PHP75 million rule is for 2 of the 3 years A minimum net income of at least PHP 50 million for the most recent fiscal year. To validate the two requirements on net income above, the applying company shall submit audited consolidated financial statements for the last three full fiscal years preceding the application for the listing to the PSE. The financial statements shall be accompanied by an unqualified external auditor's opinion.

Admission requirements	
SEC registration and compliance	Filing of a registration statement for the securities to be listed, which includes: a prospectus, audited financial statements (or reviewed financial statements provided a justification citing constraints for having audited statements and a certification that no material events occurred during the interim period that would require an audit), a mandate letter from underwriter(s) and contract in case of underwriting syndicate, a tax compliance report, articles of incorporation/by-laws. Opinions by independent counsel on securities to be sold and tax matters, a list of subsidiaries and the PSE listing application. Report on compliance with the SEC Corporation Code of the Philippines.
Other requirements	Submission of a red herring prospectus to the PSE Listings Department, as well as the official public prospectus, press releases, advertisements for the Exchange to review. Engagement of an underwriter, underwriting the entire issue and exercising due diligence on the applicant company's prospectus, or offering memorandum. Engagement of a licensed stock transfer agent, for which the applying company is jointly liable.
Post-listing requirements	
Accounting for listing proceeds	Quarterly progress report on the use of the proceeds within fifteen days of the following quarter. Annual summary report of the use of listings proceeds on January 31 the following year at the latest. Any approval by the company's board of directors to reallocate any of the planned use of proceeds. Any actual disbursement must be disclosed thirty days before any actual reallocation.
Periodic financial statements	An annual report must be released within one hundred five days after the end of the fiscal year. Three quarterly reports within forty-five days from the end of the quarter for the first three quarters of the fiscal year.
Periodic reporting on shareholders	Monthly report on the number of shareholders within five trading days after the close of each month. Quarterly report on the top hundred shareholders within fifteen days of the end of each quarter.
Corporate governance report	An annual corporate governance report, following a "comply or explain" approach, in accordance with the code of corporate governance adopted by the SEC.
Ad hoc	Disclosure of any significant business, financial or legal event that may affect investors' trading decisions regarding the company's securities.

Source: PSE (2024^[78]), Consolidated Listing and Disclosure Rules, https://documents.pse.com.ph/wp-content/uploads/sites/15/2024/04/Consolidated-Listing-and-Disclosure-Rules_as-of-April-2024_FINAL.pdf; SEC (2024^[227]), Schedules of fees, <https://www.sec.gov.ph/forms-and-fees/schedules-of-fees/#gsc.tab=0>; SEC (2020^[228]), Registration of Debt or Equity Securities, https://www.sec.gov.ph/wp-content/uploads/2020/02/2018_UpdatedRequirementsForRegistrationofDebtOrEquitySecurities.pdf.

Table A A.7. PSE Main Board fees

Fees	
SEC registration fees	Legal research fee (1% of filing fee) and if aggregate price of securities: - less than PHP 500 million: 0.10% of the maximum aggregate price of the securities to be offered. - more than PHP 500 million not over PHP 750 million: PHP 500 000 plus 0.075% of the excess over PHP 500 million. - more than PHP 750 million not over PHP 1 billion: PHP 687 500 + 0.05% of the excess over PHP 750 million. - more than PHP 1 billion: PHP 812 500 plus 0.025% of the excess over PHP 1 billion.
Stock exchange admission rates	If market capitalisation is - below PHP 15 billion: 1/10 of 1% of market capitalisation, with a minimum of PHP 500 000. - above PHP 15 billion: PHP 15 million + 1/20 of 1% of the excess over PHP 15 billion of market capitalisation. Annual fee: 1/100 of 1% of market capitalisation, with a minimum of PHP 250 000 and a maximum of PHP 2 million.

Source: PSE (2024^[78]), Consolidated Listing and Disclosure Rules, https://documents.pse.com.ph/wp-content/uploads/sites/15/2024/04/Consolidated-Listing-and-Disclosure-Rules_as-of-April-2024_FINAL.pdf; SEC (2024^[227]), Schedules of fees, <https://www.sec.gov.ph/forms-and-fees/schedules-of-fees/#gsc.tab=0>.

Table A A.8. PSE SME Board admission/post-listing requirements

Admission requirements	
Operating lifetime	At least two years.
Capital requirement	The shareholders' equity required to be at least PHP 25 million for the most recent fiscal year.
Minimum number of shareholders	At least 200 shareholders owning shares equivalent to at least one board lot.

Admission requirements	
Board of Directors	Minimum of seven directors, two of which - or 20% of the board - must be independent, and each director should have at least one share in his name.
Minimum public offering	If the market capitalisation: - less than PHP 500 million: the highest of PHP 50 million and 33% of the ownership. - between PHP 500 million and PHP 1 billion: the highest of PHP 100 million and 25% of the ownership. - over PHP 1 billion: the highest of PHP 250 million and 20% of the ownership.
Financial requirements	A cumulative EBITDA of at least PHP 15 million, excluding non-recurring items, for the three last full fiscal years preceding the application for listing (or shorter if the company has been operating less than three years). OR A cumulative operating revenue of at least PHP 150 million for the last three fiscal years prior to applying for listing (or shorter if the company has been operating less than three years), with an average operating revenue growth rate of at least 20% for the two years prior to listing. To validate the above, the applying company shall submit audited consolidated financial statements for the last three full fiscal years preceding the application for the listing to the PSE, or the shorter if the company has been operating less than three years. The financial statements shall be accompanied by an unqualified external auditor's opinion.
Sponsorship alternative	A company that does not meet the financial requirements or those of shareholders' equity may apply for endorsement by a sponsor accredited by the PSE. The sponsor files the application on behalf of the company and shall conduct the proper due diligence and produce a resulting sponsor assessment report, accepting responsibility for any false or misleading information.
SEC registration and compliance	Filing of a registration statement for the securities to be listed, which includes: a prospectus, audited financial statements, (or <i>reviewed</i> financial statements provided a justification citing constraints for having audited statements and a certification that no material events occurred during the interim period that would require an audit), a mandate letter from underwriter(s) and contract in case of underwriting syndicate, a tax compliance report, articles of incorporation/by-laws. Opinions by independent counsel on securities to be sold and tax matters, a list of subsidiaries and the PSE listing application. Report on compliance with the SEC Corporation Code of the Philippines.
Other requirements	Submission of a business plan containing a strategy and needed actions to advance the company's business over five years. Submission of a red herring prospectus to the PSE Listings Department, as well as the official public prospectus, press releases, advertisements for the Exchange to review. Engagement of an underwriter, underwriting the entire issue and exercising due diligence on the applicant company's prospectus, or offering memorandum. Engagement of a licensed stock transfer agent, for which the applying company is jointly liable.
Post-listing requirements	
Accounting for listing proceeds	Quarterly progress report on the use of the proceeds within fifteen days of the following quarter. Annual summary report of the use of listings proceeds on January 31 the following year at the latest. Any approval by the company's board of directors to reallocate any of the planned use of proceeds. Any actual disbursement must be disclosed thirty days before any actual reallocation. A comprehensive report on the progress of its business plan within fifteen days of the following quarter
Periodic financial statements	An annual report must be released within one hundred five days after the end of the fiscal year. Three quarterly reports within forty-five days from the end of the quarter for the first three quarters of the fiscal year.
Periodic reporting on shareholders	Monthly report on the number of shareholders within five trading days after the close of each month. Quarterly report on the top hundred shareholders within fifteen days of the end of each quarter.
Corporate governance report	An annual corporate governance report, following a "comply or explain" approach, in accordance with the code of corporate governance adopted by the SEC.
Ad hoc	Disclosure of any significant business, financial or legal event that may affect investors' trading decisions regarding the company's securities.

Source: PSE (2024^[78]), Consolidated Listing and Disclosure Rules, <https://documents.pse.com.ph/wp-content/uploads/sites/15/2024/04/Consolidated-Listing-and-Disclosure-Rules-as-of-April-2024-FINAL.pdf>; SEC (2024^[227]), Schedules of fees, <https://www.sec.gov.ph/forms-and-fees/schedules-of-fees/#gsc.tab=0>; SEC (2020^[228]), Registration of Debt or Equity Securities, https://www.sec.gov.ph/wp-content/uploads/2020/02/2018_UpdatedRequirementsForRegistrationofDebtOrEquitySecurities.pdf.

Table A A.9. PSE SME Board fees

Fees	
SEC registration fees	If aggregate price of securities: - less than PHP 500 million: 0.10% of the maximum aggregate price of the securities to be offered + legal research fee (1% of filing fee). - more than PHP 500 million not over PHP 750 million: PHP 500 000 plus 0.075% of the excess over PHP 500 million + legal research fee (1% of filing fee). - more than PHP 750 million not over PHP 1 billion: PHP 687,500 + 0.05% of the excess over PHP 750 million + legal research fee (1% of filing fee). - more than PHP 1 billion: PHP 812,500 plus 0.025% of the excess over PHP 1 billion + legal research fee (1% of filing fee).
Stock exchange admission rates	1/10 of 1% of the maximum aggregate price of the securities to be offered. Annual fee: PHP 100 per million of market capitalisation with a minimum of PHP 50 000 and a maximum of PHP 250 000.

Source: PSE (2024^[78]), Consolidated Listing and Disclosure Rules, https://documents.pse.com.ph/wp-content/uploads/sites/15/2024/04/Consolidated-Listing-and-Disclosure-Rules-as-of-April-2024_FINAL.pdf; SEC (2024^[227]), Schedules of fees, <https://www.sec.gov.ph/forms-and-fees/schedules-of-fees/#gsc.tab=0>.

Table A A.10. PDEX listing and post-listing requirements

Main admission requirements	
Issuers' characteristics	<u>Public offer and qualified buyers:</u> Entity approved by the SEC to have its securities sold, purchased and traded in the Philippines.
Features of securities	<u>Public offer and qualified buyers:</u> - Technologically compatible to trade on the PDEX Trading Platform. - Dematerialised, or – if issued prior to later PDEX rules – immobilised with a qualified securities depository and must have a licensed registry (or transfer agent). - Securities must be freely transferable to both qualified and non-qualified investors and cannot have restrictions on transferability between investors of different tax categories.
SEC registration	<u>Public offer</u> - Filing of a registration statement for the securities to be listed, which includes: a prospectus, audited financial statements, a mandate letter from underwriter(s) and contract in case of underwriting syndicate, a tax compliance report, articles of incorporation/by-laws. - Opinions by independent counsel on securities to be sold and tax matters, a list of subsidiaries and the PDEX listing application. <u>Qualified buyers</u> - Exempted from SEC registration but may be requested to confirm its status at any time and needs to make potential investors aware of its exemption.
External services	<u>Public offer and qualified buyers:</u> - Must have a facility agent (or trustee) that takes on the responsibility of acting on behalf of the holders of securities, such as monitoring compliance with covenants, changes in deposited collateral, calls for redemption, etc. - Due diligence must have been performed by an SEC licensed external underwriter, arranger or issue manager according to regulatory standards. - Issuer or issue must be rated by a credit rating agency at the time of listing. - Issuer shall have liquidity providers: corporate securities must have commitments from at least one market maker.

Main admission requirements	
Disclosure and documentation	<u>Public offer and qualified buyers:</u> - An offer document, including an offer memorandum and a term sheet is considered best practice. <u>Public offer:</u> - A prospectus (in accordance with SRC rules) to allow the public to make an informed investment decision. This includes financial statements, management plans, description of the business, risk factors and a plan for the deployment of the issue proceeds. <u>Qualified buyers:</u> - Restrictions for 'exempt transactions' (from the IRR related to Section 10.1(k) of the SRC) require information on: the nature of the issuer's business, products and services; the number of shares and securities outstanding at the end of the most recent fiscal year; the most recent balance sheet, profit and loss and retained earnings statement for the last two fiscal years. - A clear commitment that the offer is directed to qualified buyers, constituting an 'exempt transaction'.
Post listing requirements	
Disclosure	<u>Public offer:</u> - Compliance with SEC requirements of periodic financial reporting: annual reports, quarterly reports and audited financial statements, as well as key information in the prospectus. <u>Qualified buyers:</u> - Periodic financial reporting: annual reports, quarterly reports and audited financial statements.
Ad hoc disclosures	<u>Public offer and qualified buyers:</u> Any material information, financial or otherwise, that may affect the price, value or the decision to buy or hold the securities.
Credit ratings	<u>Public offer and qualified buyers:</u> Continual ratings of issuer or issues.

Note: Qualified buyers are professional investors registered with the SEC (includes banks, investment houses, insurance companies, pension funds and some other institutions and individuals), these investments are also known as qualified bonds (previously private placements).

Source: PDEx (2021^[235]), Rules for the Fixed Income Securities Market, <https://www.pds.com.ph/wp-content/uploads/2021/02/PDEx-Rules-for-the-Fixed-Income-Securities-Market-as-Amended-Revised-25-February-2021.pdf>; PDEx (2024^[236]), Listing Qualifications, https://www.pds.com.ph/index.html%3Fpage_id=598.html; PDEx (2011^[234]), Listing Checklist: Listing Application (Registered Securities); PDEx (2022^[272]), Enrolment Checklist: Enrolment Application (Exempt Securities); SEC (2024^[237]), SEC Form 12-1 Checklist, https://www.sec.gov.ph/wp-content/uploads/2024/02/2024Form_SEC-Form-12-1-Submission-Checklist-2024.docx.

Table A A.11. PDEx fees

Fees	
SEC registration fee	<u>Public offer:</u> If aggregate price of securities: - less than PHP 500 million: 0.10% of the maximum aggregate price of the securities to be offered + legal research fee (1% of filing fee). - more than PHP 500 million not over PHP 750 million: PHP 500 000 plus 0.075% of the excess over PHP 500 million + legal research fee (1% of filing fee). - more than PHP 500 million not over PHP 1 billion: PHP 687 500 + 0.05% of the excess over PHP 750 million + legal research fee (1% of filing fee). - more than PHP 1 billion: PHP 812 500 plus 0.025% of the excess over PHP 1 billion + legal research fee (1% of filing fee).
PDEx listing fee	<u>Application fee:</u> - For government-like securities* PHP 50 000 - For non-government-like securities** PHP 100 000 if Category 1, PHP 150 000 if Category 2 and PHP 200 000 if Category 3 <u>Annual maintenance fee</u> 0.005% per annum, with a minimum of PHP 50 000 (for an issue of PHP 1 billion and below), and a maximum of PHP 150 000 (for an issue of PHP 3 billion and above)

Notes: * Government-like securities are structured as Treasury Bills, Notes or Bonds of the Philippine National Government in terms of maturities, coupon and discount-basis; having no call, put or convertibility features and a 20% final withholding tax.

** Non-government-like securities are either Category 1 if they do not have all the features of short-term or longer-term government-like securities and/or are floating rate securities; Category 2 if they are issued as part of debt issuance programmes not falling under Category 3; and Category 3 if they are structured as asset-backed securities, mortgage-backed securities or fixed income funds.

Source: PDEx (2014^[127]), Listing Fee Schedule; SEC (2024^[227]), Schedules of fees, <https://www.sec.gov.ph/forms-and-fees/schedules-of-fees/#gsc.tab=0>.

Pension fund investment guidelines

Table A A.12. Investment limits for the pension funds and pension reserves of the SSS

Asset class	Investment reserve fund (as % of total assets)	MySSS Pension Booster mandatory scheme (as % of total assets)	MySSS Pension Booster voluntary scheme (as % of total assets)
Government securities	Min 15%	Min 15%	Min 15%
Government securities to finance infrastructure projects	Max 30%		
Securities issued by government financial institutions or corporations	Max 30%		
Securities issued by banks doing business in the Philippines	Max 40%		
Short-and-medium-term loans to members	Max 25%	Max 25%	Max 25%
Securities issued by educational or medical institutions	Max 10%		
Real estate property and joint ventures	Max 10%		
Other income earning projects and investment secured by first mortgages and or other collaterals	Max 25%		
Securities issued by corporations or multilateral institutions	Max 40%	Max 20%	Max 20%
Listed equities	Max 40%	Max 20%	Max 20%
Mutual funds	Max 40%, of which max 15% for foreign mutual funds		
Foreign currency instruments and foreign assets	Max 15%		
Loans secured by collaterals, including loans to pensioners	Max 30%		Max 70% (loans to pensioners)
Money market instruments	No limit	Max 40%	Max 40%

Source: Social Security Act of 2018, Revised guidelines on the implementation of the mandatory provident fund programme for SSS members, and Revised guidelines on the implementation of the new voluntary provident fund programme for SSS members.

Table A A.13. Investment limits for the pension reserves of the GSIS

Asset class	GSIS Investment Policy Guidelines
Government securities	Max 60% of total investible fund
Direct housing loans to members and group housing projects secured by first mortgage	Min 40% of total investible fund
Foreign exchange currency exposure	Max 10% of total investible fund
Government debt, US Treasuries and investment grade corporate bonds (local and foreign)	Max 60% of total investible fund net of loans
Corporate bonds	
<i>Foreign sovereign, private corporations, or supranational corporations</i>	Max 25% of total investible fund net of loans
<i>Foreign sovereign, private corporations, or local governments</i>	Max 15% of total investible fund net of loans
<i>Domestic private corporations or local governments</i>	Max 10% of total investible fund net of loans
<i>Perpetual bonds</i>	Max 1% of total investible fund net of loans
<i>Convertible and exchangeable bonds/notes</i>	Max 1% of total investible fund net of loans
<i>Structured products</i>	Max 2.5% of total investible fund net of loans
Equities	Max 40% of total investible fund net of loans

Source: GSIS Investment Policy Guidelines.

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OECD Capital Market Series

OECD Capital Market Review of the Philippines 2024

Capital markets can be powerful levers to mobilise funds for economic growth. This report assesses the Philippine capital market and provides recommendations to improve it by strengthening corporate governance, facilitating access to public equity markets, increasing liquidity in the secondary stock market, improving market-based debt financing via corporate bonds and deepening the investor base. The recommendations are intended to guide policy makers in their reform agenda to strengthen the Philippine capital market and boost economic growth.



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